KAPLAN FINANCIAL

ATT

PAPER 1

Personal Tax

PERSONAL INCOME TAX

Study Manual

FA22

May and November 2023 sittings

PRODUCED BY TOLLEY EXAM TRAINING ON BEHALF OF

KAPLAN FINANCIAL

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INCOME TAX

	2022/23
Rates (Note 1)	%
Starting rate for savings income only	0
Basic rate for non-savings and savings income only	20
Higher rate for non-savings and savings income only	40
Additional and trust rate for non-savings and savings income only	45
Dividend ordinary rate	8.75
Dividend upper rate	33.75
Dividend additional rate and trust rate for dividends	39.35

Thresholds	£
Savings income starting rate band	1 – 5,000
Basic rate band	1 – 37,700
Higher rate band	37,701 – 150,000
Dividend Allowance	2,000
Savings Allowance	
– Taxpayer with basic rate income	1,000
– Taxpayer with higher rate income	500
– Taxpayer with additional rate income	Nil
Standard rate band for trusts	1,000

Scottish Tax Rates and Thresholds (Note 2)

£	%
1 – 2,162	19
2,163 – 13,118	20
13,119 – 31,092	21
31,093 – 150,000	41
150,000 +	46

Reliefs	£
Personal allowance (Note 3)	12,570
Married couple's allowance (Note 4)	9,415
– Maximum income before abatement of relief - £1 for £2	31,400
– Minimum allowance	3,640
Transferable tax allowance for married couples and civil partners (Note 5)	1,260
Blind person's allowance	2,600
Enterprise investment scheme relief limit (Relief at 30%) (Note 6)	1,000,000
Venture capital trust relief limit (Relief at 30%)	200,000
Seed enterprise investment scheme relief limit (Relief at 50%)	100,000
Social investment relief limit (Relief at 30%)	1,000,000

Notes:
(1) Welsh taxpayers pay income tax using the same rates and thresholds as other UK (but not-Scottish) taxpayers.
(2) Scottish taxpayers pay Scottish income tax on non-savings income.
(3) The personal allowance of an individual with adjusted net income above £100,000 is reduced by £1 for every £2 of adjusted net income above the £100,000 limit.
(4) Only available where at least one partner was born before 6 April 1935. Relief restricted to 10%.
(5) The recipient must not be liable to tax above the basic rate. The recipient is eligible for a tax reduction of 20% of the transferred amount.
(6) The limit is £2 million, where over £1 million is invested in knowledge-intensive companies.

ISA limits	**Maximum subscription**
	£
'Adult' ISAs	20,000
Junior ISAs	9,000

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Pension contributions

Basic amount qualifying for tax relief £3,600

	Annual allowance (Note 1) £	Lifetime allowance £	Minimum pension age
2022/23	40,000	1,073,100	55

Note: (1) The annual allowance is tapered by £1 for every £2 of adjusted income above £240,000 for individuals with threshold income above £200,000. It cannot be reduced below £4,000.

ITEPA mileage rates

Vehicles		
Car or van (Note 2)	First 10,000 business miles	45p
	Additional business miles	25p
Motorcycles		24p
Bicycles		20p
Passenger payments		5p

Note: (2) For NIC purposes, a rate of 45p applies irrespective of mileage.

Company cars and fuel – 2022/23

Emissions	**Electric range (miles)**	**Car benefit %** (Note 3)	
0g/km	N/A	2%	
1-50g/km	>130	2%	
1-50g/km	70-129	5%	
1-50g/km	40-69	8%	
1-50g/km	30-39	12%	
1-50g/km	<30	14%	
51-54g/km		15%	
55-59g/km		16%	
60-64g/km		17%	
65-69g/km		18%	
70-74g/km		19%	
75g/km or more		20%	+ 1% for every additional whole 5g/km above 75g/km
160g/km or more		37%	

Note: (3) 4% supplement for diesel cars, excluding those that meet the Real Driving Emissions Step 2 (RDE2) standard (not to exceed maximum of 37%).

Fuel benefit base figure £25,300

Taxable benefits for vans – 2022/23	**£**
Van benefit – No CO_2 emissions	Nil
Van benefit – CO_2 emissions > 0g/km	3,600
Fuel benefit	688

Official rate of interest - 2022/23 2%

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Childcare

Employer supported childcare – basic rate taxpayer (Note 1) £55 per week

Note: (1) For schemes joined on or after 6 April 2011 the exempt childcare amounts for higher and additional rate taxpayers (based on the employer's earning assessment only) are £28 and £25 respectively.

STUDENT AND POSTGRADUATE LOAN RECOVERY

Student Loans

	Plan 1	Plan 2	Plan 4
Employee earnings threshold	£1,682 per month	£2,274 per month	£2,114 per month

Rate of deductions is 9% of earnings above the threshold rounded down to the nearest whole pound.

Postgraduate Loans

Employee earnings threshold £1,750 per month

Rate of deductions is 6% of earnings above the threshold rounded down to the nearest whole pound.

STATUTORY PAYMENTS

Statutory sick pay		**Weekly rate**
Average weekly gross earnings	£123.00 or more	£99.35

Statutory maternity/adoption pay	First 6 weeks @ 90% of AWE Next 33 weeks @ the lower of £156.66 and 90% of AWE
Statutory shared parental pay /paternity pay/parental bereavement pay	For each qualifying week, the lower of 90% of AWE and £156.66

QUALIFYING CARE RELIEF

	Flat rate	Placement < 11	Placement ≥ 11
Year to 5 April 2023	£10,000 per year	£200 per week	£250 per week

CHILD BENEFIT

Year to 5 April 2023

Rates	**Weekly rate**
	£
First child	21.80
Each subsequent child	14.45

Child benefit charge	**Withdrawal rate**
Adjusted net income >£50,000	1% of benefit per £100 of income between £50,000 and £60,000
Adjusted net income >£60,000	Full child benefit amount assessable in that tax year

HMRC INTEREST RATES

Late payment interest	3.5%
Underpaid corporation tax instalments interest	2.00%
Repayment interest	0.5%
Credit interest	0.5%

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NATIONAL INSURANCE CONTRIBUTIONS **2022/23**

Class 1 limits	**Annual**	**Monthly**	**Weekly**
	£	£	£
Lower earnings limit (LEL)	6,396	533	123
Primary threshold (PT) (Notes 1 and 2)	11,908	1,048	242
Secondary threshold (ST)	9,100	758	175
Upper earnings limit (UEL)	50,270	4,189	967
Upper secondary threshold for U21 (UST)	50,270	4,189	967
Apprentice upper secondary threshold for U25 (AUST)	50,270	4,189	967

Note: (1) The monthly and weekly primary thresholds were £823 and £190 respectively until 5 July 2022.

(2) Due to the increase in the primary threshold part way through the 2022/23 tax year, for the purposes of the Annual Maxima Test 1 calculation, the primary threshold amount to use in Step 1 is £229.

	2022/23
Employment allowance	
Per year, per employer	£5,000
Class 1 primary contribution rates	
Earnings between PT and UEL	13.25%
Earnings above UEL	3.25%
Class 1 secondary contribution rates	
Earnings above ST (Notes 3 & 4)	15.05%

Notes: (3) The rate of secondary NICs for employees under the age of 21 on earnings between the ST and UST is 0%.

(4) The rate of secondary NICs for apprentices under the age of 25 on earnings between the ST and AUST is 0%.

Other contribution limits and rates

Class 1A contributions	15.05%
Class 1B contributions	15.05%
Class 2 contributions	
Normal rate	£3.15 pw
Small profits threshold (Note 5)	£6,725 pa
Lower profits limit (LPL) (Note 5)	£11,908 pa

Note: (5) Class 2 NICs are only payable where profits exceed the LPL. However, where profits are between the small profits threshold and the LPL, there will be an entitlement to contributory benefits.

Class 3 contributions	£15.85 pw
Class 4 contributions	
Annual lower profits limit (LPL)	£11,908
Annual upper profits limit (UPL)	£50,270
Percentage rate between LPL and UPL	10.25%
Percentage rate above UPL	3.25%

SIMPLIFICATION MEASURES

'Rent-a-room' limit	£7,500
Property allowance/Trading allowance	£1,000

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FLAT RATE EXPENSES FOR UNINCORPORATED BUSINESSES

Motoring expenses	First 10,000 business miles		45p per mile
	Additional business mile		25p per mile
Business use of home	25 – 50 hours use		£10 per month
	51 – 100 hours use		£18 per month
	101+ hours use		£26 per month
Private use of business premises	No of persons living there:	1	£350 per month
		2	£500 per month
		3+	£650 per month

CASH BASIS

Turnover threshold to join scheme	£150,000
Turnover threshold to leave scheme	£300,000

CAPITAL ALLOWANCES

Annual investment allowance for plant and machinery (AIA) (Note 1)	100%
WDA on plant and machinery in main pool (Note 2)	18%
WDA on plant and machinery in special rate pool (Note 3)	6%
WDA on structures and buildings (SBA)	3%

Notes: (1) 100% on the first £1,000,000 of investment in plant and machinery (except cars) from 1 January 2019 to 31 March 2023 (£200,000 from 1 April 2023).
(2) The main pool rate applies to cars with CO_2 emissions of not more than 50g/km (prior to April 2021 not more than 110g/km).
(3) The special pool rate applies to cars with CO_2 emissions greater than 50g/km (prior to April 2021 not more than 110g/km).

100% First year allowances (FYA) available to all businesses
Capital expenditure incurred by a person on research and development.
New zero-emission goods vehicles.
New cars if the car either emits 0g/km of CO_2 or it is electrically propelled.
Electric vehicle charging points expenditure.

Super- deduction available to companies
Additional FYA for companies incurring expenditure on new plant and machinery (other than cars) between 1 April 2021 to 31 March 2023:

FYA for assets in main pool	130%
FYA for assets in special rate pool	50%

VALUE ADDED TAX

Standard rate	20%	VAT fraction	1/6

Limits	**From 1.4.22**
Annual registration limit	£85,000
De-registration limit	£83,000

Thresholds	**Cash accounting**	**Annual accounting**
Turnover threshold to join scheme	£1,350,000	£1,350,000
Turnover threshold to leave scheme	£1,600,000	£1,600,000

ADVISORY FUEL RATES (as at 1 March 2022)

Engine size	**Petrol**	**LPG**	**Engine size**	**Diesel**
1400cc or less	13p	8p	1600cc or less	11p
1401cc to 2000cc	15p	10p	1601cc to 2000cc	13p
Over 2000cc	22p	15p	Over 2000cc	16p

Electricity rate 5p

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CORPORATION TAX

Financial year	**2023**	**2022 and 2021**
Main rate	25%	19%
Standard small profits rate	19%	N/A
Augmented profit limit for standard small profits rate	£50,000	N/A
Augmented profit limit for marginal relief	£250,000	N/A
Standard marginal relief fraction	3/200	N/A
Marginal rate	26.5%	N/A
Patent rate	10%	10%

Research and development expenditure

Small and medium sized enterprises (SMEs) (Note 1)	230%
Large companies – RDEC	13%

Note: (1) SMEs must have < 500 employees and *either* turnover ≤ €100m or assets ≤ €86m.

INHERITANCE TAX

Death rate	40% (Note 2)	**Lifetime rate**	20%

Note: (2) 36% rate applies where ≥10% of the deceased's net chargeable estate is left to charity.

Nil rate bands

6 April 1996 – 5 April 1997	£200,000	6 April 2003 – 5 April 2004	£255,000
6 April 1997 – 5 April 1998	£215,000	6 April 2004 – 5 April 2005	£263,000
6 April 1998 – 5 April 1999	£223,000	6 April 2005 – 5 April 2006	£275,000
6 April 1999 – 5 April 2000	£231,000	6 April 2006 – 5 April 2007	£285,000
6 April 2000 – 5 April 2001	£234,000	6 April 2007 – 5 April 2008	£300,000
6 April 2001 – 5 April 2002	£242,000	6 April 2008 – 5 April 2009	£312,000
6 April 2002 – 5 April 2003	£250,000	6 April 2009 – 5 April 2026	£325,000

Residence nil rate bands (Note 3)

6 April 2017 – 5 April 2018	£100,000	6 April 2019 – 5 April 2020	£150,000
6 April 2018 – 5 April 2019	£125,000	6 April 2020 – 5 April 2026	£175,000

Note: (3) An additional nil rate band is available where a main residence is passed on death to a direct descendant. Tapered withdrawal for estates > £2 million.

Taper relief

Death within 3 years of gift	Nil%
Between 3 and 4 years	20%
Between 4 and 5 years	40%
Between 5 and 6 years	60%
Between 6 and 7 years	80%

Quick succession relief

Period between transfers less than one year	100%
Between 1 and 2 years	80%
Between 2 and 3 years	60%
Between 3 and 4 years	40%
Between 4 and 5 years	20%

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Lifetime exemptions

Annual exemption		£3,000
Small gifts		£250
Wedding gifts	– Child	£5,000
	– Grandchild or remoter issue or other party to marriage	£2,500
	– Other	£1,000

CAPITAL GAINS TAX

	2022/23
Annual exempt amount	£12,300

CGT rates for individuals (Notes 1 & 2)

Gains qualifying for business asset disposal relief/investors' relief	10%
Gains falling within remaining basic rate band (Notes 3 & 4)	10%
Gains exceeding basic rate band (Note 5)	20%

CGT rates for trusts & individuals paying the remittance basis charge

Gains qualifying for business asset disposal relief/investors' relief	10%
Other gains (Note 5)	20%

CGT Rate for personal representatives (PRs)

All gains (Note 5)	20%

Business Asset Disposal relief (BADR)

Relevant gains (lifetime maximum) (Note 6)	£1 million

Investors' relief (IR)

Relevant gains (lifetime maximum)	£10 million

Notes:
(1) For individuals, gains are taxed as if they are the top slice of income.
(2) Capital losses and the annual exempt amount may be offset in the most beneficial manner, ie against gains not qualifying for BADR/IR first.
(3) The remaining basic rate band is calculated as £37,700 (2022/23) less taxable income less any gains on which BADR/IR has been claimed. The remaining basic rate band can be allocated in the most beneficial manner.
(4) The rate is 18% if the gain is in respect of a residential property
(5) The rate is 28% if the gain is in respect of a residential property
(6) For qualifying disposals made before 11 March 2020 the lifetime limit was £10 million

Lease percentage table

Years	Percentage	Years	Percentage	Years	Percentage
50 or more	100.000	33	90.280	16	64.116
49	99.657	32	89.354	15	61.617
48	99.289	31	88.371	14	58.971
47	98.902	30	87.330	13	56.167
46	98.490	29	86.226	12	53.191
45	98.059	28	85.053	11	50.038
44	97.595	27	83.816	10	46.695
43	97.107	26	82.496	9	43.154
42	96.593	25	81.100	8	39.399
41	96.041	24	79.622	7	35.414
40	95.457	23	78.055	6	31.195
39	94.842	22	76.399	5	26.722
38	94.189	21	74.635	4	21.983
37	93.497	20	72.770	3	16.959
36	92.761	19	70.791	2	11.629
35	91.981	18	68.697	1	5.983
34	91.156	17	66.470	0	0.000

ATT EXAMINATIONS
2023
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Retail Prices Index

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
1982	–	–	79.44	81.04	81.62	81.85	81.88	81.90	81.85	82.26	82.66	82.51
1983	82.61	82.97	83.12	84.28	84.64	84.84	85.30	85.68	86.06	86.36	86.67	86.89
1984	86.84	87.20	87.48	88.64	88.97	89.20	89.10	89.94	90.11	90.67	90.95	90.87
1985	91.20	91.94	92.80	94.78	95.21	95.41	95.23	95.49	95.44	95.59	95.92	96.05
1986	96.25	96.60	96.73	97.67	97.85	97.79	97.52	97.82	98.30	98.45	99.29	99.62
1987	100.0	100.4	100.6	101.8	101.9	101.9	101.8	102.1	102.4	102.9	103.4	103.3
1988	103.3	103.7	104.1	105.8	106.2	106.6	106.7	107.9	108.4	109.5	110.0	110.3
1989	111.0	111.8	112.3	114.3	115.0	115.4	115.5	115.8	116.6	117.5	118.5	118.8
1990	119.5	120.2	121.4	125.1	126.2	126.7	126.8	128.1	129.3	130.3	130.0	129.9
1991	130.2	130.9	131.4	133.1	133.5	134.1	133.8	134.1	134.6	135.1	135.6	135.7
1992	135.6	136.3	136.7	138.8	139.3	139.3	138.8	138.9	139.4	139.9	139.7	139.2
1993	137.9	138.8	139.3	140.6	141.1	141.0	140.7	141.3	141.9	141.8	141.6	141.9
1994	141.3	142.1	142.5	144.2	144.7	144.7	144.0	144.7	145.0	145.2	145.3	146.0
1995	146.0	146.9	147.5	149.0	149.6	149.8	149.1	149.9	150.6	149.8	149.8	150.7
1996	150.2	150.9	151.5	152.6	152.9	153.0	152.4	153.1	153.8	153.8	153.9	154.4
1997	154.4	155.0	155.4	156.3	156.9	157.5	157.5	158.5	159.3	159.5	159.6	160.0
1998	159.5	160.3	160.8	162.6	163.5	163.4	163.0	163.7	164.4	164.5	164.4	164.4
1999	163.4	163.7	164.1	165.2	165.6	165.6	165.1	165.5	166.2	166.5	166.7	167.3
2000	166.6	167.5	168.4	170.1	170.7	171.1	170.5	170.5	171.7	171.6	172.1	172.2
2001	171.1	172.0	172.2	173.1	174.2	174.4	173.3	174.0	174.6	174.3	173.6	173.4
2002	173.3	173.8	174.5	175.7	176.2	176.2	175.9	176.4	177.6	177.9	178.2	178.5
2003	178.4	179.3	179.9	181.2	181.5	181.3	181.3	181.6	182.5	182.6	182.7	183.5
2004	183.1	183.8	184.6	185.7	186.5	186.8	186.8	187.4	188.1	188.6	189.0	189.9
2005	188.9	189.6	190.5	191.6	192.0	192.2	192.2	192.6	193.1	193.3	193.6	194.1
2006	193.4	194.2	195.0	196.5	197.7	198.5	198.5	199.2	200.1	200.4	201.1	202.7
2007	201.6	203.1	204.4	205.4	206.2	207.3	206.1	207.3	208.0	208.9	209.7	210.9
2008	209.8	211.4	212.1	214.0	215.1	216.8	216.5	217.2	218.4	217.7	216.0	212.9
2009	210.1	211.4	211.3	211.5	212.8	213.4	213.4	214.4	215.3	216.0	216.6	218.0
2010	217.9	219.2	220.7	222.8	223.6	224.1	223.6	224.5	225.3	225.8	226.8	228.4
2011	229.0	231.3	232.5	234.4	235.2	235.2	234.7	236.1	237.9	238.0	238.5	239.4
2012	238.0	239.9	240.8	242.5	242.4	241.8	242.1	243.0	244.2	245.6	245.6	246.8
2013	245.8	247.6	248.7	249.5	250.0	249.7	249.7	251.0	251.9	251.9	252.1	253.4
2014	252.6	254.2	254.8	255.7	255.9	256.3	256.0	257.0	257.6	257.7	257.1	257.5
2015	255.4	256.7	257.1	258.0	258.5	258.9	258.6	259.8	259.6	259.5	259.8	260.6
2016	258.8	260.0	261.1	261.4	262.1	263.1	263.4	264.4	264.9	264.8	265.5	267.1
2017	265.5	268.4	269.3	270.6	271.7	272.3	272.9	274.7	275.1	275.3	275.8	278.1

PERSONAL INCOME TAX – FA22 CHANGES GUIDE

Note that all chapters have been updated for 2022/23 thresholds, rates and allowances.

FA22 Ch	*FA21 Ch*	Topic	Major changes	Minor changes	No changes	Notes
1	*1*	Introduction to the UK tax system			✓	
2	*2*	Calculating the income tax liability			✓	
3	*3*	The taxation of interest			✓	
4	*4*	The taxation of dividend income			✓	
5	*5*	Other taxable income			✓	
6	*6*	Relief for married couples			✓	
7	*7*	Deductible payments			✓	
8	*8*	Tax relief on donations to charity			✓	
9	*9*	Tax reducers			✓	

10	*10*	Scottish & Welsh taxpayers			✓	
11	*11*	An introduction to self-assessment			✓	
12	*12*	Payment dates, interest & penalties		✓		Amendments made to reflect HMRC's updated guidance re 'reasonable excuse'
13	*13*	Self-assessment – further aspects			✓	
14	*14*	Introduction to property income			✓	
15	*15*	Property income: further aspects			✓	
16	*16*	Introduction to employment income & benefits			✓	
17	*17*	Company car & fuel benefits			✓	
18	*18*	Living accommodation: taxable benefits			✓	

19	*19*	Loans to employees & use of assets			✓	
20	*20*	Miscellaneous benefits			✓	
21	*21*	Expenses of employment			✓	
22	*22*	Class 1 National Insurance Contributions		✓		Note that the level of the primary threshold was further increased from 6 July 2022
23	*23*	Class 1A & 1B National Insurance			✓	
24	*24*	Classes 2 & 4 National Insurance			✓	
25	*25*	Termination payments			✓	
26	*26*	Pension schemes			✓	
27	*27*	Miscellaneous provisions			✓	
28	*28*	The Enterprise Investment Scheme			✓	
29	*29*	Venture Capital Trusts			✓	

30	*30*	Social Investment Tax Relief			✓	
31	*31*	Introduction to Share Schemes			✓	
32	*32*	Share Incentive Plans (SIPs)			✓	
33	*33*	Save As You Earn Share Option Schemes			✓	
34	*34*	Company Share Option Plans			✓	
35	*35*	Enterprise Management Incentives (EMIs)			✓	
36	*36*	Residence – The Statutory Residence Rules			✓	
37	*37*	Domicile			✓	
38	*38*	Taxation of foreign income – general principles			✓	

39	*39*	The remittance basis			✓	
40	*40*	The remittance basis charge			✓	
41	*41*	Deemed domicile			✓	
42	*42*	Overseas aspects of employment income			✓	
43	*43*	Double Tax Relief			✓	
44	*44*	The Accrued Income Scheme			✓	
45	*45*	Beneficiaries of deceased estates			✓	

CHAPTER 1

INTRODUCTION TO THE UK TAX SYSTEM

By the end of this chapter you will understand:
– the various taxes charged in the UK
– the period for which income tax is charged
– the categorisation of sources of income
– the sources of income that are exempt from income tax

1.1 Taxes in the UK

In the 2021/22 tax year, the UK government raised £718 billion in taxation.

Income tax is the single largest earner for the government, making up approximately **31%** of total revenue. Income tax is charged on salaries from employment, on rental income from properties let out, on interest from banks and building societies, on dividends from companies and on the profits of the self-employed.

National Insurance contributions (**NICs**) (and the Apprenticeship Levy) are the second largest earner and make up **22%** of total government income. NICs are generally paid by both employers and employees on earnings from employment, although NICs are also levied on self-employed persons on the profits of their trade.

1.2 Scottish and Welsh Taxpayers

Although there is no need to study the separate Scottish Law sections in the Law text book for the Law CBE, the separate tax rules regarding Scottish and Welsh taxpayers covered here are within the syllabus for your ATT exam.

Unless an illustration/example specifically states that a taxpayer is a Scottish or Welsh taxpayer, you should assume that all individuals are not Scottish or Welsh taxpayers.

Scottish taxpayers pay **Scottish income tax** in respect of their **non-savings** income. ITA 2007, s.11A

The Scotland Act 2016 gives the Scottish Parliament **the power to set varying rates of income tax and the thresholds at which these are paid**. There is no restriction on the thresholds or rates that can be set.

Welsh taxpayers pay **Welsh rates of income tax** in respect of their non-savings income. ITA 2007, s.11B

The Wales Act 2014 gives the Welsh Government the power to set Welsh rates of income tax. The UK government has reduced the main rates of tax by 10% for Welsh taxpayers, who then also pay the additional Welsh income tax. Unlike the Scottish Parliament, the Welsh Government cannot alter the tax bands for Welsh taxpayers.

The Welsh rate of income tax is **10%** for 2022/23 which means that, when this is added to the reduced main rates of tax, Welsh taxpayers pay the **same rates** of income tax as other non-Scottish taxpayers.

HM Revenue and Customs (HMRC) administer and collect Scottish and Welsh income tax alongside UK income tax.

1.3 Calculation of Income Tax Liability

Individuals pay income tax by reference to the 'tax year'. The UK tax year runs from **6 April to the following 5 April**. For example, the tax year that begins on 6 April 2022 and ends on 5 April 2023 is known as the tax year 2022/23.

There are two stages in calculating an individual's tax liability. First, we compute the individual's taxable income from all sources in the relevant tax year. Having arrived at **taxable income** we then apply the 2022/23 **tax rates and allowances** to that income, to arrive at the **tax liability** for the year. This tax will be collected by HMRC under the 'self-assessment' system.

1.4 Sources of Income

The tax legislation categorises various sources of income. Each type of income has its own special rules. This is why we need to decide what type of income an individual has received.

The first type of income to consider is **trading income**. This covers profits from a trade. For instance, a **self-employed** person in business as a taxi driver, market trader, builder or plumber would be taxed on their **trading income**.

Trading income also covers profits from a profession or vocation. For instance, a **self-employed** professional such as a solicitor or barrister would also **have trading income**.

The second type of income to consider is **property income**. This is income from **land and buildings**, such as **rental** income. We need to keep property income from **UK** land and buildings separate from property income from **non-UK** land and buildings.

Next, there is a very important type of income, called income from **earnings and pensions**. **Earnings** covers **salaries, bonuses** and **non-cash benefits**.

There are various types of **savings and investment** income. A very common one is interest arising from **UK banks** and **building societies**. We call this **interest income**.

Another type of investment income is **dividends received from companies. Dividend income** needs to be kept separate from other types of investment income because it has different rates of tax applied to it.

These are the two **main types** of savings and investment income, but there **are some others** such as distributions from a unit trust.

An individual may have income from **outside the UK**. They may have **property income** from **non-UK land and buildings**. They may also have **investment income** from outside the UK, such as **non-UK bank interest** or **non-UK dividends**. All income arising outside the UK is called **foreign income**.

Income can still be **taxable** in the UK, even if it arises from a source **outside** the UK. As a general principle, individuals who **live** in the UK and who were **born** in the UK will pay UK income tax on their **worldwide** income wherever it comes from. So a **UK resident** will generally pay income tax on both their UK and foreign income.

Finally, there is income which is chargeable to income tax which does not fall within any of the above categories. This is called **miscellaneous income**. It is HMRC's way of making sure that taxable income doesn't fall through the net.

1.5 Exempt Income

There are a few sources of income which are specifically exempt from income tax.

Interest from **National Savings (NS&I) Certificates** is exempt from tax, as are any winnings on **Premium Bonds**. ITTOIA 2005, s.692

Any income from **betting, gaming** or **lotteries** is exempt from income tax.

Many **social security benefits** are also exempt from income tax – for example, universal credit, housing benefit and winter fuel payments for pensioners. ITEPA 2003, s.677

The notable exceptions are the state pension and any jobseeker's allowances. These are taxable income. Child benefit is not taxable, although a high income child benefit charge applies where a recipient or their partner has adjusted net income in excess of £50,000.

There are two types of **tax credit** which give financial support from the government: the Child Tax Credit and the Working Tax Credit. Tax credits are exempt from income tax.

Maintenance payments are always tax-free income in the hands of the recipient. ITTOIA 2005, s.727

Scholarship awards are exempt, as is any income from **ISAs** (individual savings accounts). ITTOIA 2005, s.776; SI 1998/1870

Dividends paid on the **first £200,000** of **Venture Capital Trust** shares acquired in any tax year are also exempt from income tax. ITTOIA 2005, s.709

EXAMPLES

❖ Example 1

Which of the following sources of income are exempt from income tax:

		Taxable	**Exempt**
a.	Interest on a National Savings and Investments (NS&I) account		
b.	Dividend from a foreign company		
c.	Child's wages from a newspaper round		
d.	Interest from National Savings (NS&I) Certificates		
e.	Housing benefit		
f.	State retirement pension		

ANSWERS

✓ Answer 1

		Taxable	Exempt
a.	Interest on a National Savings and Investments (NS&I) account	X	
b.	Dividend from a foreign company	X	
c.	Child's wages from a newspaper round	X	
d.	Interest from National Savings (NS&I) Certificates		X
e.	Housing benefit		X
f.	State retirement pension	X	

Tutorial Note:

Wages are taxable as employment income. The fact they are paid to a child is irrelevant. However, in most instances, the child's income will be covered by personal allowances, so no tax will be due.

Interest from National Savings (NS&I) Certificates is exempt, whereas interest from a National Savings and Investments (NS&I) account is not.

CHAPTER 2

CALCULATING THE INCOME TAX LIABILITY

By the end of this chapter you will understand:
- the stages required to calculate the income tax liability
- the personal allowance and how to allocate it
- how to tax non-savings income

2.1 Introduction

The first step in calculating an individual's tax liability for the tax year 2022/23 is to arrive at taxable income for the year. Having arrived at taxable income, we then apply 2022/23 tax rates to that income to give a tax liability for the year. Any tax deducted at source is deducted from the tax liability, to give the amount of tax left to pay (or the amount repayable to the individual where tax deducted at source exceeds the tax liability).

The proforma for calculating an individual's tax liability is very important.

The income tax proforma differentiates between **three different types** of income. The first type of income is **non-savings income**. Non-savings income essentially means income from employment, income from self-employment and rental income.

The second form of income is savings income, of which the most common example is **interest**, and the third and final form of income received by individuals is **dividend income**.

We separate these three forms of income within the computation because they are taxed in different ways and at different rates.

2.2 Proforma Income Tax Calculation

	Non-savings	Interest	Dividends
	£	£	£
Earnings	X		
Trading income	X		
Property income	X		
Interest		X	
Dividends			X
Foreign income	X	X	X
Total income	T	T	T
Less: Deductible payments	(DP)	–	–
Net income	NI	NI	NI

Foreign income could be non-savings income if it arose from rents in a villa in Spain. It could also be interest income if it was bank interest on a Jersey bank account. It could also be dividend income if it was dividends on shares in an American company. Entries could therefore be made in the non-savings column, the interest column or in the dividend column.

Income from all sources is then added together to give total income. Certain expenses incurred by individuals can be deducted in order to arrive at taxable income. These expenses are called deductible payments.

Deductible payments are deducted in order to achieve the greatest reduction in an individual's income tax liability.

Deductible payments are generally deducted from **non-savings income first**, although if there is insufficient non-savings income, such payments can be deducted from interest and then from dividends as appropriate. **Total income** less **deductible payments** gives us **net income**.

From net income we **deduct the available personal allowance** for the year in order to arrive at taxable income.

	Non-savings	Interest	Dividends
	£	£	£
Net income	X	X	X
Less: Personal allowance	(PA)	_	_
Taxable income	**X**	**X**	**X**

As with deductible payments, the personal allowance is deducted in order to achieve the greatest reduction in the tax liability. It is generally deducted from non-savings income in priority to interest and dividend income.

The **personal allowance** for the tax year 2022/23 is **£12,570**. ITA 2007, s.35

The personal allowance is available to all individuals, including children, who are resident in the UK. Certain individuals who are not resident in the UK, most notably UK nationals and nationals of the EEA, are also entitled to a personal allowance. ITA 2007, s.56

However, where an individual's adjusted net income exceeds £100,000 in 2022/23, the personal allowance will be reduced by one half of the excess income above £100,000. Adjusted net income is simply net income reduced by the gross amount of any Gift Aid payments or personal pension contributions eligible for relief in the tax year. ITA 2007, s.35(2)

Having deducted the personal allowance from net income, this gives us taxable income from all sources.

➢ Illustration 1

Mr Brown has the following income and expenditure for 2022/23:

	£
Salary from his job	35,000
Benefits from his employment	8,000
Rents from flat in Brighton	7,000
Rents from chateau in France	4,500
Deductible payments	(1,000)

Calculate Mr Brown's taxable income.

	Non-savings £
Income from earnings (35,000 + 8,000)	43,000
Property income	7,000
Foreign income	4,500
	54,500
Less: Deductible payments	(1,000)
Net income	53,500
Less: Personal allowance	(12,570)
Taxable income	40,930

➢ Illustration 2

Mrs Smith has adjusted net income of £105,200 in 2022/23.

Calculate her personal allowance.

As her adjusted net income exceeds £100,000, Mrs Smith's personal allowance is reduced by one half of the excess income over £100,000.

	£
Personal allowance	12,570
Less: ½ × (105,200 – 100,000)	(2,600)
Personal allowance given	9,970

Individuals with adjusted net income of £125,140 or more in 2022/23 will lose the benefit of the personal allowance, as the reduction of one half of excess income over £100,000 will reduce the allowance of £12,570 to nil.

2.3 Calculating the Tax Liability

To calculate an individual's tax liability, we start by looking at how non-savings income is taxed for the tax year.

Three rates of tax apply to non-savings income in 2022/23.

We have a basic rate of 20%, a higher rate of 40% and an additional rate of 45%. These are known as the main rates of tax. ITA 2007, s.6

	ADDITIONAL RATE 45%	←	Excess
£150,000			
	HIGHER RATE 40%	←	Next £112,300
£37,700			
	BASIC RATE 20%	←	First £37,700
£0			

TAXABLE INCOME

The first £37,700 of an individual's income is charged at the basic rate of tax, which is 20%.

For individuals with taxable income in excess of £37,700, the higher rate of tax applies. This is currently 40%. This applies to taxable income in excess of the basic rate limit up to the higher rate limit of £150,000. Income in excess of £150,000 will be taxed at the additional rate of 45%.

Remember that the **20%, 40% and 45% rates** apply to **non-savings income** only. Different rates apply to dividends (and sometimes to interest).

➢ Illustration 3

Continuing with illustration 1, calculate Mr Brown's tax liability.

Taxable income			£40,930
Tax			£
	37,700	@ 20%	7,540
	3,230	@ 40%	1,292
	40,930		
Tax liability			8,832

Any income tax which the individual has already paid during the course of the year can be deducted from the tax liability to give a final figure of tax due and payable to HMRC. The tax due will be collected by HMRC under the self-assessment regime.

If the tax paid at source in the tax year exceeds the tax liability, the taxpayer will be due an income tax repayment from HMRC.

➢ Illustration 4

Assume that Mr Brown from illustration 3 had paid tax on his employment income under the Pay As You Earn (PAYE) system of £8,670.

Calculate Mr Brown's tax due.

	£
Tax liability	8,832
Less: PAYE	(8,670)
Tax due	162

➢ Illustration 5

Let us now consider the position of Miss West, whose only source of income in 2022/23 is her salary of £200,000. She did not make any payments eligible for tax relief.

Calculate Miss West's income tax liability.

		£
Salary		200,000
Less: Personal allowance		–
Taxable income		200,000
Tax		
37,700	@ 20%	7,540
112,300	@ 40%	44,920
50,000	@ 45%	22,500
Tax liability		74,960

Remember that Miss West will not receive a personal allowance, as her adjusted net income exceeds the £100,000 threshold to such an extent that the personal allowance is reduced to nil.

EXAMPLES

❖ Example 1

Mrs White has the following income/expenses in 2022/23:

	£
Earnings from employment (PAYE £7,800)	43,650
Rent from apartment in New York	9,500
Deductible payment	(1,200)

Calculate her income tax due.

❖ Example 2

Mrs Yellow has the following income in 2022/23:

	£
Earnings from employment (PAYE £30,250)	100,000
Rental income	8,000

Calculate her income tax due.

❖ Example 3

Mr Blue has the following income in 2022/23:

	£
Earnings from employment (PAYE £63,500)	180,000
Lottery winnings	20,000

Calculate his income tax due.

ANSWERS

✓ Answer 1

		Non-savings
		£
Earnings		43,650
Foreign income		9,500
Less: Deductible payment		(1,200)
Net income		51,950
Less: Personal allowance		(12,570)
Taxable income		39,380
Tax		
37,700	@ 20%	7,540
1,680	@ 40%	672
Tax liability		8,212
Less: Tax paid under PAYE		(7,800)
Tax due		412

✓ Answer 2

		Non-savings
	£	£
Earnings		100,000
Property income		8,000
Net income		108,000
Less: Personal allowance	12,570	
Less: Reduction: (108,000 – 100,000)/2	(4,000)	
		(8,570)
Taxable income		99,430
Tax		
37,700 @ 20%		7,540
61,730 @ 40%		24,692
Tax liability		32,232
Less: Tax paid under PAYE		(30,250)
Tax due		1,982

✓ Answer 3

			Non-savings
			£
Earnings			180,000
Lottery winnings			Exempt
Net income			180,000
Less: Personal allowance (reduced to nil)			
Taxable income			180,000
Tax			
	37,700	@ 20%	7,540
	112,300	@ 40%	44,920
	30,000	@ 45%	13,500
Tax liability			65,960
Less: Tax paid under PAYE			(63,500)
Tax due			2,460

PROFORMA INCOME TAX COMPUTATION 2022/23

	Non-savings	Interest	Dividends
	£	£	£
Employment income	X		
Trading profits	X		
Property income profit (FHLs)	X		
Property income profit (non-FHLs)	X		
Trust income	X		
Interest received gross		X	
Interest received net (× 100/80)		X	
Dividends	–	–	X
	X	X	X
Less: Deductible payment			
Loan interest	(X)	–	–
Net income	X	X	X
Less: Personal allowance	(X)	–	–
Taxable income	X	X	X
Tax on taxable income:			
– Tax on non-savings income 20%/40%/45%			X
– Tax on savings income 0%/20%/40%/45%*			X
– Tax on dividends 0%/8.75%/33.75%/39.35%**			X
			X
Less: Tax reducers:			
– VCT relief (£200,000 × 30%)			(X)
– EIS relief (£1,000,000 × 30%)			(X)
– SEIS relief (£100,000 × 50%)			(X)
– SIT relief (£1,000,000 × 30%)			(X)
– MCA × 10%			(X)
– MA × 20%			(X)
Income tax liability			X
Less: Tax deducted at source:			
– Tax on trust income			(X)
– Tax paid under PAYE			(X)
– 20% tax suffered on interest received net			(X)
Further income tax payable/(repayable)			X

* The 0% starting rate band applies for interest income only where non-savings taxable income is less than £5,000. Interest within an individual's savings allowance is also taxed at 0%.

** Dividend income within the £2,000 dividend allowance is taxed at 0%.

Basic rate and higher rate tax bands are extended by gross Gift Aid and personal pension payments.

CHAPTER 3

THE TAXATION OF INTEREST

By the end of this chapter you will understand:
– how to tax interest income
– the effect of the savings allowance
– when to apply the starting rate band to interest income

3.1 Introduction

The centre column in the proforma is used for the taxation of savings income, of which the most common example is interest. Interest is added to non-savings income to increase net income and thereafter to increase taxable income, but we keep interest separate from non-savings income because interest may be taxed at different rates.

All UK bank and building society interest is paid **gross**, with no tax being deducted at source. The individual simply receives the full (or gross) amount of interest due.

Interest credited to **National Savings and Investments (NS&I) accounts**, such as Direct Saver and Investment accounts, is also received gross, as is interest received on **government stocks or 'gilts'**, eg 6% Treasury Stock 2028.

3.2 Taxation of Interest

Interest is always taxed **after** non-savings income – ie after any employment income or rental income. It is taxed at the savings rates of tax. There are four possible rates of tax applying to interest in 2022/23: **0%, 20%, 40% or 45%**. ITA 2007, s.16

3.3 The Savings Allowance

A **savings nil rate (0%)** applies to taxable interest income within an individual's **savings allowance** (often referred to in practice as the personal savings allowance). ITA 2007, s.12A

The amount of an individual's savings allowance depends on the level of their taxable income. If the individual **does not have higher rate income**, the amount of the allowance is **£1,000**.

If the individual **has higher rate income but does not have additional rate income**, the amount of the allowance is **£500**.

If the individual **has additional rate income**, the amount of the allowance is £Nil and the individual will not benefit from the savings nil rate of tax. ITA 2007, s.12B

An individual has higher rate income where income is subject to the higher rate of tax (or would be if the savings nil rate did not apply).

Similarly, an individual has additional rate income where income is subject to the additional rate of tax (or would be if the savings nil rate did not apply).

An easy way to establish this is to see if total taxable income exceeds the basic rate limit – if it does, the individual will have higher rate income. If total taxable income exceeds the higher rate limit, the individual will have additional rate income.

It is important to note that the savings allowance is not an exemption or deduction in arriving at taxable income. Interest income within the savings allowance is still taxable income – it is simply taxed at 0% so there is no tax liability on the income. The income must still be included in the tax computation and utilises the individual's basic and/or higher rate tax bands as normal.

Taxable interest income in excess of the savings allowance is taxed at the savings basic rate of 20% within the basic rate band, the savings higher rate of 40% above the higher rate threshold, and the savings additional rate of 45% above the additional rate threshold. For 2022/23, the savings rates are the same as the main rates of tax.

➢ Illustration 1

Romano received the following income in 2022/23:

	£
Salary (PAYE deducted £3,370)	30,000
Bank interest	1,200

Calculate his tax due.

	Non-savings	Interest
	£	£
Income from earnings	30,000	
Interest		1,200
Net income	30,000	1,200
Less: Personal allowance	(12,570)	
Taxable income	17,430	1,200

Romano's total taxable income is £18,630 (17,430 + 1,200), which is within the basic rate band (£37,700). Romano is therefore entitled to a savings allowance of £1,000 because he does not have income subject to the higher rate.

Tax		
17,430	@ 20%	3,486
1,000	@ 0%	Nil
200	@ 20%	40
18,630		
Tax liability		3,526
Less: PAYE deducted		(3,370)
Tax due		156

The taxable non-savings income is taxed at 20%. The first £1,000 of interest income is taxed at 0%, as it falls within the savings allowance and is charged at the savings nil rate. The balance of interest of £200 is charged at 20%, as it falls within the basic rate band.

➢ Illustration 2

Una received the following income in 2022/23:

	£
Salary	53,650
Bank interest	800

Calculate her tax liability.

	Non-savings	Interest
	£	£
Income from earnings	53,650	
Interest		800
Net income	53,650	800
Less: Personal allowance	(12,570)	
Taxable income	41,080	800

Una's total taxable income is £41,880 (41,080 + 800), which exceeds the basic rate limit. Therefore, Una has higher rate income and is only entitled to a savings allowance of £500.

Tax		
37,700	@ 20%	7,540
3,380	@ 40%	1,352
41,080		
500	@ 0%	Nil
300	@ 40%	120
Tax liability		9,012

➢ Illustration 3

Anne received the following income in 2022/23:

	£
Salary	160,000
Bank interest	400

Calculate her tax liability.

	Non-savings	Interest
	£	£
Income from earnings	160,000	
Interest		400
Net income	160,000	400
Less: Personal allowance (reduced to nil)		
Taxable income	160,000	400

Anne's total taxable income is £160,400 (160,000 + 400), which exceeds the higher rate limit. Anne has additional rate income and therefore is not entitled to a savings allowance.

Tax		
37,700	@ 20%	7,540
112,300	@ 40%	44,920
10,000	@ 45%	4,500
400	@ 45%	180
Tax liability		57,140

3.4 The 0% 'Starting Rate'

In addition to the savings allowance and the savings nil rate, a **0% starting rate** applies for interest income in 2022/23, but **only where taxable non-savings income is less than £5,000**.

Where taxable non-savings income is less than £5,000 and the taxpayer has some interest:

1. the taxable non-savings income (if any) is taxed at 20%; and
2. the difference between the taxable non-savings income and £5,000 is taxed at 0%.

Note that where interest income falls in the 0% starting rate band, there is no tax liability on the income. However, the income must still be included as taxable interest income in the income tax computation.

Interest within the starting rate band does not utilise the savings allowance.

Any interest income in excess of the starting rate band is taxed at 0% (to the extent it falls within the savings allowance) then 20%, 40% or 45% as normal. The starting rate band utilises the first £5,000 of the basic rate band.

➢ Illustration 4

Mrs Robertson has a part-time job paying £255 a week. Her only other income is building society interest of £45,000 per annum.

Calculate her tax liability.

		Non-savings	Interest
		£	£
Part-time job (52 × 255)		13,260	
Interest			45,000
Less: Personal allowance		(12,570)	
Taxable income		690	45,000
Tax			
690	@ 20%		138
4,310	@ 0%		Nil
5,000			
500	@ 0%		Nil
32,200	@ 20%		6,440
37,700			
7,990	@ 40%		3,196
Tax liability			9,774

Mrs Robertson has total taxable income of £45,690. She therefore has higher rate income and so is entitled to a savings allowance of £500. Her taxable non-savings income of £690 is less than £5,000; therefore, the first £4,310 of interest income is taxed at the starting rate of 0%. The next £500 of interest falls within the savings allowance and is taxed at the savings nil rate. The balance of interest is taxed at 20% up to the basic rate limit and then at 40%.

EXAMPLES

❖ Example 1

Mr Lloyd received the following income in 2022/23:

	£
Rent from overseas property	22,000
Building society interest	20,000
Interest on 6% Treasury Stock 2028	10,000

Calculate Mr Lloyd's tax liability.

❖ Example 2

Mr Barclay received the following income in 2022/23:

	£
Earnings from employment (PAYE deducted £47,120)	140,000
Bank interest	31,250

Calculate Mr Barclay's tax due.

ANSWERS

✓ Answer 1

			Non-savings	Interest
			£	£
Foreign income			22,000	
Building society interest				20,000
Interest on 6% Treasury Stock 2028				10,000
Net income			22,000	30,000
Less: Personal allowance			(12,570)	
Taxable income			9,430	30,000
Tax				
	9,430	@ 20%		1,886
	500	@ 0%		Nil
	27,770	@ 20%		5,554
	37,700			
	1,730	@ 40%		692
Tax liability				8,132

✓ Answer 2

			Non-savings	Interest
			£	£
Employment income			140,000	
Bank interest				31,250
			140,000	31,250
Less: Personal allowance (withdrawn in full)				
Taxable income			140,000	31,250
Tax				
	37,700	@ 20%		7,540
	112,300	@ 40%		44,920
	150,000			
	21,250	@ 45%		9,563
Tax liability				62,023
Less: PAYE				(47,120)
Tax due				14,903

CHAPTER 4

THE TAXATION OF DIVIDEND INCOME

By the end of this chapter you will understand:
- how to tax UK dividend income
- the effect of the dividend allowance
- how to treat stock dividends

4.1 Introduction

A **'dividend'** is a distribution of profit by a company to its shareholders.

If a UK company has paid a dividend of £18,000 to a shareholder, the £18,000 is the amount of cash actually received. There is no tax deducted at source.

4.2 Taxation of Dividends

We keep dividends separate in the income tax calculation because they are charged at different rates of tax to non-savings income and interest. Dividends are always taxed as the top slice of a taxpayer's income. This means that dividends will be taxed after non-savings income and interest. ITA 2007, s.16

There are four possible rates of tax which can apply to dividend income in 2022/23. **Dividends** can be taxed at the dividend nil rate of **0%**, the dividend ordinary rate of **8.75%**, the dividend upper rate of **33.75%** or the dividend additional rate of **39.35%**. ITA 2007, s.8

4.3 The Dividend Allowance

For 2022/23, **the dividend allowance of £2,000** applies to the first £2,000 of an individual's taxable dividend income. ITA 2007, s.13A

Dividend income within the dividend allowance is taxed at **the dividend nil rate of 0%**.

An individual is entitled to a dividend allowance of £2,000, regardless of whether they are a basic, higher or additional rate taxpayer.

It is important to note that the dividend allowance is not an exemption or deduction in arriving at taxable income. Dividend income within the dividend allowance is still taxable income – it is simply taxed at 0% so there is no tax liability on the income. The income must still be included in the tax computation and utilises the individual's basic and/or higher rate tax bands as normal.

Any remaining dividends in excess of the dividend allowance falling below the **basic rate limit** are charged at the dividend ordinary rate of 8.75%. Any dividend income in excess of the basic rate limit but below the higher rate limit is charged at the dividend upper rate of 33.75%. Any dividend income **in excess of the higher rate limit** is charged at the dividend additional rate of 39.35%.

➢ Illustration 1

Maria received the following income in 2022/23:

	£
Employment income	30,000
Dividends	25,000

Calculate Maria's tax liability.

	Non-savings	Dividends
	£	£
Income from earnings	30,000	
Dividends		25,000
Net income	30,000	25,000
Less: Personal allowance	(12,570)	
Taxable income	17,430	25,000

Tax		
17,430	@ 20%	3,486
2,000	@ 0%	Nil
18,270	@ 8.75%	1,599
37,700		
4,730	@ 33.75%	1,596
Tax liability		6,681

Maria's non-savings income (after deduction of the personal allowance) is taxed first and falls wholly within the basic rate band. The remainder of the basic rate band is utilised by dividend income. However, the first £2,000 of dividend income falls within the dividend allowance and so is taxed at 0%. The next £18,270 of dividend income falls within the basic rate band and is taxed at the dividend ordinary rate of 8.75%. The remaining dividend income is taxed at the dividend upper rate of 33.75%.

4.4 Savings and Dividend Income

An individual is entitled to the dividend allowance in addition to the savings allowance for interest.

The **amount of an individual's dividend income will impact on the amount of savings allowance available** to them.

When determining whether an individual has higher rate income for the purposes of establishing the amount of savings allowance available, dividend income which is taxed at the dividend upper rate (or would be, apart from the dividend allowance) is treated as higher rate income. Similarly, dividend income which is taxed at the dividend additional rate (or would be, apart from the dividend allowance) is treated as additional rate income.

Remember: an easy way to establish whether an individual has higher rate income is to see if total taxable income exceeds the basic rate limit – if it does, the individual will have higher rate income. If total taxable income exceeds the higher rate limit, the individual will have additional rate income.

In summary, non-savings income can be taxed at three rates of tax in 2022/23: 20%, 40% and 45%.

Interest can be charged at four possible rates of tax: 0% (the starting rate where taxable non-savings income is less than £5,000 and the savings nil rate where interest falls within the savings allowance), the basic rate of 20%, the higher rate of 40% and the additional rate of 45%.

Dividend income can also be charged at four possible rates of tax: the dividend nil rate of 0% (where the dividend falls within the dividend allowance), the dividend ordinary rate of 8.75%, the dividend upper rate of 33.75% and the dividend additional rate of 39.35%.

You will see here, therefore, that there are seven possible rates of tax applying to taxable income in 2022/23, ie 0%, 8.75%, 20%, 33.75%, 39.35%, 40% and 45%.

Taxable income

Non-savings	Interest	Dividends
20%	0%	0%
40%	20%	8.75%
45%	40%	33.75%
	45%	39.35%

➢ Illustration 2

Mrs Holder received the following income in 2022/23:

	£
Rental income	20,000
UK bank deposit interest	14,000
UK dividends	18,000

Calculate Mrs Holder's tax liability.

	Non-savings	Interest	Dividends
	£	£	£
Property income	20,000		
Bank interest		14,000	
UK dividends			18,000
Net income	20,000	14,000	18,000
Less: Personal allowance	(12,570)		
Taxable income	7,430	14,000	18,000

Mrs Holder has total taxable income of £39,430 (7,430 + 14,000 + 18,000), which exceeds the basic rate limit. Therefore, Mrs Holder is entitled to a savings allowance of £500. She is also entitled to the dividend allowance of £2,000.

Tax			
	7,430	@ 20%	1,486
	500	@ 0%	Nil
	13,500	@ 20%	2,700
	2,000	@ 0%	Nil
	14,270	@ 8.75%	1,249
	37,700		
	1,730	@ 33.75%	584
Tax liability			6,019

The taxable non-savings income is taxed first at 20%. The first £500 of interest income is taxed at 0% as it falls within the savings allowance. The remainder of the interest income falls within the basic rate band and is therefore taxed at 20%.

The first £2,000 of dividend income falls within the basic rate band but is within the dividend allowance and so is taxed at 0%. The next £14,270 of dividend income is also within the basic rate band and is therefore taxed at the dividend ordinary rate of 8.75%. The remaining dividend income of £1,730 is in the higher rate band and is therefore taxed at the dividend upper rate of 33.75%.

➢ Illustration 3

Mr Coppel has the following taxable income in 2022/23:

	£
Employment income	133,400
Interest	31,250
Dividends	22,000

Calculate Mr Coppel's tax liability.

Tax	
Non savings	
37,700 @ 20%	7,540
95,700 @ 40%	38,280
Interest	
16,600 @ 40%	6,640
14,650 @ 45%	6,593
Dividends	
2,000 @ 0%	Nil
20,000 @ 39.35%	7,870
Tax liability	66,923

As Mr Coppel has additional rate income he is not entitled to the savings allowance.

Finally, we will look at an example of where considering the allocation of the personal allowance can result in additional tax savings for the taxpayer.

Where a taxpayer has savings income and dividend income in excess of the personal allowance, and some personal allowance remains after offsetting it against non-savings income, the remaining personal allowance can be allocated in such a way that the benefit of the starting rate band and savings allowance is retained. In other words, the remaining personal allowance is offset against savings income in priority, but **only to bring the level of taxable savings income to the amount of the starting rate band plus the available savings allowance**. Any excess personal allowance is then offset against dividend income.

➢ Illustration 4

Mr Manning received the following income in 2022/23:

	£
Rental income	6,000
Interest income	9,500
Dividends	9,000

Calculate Mr Manning's tax liability.

	Non-savings	Interest	Dividends
	£	£	£
Property income	6,000		
Interest		9,500	
Dividends			9,000
Net income	6,000	9,500	9,000
Less: Personal allowance	(6,000)	(3,500)	(3,070)
Taxable income	Nil	6,000	5,930

Tax		
5,000	@ 0% (starting rate)	Nil
1,000	@ 0% (savings nil rate)	Nil
2,000	@ 0% (dividend allowance)	Nil
3,930	@ 8.75%	344
Tax liability		344

4.5 Stock Dividends

In order to maintain cash reserves, sometimes a company will offer the shareholder new shares in the company instead of a cash dividend. These 'replacement' dividends are known as 'stock dividends' (also called 'scrip' dividends). ITTOIA 2005, s.409

If an individual accepts new shares in place of the cash dividend, the individual is taxed on the **dividend foregone** – ie on the cash they would have received had they not chosen the stock alternative. This 'pretend' dividend is thereafter treated as a 'normal' dividend and is taxed at the appropriate dividend rates.

EXAMPLES

❖ Example 1

Mr Field has the following income in 2022/23:

	£
Salary (PAYE £4,500)	29,000
Bank deposit interest	23,650
UK dividends	4,500

Calculate his tax due.

❖ Example 2

Ms Glade has the following income in 2022/23:

	£
Salary (PAYE £39,400)	120,000
Bank deposit interest	25,000
UK dividends	20,000

Calculate her tax due.

ANSWERS

✓ Answer 1

	Non-savings	Interest	Dividends
	£	£	£
Earnings	29,000		
Bank interest		23,650	
UK dividends			4,500
Less: Personal allowance	(12,570)		
Taxable income	16,430	23,650	4,500

Tax			
	16,430	@ 20%	3,286
	500	@ 0%	Nil
	20,770	@ 20%	4,154
	37,700		
	2,380	@ 40%	952
	2,000	@ 0%	Nil
	2,500	@ 33.75%	844
Tax liability			9,236
Less: PAYE			(4,500)
Tax due			4,736

✓ Answer 2

	Non-savings	Interest	Dividends
	£	£	£
Salary	120,000		
Bank interest		25,000	
UK dividends			20,000
Less: Personal allowance (reduced to nil)			
Taxable income	120,000	25,000	20,000

Tax			
	37,700	@ 20%	7,540
	82,300	@ 40%	32,920
	120,000		
	25,000	@ 40%	10,000
	2,000	@ 0%	Nil
	3,000	@ 33.75%	1,013
	150,000		
	15,000	@ 39.35%	5,903
Tax liability			57,376
Less: PAYE			(39,400)
Tax due			17,976

Tutorial Note:

Ms Glade is not entitled to the savings allowance, as she has additional rate income.

CHAPTER 5

OTHER TAXABLE INCOME

By the end of this chapter you will understand:
- the different types and the taxation of trust income for a beneficiary
- how to tax income from unit trusts
- the various ways income can arise jointly between spouses
- the relief available for qualifying care receipts

5.1 Trust Income

A taxpayer may also receive trust income. The way in which this type of income is taxed depends on what type of trust it comes from.

You may come across a taxpayer receiving income from a discretionary trust. If a taxpayer receives income from a discretionary trust in 2022/23, they are deemed to have done so net of 45% tax deducted at source. ITA 2007, s.494

However, the gross amount of discretionary trust income must be included in the income tax computation. It is therefore necessary to 'gross up' the net figure by multiplying it by 100/55 to give the gross figure to enter into the tax computation.

Therefore, if a taxpayer receives £660 of discretionary trust income, this is received net of a 45% tax credit. We take the net figure of £660 and gross it up by multiplying it by 100/55 to give gross trust income of £1,200:

660 × 100/55 = £1,200

Income from a discretionary trust is always regarded as **non-savings** income. It will therefore be entered into the first column in the income tax computation. The individual can deduct the 45% tax credit from their tax liability when calculating the tax due.

Occasionally you will come across a taxpayer who receives income from some other type of trust – for instance, a trust called an **interest in possession trust**.

Where non-savings and savings income is received by the trust it will be taxed in the hands of the trustees at 20%. Dividend income will be taxed at a rate of 8.75%. The **dividend allowance is not available when calculating tax payable by trustees**. Similarly, **the savings allowance is not available when calculating tax payable by trustees**.

The income paid out to an individual by the trust retains its nature and therefore is **either non-savings/savings income received net of basic rate tax or dividend income received net of 8.75% tax**.

The gross income is entered into the tax computation, so non-savings and savings income is grossed up by 100/80 and dividend income is grossed up by 100/91.25 to arrive at the gross figure. The individual is entitled to deduct the associated tax credit when calculating their tax due.

The income is then taxed as any other non-savings/savings/dividend income in the hands of the recipient, **taking into account the savings allowance and dividend allowance**.

Where a question deals with income from an interest in possession trust it will state the type of income which has been received. In practice, the recipient will receive a certificate from the trustees (form R185) which **sets out the type of income received and the amount of tax deducted**.

➢ Illustration 1

Andy receives £10,000 from the Broadman Interest in Possession Trust in 2022/23. The form R185 received from the trustees shows the payment is made up as follows:

Type of income	Net amount	Tax deducted
	£	£
Savings	6,000	1,500
Dividends	4,000	384

Andy's only other sources of income for 2022/23 were his salary of £53,650 (PAYE deducted £9,400) and bank interest of £625.

Calculate Andy's income tax due.

Andy's tax due will be calculated as follows:

	Non-savings	Interest	Dividends
	£	£	£
Employment income	53,650		
Bank interest		625	
Trust income			
– interest (6,000 × 100/80)		7,500	
– dividends (4,000 × 100/91.25)			4,384
Net income	53,650	8,125	4,384
Less: Personal allowance	(12,570)		
Taxable income	41,080	8,125	4,384

Tax		
37,700	@ 20%	7,540
3,380	@ 40%	1,352
500	@ 0%	Nil
7,625	@ 40%	3,050
2,000	@ 0%	Nil
2,384	@ 33.75%	805
Tax liability		12,747
Less: PAYE		(9,400)
Less: Tax on trust income (1,500 + 384)		(1,884)
Tax due		1,463

Andy's tax liability is £12,747. In calculating his tax due to be paid, he deducts not only the tax suffered at source on his employment income but also the tax paid by the trust in respect of the interest and dividend income.

5.2 Parental Settlements

Anti-avoidance rules exist to prevent a parent from diverting income to a minor child in order to utilise the child's personal allowances and/or basic rate band. ITTOIA 2005, s.629

Where a parent (or step-parent) provides funds to or for the benefit of a child (or step-child), any income arising from those funds is taxed in the hands of the parent. This will include circumstances where a parent sets up a trust for a child or simply places funds in (say) a building society account for the child.

The parental settlement rules only apply where the funds are settled by a parent (not by a sibling or grandparent) and where the child is under the age of 18 and is unmarried.

There is an exception where the gross annual income generated by the parental funds is £100 or less. In this case, the income would be taxed on the child (and presumably covered by personal allowances).

5.3 Unit Trusts

It is common to come across taxpayers who receive distributions from unit trusts. Unit trusts will distribute their profits to the unit holders in the form of either dividends or interest.

If a taxpayer receives a **dividend** from a **unit trust**, we tax that dividend in the same way as other dividend income. ITTOIA 2005, s.389

If a unit holder receives an **interest distribution** from a unit trust, the interest will be received gross and taxed in the same way as other interest. ITTOIA 2005, s.376

5.4 Company Loan Stock Interest

Interest income may also be received by an individual in respect of a loan note (debenture) issued by a company.

Interest income on **company loan notes is received net of 20% basic rate tax**. The company will withhold tax before paying the interest to the taxpayer. The taxpayer therefore receives the net amount, after tax has been deducted. However, where interest is received net, we always enter the gross amount in the income tax computation. The interest received net must be **'grossed up'** by multiplying it by 100/80. This gross figure is included in the income tax computation.

The individual can deduct the 20% tax credit from their tax liability when calculating tax due.

5.5 Joint Income

The most common example of joint income is income received jointly by spouses or civil partners. This could be a bank account held in joint names or shares held in joint names, where the interest or the dividend needs to be split between the two taxpayers.

➢ Illustration 2

A husband and wife jointly own a property. The husband's share is 60% and the wife's share is 40% of the property – so this property is jointly owned between them, although not in equal parts. The property is let out and produces rental income which is taxed as property income.

Explain the two ways of treating the joint income.

The most common way is to simply split the income **equally** between the two parties regardless of their actual shares in the property. 50% of the income is taxed in the hands of the husband and goes into his tax computation. The remaining 50% of the rental income is taxed in the hands of the wife and goes into her tax computation. ITA 2007, s.836

It is important to note here that the UK has a regime known as 'independent taxation', whereby the income of spouses or civil partners is always kept separate and is never aggregated.

The second way to treat joint income is for the taxpayers to make an **election** to split the income in accordance with their **beneficial entitlement** in the property. If the husband and wife in the illustration above make such an election, the husband will be taxed on 60% of the income, being equivalent to his ownership of the property; the wife will be taxed on the remaining 40%. ITA 2007, s.837

If the taxpayers prefer this treatment, they must make an election to this effect. If no election is made, HMRC will simply split the income equally between the two parties. The declaration must be notified to HMRC within 60 days of the date of the declaration and applies to income arising on or after the date of the declaration.

5.6 Qualifying Care Relief

Relief is available where an individual has qualifying care receipts.

An individual will have qualifying care receipts if they **provide foster care or shared lives care**. ITTOIA 2005, s.803

The relief only applies to receipts from specified social care schemes and does not apply to private care arrangements.

If total receipts from qualifying care in the tax year do not exceed the individual's limit (often referred to as the qualifying amount), the receipts will not be subject to tax, either as trading income or other income. ITTOIA 2005, ss.812–814

When calculating total receipts for these purposes, **no relief is given for any expenses incurred** in relation to the provision of the care; it is the gross receipts which are compared to the qualifying amount. ITTOIA 2005, s.807

If the gross qualifying care receipts exceed the individual's qualifying amount for the year, the individual has two options for calculating the amount of income on which tax will be payable.

Firstly, the individual can be **taxed on the gross receipts minus any expenses or capital allowances as normal. This is referred to as the profit method**.

Alternatively, the individual will be assessed on **the gross qualifying care receipts less their individual qualifying amount. This is referred to as the simplified method**.
ITTOIA 2005, ss.815–818

If the individual wants the simplified method of calculation to apply, an election must be made by the first anniversary of 31 January following the end of the tax year. An election for 2022/23 must be made by 31 January 2025.

The individual may not want to make an election for the alternative method if their expenses and any available capital allowances exceed their individual limit.

An individual's limit (or qualifying amount) is made up of two elements:

- A fixed amount of £10,000 per annum.
- A weekly amount for each person placed with them.

The weekly amount is £200 for each child aged under 11 and £250 per week for each adult or child aged 11 or over. These amounts are provided in the tax tables.

The fixed amount is proportionately reduced where the individual is a carer for less than a full year.

Illustration 3

Joyce provides foster care for a child aged 14 for the whole of 2022/23 and for a child aged 8 for ten weeks of the year. She has an accounting date of 5 April and receives total qualifying care receipts of £20,000 in 2022/23.

Explain the amount Joyce will be assessed on.

Joyce's individual limit is:

	£
Fixed amount	10,000
Child 1 (250 × 52)	13,000
Child 2 (200 × 10)	2,000
Qualifying amount	25,000

Her qualifying receipts of £20,000 are less than her limit of £25,000; therefore, she will not be assessed on the income in 2022/23.

➢ Illustration 4

Assume that the facts are the same as in the previous illustration, but this time Joyce receives qualifying care receipts of £30,000.

Explain the amount Joyce will be assessed on.

As the qualifying care receipts exceed her limit, Joyce will be taxed on some of the income.

Joyce has an accounting period which ends on 5 April, so her gross trading receipts will be £30,000. If we assume that she has allowable expenses and capital allowances of £22,000.

Under normal principles, Joyce will be taxed on:

	£
Gross receipts	30,000
Less: Expenses and capital allowances	(22,000)
Taxable profits	8,000

Alternatively, Joyce could elect to be taxed on:

	£
Gross receipts	30,000
Less: Limit (as per previous illustration)	(25,000)
Taxable amount	5,000

Note that if Joyce elects for the alternative simplified method, she cannot deduct her expenses and cannot claim capital allowances. In this instance, Joyce should elect for the alternative calculation.

If the residence used to provide the qualifying care is used by two or more carers, each individual carer is entitled to a share of the fixed amount of £10,000. So, if there are two individuals providing care, each will be entitled to a fixed amount of £5,000.

EXAMPLES

❖ Example 1

Jonathan received the following income in 2022/23:

	£
Income from a discretionary trust	14,300
Property income	4,000
Interest on an NS&I account	1,430
Dividend from a unit trust	20,650

Calculate Jonathan's repayment.

ANSWERS

✓ Answer 1

	Non-savings	Interest	Dividends
	£	£	£
Discretionary trust (14,300 × 100/55)	26,000		
Property income	4,000		
NS&I account interest		1,430	
Unit trust dividend			20,650
Net income	30,000	1,430	20,650
Less: Personal allowance	(12,570)		
Taxable income	17,430	1,430	20,650

			£
Tax			
	17,430	@ 20%	3,486
	500	@ 0%	Nil
	930	@ 20%	186
	2,000	@ 0%	Nil
	16,840	@ 8.75%	1,474
	37,700		
	1,810	@ 33.75%	611
Tax liability			5,757
Less: Tax on trust income (45%)			(11,700)
Tax repayable to Jonathan			(5,943)

CHAPTER 6

RELIEF FOR MARRIED COUPLES

By the end of this chapter you will understand:
- when the married couple's allowance is available
- how the allowance is restricted for wealthy taxpayers
- the transferable marriage allowance

6.1 Introduction

In this chapter you will cover the availability of the 'married couple's allowance' for married couples and civil partnerships where one spouse/partner was born before 6 April 1935. You will also cover the transferable 'marriage allowance' for married couples and civil partnerships.

All of the above allowances are contained within the tax tables included with this course.

6.2 Married Couple's Allowance

The married couple's allowance (MCA) is available only if **one** of the two spouses was **born before 6 April 1935**. The MCA will therefore be available where one of the spouses is aged 88 or over in 2022/23. ITA 2007, s.45

Since 5 December 2005, civil partners in a civil partnership formed as a result of the Civil Partnerships Act 2004 have **similar rights to married couples in respect of the MCA**. Relief will only be given if one of the civil partners was born before 6 April 1935.

The MCA for 2022/23 is £9,415. However, the MCA is **not** given in the same way as the personal allowance – ie we do **not** deduct the MCA from net income to arrive at taxable income. Instead, the MCA is a **tax reducer** and tax relief is given at **a flat rate of 10%**.

Therefore, where a taxpayer is entitled to the MCA, we multiply the allowance of £9,415 by **10%** to give **£942**, and we **reduce the tax liability by this amount**.

For all marriages entered into before 5 December 2005, this tax reducer is given to the **husband**. ITA 2007, s.45

For later marriages and civil partnerships, the MCA goes to the member of the couple with the **higher total income** for the year. ITA 2007, s.46

For 2022/23, the amount of the MCA is **restricted if adjusted net income exceeds £31,400**. In this case, the allowance is reduced by half of the excess income over £31,400. ITA 2007, s.45(4)

	£
Married couple's allowance	9,415
Less: ½ × (Adjusted net income – £31,400)	(X)
Allowance given	X

➢ Illustration 1

Fred is aged 89 and has been married for over 50 years. His wife is 79. Fred has adjusted net income of £32,580 (all non-savings).

Calculate Fred's tax due.

Fred was born before 6 April 1935 and is entitled to the MCA. However, as Fred's adjusted net income exceeds the abatement threshold of £31,400, this allowance needs to be restricted by:

½ × (32,580 – 31,400) = £590

Deducting this from the MCA of £9,415 gives Fred an allowance of £8,825.

Fred's tax computation will be as follows:

	Non-savings
	£
Net income	32,580
Less: Personal allowance	(12,570)
Taxable income	20,010
Tax	
20,010 @ 20%	4,002
Less: Married couple's allowance (9,415 – 590) = 8,825 @ 10%	(883)
Tax due	3,119

6.3 Other Points

Taxpayers born before 6 April 1935 are always entitled to a **minimum MCA of £3,640** in 2022/23 which, when multiplied by 10%, gives a minimum tax reducer of £364.

Where an individual eligible for the MCA has their personal allowance restricted or withdrawn due to adjusted net income in excess of £100,000, they will **still be entitled to the minimum MCA**.

6.4 The Marriage Allowance

Married couples and civil partners may be able to take advantage of a transferable tax allowance - commonly referred to as the 'marriage allowance' (MA).

The MA allows certain individuals who are married or in a civil partnership to elect to **transfer some of their personal allowance** to their spouse or civil partner. The election will be of particular help to couples where one of the spouses/civil partners either has insufficient income to utilise their personal allowance or has income which is taxed at 0% – for example, because it falls wholly within the starting rate band for savings income.

The amount of the personal allowance which can be transferred **is 10% of the personal allowance** (rounded up to the nearest multiple of ten). ITA 2007, s.55B(4), (5)

Where an election is made for the MA, the relinquishing spouse/civil partner's personal allowance is **reduced by the amount transferred**. ITA 2007, s.55B(6)

However, the gaining spouse/civil partner's personal allowance is not increased by the amount transferred and will therefore remain at £12,570 in 2022/23.

Instead, the gaining party obtains a **reduction in their income tax liability** (a 'tax reducer') equal to **20% of the transferred amount**. We therefore **reduce the tax liability** in the bottom half of the 2022/23 income tax computation by £1,260 × 20% = £252. This cannot in itself result in a repayment of tax. ITA 2007, s.55B(1)

To qualify for the MA, certain conditions must be met:

- The individual making the election (the relinquishing spouse/civil partner) and the individual receiving the MA (the gaining spouse/civil partner) must be **married or in a registered civil partnership for all or part of the tax year**. There is no requirement for the couple to be living together as there is for the MCA. The MA is given in full in the year of marriage/civil partnership. ITA 2007, s.55C(1)

- The **MCA must not have been claimed**. Individuals born before April 1935 may therefore qualify for both the MA and the MCA, but only one of these can be claimed. In most cases it will be beneficial to claim the MCA. ITA 2007, s.55B(2)(d)

- The individuals must be married or in a civil partnership both **in the tax year to which the election applies and at the time the election is made**. However, an election can be made after the death of one of the spouses/civil partners, either by the surviving spouse/civil partner or the Personal Representatives of the deceased, provided that the marriage/civil partnership was in existence immediately before the death. ITA 2007, s.55C(1)

- Neither spouse/civil partner **pays tax at a rate other than the basic rate** (or the savings 0% and the dividend 0% and 8.75% rates). Therefore, the allowance is not available if either spouse/civil partner pays tax at the higher, dividend upper or additional rates. In addition, neither spouse/civil partner would be liable to pay tax at the dividend upper or additional rates if the dividend allowance were ignored. ITA 2007, ss.55B(2) and 55C(1)

- The **election** must be made within **four years of the end of the tax year to which it applies**. The election then applies for all years thereafter until it is withdrawn or the conditions for entitlement to the MA are no longer met. ITA 2007, s.55D(1)

Note that the MA is not available to couples where one spouse is a non-taxpayer (with income less than the personal allowance) and the other spouse pays tax at the higher, dividend upper or additional rates.

➢ Illustration 2

Albert has employment income of £40,000 per year. His civil partner, Rob, has property income of £9,000 per year.

Rob makes a marriage allowance election.

Rob's personal allowance for 2022/23 is as follows:

	£
Personal allowance	12,570
Less: Marriage allowance transferred to civil partner	(1,260)
Remaining personal allowance	11,310

Note that after the MA transfer, Rob's personal allowance still exceeds his income by £2,310 and this amount of the personal allowance is therefore wasted.

Albert's income tax liability for 2022/23 is as follows:

	£
Employment income	40,000
Less: Personal allowance	(12,570)
Taxable income	27,430
Tax	
£27,430 @ 20%	5,486
Less: Marriage allowance (1,260 @ 20%)	(252)
Tax liability	5,234

EXAMPLES

❖ Example 1

Derek is 89 and has been married for over 50 years. His only income for 2022/23 is pension income of £43,600.

Calculate the tax reducer in respect of his married couple's allowance.

❖ Example 2

Explain whether a marriage allowance election can be made in respect of 2022/23 in the following situations.

a. Geoff was born on 1 June 1934 and is married to Amy, who was born on 1 May 1949. Geoff only has employment income of £25,000 and Amy only has savings income of £8,000.

b. Jack was born on 1 July 1937 and is in a registered civil partnership with Fred, who was born on 1 August 1947. Jack only has employment income of £40,300 and Fred only has savings income of £11,600.

c. Karl was born on 1 July 1957 and is married to Renata, who was born on 1 April 1955. Karl only has employment income of £35,000 and Renata only has trading income of £60,000.

ANSWERS

✓ Answer 1

	£
Married couple's allowance (born before 6 April 1935)	9,415
Less: Restriction: ½ × (43,600 – 31,400)	(6,100)
	3,315
Minimum married couple's allowance	3,640
Tax reducer @ 10%	364

✓ Answer 2

a. Although a marriage allowance election could be made, it is more beneficial for Geoff to claim the married couple's allowance.

   A marriage allowance election cannot be made where a claim for the married couple's allowance is made.

b. A marriage allowance election can be made as Jack and Fred are civil partners, they cannot claim the married couple's allowance and they are either a basic rate taxpayer (Jack) or a non-taxpayer (Fred). Note that if the election is made, Fred will lose £1,260 of his personal allowance, leaving taxable savings income of £290. However, this falls in the 0% starting rate band for savings income and is therefore tax free.

c. A marriage allowance election cannot be made as Renata is a higher rate taxpayer.

CHAPTER 7

DEDUCTIBLE PAYMENTS

By the end of this chapter you will understand:
- the relief available for deductible payments
- the various types of qualifying interest

7.1 Introduction

Below is a typical income tax proforma that differentiates between employment income, interest and dividend income. From total income and before arriving at net income, we can take a deduction for any deductible payments.

	Non-savings	Interest	Dividends
Earnings	X		
Interest		X	
Dividends			X
	X	X	X
Less: **Deductible payments**	(X)		
Net income	X	X	X
Less: **Personal allowance**	(X)		
Taxable income	X	X	X

Deductible payments are expenditure incurred by a taxpayer for which they will receive tax relief. Such payments are deducted from income in the order in which the greatest reduction in the taxpayer's liability is obtained. Deductible payments are generally deducted in priority from non-savings income.

Total income less deductible payments gives us net income. From net income we deduct any available personal allowance to give us taxable income.

The effect of deductible payments within the tax computation is to reduce net income and, in turn, reduce taxable income. If that leads to a reduction in the overall tax liability, the amount saved on account of making the payment is called the 'tax relief'. If a taxpayer pays tax at a marginal rate of 40%, they will effectively have saved 40p for every £1 of the payment they pay in the year.

The most important type of deductible payment is **interest** paid on **'qualifying loans'**.

There is a cap on the total amount in respect of certain reliefs which can be deducted in arriving at taxable income. The main reliefs involved are reliefs for losses and relief for interest paid. The total amount which can be deducted is the greater of £50,000 or 25% of adjusted total income (being total income less gross pension contributions paid). This is most likely to be an issue in respect of loss reliefs.

7.2 Qualifying Interest

Interest paid on **qualifying loans** is deducted as a deductible payment in the tax computation. Such interest is paid gross. Therefore, the amount of interest actually paid in the tax year can be deducted as a deductible payment. There is no limit on the amount of the loan that qualifies for tax relief. ITA 2007, s.383

The types of loan that qualify for tax relief can be found in ss.388 and 403 ITA 2007.

Section 390 ITA 2007

Loans taken out by an employee to purchase plant and machinery for use in their employment qualify for tax relief, and interest paid on those loans can be a deductible payment. However, only interest paid in the **year of the loan** and the next **three** years will qualify for tax relief. ITA 2007, s.390

A common example of this in practice is a loan taken out to buy **IT equipment**, such as desktop or laptop computers and printers etc, as more and more employees choose to do some of their work from home. However, the relief does not apply to loans to purchase cars.

If an employee takes out a loan to purchase a computer and that computer is used wholly for business purposes, the interest on the loan qualifies as a deductible payment. If the computer is used partly for other purposes, only part of the interest will qualify for relief.

Section 392 ITA 2007

A loan taken out by an individual to purchase shares in a 'close' company is also a qualifying loan. A 'close' company is a UK company controlled by five or fewer shareholders. Relief is also available where the company is resident in an EEA state but would be a close company if it were UK resident. The individual claiming tax relief must either work for the company (and own some of the shares) or hold more than 5% of the shares. ITA 2007, s.392

Relief is also given where an individual takes out a loan to provide funds for a close company to use in its business. Once again, the lender must either work for the company (and own some of the shares) or hold more than 5% of the share capital.

Relief will not be available for the interest paid if the individual (or their spouse/civil partner) has made a claim for income tax or capital gains tax relief in respect of the shares under the Enterprise Investment Scheme or Social Investment Tax Relief scheme.

Sections 396 and 401 ITA 2007

A loan taken out by an individual to purchase shares in an employee-owned company qualifies for relief provided it is an unquoted trading company resident in the UK or an EEA state. ITA 2007, s.396

A loan to invest in a cooperative also qualifies for relief. ITA 2007, s.401

Section 398 ITA 2007

Finally, a loan taken out by an individual to buy into a partnership qualifies for tax relief. This is common in practice where an employee is invited to become a member of a partnership. The partnership will often require a capital contribution from the employee, and the employee may take out a bank loan to fund this. ITA 2007, s.398

EXAMPLES

❖ Example 1

Trevor, aged 59, has the following income for 2022/23:

	£
Salary from part-time job (PAYE £400)	9,500
National Savings (NS&I) interest	1,500
Building society interest	15,000
Dividends from unit trust	4,444

In the year, he paid interest of £2,500 on a loan taken out to buy shares (> 5% holding) in a close company.

Calculate his tax due for the year.

ANSWERS

✓ Answer 1

	Non-savings	Interest	Dividends
	£	£	£
Employment income	9,500		
National Savings (NS&I) interest		1,500	
Interest – building society		15,000	
Dividends			4,444
	9,500	16,500	4,444
Less: Deductible payment	(2,500)		
	7,000	16,500	4,444
Less: Personal allowance	(7,000)	(5,570)	
Taxable income	Nil	10,930	4,444

Tax		
5,000	@ 0%	Nil
1,000	@ 0%	Nil
4,930	@ 20%	986
2,000	@ 0%	Nil
2,444	@ 8.75%	214
Tax liability		1,200
Less: PAYE		(400)
Tax due		800

CHAPTER 8

TAX RELIEF ON DONATIONS TO CHARITY

By the end of this chapter you will understand:
– how tax relief is given for Gift Aid donations to charity
– grossing up Gift Aid payments and extending the tax bands
– the way donations can be carried back
– how donations interact with restrictions to allowances
– how gifts of quoted shares and land reduce taxable income

8.1 Introduction

Individuals receive tax relief on **donations** they make to UK registered **charities**. Relief is also available for donations to charities registered in the European Economic Area (EEA).

There are two ways in which an individual can obtain tax relief on cash donations to charity. The first is under the **Gift Aid Scheme**; the second is by direct deduction from salary under the **Payroll Giving Scheme**. In this chapter we will look at Gift Aid.

8.2 Gift Aid

Gift Aid payments are made **net of 20% basic rate tax**. Assume a taxpayer wishes a charity to receive a total of £1,000. The taxpayer will actually give the charity £800. The charity will then claim back the £200 from HMRC. ITA 2007, s.414

Ultimately the charity receives £1,000. It receives £800 from the taxpayer and £200 from HMRC. The taxpayer has received 20% tax relief at source – ie the charity receives £1,000, but it only physically costs the taxpayer £800.

The donor must confirm that they pay sufficient income tax and/or capital gains tax for the year in which the donation is made to at least cover the tax treated as deducted at source from all donations made in the year. If the taxpayer does not pay sufficient tax to cover the basic rate tax deducted on the donations, the taxpayer is required to make up the difference usually via the self-assessment return. ITA 2007, s.424

If the taxpayer is a **basic rate taxpayer, no further adjustment** needs to be made. This means that we can ignore this charitable donation in the tax computation. This is because the taxpayer is entitled to 20% tax relief on their charitable donation and they have actually received this relief at source.

However, if the taxpayer is a **higher rate or additional rate taxpayer**, an adjustment needs to be made within the tax computation. The way we give higher rate or additional rate taxpayers **further relief** on their charitable donations is by **extending the basic rate and higher rate limits**.

8.3 Extending the Limits

This is the process by which higher rate and additional rate taxpayers obtain extra relief on their charitable donations. Firstly, we will consider the position of a higher rate taxpayer who makes a Gift Aid donation of £800 (net).

The basic rate limit for 2022/23 is £37,700 and is extended by the **gross amount** of the donation to charity:

	£
Basic rate limit	37,700
Add: Gross charitable payment	
Amount paid × 100/80	
Here 800 × 100/80	1,000
New basic rate limit	38,700

This new basic rate limit is now used to calculate the tax liability.

By extending the basic rate band by £1,000, we are taking £1,000 of a taxpayer's income and **instead** of taxing that income at the higher rate of **40%**, we are now taxing that income at the basic rate of **20%**. This effectively gives the taxpayer an **extra 20%** worth of tax relief on a gross payment of £1,000.

➢ Illustration 1

Mr Generous has the following income/expenditure for 2022/23:

	£
Salary (PAYE £19,700)	80,000
Building society interest	10,000
Donation to charity under Gift Aid	12,000

Calculate the tax due.

We deal with the charitable donation in the tax computation as follows:

			Non-savings	Interest
			£	£
Employment income			80,000	
Interest				10,000
Less: Personal allowance			(12,570)	
Taxable income			67,430	10,000
New basic rate limit				
Original				37,700
Add: Gross donation (12,000 × 100/80)				15,000
New threshold				52,700
Tax				
	52,700	@ 20%		10,540
	14,730	@ 40%		5,892
	67,430			
	500	@ 0%		Nil
	9,500	@ 40%		3,800
Tax liability				20,232
Less: PAYE				(19,700)
Tax due				532

When calculating the tax liability of a taxpayer liable to tax at the additional rate, both the basic rate and **higher rate limits** will be extended by the gross amount of the Gift Aid payment.

This ensures that the same amount of income is taxed at 40% as would have been the case if the basic rate limit had not been extended. The wealthy taxpayer will therefore receive an extra 25% relief on the gross payment.

When determining whether an individual has higher rate or additional rate income for the purposes of establishing the amount of the savings allowance, total taxable income is compared to the extended basic and higher rate limits.

8.4 Carry Back of Gift Aid Donations

The taxpayer can make an election for a Gift Aid donation to be treated as having been made in the previous tax year. ITA 2007, s.426

Therefore, a Gift Aid donation made in 2022/23 could have the effect of extending the basic rate band for 2021/22.

The donation (and the corresponding election) must be made no later than 31 January in the tax year in which the gift was made. Therefore, if a 2022/23 donation is to be carried back to 2021/22, the gift and the election must be made no later than 31 January 2023.

Taxpayers making a carry back election will gross up the donation by the basic rate of tax which was in force for the tax year in which the donation is treated as having been made.

8.5 Interaction with Personal Allowances

There is an interaction between Gift Aid payments and the calculation of personal allowances and the married couple's allowance.

The personal allowance is restricted if adjusted net income exceeds the threshold of £100,000. To arrive at 'adjusted net income' for the purposes of determining the personal allowance, an adjustment needs to be made to net income if the taxpayer has made a donation to charity under the Gift Aid Scheme.

We do this by taking normal net income – ie total income minus any deductible payments – and from this we **deduct** the gross donation to charity – ie the net amount paid by the taxpayer grossed up at 100/80. The resulting figure is the 'adjusted net income' that is **used to calculate the personal allowance**.

	£
Actual net income	X
Less: Donation × 100/80	(X)
Adjusted net income	X

➢ Illustration 2

John has income from employment of £100,000 in 2022/23. He also receives bank interest of £14,500. He pays interest of £4,000 on a qualifying loan and makes a Gift Aid donation of £3,000.

Calculate John's personal allowance.

In order to calculate John's personal allowance for 2022/23, we need to establish his adjusted net income:

	£
Employment income	100,000
Interest	14,500
	114,500
Less: Deductible payment	(4,000)
Net income	110,500
Less: Gross Gift Aid donation (3,000 × 100/80)	(3,750)
Adjusted net income	106,750

We can now calculate John's available personal allowance:

	£
Personal allowance	12,570
Less: Reduction: ½ × (106,750 – 100,000)	(3,375)
	9,195

Remember, the gross gift will extend the basic rate and higher rate bands when calculating the income tax liability.

➢ Illustration 3

Basil (aged 89) is married to Vera (aged 77). Basil has income (non-savings) of £35,020 each year. He makes a payment to charity of £1,600 each year under the Gift Aid Scheme.

Calculate Basil's married couple's allowance.

	£
Actual net income	35,020
Less: Gross donation to charity (1,600 × 100/80)	(2,000)
Adjusted net income	33,020
Married couple's allowance (born before 6 April 1935)	9,415
Less: ½ × (33,020 – 31,400)	(810)
Married couple's allowance	8,605
Relief = 8,605 @ 10%	861

8.6 Gifts of Quoted Shares and Land

If a taxpayer gives shares **quoted** on a recognised stock exchange (and AIM) to a UK or EEA registered charity, the relevant value of these shares at the date of the gift (plus any costs of transfer) is treated as a **deductible payment** in the taxpayer's income tax computation. ITA 2007, s.431

We deduct the relevant value of the shares (plus incidental costs of transfer) in arriving at **net income**. As no tax relief is obtained at source, **no other adjustment** is required in the computation. We simply deduct the relevant value from total income to give us **net income**, move down to **taxable** income, and calculate tax in the normal way. The basic and higher rate **limits** will remain **unaltered**. ITA 2007, s.434

The relevant value is usually the **market value of the shares at the date of gift**.

This relief also applies to gifts of land and buildings to a registered charity. Again, the relevant value of the land and buildings (plus any costs of transfer) is a deductible payment in the donor's tax computation.

EXAMPLES

❖ Example 1

Thomas has the following income:

	£
Salary (PAYE £11,978)	53,650
UK dividends	12,000

He makes a donation to charity of £1,500 under the Gift Aid Scheme.

Calculate his tax due/repayment for 2022/23.

❖ Example 2

Saifi has the following income:

	£
Salary	140,000
UK dividends	16,667

She makes a donation to charity of £2,000 under the Gift Aid Scheme.

Calculate her tax liability for 2022/23.

❖ Example 3

Quentin (aged 89) is married to Gwen (aged 77). Quentin has the following income for 2022/23:

	£
Rental income	28,600
UK dividends	5,000

He made a donation to charity of £1,000 under the Gift Aid Scheme.

Calculate the tax reducer in respect of Quentin's married couple's allowance.

ANSWERS

✓ Answer 1

	Non-savings	Dividends
	£	£
Employment income	53,650	
Dividends		12,000
Less: Personal allowance	(12,570)	
Taxable income	41,080	12,000
Basic rate limit		
Original		37,700
Add: Gross donation (1,500 × 100/80)		1,875
New limit		39,575
Tax		
39,575 @ 20%		7,915
1,505 @ 40%		602
2,000 @ 0%		Nil
10,000 @ 33.75%		3,375
Tax liability		11,892
Less: PAYE		(11,978)
Tax repayment		(86)

✓ Answer 2

	Non-savings	Dividends
	£	£
Employment income	140,000	
Dividends		16,667
Less: Personal allowance (reduced to nil)		
Taxable income	140,000	16,667
Basic rate limit		
Original		37,700
Add: Gross donation (2,000 × 100/80)		2,500
New limit		40,200
Higher rate limit		
Original		150,000
Add: Gross donation		2,500
		152,500
Tax		
40,200 @ 20%		8,040
99,800 @ 40%		39,920
140,000		
2,000 @ 0%		Nil
10,500 @ 33.75%		3,544
152,500		
4,167 @ 39.35%		1,640
Tax liability		53,144

✓ Answer 3

	£
Actual net income (28,600 + 5,000)	33,600
Less: Gross donation to charity (1,000 × 100/80)	(1,250)
Adjusted net income	32,350
Married couple's allowance (born before 6 April 1935)	9,415
Less: ½ × (32,350 – 31,400)	(475)
	8,940
MCA tax reducer	
(8,940 @ 10%)	894

CHAPTER 9

TAX REDUCERS

By the end of this chapter you will understand:
– how tax reducers affect the income tax computation
– relief for subscribing for shares in the Enterprise Investment Scheme or Seed Enterprise Investment Scheme
– Social Investment Tax Relief
– relief for subscribing for shares in Venture Capital Trusts

9.1 Introduction

Let us start by reminding ourselves where tax reducers slot into the income tax computation. We start with the taxable income then tax this income at the usual rates. From the resulting figure of tax, we can deduct any available tax reducers. This gives us the tax liability for the year. We deduct tax credits from the tax liability to give us a figure of tax due or tax repayable for the tax year.

	Non-savings	Interest	Dividends
Taxable income	X	X	X
Tax @ relevant rates			X
Less: **Tax reducers**			**(X)**
Tax liability			X
Less: Tax @ source			(X)
Tax due/(repayable)			X

We have already seen two tax reducers.

The marriage allowance (MA) allows certain married couples/civil partners to transfer 10% of the personal allowance between spouses/civil partners. Relief is given to the recipient spouse as a tax reducer at 20%.

The married couple's allowance (MCA) of £9,415 is available where one spouse/civil partner was born before 6 April 1935. Relief is given as a tax reducer at 10%. The MCA is reduced where adjusted net income exceeds £31,400. The minimum MCA is £3,640, which at 10% gives a minimum tax reducer of £364.

We will now look at the other tax reducers.

9.2 Enterprise Investment Scheme

Under the Enterprise Investment Scheme (EIS), a taxpayer obtains **tax relief** when they **subscribe** for shares in an **EIS company** – ie a company that satisfies the conditions of the scheme. ITA 2007, s.157

In essence, the taxpayer gives a capital sum to the company and the company gives the taxpayer shares in return. It is important to note that the investor must **subscribe** for the shares. This means that the company is issuing brand new shares to the taxpayer.

In order to encourage members of the public to invest in EIS companies, HMRC give tax relief on the subscription. The relief is given by way of a tax reducer.

The **tax reducer** is in respect of the **lower** of the **amount subscribed** for the shares and **£1 million** (where there is no investment in a knowledge intensive company). Tax relief is then given at the **flat rate of 30%**. Therefore, the maximum tax reducer an individual is entitled to in respect of EIS relief in 2022/23 (where there is no investment in a knowledge intensive company) is £300,000, being £1 million at 30%.

Where an individual subscribes for shares in an EIS company which is a knowledge intensive company, the maximum amount eligible for income tax relief increases to **£2 million**, of which not more than £1 million can be used to subscribe for shares in companies which are not knowledge intensive.

If shares are subscribed for in a knowledge intensive company, the maximum tax reducer in 2022/23 will be £600,000, ie £2 million at 30%. ITA 2007, s.158

EIS income tax relief will reduce a tax liability, but it cannot turn the tax liability into a negative figure. Therefore, if the EIS income tax relief due is greater than the amount that the taxpayer owes for the year, their tax liability is zero. Any tax deducted at source – for instance, tax deducted under PAYE – would therefore be repaid.

9.3 Seed Enterprise Investment Scheme

The Seed Enterprise Investment Scheme (SEIS) allows an investor to claim tax relief in respect of **subscriptions for shares in SEIS companies**. SEIS relief is available for investments in small, early-stage (or 'seed') companies.

With SEIS, relief is calculated in respect of the **lower of the amount subscribed** and **£100,000**. Relief is given at a rate of **50%**, so the maximum tax reducer in respect of SEIS income tax relief in 2022/23 is £50,000. Again, the relief cannot exceed the individual's tax liability for the year. ITA 2007, s.257AB

9.4 Social Investment Tax Relief

Under Social Investment Tax Relief (SITR), an individual is able to claim income tax relief by way of a tax reducer when they **subscribe for shares** or acquire debentures in a **social enterprise**.

A social enterprise is a Community Interest Company, a Community Benefit Society or a charity. ITA 2007, s.257J

Income tax relief is available at a rate of **30%** of the **lower of the amount invested** and **£1 million**. Therefore, the maximum relief available is £300,000 per tax year. ITA 2007, s.257JA

As with EIS and SEIS relief, the SITR cannot exceed the individual's income tax liability for the year.

9.5 Venture Capital Trusts

Tax relief on subscriptions for shares in a Venture Capital Trust (VCT) is given in much the same way as tax relief on EIS and SEIS shares and investments in social enterprises. If a taxpayer **subscribes** for new shares in a company that satisfies the conditions of a **VCT**, tax relief is given by way of a tax reducer. ITA 2007, s.261

The tax reducer is **30%** of the **lower of the amount subscribed** for shares in the VCT and **£200,000**. The maximum tax relief obtained on a VCT subscription in 2022/23 is therefore £60,000, ie £200,000 at 30%. Again, this tax reducer can reduce a tax liability to zero but cannot itself create a repayment. ITA 2007, s.263

EXAMPLES

❖ Example 1

Mike (aged 89) has been married to Anne (aged 82) for over 50 years. His net income (before personal allowance) for 2022/23 is £34,000.

Mike subscribed £4,000 for EIS shares in 2022/23.

Calculate his total tax reducers.

ANSWERS

✓ Answer 1

	£
Married couple's allowance (born before 6 April 1935)	9,415
Less: ½ × (34,000 – 31,400)	(1,300)
	8,115
MCA tax reducer (8,115 @ 10%)	812
EIS relief 4,000 @ 30%	1,200
Total tax reducers	2,012

CHAPTER 10

SCOTTISH AND WELSH TAXPAYERS

By the end of this chapter you will understand:

- the rates of tax applicable to the non-savings income of Scottish taxpayers
- the rates of tax applicable to the non-savings income of Welsh taxpayers
- the taxation of interest and dividend income of Scottish taxpayers
- the definition of a Scottish taxpayer
- the definition of a Welsh taxpayer

10.1 Introduction

Scottish taxpayers pay **Scottish income tax** in respect of their **non-savings** income. ITA 2007, s.11A

The Scottish Parliament has the power to vary the basic, higher and additional rate of income tax payable by Scottish taxpayers on non-savings income. It can also create new tax bands to apply to non-savings income.

However, the Scottish Parliament cannot amend the level of the personal allowance for Scottish taxpayers and cannot create or remove income tax reliefs.

Welsh taxpayers pay **Welsh rates of income tax** in respect of their non-savings income. ITA 2007, s.11B

The Wales Act 2014 gives the Welsh Government the power to set Welsh rates of income tax. The UK government has reduced the main rates of tax by 10% for Welsh taxpayers (to 10%, 30% and 35%), who then also pay the additional Welsh income tax. Unlike the Scottish Parliament, the Welsh Government does not have the power to alter or create new tax bands for Welsh taxpayers. It cannot amend the level of the personal allowance for Welsh taxpayers and cannot create or remove income tax reliefs.

10.2 Welsh Taxpayers

The Welsh rate of income tax is **10%** for 2022/23 which means that, when this is added to the reduced rates of tax, Welsh taxpayers pay the **same rates** of income tax as other non-Scottish taxpayers.

A Welsh taxpayer will pay basic rate tax of 20%, higher rate tax of 40% and additional rate tax of 45% in respect of their non-savings income. The computation for a Welsh taxpayer will be exactly the same as for any other non-Scottish taxpayer and therefore does not need to be considered further in this chapter.

10.3 Rates of Tax for Non-Savings Income for Scottish Taxpayers

In 2022/23, **five rates** of Scottish tax apply to the taxable non-savings income of Scottish taxpayers.

There is the **starter rate of 19%**, the **basic rate of 20%**, the **intermediate rate of 21%**, the **higher rate of 41%** and the **top rate of 46%**.

The first **£2,162** of non-savings income is charged at the **starter rate**, which is **19%.** Where non-savings income exceeds £2,162, the next **£10,956** of income falls within the **basic rate band** and is charged at **20%.** If income exceeds the basic rate limit of £13,118, the next **£17,974** of income is taxed at the **intermediate rate** of **21%.** For individuals with non-savings income in excess of the intermediate rate limit of £31,092, the **higher rate** of **41%** applies to income between £31,092 and £150,000, being the next **£118,908** of income. Non-savings income in excess of £150,000 is taxed at the **top rate** of **46%.**

	TOP RATE 46%	←	Excess
£150,000			
	HIGHER RATE 41%	←	Next £118,908
£31,092			
	INTERMEDIATE RATE 21%	←	Next £17,974
£13,118			
	BASIC RATE 20%	←	Next £10,956
£2,162			
	STARTER RATE 19%	←	First £2,162
£0			

It is important to remember that the calculation of taxable income is the same for both Scottish and non-Scottish taxpayers. The personal allowance is set by the UK government for all UK taxpayers. The Scottish Parliament does not have the power to amend the level of the personal allowance for Scottish taxpayers.

So, in 2022/23, a Scottish taxpayer is entitled to the personal allowance of £12,570. If a Scottish taxpayer has adjusted net income in excess of £100,000, the personal allowance will be reduced by one half of the excess income above £100,000, in the same way as for a non-Scottish taxpayer.

➢ Illustration 1

Liam is a Scottish taxpayer. In 2022/23, his only source of income is his salary of £45,000.

Calculate Liam's income tax liability.

			£
Income from earnings			45,000
Less: Personal allowance			(12,570)
Taxable income			32,430
Tax			
	2,162	@ 19%	411
	10,956	@ 20%	2,191
	17,974	@ 21%	3,775
	1,338	@ 41%	549
	32,430		
Tax liability			6,926

The personal allowance of £12,570 is deducted as normal to arrive at taxable income of £32,430. We can see that Liam pays tax at four different rates on his taxable non-savings income in 2022/23. The first £2,162 is taxed at the starter rate of 19%. The next £10,956 falls within the basic rate band and is taxed at 20%. The next £17,974 is in the intermediate rate band and is taxed at 21%. Liam's non-savings income exceeds the intermediate rate limit of £31,092, so the remaining income of £1,338 falls within the higher rate band. This is taxed at 41%, giving a total tax liability of £6,926.

10.4 Taxation of Savings Income for Scottish Taxpayers

Although the tax liability on a Scottish taxpayer's non-savings income is calculated by reference to the Scottish tax bands and rates, these do not apply when calculating the tax liability on the savings income of a Scottish taxpayer.

Scottish taxpayers suffer tax on their savings income in **exactly the same way** as all other UK taxpayers. The savings rates of tax apply and Scottish taxpayers are entitled to the starting rate band and savings allowance as normal. Therefore, the rates of tax applying to the savings income of Scottish taxpayers are the savings rates of 0%, 20%, 40% and 45%.

When calculating the rate of tax applicable to a Scottish taxpayer's savings income, we need to consider **the tax bands applicable for non-Scottish taxpayers**, in order to calculate the amount of the savings allowance available and the rates of tax which will apply.

So, when determining if a Scottish taxpayer has higher rate or additional rate income for the purposes of establishing the amount of the savings allowance, their total taxable income is compared to the basic and higher rate bands for non-Scottish taxpayers.

Similarly, savings income will only be subject to the higher rate or additional rate if taxable income exceeds the non-Scottish basic or higher rate bands, even if the Scottish intermediate, higher or top rate tax is paid on taxable non-savings income.

➢ Illustration 2

Let's go back to Liam from our earlier illustration, but this time assume that he also received bank interest of £1,200 in 2022/23:

	£
Salary	45,000
Bank interest	1,200

Calculate his tax liability.

	Non-savings	Interest
	£	£
Income from earnings	45,000	
Interest		1,200
Net income	45,000	1,200
Less: Personal allowance	(12,570)	
Taxable income	32,430	1,200

Tax		
2,162	@ 19%	411
10,956	@ 20%	2,191
17,974	@ 21%	3,775
1,338	@ 41%	549
32,430		
1,000	@ 0%	Nil
200	@ 20%	40
Tax liability		6,966

Liam's tax liability on his non-savings income is calculated in exactly the same way as before, applying the Scottish tax bands and rates. As we can see, Liam pays tax in excess of the basic rate for Scottish tax purposes.

However, when calculating his available savings allowance and the rate of tax due on his savings income, we compare his taxable income to the bands applicable to non-Scottish taxpayers. Liam's total taxable income is £33,630, which is less than the non-Scottish basic rate limit of £37,700 such that Liam is not a higher rate taxpayer for the purposes of taxing savings income. Therefore, he is entitled to a savings allowance of £1,000 and his savings income in excess of the savings allowance is taxed at the basic rate of 20%.

10.5 Taxation of Dividend Income for Scottish Taxpayers

Scottish taxpayers suffer tax on their dividend income in **exactly the same way** as all other UK taxpayers.

A Scottish taxpayer is entitled to the dividend allowance of £2,000 in 2022/23, and their dividend income in excess of the dividend allowance suffers tax at the dividend rates of 8.75%, 33.75% and 39.35%, depending on the level of their income.

As we saw with savings income, when calculating the rate of tax applicable to a Scottish taxpayer's dividend income, we compare their taxable income to **the tax bands applicable for non-Scottish taxpayers**.

10.6 Reliefs for Scottish Taxpayers

The Marriage Allowance

Where the necessary conditions are met, the marriage allowance (MA) allows taxpayers to transfer 10% of their personal allowance (rounded up to the nearest multiple of 10) to their spouse/civil partner, who receives a tax reduction equal to 20% of the transferred amount.

The MA is not available to non-Scottish taxpayers where either partner pays tax at a rate other than the basic rate (or the savings rate of 0% and the dividend rates of 0% and 8.75%) or would pay tax at the dividend upper or additional rate if the dividend allowance was ignored. ITA 2007, s.55B(2)

However, for Scottish taxpayers, an election for the MA can still be made where one of the partners pays tax at the intermediate rate of 21% (as well as the starter rate of 19% and the basic rate of 20%).

Gift Aid

Individuals receive tax relief in respect of Gift Aid donations.

Gift Aid donations are made net of basic rate tax of 20%, regardless of whether the person making the payment is a non-Scottish or Scottish taxpayer. If the taxpayer is Scottish, then for the purposes of calculating Scottish tax on non-savings income, the Scottish basic, intermediate and higher rate tax limits will also be extended by the gross amount of the donation. The starter rate band is not extended.

➢ Illustration 3

Rupak is a Scottish taxpayer, whose only source of income is his salary of £70,000. He made a Gift Aid donation of £1,600 in 2022/23.

Calculate Rupak's income tax liability.

	Non-savings
	£
Employment income	70,000
Less: Personal allowance	(12,570)
Taxable income	57,430
New basic rate limit	
Original	13,118
Add: Gross donation (1,600 × 100/80)	2,000
New threshold	15,118
New intermediate rate limit	
Original	31,092
Add: Gross donation	2,000
New threshold	33,092
Tax	
2,162 @ 19%	411
12,956 @ 20%	2,591
15,118	
17,974 @ 21%	3,775
33,092	
24,338 @ 41%	9,979
Tax liability	16,756

Tutorial Note:

In your Paper 1 exam, unless the question specifically states that a taxpayer is a Scottish taxpayer, you should assume all individuals are not Scottish taxpayers.

10.7 Definition of a Scottish Taxpayer

In order to be a Scottish taxpayer, an individual **must be resident in the UK** for tax purposes – an individual who is not UK tax resident cannot be a Scottish taxpayer.

A UK resident individual will be a Scottish taxpayer for a tax year if:

- they have a **'close connection'** to Scotland; or
- where no close connection to Scotland (or any other part of the UK) exists, they spend **more days in Scotland than elsewhere in the UK**.

In the majority of cases, Scottish taxpayer status will be determined by considering where the individual has a 'close connection'.

An individual has a close connection to Scotland if:

- they have only a single **'place of residence'**, which is in Scotland; or

- they have more than one place of residence in the UK but their **'main place of residence'** is in Scotland for **at least as much of the tax year** as it has been in any other part of the UK.

For the purposes of determining Scottish taxpayer status, HMRC consider an individual's **'place of residence'** to be the place that a reasonable onlooker, with knowledge of the material facts, would consider to be the place in which that person habitually lives, ie their home.

Illustration 4

Paul and Simon, who were both born in Scotland, are UK residents. They both work in a factory in Dumfries, Scotland. Paul lives with his parents in their house in Newbridge, Scotland. Simon lives in a flat in Carlisle, England which he owns.

Explain whether or not Paul and Simon are Scottish taxpayers.

Even though Paul does not own the property, his single place of residence is the house in Newbridge, Scotland. He therefore has a close connection to Scotland and is a Scottish taxpayer.

Simon's single place of residence is his flat in Carlisle, England. As a result, Simon has a close connection to England and is not a Scottish taxpayer. The fact that Simon was born in Scotland and works in Scotland is irrelevant.

Illustration 5

Jenny has owned and lived in a flat in Glasgow for the past ten years. On 30 June 2022 she sold the flat and she moved into a new house in Birmingham on 1 July 2022.

Explain whether Jenny is a Scottish taxpayer for 2022/23.

Jenny has two places of residence in 2022/23 – the flat in Glasgow and the house in Birmingham. However, the place of residence was in Glasgow for only three months (6 April to 30 June 2022), which is less than the time that the place of residence was in Birmingham, being nine months (1 July 2022 to 5 April 2023).

Therefore, Jenny is not a Scottish taxpayer for 2022/23.

Where a taxpayer has two places of residence in the UK at the same time and one is in Scotland, it will be necessary to establish which is the main place of residence. A main place of residence is not necessarily the residence where the individual spends the majority of their time but is the place of residence with which the individual has the greatest degree of connection.

Various factors can be considered in order to decide this, including the following:

- If the individual is married, in a civil partnership or long-term relationship, where does the family spend its time?
- If the individual has children, where do they go to school?
- What is the location of the individual's social/non-work activity?
- How is each residence furnished?
- Where are the majority of the individual's possessions?

- Where is the individual registered for a doctor or to vote?

➢ Illustration 6

Stuart has a family home in Edinburgh with his partner and their two children. Stuart is required to work in London a significant amount of time, so he rents a furnished flat there which he lives in Monday to Thursday for three weeks every month. Stuart works long hours when he is in London, so his main social life is in Edinburgh.

Explain whether Stuart is a Scottish taxpayer.

The home in Edinburgh and the flat in London are both 'places of residence', so it is necessary to determine which is Stuart's 'main place of residence'. Although Stuart spends a significant amount of time in the London flat, his family spends its time in the home in Edinburgh, which contains his possessions (as the London flat is a furnished property). His friends and social activities are also in Edinburgh; therefore, the house in Edinburgh is his main place of residence.

Stuart is therefore a Scottish taxpayer.

If a UK resident does not have a close connection to Scotland or any other part of the UK because they do not have a place of residence or main place of residence, it will be necessary to **compare the amount of days spent in Scotland to the amount of days spent in other parts of the UK** to determine whether an individual is a Scottish taxpayer or not.

10.8 Definition of a Welsh Taxpayer

In order to be a Welsh taxpayer, an individual must be resident in the UK for tax purposes.

A UK resident individual will be a Welsh taxpayer for a tax year if:

- they have a **'close connection'** to Wales; or
- where no close connection to Wales (or any other part of the UK) exists, they spend **more days in Wales than elsewhere in the UK**.

The definitions of close connection and place of residence follow the same rules, but applied to Wales, as those discussed above for Scotland.

EXAMPLES

❖ Example 1

Mr Green, a Scottish taxpayer, has the following income in 2022/23:

	£
Salary (PAYE £8,500)	45,000
UK rental income	3,500
Premium Bond winnings	2,000

Calculate his income tax due/repayable.

❖ Example 2

Mr Glen, a Scottish taxpayer, has the following income in 2022/23:

	£
Salary (PAYE £8,200)	48,600
UK dividends	7,000

Calculate his income tax due/repayable.

❖ Example 3

Ms Dell, a Scottish taxpayer, has the following income in 2022/23:

	£
Salary (PAYE £9,730)	53,000
Bank interest	800

She made a Gift Aid donation of £500 (net) in 2022/23.

Calculate her income tax due/repayable.

ANSWERS

✓ Answer 1

			Non-savings
			£
Income from earnings			45,000
Property income			3,500
Premium Bond winnings			Exempt
Net income			48,500
Less: Personal allowance			(12,570)
Taxable income			35,930
Tax			
	2,162	@ 19%	411
	10,956	@ 20%	2,191
	17,974	@ 21%	3,775
	4,838	@ 41%	1,984
Tax liability			8,361
Less: PAYE deducted			(8,500)
Tax repayable to Mr Green			(139)

✓ Answer 2

			Non-savings	Dividends
			£	£
Income from earnings			48,600	
Dividends				7,000
Net income			48,600	7,000
Less: Personal allowance			(12,570)	
Taxable income			36,030	7,000
Tax				
	2,162	@ 19%		411
	10,956	@ 20%		2,191
	17,974	@ 21%		3,775
	4,938	@ 41%		2,025
	2,000	@ 0%		Nil
	5,000	@ 33.75%		1,688
Tax liability				10,090
Less: PAYE deducted				(8,200)
Tax due				1,890

✓ Answer 3

	Non-savings	Interest
	£	£
Income from earnings	53,000	
Interest		800
Net income	53,000	800
Less: Personal allowance	(12,570)	
Taxable income	40,430	800

Tax			
	2,162	@ 19%	411
	11,581	@ 20%	2,316
	13,743	(W)	
	17,974	@ 21%	3,775
	31,717	(W)	
	8,713	@ 41%	3,572
	500	@ 0%	Nil
	300	@ 40%	120
Tax liability			10,194
Less: PAYE deducted			(9,730)
Tax due			464

Workings

Scottish tax limits

	£
Original basic rate limit	13,118
Add: Gross donation (500 × 100/80)	625
	13,743
Original intermediate rate limit	31,092
Add: Gross donation	625
	31,717

UK basic rate limit

	£
Original basic rate limit	37,700
Add: Gross donation	625
	38,325

Total income exceeds the basic rate limit; therefore, Ms Dell is entitled to a savings allowance of £500 and her interest income is taxed at 40%.

CHAPTER 11

AN INTRODUCTION TO SELF-ASSESSMENT

By the end of this chapter you will understand:
- the self-assessment regime
- the filing of tax returns
- notifying chargeability
- deadlines and penalties
- amendments and enquiries
- record keeping
- appeals

The legislation is very useful for this chapter. It is worth taking the time to highlight the detail included in this chapter in the legislation using the various references provided.

11.1 Introduction

The administration of taxes in the UK is in the hands of the **Commissioners for Her Majesty's Revenue and Customs (HMRC)**.

Self-assessment is the regime by which HMRC assess and collect direct tax in the UK.

11.2 Tax Returns

Taxpayers who are **self-employed** must submit tax returns, as may individuals whose taxable savings income exceeds their savings allowance or taxable dividend income exceeds the dividend allowance. Taxpayers who have other **untaxed** income (for example, property income) also have to file tax returns.

Finally, a taxpayer who has a taxable **capital gain** in the year may need to submit a tax return.

Many people in the UK who pay income tax do **not** have to fill in an income tax return. These will primarily be **employees** whose tax is deducted at source under the Pay As You Earn (PAYE) system. Such taxpayers who do not owe any tax on their interest or their dividend income do not normally need to fill in a tax return.

11.3 Notification

If an individual becomes **chargeable** to income tax or capital gains tax for the **first time**, they have a duty to **notify** HMRC within **six months of the end of the tax year in which they became chargeable**. TMA 1970, s.7(1)

For example, an individual who starts to receive rental income in the tax year 2022/23 has until 5 October 2023 to notify HMRC.

If the taxpayer misses this deadline, HMRC will charge a **penalty**. FA 2008, Sch 41

The penalty will be based on the behaviour of the person concerned and is a **percentage of the 'potential lost revenue'**. The potential lost revenue to which any penalty will apply **is the amount of the income tax (including Class 4 National Insurance contributions (NICs)) and/or capital gains tax unpaid at 31 January following the tax year** as a result of the failure to notify. FA 2008, Sch 41, para 7(2)

For a **deliberate and concealed failure**, the penalty will be a **maximum 100%** of the potential lost revenue; for a **deliberate but not concealed failure**, the **maximum penalty will be 70%** of the potential lost revenue; and for any other case – eg due to lack of care – the **maximum penalty will be 30%** of the potential lost revenue. FA 2008, Sch 41, para 6

A failure is deliberate and concealed where the failure is deliberate and the taxpayer **makes arrangements to conceal the situation** giving rise to the obligation. This would include creating false evidence of a non-taxable source of income to explain undisclosed income, or destroying books and records. FA 2008, Sch 41, para 5

A failure is deliberate but not concealed where the failure is deliberate but no arrangements are made to conceal the situation giving rise to the obligation. An example of this would be where a person is aware of the obligation to notify a source of income but decides not to do so, without taking steps to conceal the income.

Reductions in the amount of the penalty are available for both **'unprompted' and 'prompted' disclosures**.

The table below details the maximum and minimum penalties that could apply. Note that where the taxpayer is simply careless in not making the necessary notification, the reduction in the penalty also depends on how long has elapsed since any tax (or NICs) first became unpaid as a result of the failure. FA 2008, Sch 41, para 13

Behaviour	**Maximum penalty**	**Min penalty with unprompted disclosure**		**Min penalty with prompted disclosure**	
Deliberate and concealed	100%	30%		50%	
Deliberate but not concealed	70%	20%		35%	
		<12m	≥12m	<12m	≥12m
Any other case	30%	Nil	10%	10%	20%

Disclosure is unprompted if the taxpayer has no reason to believe HMRC have discovered or are about to discover the failure.

Disclosure takes place where a taxpayer **tells HMRC** about the failure, gives HMRC **reasonable help** in calculating the resulting unpaid tax and **allows HMRC access to records** to check the amount of unpaid tax. FA 2008, Sch 41, para 12

The actual reduction in the penalty depends on the quality of the elements of disclosure, including **timing, nature and extent**.

➢ Illustration 1

Oscar started renting out a property on 1 July 2022. He was very busy and therefore did not have time to consider his self-assessment responsibilities. As a result, he did not notify HMRC of his rental income by 5 October 2023. HMRC contacted Oscar in July 2024 and Oscar appointed a tax adviser. HMRC were notified of the rental property. The tax return for 2022/23 was filed in August 2024 showing tax due of £15,000.

Explain the penalties due for late notification.

It would appear that the failure to notify HMRC of the property income by 5 October 2023 was due to carelessness, as Oscar did not deliberately decide not to notify HMRC.

The maximum penalty is therefore 30% of the potential lost revenue of £15,000, which is the liability which should have been paid by 31 January 2024. However, Oscar made a prompted disclosure within 12 months of the tax becoming unpaid, so the penalty may be reduced to a minimum of 10% of the potential lost revenue.

Penalties will not be charged if the taxpayer has a reasonable excuse for the failure and the failure is not deliberate. FA 2008, Sch 41, para 20

The 'notification of chargeability' provisions only apply to taxpayers who have **not** already received a **tax return** from HMRC. If a taxpayer receives a tax return, any income received or gains made in the tax year can simply be disclosed on the tax return in the normal way.

Terminology

The terms deliberate, deliberate and concealed, prompted and unprompted disclosure are used for penalties for late notification, incorrect returns and late returns. These terms keep the same meaning as outlined above.

11.4 Issue of a Tax Return

Tax returns are typically issued by HMRC to taxpayers on **6 April immediately following the tax year**. Therefore, tax returns for the year ended 5 April 2023 – ie returns for the 2022/23 tax year – will usually be issued the day after the end of the year, ie on 6 April 2023. If the taxpayer filed an online return for the previous year they will be sent a notice to fill in a tax return.

Every tax return requires the taxpayer to provide certain details. All taxpayers must give details of all income received from all sources in the tax year.

Certain allowances to be claimed by the taxpayer also need to be claimed within the tax return. For instance, a taxpayer who makes contributions to a personal pension eligible for higher rate tax relief needs to claim that relief on the return. Similarly, higher rate taxpayers should claim relief for Gift Aid payments made. The election for the marriage allowance is also made on the return.

As well as sending the taxpayer a basic tax return, HMRC add on supplementary pages to the end of the basic form depending on the particular source of income. For example, employees will receive employment pages, those with rental properties receive property income pages, and so on.

Individuals with many different sources of income therefore have to complete a number of separate supplementary pages as well as the basic tax return.

Any other claims for relief also have to be made using the 'Additional Information' pages of the tax return – for example, relief for any deductible payments, any tax reducers or the married couple's allowance. TMA 1970, s.42

Once the taxpayer has completed the tax return, they will sign a declaration to say that to the **'best of my knowledge and belief'** the tax return is **'correct and complete'**.

If the tax return turns out not to be correct and complete – ie there are errors or omissions – HMRC have powers to charge penalties for incorrect returns. FA 2007, Sch 24

11.5 Filing Deadlines

There are two separate dates for filing a return, depending on whether the taxpayer is filing a paper return or an electronic/online return.

Where the taxpayer completes a **paper return**, the return should normally be filed no later than **31 October following the end of the tax year**. TMA 1970, s.8(1D)(a)

Therefore, for the tax year 2022/23, the paper return must normally be filed by 31 October 2023. However, the paper return can be filed within **three months** of the date of issue of the return if this is later than the following 31 October. TMA 1970, s.8(1F)(a)

Where a taxpayer completes an **online return**, the return should normally be filed no later than **31 January following the tax year**. TMA 1970, s.8(1D)(b)

Therefore, for the tax year 2022/23, the online return must normally be filed by 31 January 2024. However, the online return can be filed within **three months** of the date of **issue** of the return or notice if this is **later** than the following 31 January. TMA 1970, s.8(1G)

➢ Illustration 2

Assume that a 2022/23 tax return is issued by HMRC to a taxpayer on 25 November 2023.

State the deadline for filing the return.

As the return has been issued after 31 October, the deadline for filing the return (whether a paper return or online) is three months from issue of the return, being 25 February 2024.

If the return is filed by 25 February 2024, HMRC cannot charge any late return penalties.

Where a taxpayer has tax deducted at source via the PAYE system, underpayments of tax of **less than £3,000** can be collected via PAYE rather than a one-off payment. In order for this treatment to apply, if the taxpayer is filing an online return, the tax return must be filed by the earlier deadline of **30 December** following the end of the tax year. SI 2003/2682, Reg 186

11.6 Calculation of Tax

If a taxpayer files a return online, they do not have to worry about calculating their own tax liability. HMRC software will automatically calculate the tax liability.

If the taxpayer is filing a paper return, they can 'self-assess' their tax liability using the 'Tax Calculation Summary'. However, where a return is submitted by 31 October (or two months from the issue of the tax return if later) HMRC will calculate the tax for the taxpayer if they wish. TMA 1970, s.9(2)

This means that the taxpayer will tell HMRC what their income and allowances are and HMRC will calculate the tax on their behalf. The taxpayer can of course still calculate their own liability if they wish to. If the taxpayer does not want to calculate their own tax for the year, HMRC will simply work out the tax they owe from the income and allowances included within the tax return. HMRC will then send a statement to the taxpayer, telling them how much tax they owe or how much is repayable.

11.7 Short Tax Returns

Taxpayers who have relatively simple tax affairs may receive a four-page short tax return instead of the longer return. Examples of the type of taxpayer who may be issued with a short return include employees (who are not directors) with taxable benefits, self-employed traders with turnover of less than £85,000 (2022/23), people in receipt of UK property income below £85,000, and pensioners who have pensions and straightforward investment income.

Examples of people who cannot use the short tax return form include those in partnership, people who received income from a trust and those who received income from abroad in excess of foreign dividends of £300.

The form is short and simple and has no facility to self-assess. A simple guide is included for taxpayers who want to make a rough calculation of the tax due.

11.8 Penalties for Late Returns

Schedule 55 FA 2009 contains penalty provisions in respect of failure to make a return.

An **initial penalty of £100** will apply if a return is late, even where there are no amounts outstanding. Additional **daily penalties of £10 per day may** be levied in respect of returns which are more than three months late. The daily penalty can be imposed for a maximum of 90 days. FA 2009, Sch 55, paras 3 and 4

If a return is **more than six months late**, there will be an additional penalty of **5% of any liability to tax** which would have been shown in the return or **£300 if greater**. The liability to tax is the tax due for the year, after tax deducted at source. It is not reduced by any amount paid towards that liability. FA 2009, Sch 55, para 5

An additional penalty of **5% of any liability to tax** (or £300 if greater) will also be levied if the return **is more than 12 months late**. If the return has not been submitted within 12 months and by failing to make the return the taxpayer is deliberately withholding, but not concealing, information which would enable HMRC to assess the tax liability, the maximum amount of the penalty increases to **70%** (or £300 if greater). If the withholding of information is deliberate and concealed, the maximum amount of the penalty is **100% of the tax liability** (or £300 if greater). FA 2009, Sch 55, para 6

➤ Illustration 3

Mardy filed his 2022/23 income tax return online on 1 August 2024. He had received a notice to file the return on 6 April 2023. The return showed a liability to tax of £12,000.

Calculate any late filing penalties due for Mardy.

As the return was not filed by 31 January 2024, a fixed £100 penalty will be levied.

HMRC could decide to impose daily penalties of £10 per day for a maximum of 90 days as the return was outstanding for more than three months.

Finally, as the return was outstanding for more than six months, a penalty of £12,000 × 5% = £600 will be charged.

Penalties that apply where a person has deliberately withheld information can be reduced for both prompted and unprompted disclosure of the information. FA 2009, Sch 55, para 14

The table below details the maximum and minimum penalties that could apply:

Behaviour	Maximum penalty	Min penalty with unprompted disclosure	Min penalty with prompted disclosure
Deliberate but not concealed	70%	20%	35%
Deliberate and concealed	100%	30%	50%

The minimum penalty is £300 if greater.

HMRC have the power to reduce the penalty if there are special circumstances.

The maximum aggregate penalty (calculated as a percentage of the liability to tax) that can be charged in respect of the late filing of a return is **100% of the liability to tax**. FA 2009, Sch 55, para 17(3)

Penalties will not be charged if the taxpayer has a reasonable excuse for the failure. FA 2008, Sch 41, para 20

The HMRC Factsheet CC/FS18a is useful if you are dealing with penalties for returns filed late.

11.9 Amendments

HMRC have the right to amend the taxpayer's return within **nine months** of the date of receipt. HMRC will usually do this to eliminate or to reverse any obvious errors or mistakes within the return. These are usually arithmetical errors, although HMRC can reverse any technical mistakes made by the taxpayer in completing the return. HMRC will notify the taxpayer of any amendments made. TMA 1970, s.9ZB(3)

The taxpayer also has the right to amend the return already submitted, so long as this is within 12 months of the due date for filing. For example, if a taxpayer realises they have made an error in the return after having filed it, they can write to HMRC to reverse the error or mistake. The due date for filing, for amendment purposes, is 31 January following the tax year (or three months after the return was issued if later). TMA 1970, s.9ZA(2), (3)

11.10 Enquiries

HMRC have the right to make a formal 'enquiry' into every tax return submitted to them. This enables them to look closely at the individual entries within the return and often taxpayers will be asked to support each entry with the relevant documentary evidence. TMA 1970, s.9A

To commence an enquiry, an HMRC officer must **issue a formal 'enquiry notice'** to the taxpayer under s.9A TMA 1970 within the 'time allowed'. The normal time limit for commencing an enquiry is **12 months after the day on which the return is delivered**. TMA 1970, s.9A(1), (2)(a)

This means that for a 2022/23 tax return, if HMRC wishes to commence an enquiry into that return, and it was delivered on, say, 15 December 2023, the taxpayer must receive the notice no later than 15 December 2024.

If the return is submitted late – ie the taxpayer misses the 31 January filing deadline – the deadline for HMRC to raise a formal enquiry into the return is extended. The final date for raising an enquiry is extended to the end of the **calendar quarter following the anniversary of the actual filing date** of the return. Here calendar quarters end on 30 April, 31 July, 31 October and 31 January. TMA 1970, s.9A(2)(b)

During the enquiry the parties may jointly refer questions to the Tribunal for their consideration and determination. TMA 1970, s.28ZA

Once the enquiry has been fully completed, HMRC will issue a **'closure notice'**. This will include a statement of HMRC's conclusions and any amendments to the return deemed necessary as a result of the enquiry. TMA 1970, s.28A

The taxpayer has 30 days to appeal against any amendments included with a full or partial closure notice. TMA 1970, s.31(1)(b)

HMRC may **only enquire into a tax return once**.

An enquiry may be opened into an amendment to the tax return (this is effectively treated as a separate return for enquiry purposes). However, the enquiry will be restricted to matters covered in the amendment and cannot extend to the original return. TMA 1970, s.9A(5)

11.11 Record Keeping

It is easier to keep returns up to date and to avoid interest and penalties etc if we retain full and proper records. TMA 1970, s.12B

Taxpayers are required to retain records of income and capital gains for at least **22 months after the end of the tax year** to which they relate, ie the first anniversary of 31 January following the end of the tax year.

Taxpayers who are **self-employed** or who have income from property must retain records for at least **five years and ten months** after the end of the tax year to which they relate, ie the fifth anniversary of 31 January following the end of the tax year.

In the following situations, records must be kept for longer than the minimum periods stipulated above:

1. If there is an enquiry into the return which has not been completed by the date for which records must normally be retained, records must be kept **until the enquiry is completed**.

2. If the return is submitted late, the period within which HMRC can commence an enquiry is extended; in this instance, records must be kept until the final date for commencing an enquiry has passed.

Penalties may be charged for failure to retain proper records. The **maximum penalty is £3,000** for each failure to maintain records sufficient to support entries on the return.

11.12 Appeals

If a taxpayer disagrees with a decision made by HMRC in relation to a direct tax such as income tax, they can challenge the decision by appealing. A taxpayer may bring about an appeal for a number of reasons: TMA 1970, s.31

- The legislation is unclear or open to different interpretation.

- The taxpayer takes a different view to HMRC on the interpretation of the legislation, or the taxpayer does not accept HMRC's published view in a press release or Statement of Practice, etc.

- The taxpayer believes HMRC have made a mistake which has not been rectified (for example, an incorrect amendment to a return or any incorrect conclusion to a closure notice after an enquiry).

A taxpayer will have a right to appeal an amendment or HMRC assessment if they have reason to believe the calculation of tax liability is incorrect.

Notices of appeal must be given in writing within 30 days of the amendment or assessment etc as appropriate. The notice should give the grounds for the appeal. TMA 1970, s.31A

Appeals are made in the first instance to HMRC. Most appeals are determined by agreement between HMRC and the taxpayer without the need to involve the Tribunal.

For example, HMRC may make an amendment to a self-assessment, which is incorrect. The taxpayer will appeal HMRC's revised self-assessment stating the reasons for the appeal. The officer will consider the appeal by reviewing the amendment and determine the appeal by agreement. TMA 1970, s.54

If an appeal cannot be settled by agreement, HMRC may offer a review. TMA 1970, ss.49A–49E

If a review is not offered, the taxpayer can either ask HMRC to review their decision or ask the Tribunal to consider the appeal.

A review involves HMRC appointing an officer not previously involved with the case to carry out a review of the decision.

When the review is completed, the review officer will state their decision on the matter. If the taxpayer does not agree with the decision they can ask for the appeal to be heard by the Tribunal, within 30 days of the date of the review conclusion letter.

The Tribunal is an independent legal body which consists of independently appointed expert tax judges and/or panel members.

There are two tiers of the Tribunal, the First-tier Tribunal and the Upper Tribunal. At the First-tier, tax appeals are heard within the Tax Chamber. The Upper Tribunal is a Superior Court of Record with all the powers and authority of the High Court. There are four Chambers in the Upper Tribunal, one of which is the Tax and Chancery Chamber, where tax appeals are heard. TCEA 2007, s.3

Almost all tax appeals will start in the First-tier Tribunal.

Once the appeal has been received, the First-tier Tribunal will decide which of four categories it falls into – default paper, basic, standard or complex. SI 2009/273, para 23

If the case is determined as **default paper**, the Tribunal will notify HMRC of the appeal. HMRC have 42 days to provide a statement of case, which is also sent to the taxpayer. The taxpayer then has 30 days to respond if they wish. In most cases no hearing is required, although the taxpayer can request one. The Tribunal will issue its decision in writing. Matters such as fixed filing penalties will be dealt with by default paper cases. SI 2009/273, paras 25 and 26

Basic appeals are dealt with at an informal hearing, where both the taxpayer and HMRC present their case. The decision is usually issued at the end of the hearing.

Standard and complex cases are dealt with at more formal hearings.

Appeals against a decision of the First-tier Tribunal are made to the Upper Tribunal. Appeals can only be made on a point of law.

Decisions made by the Upper Tribunal are binding on both the taxpayer and HMRC unless either party appeals the decision to the Court of Appeal and finally (in exceptional cases) to the Supreme Court. A decision by the Supreme Court is final and conclusive and will establish a case law precedent that will stand (unless superseded by statutory changes) for reference in future cases. Once again, appeals can only be made on a point of law.

11.13 Penalties for Incorrect Returns

Penalties will apply where a tax return or claim for a relief contains an inaccuracy which leads to an understatement of tax, or a false or inflated statement of a loss, or a false or inflated claim to a tax repayment. FA 2007, Sch 24, para 1(2)

Penalties will be charged if the error occurred due to a careless action, ie failure by the taxpayer to **take reasonable care**. This would apply, for example, if insufficient records were maintained or if a taxpayer estimated figures rather than obtaining accurate information.

If a return contains more than one error, **a penalty is charged for each error**.

The penalty charged will be a percentage of the potential lost revenue.

The potential lost revenue is generally **the extra tax due** as a result of the discovery of the error. FA 2007, Sch 24, para 5(1)

The table below details the maximum and minimum penalties that could apply: FA 2007, Sch 24, paras 4 and 10

Behaviour	Maximum penalty	Min penalty with unprompted disclosure	Min penalty with prompted disclosure
Deliberate and concealed	100%	30%	50%
Deliberate but not concealed	70%	20%	35%
Careless	30%	0%	15%

Reductions are available for both 'unprompted' and 'prompted' disclosures.

➢ Illustration 4

Peter has a portfolio of investment properties producing rental income. He is a higher rate taxpayer. He files his tax return for 2022/23 on 30 January 2024. The return shows his property income to be £72,000. Due to carelessness on Peter's part, his property income should have been declared to be £90,000.

Calculate the maximum penalty that Peter could be charged by HMRC for his error.

The potential lost revenue as a result of Peter's error is:
(90,000 – 72,000) = 18,000 × 40% (income tax) £7,200

Peter's error is careless, so the maximum penalty for the error is:
7,200 × 30% £2,160

This penalty will be charged in addition to the extra tax of £7,200 and any interest Peter will have to pay if the tax is paid after the normal due date for payment.

Note here that if Peter discovers the error before HMRC and he voluntarily discloses his mistake, the penalty can be reduced, potentially to nil.

HMRC have the power to reduce the penalty if there are special circumstances.

You will see that these penalty provisions are very similar to the failure-to-notify penalties we have already looked at.

One difference to note is that **there are no penalties for inaccuracies where the person has taken reasonable care**. For example, an inaccuracy resulting from an arithmetical or transposition error which is not large in either absolute terms or in relation to the overall liability such that it would be identified in a review, would not result in a penalty. For example, reporting a car benefit figure as £5,120 instead of £5,210 would not incur a penalty, but reporting interest of £100 instead of £100,000 would!

If a penalty is charged due to failure to take reasonable care, it may be **suspended for two years** provided the suspension conditions agreed with HMRC are kept and no further penalties are incurred in the suspension period. If the conditions are met throughout the suspension period, the penalty will be cancelled. FA 2007, Sch 24, para 14

The ability to suspend a penalty is intended to support those who try to meet their obligations by giving them time to improve their systems, which helps them to avoid penalties for inaccuracies in the future.

Suspension of a penalty is not possible where it relates to an error that was deliberate or deliberate and concealed.

EXAMPLES

❖ Example 1

Lester received his tax return for 2022/23 on 6 April 2023. He submitted the return to HMRC on 4 March 2024.

What is the final date by which HMRC can give notice of their intention to commence an enquiry into Lester's return?

❖ Example 2

Kelly started trading on 1 October 2022. She informed HMRC on 4 October 2023. A tax return for 2022/23 was issued to Kelly on 19 January 2024.

Kelly submitted the electronic return on 20 February 2025. Her tax liability for 2022/23 was £1,000.

What is the maximum penalty that may be charged by HMRC for the late submission of the return?

❖ Example 3

Zack is in business as a taxi driver. He submits his tax return for 2022/23 on 29 January 2024. Zack did not want to pay tax on his profits, so he overstated his petrol expenses by £15,000. He created false invoices to back up his claim. The return shows a trading profit for the year of £5,000.

HMRC initiate a review into Zack's return. Zack starts to worry about his excessive claim and decides to disclose the error to HMRC.

Zack has considerable rental income each year and is a higher rate (40%) taxpayer. This error has understated his 2022/23 tax liability by £6,000.

State the maximum and minimum penalties that could be charged by HMRC on Zack in respect of his incorrect return.

ANSWERS

✓ Answer 1

The return should have been filed by 31 January 2024 – therefore, the return is late.

If HMRC wish to commence an enquiry into Lester's return, they must send him a notice by the end of the calendar quarter following the anniversary of the actual filing date.

The anniversary of the filing date is 4 March 2025. This is in the quarter ending on 30 April 2025.

The notice must therefore be received no later than 30 April 2025.

✓ Answer 2

Kelly has given notice of chargeability within six months of the year end (ie by 5 October 2023).

The return is issued on 19 January 2024. The due date for filing is therefore the later of:

i. 31 January 2024; or

ii. three months from the issue of the return, ie 19 April 2024.

The return is therefore due on 19 April 2024.

The return was filed on 20 February 2025, which is ten months late.

The maximum penalties are:

	£
Initial penalty	100
Daily penalties (£10 × 90 days)	900
Tax-geared penalty (5% × 1,000 = £50 or £300 if greater)	300
Total	1,300

✓ Answer 3

The potential lost revenue as a result of Zack's error is £6,000.

Zack's error is deliberate and concealed, so the maximum penalty for the error is:

6,000 × 100%	£6,000

However, Zack has made a prompted disclosure, so the minimum penalty for the error is:

6,000 × 50%	£3,000

CHAPTER 12

PAYMENT DATES, INTEREST AND PENALTIES

By the end of this chapter you will understand:
- when and how tax is paid under self-assessment
- when payments on account are required and how they are calculated
- balancing payments
- how to calculate interest on tax paid late
- the penalties that apply when tax is paid late
- reasonable excuse

In this chapter, all tax years are assumed to consist of 365 days and the effects of leap years have been ignored.

12.1 Payment of Tax

Tax for a tax year is paid in two stages. Firstly, a taxpayer makes two payments on account of income tax for the tax year. The first payment on account is made on 31 January in the relevant tax year and the second is made six months later, on 31 July following the tax year. For the **tax year 2022/23**, the **first payment** on **account** is made on **31 January 2023**. The **second payment on account** is made six months later, on **31 July 2023**. TMA 1970, s.59A

The taxpayer will **submit** their **tax return generally no later than 31 January following the tax year**, and at this point they will be in a position to finalise their tax liability for the tax year. Therefore, on this date the taxpayer will make a **'balancing payment'**. TMA 1970, s.59B

This means that, having calculated the tax due for the tax year, the taxpayer will deduct the two payments on account already made and pay the balance of tax no later than 31 January following the end of the year.

Therefore, the final date by which all tax must be paid for the tax year is 31 January following that tax year. For 2022/23, the final deadline for the payment of tax and for the submission of the tax return is 31 January 2024.

The only exception to this is where the taxpayer notified chargeability by 5 October following the tax year but the return was not issued until after 31 October. In this case, the date for filing the return and paying the tax is three months after the issue of the return. TMA 1970, s.59B(3)

Each payment on account for a tax year is **50% of the tax due for the previous tax year**. When calculating the payments due for 2022/23, we look back to 2021/22, work out the tax due for this year – tax due being tax liability less tax deducted at source – and divide this by two. The resulting number is each payment on account for 2022/23.

The payments on account described above are only made in respect of income tax. Generally, no payments on account are required in respect of capital gains tax (CGT) and CGT is due and payable on 31 January following the year in which the capital gain was made. Therefore, CGT for 2022/23 is generally payable in one lump sum on **31 January 2024**.

UK resident individuals making a **direct disposal of UK residential property** are required to make a payment on account of the CGT due within 60 days of completion. **Non-resident individuals** who make **direct or indirect disposals of both residential and non-residential UK land** are also required to make a payment of CGT within 60 days of completion.

➢ Illustration 1

Roger has the following tax liabilities:

	2021/22	2022/23
	£	£
Income tax liability	14,000	18,000
Less: Deducted at source	(8,000)	(10,000)
Income tax due	6,000	8,000
Capital gains tax payable on share disposals	1,500	5,000
Total tax due	7,500	13,000

State the payment dates for the tax due in respect of 2022/23.

Income tax due	8,000
Capital gains tax due	5,000
Total	13,000
Less: Payment on account 31.1.23 (50% × 6,000)	(3,000)
Less: Payment on account 31.7.23 (50% × 6,000)	(3,000)
Balancing payment due 31.1.24	7,000

However, if you were writing to Roger in practice, you would **not** simply advise him to pay the sum of £7,000 on 31 January 2024.

Do not forget that on **31 January**, as well as making a balancing payment for the previous year, Roger will also have to make his **first payment on account** for the following year.

This will be £4,000 – ie 50% of the income tax due for 2022/23 of £8,000. A few months later, you would need to remind Roger to make a second payment on account of £4,000 on 31 July 2024. HMRC usually send out reminders to taxpayers a few weeks before the due date.

12.2 Interest on Tax Paid Late

If tax is paid late, HMRC will charge interest on any overdue tax. Interest will be charged if either the payments on account are late or the final balancing payment is late. FA 2009, s.101

Interest runs from the late payment interest start date, being the **normal due date for payment of the tax**, until the date of payment. So, if tax due on 31 January 2023 is paid on 1 February 2023, interest runs from 31 January to 1 February and is therefore charged for one day as the payment was one day late.

HMRC charge interest at an **interest rate** (calculated as Bank Base Rate plus 2.5%). For the purposes of the exam the rate is assumed to be 3.5%.

12.3 Penalty Regime

Schedule 56 FA 2009 contains the penalty provisions in respect of late payment of tax.

Where the tax due in respect of a tax return is outstanding **more than 30 days** after the **payment due date**, a penalty of 5% of the unpaid tax will be charged.

A further 5% penalty will be charged in respect of tax outstanding **more than five months** after the first penalty is charged.

Finally, an additional penalty of 5% will apply to tax still outstanding more than **11 months** after the first penalty is charged. FA 2009, Sch 56, para 3

Note that payments on account paid late do not suffer separate late payment penalties.

➢ Illustration 2

Sarah, an employee, has an outstanding tax liability of £4,000 in respect of 2021/22 as a result of a capital gain she had made in the year. She filed her tax return by the due date of 31 January 2023, but she did not pay the tax due until 1 May 2023.

Explain the late penalty payments due for Sarah.

Sarah will be liable to a late payment penalty of £4,000 × 5% = £200 as the tax is paid more than 30 days after the due date of 31 January 2023.

➢ Illustration 3

Josh was due to make payments on account in respect of 2021/22 of £5,000 on 31 January 2022 and 31 July 2022. He paid £5,000 on 1 July 2022 but failed to make the second payment on account. His final liability for 2021/22 was £13,000. He paid £6,000 on 31 March 2023 and the remaining £2,000 on 31 August 2023. His tax return form had been issued to him on 6 April 2022. No tax had been deducted at source.

Explain the position with regards to late payment penalties for Josh.

Although Josh paid the first payment on account late and failed to make a second payment on account before the final due date, no separate penalties are charged in respect of these failures.

Tax of £8,000 is outstanding more than 30 days after the payment due date of 31 January 2023.

The penalty charged will be £8,000 × 5% = £400.

Tax of £2,000 is still outstanding more than five months after the first penalty was levied.

A further penalty will be charged of £2,000 × 5% = £100.

Penalties will not be charged if the taxpayer has a reasonable excuse for the late payment. FA 2009, Sch 56, para 16

12.4 'Reasonable Excuse'

Where penalties have been correctly charged by HMRC, the taxpayer's only grounds for appeal are that they had a 'reasonable excuse' for the failure and put the failure right without unreasonable delay after the excuse had ended. This applies to penalties for late notification where the failure is not deliberate, and to penalties for late returns and late payment.

The term 'reasonable excuse' is not defined in the legislation, although it does set out what is not a reasonable excuse. An insufficiency of funds is not a **reasonable excuse** (unless due to events outside the taxpayer's control). Relying on a third party is also not a reasonable excuse, unless the taxpayer took reasonable care.

Examples of when a 'reasonable excuse' claim may be accepted are as follows:

- The return or payment was posted in good time but arrived late/never arrived due to disruption to the postal service.
- The taxpayer (or a member of their family) suffered serious illness or bereavement immediately before the deadline which prevented the taxpayer attending to their tax affairs in the proper time.
- Service issues with HMRC Online Service.
- Loss of tax records due to fire, flood, theft or computer failure.
- The taxpayer was unaware that they had a legal obligation to do something, having done their best to ensure that they were aware of and understood their obligations. This will depend on their abilities and circumstances as well as the nature of the obligation.

HMRC will also consider a person's mental health.

EXAMPLES

❖ Example 1

Janet has the following tax liabilities in 2022/23:

	£
Income tax	19,000
Capital gains tax on disposal of painting	4,200
	23,200
Income tax paid under PAYE	(14,000)
Balance due for year	9,200

In 2021/22, her income tax liability was £16,000, of which £12,000 was deducted under PAYE.

Calculate the total tax payment to be made by Janet on 31 January 2024.

ANSWERS

✓ Answer 1

	£
Income tax due (19,000 – 14,000)	5,000
Capital gains tax due	4,200
	9,200
Less: Payments on account for 2022/23	
(16,000 – 12,000) × 50% × 2	(4,000)
Balancing payment 2022/23	5,200
Add: First payment on account for 2023/24	
(19,000 – 14,000) × 50%	2,500
Due 31 January 2024	7,700

CHAPTER 13

SELF-ASSESSMENT – FURTHER ASPECTS

By the end of this chapter you will understand:
- when payments on account are not required
- when discovery assessments can be made

13.1 No Requirement for Payments on Account

Normally, each payment on account is **50% of the tax due for the previous year**. However, not every UK taxpayer is required to make payments on account. **No payments on account** are required where either the **tax due for the previous year was less than £1,000**, or **more than 80% of the tax liability for the previous year was collected at source**. For example, payments on account will not be required for 2022/23 where the taxpayer's outstanding income tax liability for 2021/22 was less than £1,000. TMA 1970, s.59A(1); SI 1996/1654

By collection at source, we generally mean tax paid under Pay As You Earn (PAYE). Tax is also deducted at source from payments received from trusts and interest on loan stock. If the tax deducted at source is more than 80% of the total liability, no payments on account need to be made for the following tax year. This means that for most taxpayers in the UK, no payments on account will actually be required as the majority of UK taxpayers are employees whose tax is deducted at source under PAYE.

13.2 Discovery Assessments

HMRC may in certain circumstances make an assessment on an individual which is not a self-assessment (or a simple assessment). This is known as a discovery assessment. The rules in relation to discovery assessments are contained in s.29 TMA 1970. TMA 1970, s.29

HMRC can make a discovery assessment if they discover that:

a. an amount which ought to have been assessed has not been assessed;

b. an assessment is or has become insufficient; or

c. relief has been given which is or has become excessive. TMA 1970, s.29(1)

The assessment is to be in an amount which is considered necessary to make good the loss of tax.

The circumstances in which a discovery assessment can be made would include, for example, where a tax return is in some way incorrect or incomplete. However, there are restrictions on HMRC's ability to make a discovery assessment.

Where a taxpayer has delivered a return for a tax year, no discovery assessment may be made for that period unless:

a. the loss of tax was brought about carelessly or deliberately by or on behalf of the taxpayer; or TMA 1970, s.29(4)

b. the HMRC officer could not reasonably have been expected, on the basis of information available to him at the material time, to be aware of the facts giving rise to the loss of tax. TMA 1970, s.29(5)

As regards (b) above, the 'material time' is the latest date on which the officer could give notice of an intention to enquire into the return or the date on which a partial or final closure notice was issued.

Therefore, where the taxpayer has not adequately disclosed information within the tax return, the officer could not have been expected to realise that the return was incorrect or incomplete. Thus, HMRC **can issue a discovery assessment** to recover the tax lost.

On the other hand, if **sufficient information was disclosed** within the return to enable an officer to be aware of the situation giving rise to a loss of tax, once the enquiry notice period is over no 'discovery' can be made and the additional tax due cannot be collected.

The time limit for HMRC making a discovery assessment depends on the reason for the incomplete disclosure.

The general rule is **four years** from the end of the tax year to which the assessment relates.

However, if the loss of tax is due to careless behaviour by the taxpayer, the deadline is **extended to six years** from the end of the tax year to which it relates. The deadline is **extended to 20 years** from the end of the tax year to which it relates where the loss of tax was caused deliberately. TMA 1970, s.36

Where the loss of tax involves an offshore matter or an offshore transfer, the time limit for making an assessment is extended to 12 years from the end of the tax year to which the assessment relates (unless the 20-year limit applies). TMA 1970, s.36A

CHAPTER 14

INTRODUCTION TO PROPERTY INCOME

By the end of this chapter you will understand:

- how to tax property income
- the cash basis and the accruals basis
- relief for allowable expenses
- how to distinguish between capital expenditure and revenue expenditure
- relief for replacement of domestic items
- relief for interest and the restrictions on this relief
- how property losses can be relieved
- rent-a-room relief
- the effect of the property allowance

14.1 Property Income

In this chapter we will deal with income which is chargeable to tax as **property income from a UK property business**. A UK property business is a business which a person carries on for generating income from land in the UK. For example, property income from a UK property business includes **rents from properties in the UK** such as houses and flats. ITTOIA 2005, s.264

Premiums on leases are also taxed as property income. A lease is a right to occupy land for a specified period of time. If a taxpayer owns a property and they grant a lease to another taxpayer in return for a payment called a premium, some of that premium can be chargeable to tax as property income. ITTOIA 2005, ss.276 and 277

Property income is taxed as **non-savings** income.

14.2 Calculation of Profits

Property income calculations are prepared for a tax year, ie from 6 April to 5 April.

Property income profit for property businesses operated by individuals is, by default, calculated using the **cash basis** where **gross property income** does not exceed **£150,000** for the tax year.

Where the **£150,000 limit is exceeded**, the property income profit must be calculated using the **accruals basis**.

Gross property income is the property income received in the tax year, on a cash basis. If the property business is carried on for part of the tax year, the £150,000 limit is reduced proportionately. ITTOIA 2005, ss.271A and 271C

➢ Illustration 1

Nawamin starts to let out a commercial property on 1 September 2022. The gross property income, calculated using the cash basis, is £120,000.

Determine the basis on which Nawamin's UK property income profit will be calculated for 2022/23.

The property business is only carried on for seven months in 2022/23, so the cash basis will not apply if gross property income exceeds £87,500 (£150,000 × 7/12).

As the gross property income of £120,000 exceeds this amount, the cash basis does not apply. The property income must be calculated using the accruals basis.

The cash basis is the 'default method' for calculating property income where the income limit is not exceeded; however, a taxpayer can make **an election to use the accruals basis** instead. This might be useful where the profits have been calculated in the past on the accruals basis due to the level of receipts and the taxpayer does not want to change to the cash basis when the level of receipts falls below £150,000 per annum.

The election to use the accruals basis must be made by the first anniversary of 31 January following the end of the tax year for which the election is made. For 2022/23, the election must be made by 31 January 2025. The election only applies for the tax year for which it is made, so if a taxpayer wants to continue to be assessed using the accruals basis, a new election must be made each year. ITTOIA 2005, s.271A(10), (11)

Where **spouses/civil partners** jointly own property and the income is by default split 50:50, the **same basis of calculation** must be used to calculate the property income of both spouses/partners. So, if one individual makes an election for the accruals basis to apply, the income of the other spouse/civil partner will also be calculated using the accruals basis.

14.3 The Cash Basis

In order to calculate the property income profit under the cash basis, income and expenses are accounted for when **money is received or paid**. Rents received less allowable expenses paid gives the property income profit (or loss):

	£
Rents received	X
Less: Expenses paid	(X)
Property income profit/(loss)	X/(X)

➢ Illustration 2

Alex lets out a flat during 2022/23. The tenant is due to pay rent of £2,000 per month on the last day of each month. However, the tenant has cash flow problems and the payments for February and March 2023 are not paid until 30 April 2023.

Calculate the property income profit taxable in 2022/23.

Alex received ten months of property income in 2022/23, being £20,000. Although Alex was supposed to receive £24,000 in relation to the rental in 2022/23, £4,000 was not received until 2023/24. Alex will be taxed on the amount of rent actually received in 2022/23 of £20,000. The remaining £4,000 will be taxed as part of the 2023/24 property income as it was received in 2023/24.

Some landlords may use a rental agent to manage the property rental and collect rents. Under the cash basis, income is recognised based on the date that it is paid to the agent, not the date that the agent passes it to the landlord.

A tenant may be required to pay a security deposit to a landlord, which may be returned in full or in part at the end of the tenancy. As the deposit is still legally owned by the tenant, it will only be recognised as a receipt under the cash basis when the landlord becomes legally entitled to retain all or part of it at the end of a tenancy.

14.4 The Accruals Basis

Where the cash basis does not apply, the property income profit is calculated using the **accruals basis**.

The accruals basis involves taking **rents receivable** rather than rents received. Note the difference here. 'Receivable' means the rents that relate to the tax year, which is not necessarily the same as the cash physically received.

From rents receivable we deduct any **allowable expenses payable**. Again, note the use of the word 'payable'. 'Payable' means expenses that relate to the tax year, which is not necessarily the same as the cash physically paid.

Rents receivable less expenses payable gives the property income profit (or loss):

	£
Rents receivable	X
Less: Expenses payable	(X)
Property income profit/(loss)	X/(X)

➢ Illustration 3

A taxpayer starts to let out a commercial property on 1 October 2022 and charges the tenant rent of £200,000 per annum. All of the annual rent is due for payment in advance on 1 October 2022. On 1 October 2022 the landlord receives £200,000.

Calculate the property income profit taxable in 2022/23.

The cash basis will not apply as the gross property income (calculated using the cash basis) of £200,000 exceeds the limit of £75,000, being £150,000 reduced to take account of the fact that the business was only carried on for six months of the tax year (£150,000 × 6/12).

Therefore, the property income must be calculated using the accruals basis.

The rent received in 2022/23 is £200,000, but this amount covers the period from 1 October 2022 to 30 September 2023.

To work out how much of the £200,000 is taxable as property income in 2022/23, we simply do a time apportionment:

1 October 2022 to 5 April 2023	
6/12 × 200,000	£100,000

The remaining £100,000 will be taxed in 2023/24 as it relates to the period 6 April to 30 September 2023.

14.5 Allowable Expenses

Under both the cash basis and the accruals basis, allowable expenses are deducted when calculating the property income profit.

Expenses are deductible from rents only if those expenses are incurred **'wholly and exclusively'** for the business of the letting. Examples of deductible expenses will include **agent's fees** and **commissions**, and genuine **repair expenses**. ITTOIA 2005, ss.272 and 272ZA

Any **water charges** or **council tax** paid by the landlord are deductible expenses.

Insurance premiums paid by the landlord are also deductible. In practice, the landlord will be responsible for paying the buildings insurance, but any contents insurance would be the tenant's responsibility.

Some landlords use their vehicle in their property business to visit the let property, for example. Relief is available for the motor expenses incurred. We will look at how relief is given later in this chapter.

Many property purchases are funded by way of loans, and if the property is subsequently let out, relief is available for the loan **interest** paid. We will look at how relief is given for interest later in this chapter.

Where property income is being calculated under the **cash basis**, we simply deduct the amount of the allowable expenses **actually paid** in the tax year.

Where property income is calculated under the **accruals basis**, we deduct the expenses that are **payable** for that year (ie relate to that year), regardless of when they are paid. For example, a landlord will incur expenses such as buildings insurance and council tax, both of which can be paid in advance to cover the forthcoming 12 months. Under the accruals basis, we apportion these expenses into the relevant tax year.

➢ Illustration 4

A landlord pays his buildings insurance premiums in advance. On 30 June 2021 he paid a premium of £1,600. One year later, on 30 June 2022, he paid buildings insurance of £1,800.

Calculate the expense deductible in 2022/23 assuming:

i. property income is calculated using the cash basis; and

ii. property income is calculated using the accruals basis.

i. Under the cash basis, the amount deductible in 2022/23 is simply the amount paid in 2022/23 of £1,800.

ii. Under the accruals basis, the amount deductible in 2022/23 will be the apportioned amount relating to the period:

		£
6 April 2022 to 29 June 2022	3/12 × 1,600	400
30 June 2022 to 5 April 2023	9/12 × 1,800	1,350
		1,750

Strictly, an expense is not deductible unless it is wholly and exclusively for the purposes of the rental business. However, where an expense has **both a business and a private purpose**, HMRC will allow a deduction for **a proportion** of the expense where a definite part of it is wholly and exclusively for the rental business.

For example, if a property is let out for 11 months of the tax year and occupied by the taxpayer for the remaining one month, then 11/12ths of the expenses such as council tax, insurance and utilities will be deductible, with only the 1/12th relating to private use not allowable.

14.6 Motor Expenses

When a landlord acquires a vehicle that will be used for property business purposes, they can choose to deduct:

- the **proportion of actual motor expenses** (including capital allowances) that relate to the business use; **or**
- a **flat rate expense** for business miles travelled.

This choice is available for motor expenses under both the cash basis and the accruals basis. ITTOIA 2005, ss.94D–94G

The flat rates are as follows:

- 45p per business mile for the first 10,000 business miles;
- 25p thereafter.

The flat rate expense covers the costs of buying, running and maintaining the vehicle, such as fuel, servicing, repairs and insurance.

The flat rate expense **does not cover incidental expenses** associated with a journey, such as tolls or parking fees. The landlord can have an additional allowable deduction where such expenses are incurred for business purposes.

Once a landlord has claimed to use the flat rate expense in respect of a vehicle, this method of relief **must be claimed consistently year after year** for as long as that vehicle remains in the business.

No actual expenditure or capital allowances can be claimed in relation to that vehicle.

Illustration 5

Bill travelled 48,000 miles during 2022/23 in his car. 12,000 miles related to business visits to his rental properties. His total expenses in relation to the vehicle for the year were £8,500.

Based on the above information, show the amount that Bill can claim if he claims actual expenses or if he claims the flat rate expense.

If Bill claims the actual motor expenses, he can deduct 12,000/48,000 × £8,500 = £2,125.

If he instead claims the flat rate expense, he can deduct (10,000 × 45p) + (2,000 × 25p) = £5,000.

14.7 Capital Expenditure v Revenue Expenditure

When calculating taxable property income, it is necessary to distinguish between capital expenditure and revenue expenditure.

Capital expenditure results in an asset and is therefore generally **not deductible** in calculating property income, although a deduction is available for capital expenditure on certain plant and machinery under the cash basis (see below). **Revenue expenditure** is an expense, and if it is allowable **is deductible** when calculating property income. This applies under both the cash basis and the accruals basis.

Expenditure on certain items is clearly capital. For example, the **initial cost of acquisition of a property is capital expenditure**, as is any expenditure on extending the property.

Expenditure which **enhances or improves the property** is also capital expenditure. It is this expenditure which must be distinguished from genuine repair expenses.

Some expenditure is clearly **a repair**. For example, if a tenant breaks a window and the landlord repairs that window, this is a genuine repair and the costs can be deducted from rents. Repairing a broken window has not enhanced the value of the property. However, if instead of simply repairing a damaged roof, the landlord takes the opportunity to also convert a loft space into an additional room, there is a degree of improvement here and the expenditure will be capital.

As technology develops over time, something that may once have been seen as an improvement may become a repair. For example, replacing single glazed windows with double glazed windows is allowable expenditure on repairs. Changes in technology mean that double glazing is now the standard and is no longer considered an improvement.

Repairs to a property after it is acquired which are needed in order to make the property suitable for letting are treated as capital expenditure.

The **cost of the provision of furnishings and other items** in a property is **capital** expenditure. HMRC have stated that the replacement of free standing white goods – for example, washing machines, fridges and freezers – is not a repair as the item has not become part of the property, and therefore the expenditure is capital expenditure (but see below).

Where an **item is attached to the building** it becomes part of the building. This is known as a fixture. When the **item is repaired or replaced**, the expenditure is treated as a **repair to the building**. This includes items such as baths, toilets, washbasins and kitchen units. For example, the replacement of an old bath with a modern equivalent would be considered a repair. This is also the case where goods such as ovens and hobs fitted into units are repaired or replaced with ones of a similar standard.

Even if the repairs are substantial, that does not make them capital provided that the character of the asset remains unchanged. For example, if a fitted kitchen is refurbished including replacement of base units, re-tiling, replacement of work tops etc, this will be a repair provided the kitchen is replaced with a similar standard kitchen. If additional units are fitted, the cost of these will be capital. However, if the whole kitchen is substantially upgraded – with standard units being replaced with expensive customised units, for example – then the whole of the expenditure will be capital.

If the landlord has an insurance policy which covers the cost of repairs, only the cost in excess of the insurance proceeds is allowable as a deduction.

14.8 Capital Expenditure – Plant and Machinery

Under the **accruals basis, capital allowances** may be claimed in respect of capital expenditure on plant and machinery used in the property business, eg vehicles, computers, and tools such as ladders and lawnmowers.

Under the **cash basis**, relief for capital expenditure on plant and machinery is given by **deducting the cost** of the asset when it is acquired; therefore, capital allowances cannot be claimed. The **exception** is **cars** used in the business. The cost of a car cannot be deducted from income; therefore, under the cash basis **capital allowances can be claimed** in respect of cars.

Remember that capital allowances cannot be claimed on vehicles if the landlord has opted to deduct flat rate expenses for that vehicle.

There is **no relief for** the initial cost of furniture and household equipment **(domestic items)** provided for use in a **residential property** under the cash basis or the accruals basis.

The exception to this is if the property is a furnished holiday letting (covered in a later chapter).

14.9 Replacement Domestic Items Relief

We have seen that under both the cash basis and the accruals basis, relief is not available for the cost of the initial provision of furnishings in a residential property.

However, where a residential property is let out, **relief** can be claimed for **the cost of replacing domestic items** used in the property, under both the cash and the accruals basis. Domestic items include furniture, furnishings, household appliances and kitchenware (but not fixtures, where a replacement is treated as a repair to the building). ITTOIA 2005, s.311A

Where the replacement domestic item is not substantially the same standard as the old item – for example, there is an element of improvement – the deduction is limited to the cost of an item that would be considered substantially the same.

The amount of the allowable deduction is reduced by any amounts received on the disposal of the old item. However, relief is available for incidental expenditure incurred on disposing of the old item or purchasing the new item.

This relief is not available where the property is a furnished holiday letting or where rent-a-room relief is claimed (covered later).

No relief is available where there is an element of private use, such as where the property is used by the taxpayer for part of the year.

➢ Illustration 6

Roger has let out a property to a tenant, Sally, for many years. Roger originally charged rents of £12,000 per annum payable monthly in advance, but he has increased the rents to £15,000 per annum with effect from 1 January 2023. Sally made all of the payments on time.

Roger has total expenses paid in 2022/23 of £13,350 as listed below:

	£
Repairs to roof	600
New garage	11,000
Water charges	250
Replacement of sofa	400
Council tax	500
Buildings insurance (1.10.22)	600
Total paid in year	13,350

The buildings insurance premium paid of £600 was a payment in advance on 1 October 2022. On 1 October 2021, Roger had paid a buildings insurance premium of £500.

The old sofa was replaced with one of a similar size and style.

Calculate Roger's property income profit or loss for 2022/23.

Roger's gross property income receipts do not exceed £150,000; therefore, taxable property income profit will be calculated using the cash basis.

	£	£
Rents received:		
12,000/12 × 8 (1.5.22 to 1.12.22)		8,000
15,000/12 × 4 (1.1.23 to 1.4.23)		5,000
		13,000
Less: Expenses paid		
Repairs to roof	600	
New garage (capital)	–	
Water charges	250	
Replacement sofa	400	
Council tax	500	
Buildings insurance	600	
		(2,350)
Property income profit		10,650

Roger receives eight payments of rent at the rate of £12,000 per annum, with the first payment in the tax year received on 1 May 2022 and the last payment on 1 December 2022. Four payments are received at the new rate of £15,000 per annum, with the first payment on 1 January 2023 and the last payment in the tax year on 1 April 2023.

The expenditure on the new garage is not allowable as this is expenditure on the extension or enhancement of a capital asset.

Under the cash basis, expenses are deducted when paid, so relief is given for the buildings insurance premium paid on 1 October 2022. It does not matter that part of this premium relates to the following tax year.

This property income profit of £10,650 will be taxed in 2022/23 as non-savings income.

14.10 Relief for Interest

It is common for a property to be purchased by way of a **loan or mortgage**. Where the property is let out, **relief will be available for the interest paid** on the loan to purchase the property, provided the loan is **wholly and exclusively** in relation to the let property.

Where the property let out is a **commercial property** or a **furnished holiday letting**, the interest (calculated using the cash basis or the accruals basis, as appropriate) will be **deductible in full** in arriving at the property income. Therefore, relief will be available at the taxpayer's marginal rate of tax, and interest paid can create or increase a loss. In other words, relief is available as for any other allowable expense.

However, there is a different rule for obtaining relief where the interest is paid by an individual in respect of a loan to purchase a residential property (other than a furnished holiday letting).

Interest in respect of a residential property

Loan interest is not allowable as a deduction when calculating property income in respect of residential properties. Instead, the **interest is only eligible for basic rate tax relief** which is given as a reduction in arriving at the individual's **income tax liability**.

ITTOIA 2005, s.272A

In a tax year, **relief at basic rate is available on the lowest of**:

- the eligible interest;
- the property income for the year less property losses brought forward; and
- adjusted total income, which is net income less savings and dividend income less the personal allowance (note that a quicker way to calculate this is to take non-savings income less the personal allowance).

ITTOIA 2005, s.274AA

Illustration 7

Lily has employment income of £52,000 in 2022/23. She owns a residential property which she lets out on a long-term let. The property income after allowable expenses except mortgage interest is £12,000. Lily pays mortgage interest of £5,000 in respect of the property in 2022/23.

Calculate Lily's income tax liability for 2022/23.

	Non-savings £
Employment income	52,000
Property income	12,000
Net income	64,000
Less: Personal allowance	(12,570)
Taxable income	51,430
Tax	
37,700 @ 20%	7,540
13,730 @ 40%	5,492
	13,032
Less: Tax reduction for interest (W)	(1,000)
Tax liability	12,032

Working: Tax reduction

Lowest of:

- The eligible interest = £5,000
- The property income for the year = £12,000
- Adjusted total income = £51,430

The tax reducer is therefore £5,000 @ 20% = £1,000.

14.11 Property Business Losses

Where expenses related to a let property exceed income from that property, a **property business loss** will arise. **Profits and losses on all properties in the year are pooled together** to give an overall profit or loss. A landlord renting out more than one property has a single UK property business, and the net profit from that business is taxable as non-savings income.

However, where the **overall result is a loss**, we insert a figure of **nil** in the property income line in the income tax computation. We should never insert a negative figure as ‘income’ in the tax computation.

If a taxpayer has a property business loss, that **loss is carried forward and set against property income from the UK property business in future tax years**. The taxpayer cannot set a property business loss against non-property income, and it cannot be carried back to a previous tax year. ITA 2007, s.118

14.12 Nominal Leases

An exception to the general rule for losses concerns nominal or non-commercial leases. This is where the landlord does not charge the tenant a full market rent for the use of the property. If a landlord lets out a property to a member of their family, this is likely to be a nominal or non-commercial lease.

In these instances, the rents received under the lease are taxable, but the expenses incurred in relation to the non-commercial let are only allowable up to a maximum of the rents received. In essence, the expenses will cancel out the rent leaving either a net profit or a nil profit, but **no loss** will arise.

14.13 Rent-a-Room Relief

If a landlord is letting out a room to a tenant in their home (ie their only or main residence), a special relief is available. ITTOIA 2005, ss.784–802

If the tenant pays the landlord a rent of £200 per week, this is chargeable to tax as property income. The landlord has two options when calculating property income profit for the year. The first choice is to prepare a normal property income computation (using the cash basis or the accruals basis as appropriate) by taking annual rents of £10,400 and deducting any expenses to give a profit or loss.

The problem with this method is that it is difficult for the landlord to determine the deductible expenses. Only part of the property is being let out; the remainder is the landlord’s own home, so the household expenses will need to be apportioned. This is a fiddly and time-consuming process. The legislation has therefore simplified the computation by using the **rent-a-room** scheme.

Again we start with the rental income of £10,400. In order to arrive at the taxable profit this time, we simply deduct **rent-a-room relief**, which for the current tax year is £7,500. The excess of rents over the threshold is the taxable profit. Here it is £2,900. The amount of any allowable expenses is irrelevant.

Where gross rents are not more than £7,500, rent-a-room relief applies automatically and the rental income is exempt from tax. If allowable expenses exceed gross rents, a claim can be made for the relief not to apply for that year in order to crystallise a loss.

Where gross rents exceed £7,500, a claim must be made for rent-a-room relief to apply. The relief will then continue to apply each year until the claim is withdrawn.

The elections must be made on or before the first anniversary of 31 January following the tax year.

The following are a few points about the rent-a-room scheme:

a. The **£7,500 threshold applies per property and not per tenant**. Therefore, if a landlord takes in two tenants, each paying rents of £200 a week, only one amount of £7,500 can be deducted.

b. If a property is jointly owned, **half** the rent-a-room limit is given to **each joint owner** (even if the rents are apportioned differently).

c. If rent-a-room relief applies, it **does not affect the availability of private residence relief** when the owner comes to sell the property.

14.14 Property Allowance

A **property allowance of £1,000 per tax year** is available to individuals in respect of certain property income. ITTOIA 2005, s.783BD

If an individual's **'relevant property income' does not exceed £1,000**, the income is **not charged to tax** and the individual does not have to notify HMRC of this source of income. This is a useful simplification for individuals who have a small amount of rental income with few, if any, allowable expenses – for example, if they let out a garage or part of their garden. ITTOIA 2005, ss.783BE and 783BF

Relevant property income is **gross property income before** deduction of **expenses**.

Relevant property income does **not** include income on which the **rent-a-room allowance** of £7,500 has been claimed.

An **election** can be made to **not apply the property allowance** to the relevant property income and to **deduct expenses instead**. This will be beneficial if a loss has been made. ITTOIA 2005, s.783BJ

If relevant property income **exceeds £1,000**, the property income profit will be calculated as property **income less expenses**. However, an individual may **elect to deduct the property allowance of £1,000** from the income **instead of expenses**. This will be beneficial if the expenses are less than £1,000. ITTOIA 2005, ss.783BG, 783BH and 783BK

The elections must be made on or before the first anniversary of 31 January following the tax year for which the election is made. The taxpayer can review each year whether an election would be beneficial.

If the **property is owned jointly**, it is the **individual's share** of the gross property income which is taken into account when determining his or her relevant property income. For example, if a couple let out a garage which they own jointly generating £1,200 of rental income per annum, they will each have relevant property income of £600. As this does not exceed £1,000, the income for each of them will not be subject to tax.

Note that if an individual carries on a property business which includes residential property and relief is obtained for **interest** by way of a **tax reducer**, the **property allowance will not be available**.

Therefore, an individual will need to decide whether it is more beneficial to claim relief for expenses, including interest with relief as a tax reducer at 20%, or to use the property allowance. If the property allowance is chosen, no relief is available for mortgage interest as a tax reducer. ITTOIA 2005, s.783BL

➢ Illustration 8

Kenny lets out a spare bedroom in his house, generating rental income of £2,000 in 2022/23, before allowable expenses of £400. He also lets out his driveway when events are being held at the nearby sports stadium, generating rental income of £900 in 2022/23.

Calculate Kenny's taxable rental income (if any) in 2022/23.

Due to the amount of the expenses, Kenny will use rent-a-room relief, so no income from the spare bedroom is taxable.

As rent-a-room relief is used, this £2,000 is not relevant property income for the purposes of the property allowance.

The relevant property income is the income from renting out the driveway of £900. Kenny is entitled to the property allowance of £1,000 in respect of this income. This rental income of £900 is also not taxable.

EXAMPLES

❖ Example 1

Marco lets out two furnished properties in the UK:

Rent on Property X	£2,000 per month (started 1.10.2022)
Rent on Property Y	£500 per month
Loan interest 2022/23	£6,000 for Property X and £20,000 for Property Y

All rental income is received in advance on the first day of the month.

Property Y had been let out for a number of years. In 2022/23 Marco replaced two double beds at a cost of £1,800. He also replaced the old wooden downstairs windows with UPVC equivalents for £4,400. A small extension was built in order to add a downstairs cloakroom, at a cost of £2,500.

All the other expenses are paid by the tenants.

Marco does not want to make an election for the accruals basis.

Marco's only other source of income is employment income of £20,000.

Calculate Marco's income tax liability for 2022/23, assuming all beneficial claims for relief are made.

❖ Example 2

Julia lives in a three-bedroom house. She lets two rooms to students, each of whom pays rent of £150 per week.

Julia also lets out her garage to her neighbour. She receives rental income of £400 per annum.

Calculate Julia's UK property business income.

ANSWERS

✓ Answer 1

	£
Employment income	20,000
Property income (W)	13,800
Net income	33,800
Less: Personal allowance	(12,570)
Taxable income	21,230
Tax	
21,230 @ 20%	4,246
Less: Tax reduction for interest	
6,000 + 20,000 = 26,000	
Restricted to 13,800 @ 20%	(2,760)
Tax liability	1,486

Working

	Property X	Property Y
	£	£
Rents received:		
2,000 × 7	14,000	
500 × 12		6,000
Less: Cost of replacement beds		(1,800)
Less: Replacement windows		(4,400)
Profit/(loss)	14,000	(200)
Overall UK property business income (14,000 – 200)		13,800

It is assumed that the new beds are of a similar standard to the old beds they replaced.

The extension is capital expenditure and not allowable.

Tutorial Note:

The property allowance is not beneficial for Marco. It is more beneficial for him to claim relief for the expenses and mortgage interest. Relief at 20% in respect of the mortgage interest is given on the amount of the property income for the year (£13,800) as this is lower than the interest of £26,000.

✓ Answer 2

	£	£
House:		
Rent receivable (150 × 2 × 52)	15,600	
Less: Rent-a-room limit	(7,500)	
Taxable profit		8,100
Garage:		
Rent receivable	400	
Less: Property allowance	(400)	
Profit/loss		Nil
Profit for year		8,100

Tutorial Note:

Julia is entitled to the property allowance as she has elected for rent-a-room relief to apply and therefore this income is not relevant property income for the purposes of the property allowance. The property allowance can only be set against the income in respect of the garage.

CHAPTER 15

PROPERTY INCOME – FURTHER ASPECTS

By the end of this chapter you will understand:
- how to tax overseas property business income
- which let properties will qualify as furnished holiday lets
- the advantages of furnished holiday lets
- Real Estate Investment Trusts
- how to tax premiums on leases
- how to tax the premium on grant of a sub-lease

15.1 Overseas Property Business

If a taxpayer lets out an overseas property, such as a villa in Spain, any profits are charged to income tax as income from an overseas property business. ITTOIA 2005, s.269

To calculate the profits on the foreign property, we use the same rules as for the UK property business to arrive at the overseas property business profit or loss.

An overseas property business is **separate** from a UK property business. If an individual runs a UK property business and an overseas property business, each business must be **reviewed separately** to determine whether the cash basis or the accruals basis applies to calculate the profits for each business. It is possible for taxable property income from the UK property business to be calculated using the accruals basis but for income from the overseas property business to be calculated using the cash basis, or vice versa.

➢ Illustration 1

Alex lets out several properties in the UK, generating gross receipts of £100,000 in 2022/23.

She also lets out a number of villas in Portugal, generating gross receipts of £60,000 in 2022/23.

Explain the basis of taxation of Alex's property income in 2022/23.

Alex has both a UK property business and an overseas property business. The fact that the combined receipts exceed the limit for the cash basis of £150,000 is irrelevant. The gross receipts from each individual business do not exceed £150,000 and therefore the cash basis will apply when calculating taxable profits.

If she wanted to, Alex could elect for the accruals basis to apply to either or both of the property businesses.

If the receipts from the UK property business increased to £200,000 per annum, the accruals basis would have to be used to calculate the profits from this business, but the cash basis could continue to be used for the overseas property business.

Profits of an overseas property business are **relevant property income** for the purposes of the **property allowance**. If an individual only has overseas property income and this is not more than £1,000, this income will not be taxable (unless an election is made for the relief not to apply).

However, if an individual has both a UK property business and an overseas property business, only a **single property allowance** of £1,000 is available. The gross receipts of both property businesses will need to be combined in order to determine the relief available. If gross receipts exceed £1,000, the total expenses (and mortgage interest relief) for both businesses will need to be compared to the property allowance of £1,000 to determine whether or not to claim relief for the expenses or to claim the property allowance instead.

Finally, an overseas property business loss – for example, a loss in respect of the rental of a villa in Spain – **cannot be set off against UK property business income**, ie from properties situated in the UK. This also applies the other way round, so there is never any mixing of UK and overseas property business profits and losses.

If a taxpayer has an overseas property business loss, that **loss can only be carried forward and set against future overseas property business income**.

15.2 Furnished Holiday Lettings – Introduction

We need to identify any income or losses made in respect of **furnished holiday lettings**. This is because landlords with a furnished holiday let (FHL) can benefit from certain tax advantages. ITTOIA 2005, ss.322–328

However, before we look at the conditions which must be met for an FHL to exist, it is important to note that a **UK FHL business is still part of a UK property business**, and an overseas FHL is still part of an overseas property business. Therefore, the gross rents from the FHL must be combined with the other income of the property business to determine whether the cash basis or the accruals basis applies for calculating taxable profits.

15.3 Furnished Holiday Lettings – Conditions

A property will be treated as an FHL if all of the following conditions are satisfied:

a. The property must be **furnished**.

b. The property must be situated in the **UK** or a state in the European Economic Area (EEA).

c. The property must be **available** for commercial letting as holiday accommodation to the public **for at least 210 days in the relevant 12-month period (usually the tax year)**.

d. Out of those 210 days, the property must **actually be let out for 105 days** or more as holiday accommodation – the 'letting' condition.

The 105 days actual occupation test can be met by making an **election to average periods of occupation** of any or all of the FHLs owned by the taxpayer. However, an averaging election has to be made separately for properties in the UK and properties in an EEA state. ITTOIA 2005, s.326

Accommodation is not normally regarded as holiday accommodation for the purposes of the letting condition where it is let for a period of **'longer-term occupation'** – ie a continuous period of **more than 31 days** during which the property is in the same occupation. Therefore, properties normally let on a long-term basis do not qualify.

Any such periods of longer-term occupation must in any event not exceed 155 days in the tax year.

All of these conditions must be satisfied, and you will find them listed in ss.322–325 ITTOIA 2005.

15.4 Furnished Holiday Lettings – Advantages

As previously stated, the reason why we need to define an FHL is that landlords with FHLs can benefit from **certain tax advantages**. ITTOIA 2005, s.322

If a loan has been taken out to purchase the property, the **full amount of interest paid** in respect of the loan receives **relief as a deduction from the rental income** (unless the property allowance applies or is claimed instead).

Another advantage of an FHL is that the landlord may **treat any profits** from that letting **as earned income**. This is important if the landlord wishes to make **pension contributions**, because the amount a taxpayer can pay into their pension depends on the level of their earnings.

Profits on normal letting activities are not regarded as earnings for pension purposes.

FHLs qualify for certain capital gains reliefs that normal lettings do not. These reliefs will include rollover relief, gift relief and business asset disposal relief.

15.5 Furnished Holiday Lettings – Losses

A UK FHL business is still part of a UK property business and therefore **a loss incurred in respect of an ordinary UK property business can be offset against profits from the UK FHL business** in the same or subsequent years. However, a **UK FHL business loss cannot be offset against profits from an ordinary UK property business**. Similarly, a loss incurred in an ordinary overseas property business can be set against the profits of an overseas FHL business, but an overseas FHL loss cannot be set against profits from an ordinary overseas property business.

If a loss is incurred in an FHL business, that **loss can only be offset against future income from the same FHL business**. UK FHL businesses and EEA FHL businesses are identified separately so that a loss in respect of a UK FHL business can only be offset against income from the UK business and not against income from an EEA FHL business. Equally, a loss on an EEA FHL business can only be relieved against income from the EEA FHL business. ITA 2007, ss.127 and 127ZA

15.6 Furnished Holiday Lettings – Other Points

Replacement domestic items relief does not apply when calculating profits of an FHL.

If the **cash basis** is used to calculate taxable property income, capital expenditure in respect of furniture, furnishings, fixtures such as kitchens and bathrooms, and equipment used in the property **can be deducted** when arriving at taxable income. ITTOIA 2005, s.307B

Under the **accruals basis, capital allowances** are available in respect of furniture, furnishings, fixtures and equipment in the property.

15.7 Real Estate Investment Trusts (REITs)

Certain companies which invest in property may elect for special rules to apply to their property business and to the profits they distribute to their shareholders. Those companies which make an election are known as UK-REITs (Real Estate Investment Trusts).

For UK-REITs, their **qualifying rental income and gains on disposals of investment properties will be exempt from corporation tax**. Any profits and gains on any other activities carried on by the UK-REIT will be subject to corporation tax in the normal way.

Dividends paid out by a UK-REIT out of tax-exempt property income or gains will be **treated as UK property income in the hands of its shareholders** (as opposed to 'normal' dividend income). CTA 2010, s.548

Investors will be deemed to have received a UK-REIT dividend **under deduction of basic rate income tax (20%).**

The property allowance does not apply to REIT income since it is not relevant property income.

UK-REIT dividends will therefore be taxed as **non-savings income carrying a 20% tax credit** (repayable to non-taxpayers). If the UK-REIT pays a stock dividend when making a distribution out of tax-exempt income or gains, this stock dividend will also be treated as non-savings income carrying a 20% tax credit.

Dividends paid out of other profits will be treated as normal dividends for UK tax purposes.

15.8 Premiums on Leases

A **'lease'** is **a right to occupy property for a specified period** of time and, usually, for a **specified rent**. ITTOIA 2005, ss.277–307

A 'premium' is the amount paid by a tenant to a landlord for the grant of a lease. The person who grants the lease is called the **'lessor'** and the person to whom the lease is granted is called the **'lessee'**. Any premium will be paid by the lessee to the lessor.

If a landlord owns the freehold of a property, we mean that the individual owns the land and the building outright, ie they are not leasing it from someone else.

If the landlord grants a lease to the tenant, they are giving the tenant a right to occupy the property for a certain period of time. In return, the tenant will pay the landlord a premium for the grant of this lease. Note that the landlord still owns the freehold of the property, so when the lease comes to an end, the landlord can take the property back.

This **premium is taxed in the hands of the landlord**. The way in which it is taxed will depend on the length of the lease.

If the **lease** is **granted for a period of more than 50 years**, there is **no income tax charge**. Instead, the full amount of the premium will be charged to capital gains tax.

Contrast this with the grant of a lease by a landlord to a tenant for a period of 50 years or less. Leases of **50 years or less** are called 'short' leases. On the grant of a short lease, **part** of the premium received by the landlord is chargeable to **income tax under property income**. The part of the premium which is not charged to income tax will instead be charged to **capital gains tax**.

To calculate the income tax charge we take the premium (P) and we deduct the amount which will be charged to capital gains tax (C):

Premium	**P**
Less: 2% × P × (N − 1)	**(C)**
Property income	**A**

In the formula above, N is the number of years in the lease.

This amount is chargeable to income tax as property income in the year in which the lease is granted.

An alternative formula for calculating the amount of the premium chargeable as property income is:

$$P \times [(50 - Y)/50]$$

In this case, P is the amount of the premium and Y is the length of the lease minus one year. This formula is found in s.277 ITTOIA 2005. ITTOIA 2005, s.277

The amount of the premium chargeable to income tax as property income is relevant property income for the purposes of the property allowance.

If the lease provides for some rents to be paid by the tenant to the landlord for the duration of the lease, these rents are charged on the landlord in the normal way.

➢ Illustration 2

Beth owns a property and on 5 October 2022 she grants a 20-year lease on that property to a tenant called Donald. The premium paid by Donald is £30,000.

Calculate how much of the premium will be chargeable to income tax.

As this is a short lease, some of the premium will be chargeable to income tax on Beth as follows:

	£
Premium	30,000
Less: 2% × 30,000 × (20 − 1)	(11,400)
Property income	18,600

All of this £18,600 is taxed in the year of grant – ie in 2022/23 – as non-savings income.

Normally, as part of the rental agreement, Donald will also be required to pay an annual rent for the use of the property. If he does, the rental income in 2022/23 will need to be added on to the taxable premium to give the total property income figure for the year.

15.9 Grant of a Sub-Lease

A slightly convoluted area is dealing with the grant of a sub-lease. We will look at these rules by working through an illustration. ITTOIA 2005, s.288

➢ Illustration 3

Referring back to the previous illustration, Donald has a right to occupy Beth's property for the next 20 years, having paid Beth a premium of £30,000.

In March 2023, Donald decides that he no longer wishes to live in the property, so he grants a five-year sub-lease to a sub-tenant called Angela. In return, Angela pays Donald a premium of £10,000 for the grant of this short sub-lease.

A premium received by a taxpayer for the grant of a short lease is partly chargeable to income tax and partly chargeable to capital gains tax.

However, where a taxpayer has a lease and from that lease they grant a short sub-lease, that taxpayer receives an allowance for part of the original premium paid.

To calculate this deduction, we take the amount chargeable to income tax in the hands of the head landlord and multiply this by a fraction, as follows:

Property income for landlord × Length of sub-lease/Length of head-lease

Calculate the amount chargeable to income tax for Donald.

	£
Premium	10,000
Less: 2% × 10,000 × (5 – 1)	(800)
	9,200
Less: Allowance for original premium paid (18,600 × 5/20)	(4,650)
Property income for Donald	4,550

EXAMPLES

❖ Example 1

Steve lets out three properties in 2022/23 giving rise to the following profits and losses:

	Profit/(Loss)
	£
Flat in West London (long-term let)	(1,000)
Apartment in New York (long-term let)	16,000
Villa in Tuscany (long-term let)	(3,000)

He has no other income.

Calculate his net income.

❖ Example 2

Assume the facts are as for Example 1 but the villa in Tuscany is a furnished holiday letting.

Calculate Steve's net income.

❖ Example 3

Harriet grants a 25-year lease on a property to Anita on 1 January 2023.

Anita pays a premium of £40,000 plus an annual rent (in advance) of £8,000.

Harriet receives no other rental income.

Calculate Harriet's gross property income for 2022/23.

ANSWERS

✓ Answer 1

	£
Profit on apartment in New York	16,000
Less: Loss on villa in Tuscany	(3,000)
Overseas property business profit	13,000
Loss on flat in London (carry forward against future UK property business income)	(1,000)
Net income	13,000

✓ Answer 2

	£
Profit on apartment in New York	16,000
Loss on flat in London (carry forward against future UK property business income)	(1,000)
Loss on villa in Tuscany (carry forward against future overseas FHL business profits)	(3,000)
Net income	16,000

✓ Answer 3

	£
Premium received	40,000
Less: 2% × 40,000 × (25 – 1)	(19,200)
	20,800
Add: Rents received	8,000
Property income	28,800

Tutorial Note:

An alternative method for calculating the amount of the premium assessable as property income is:

40,000 × [(50 – 24)/50] = £20,800

CHAPTER 16

INTRODUCTION TO EMPLOYMENT INCOME AND BENEFITS

By the end of this chapter you will understand:
- what is included in employment income
- the definition of net taxable earnings
- the receipts basis
- the concept of the cash equivalent of a benefit
- how benefits are disclosed
- taxable and non-taxable social security benefits

16.1 General Introduction

The legislation dealing with the taxation of employees and their employment income is contained in the Income Tax (Earnings and Pensions) Act 2003 (ITEPA 2003).

The term 'employee' also covers office holders such as company directors.

The term 'employment income' means remuneration paid in monetary form (most commonly salaries and wages) and non-monetary form (such as benefits and other rewards for service, such as share awards and share option gains).

ITEPA 2003 also contains legislation covering the taxation of termination payments, pension income and social security benefits.

16.2 Net Taxable Earnings

Employees are charged to income tax on their 'net taxable earnings' from the employment in the tax year.

'Net taxable earnings' can be broadly summarised as earnings less any **deductions allowed from those earnings** under the 'expenses provisions' within ITEPA 2003. ITEPA 2003, s.11

For example:

	£	£
Cash earnings (salaries, wages, cash bonuses)		X
Taxable employment benefits:		
Company car	X	
Low interest loans	X	
Medical insurance	X	
Share awards/share option gains	X	
Taxable earnings		X
Less allowable deductions:		
Qualifying travel expenses	X	
Occupational pension contributions	X	
		(X)
Net taxable earnings		**X**

16.3 The 'Receipts' Basis

Employees are generally **taxed on their earnings at the date of receipt.**

For cash payments, this means the earlier of:

- 'Rule 1' – the date that the payment is **physically made**; or
- 'Rule 2' – the date the employee **becomes legally entitled** to the payment. ITEPA 2003, s.18

For most employees, these two dates are usually the same as employees are generally paid as soon as entitlement arises.

The date of receipt can be (and often is) different to the date on which the services were performed. For example, an employee could be paid a bonus on 30 April 2022 in respect of work carried out in December 2021. The bonus will be taxed on 30 April 2022 (ie in the tax year 2022/23).

16.4 The 'Receipts' Basis – Special Rules for Directors

For company directors, the date of receipt is the **earliest of** the following:

- 'Rule 1' – the date that the payment is physically made;
- 'Rule 2' – the date the director becomes legally entitled to the payment; or
- 'Rule 3' – the earlier of:
  a. the date when sums on **account** of the director's earnings are **credited** in the company accounts or the company records; or
  b. at the **end** of the company's accounting period if the earnings have been determined **by the end** of that period; or
  c. at the date the earnings are **determined** if that date falls **after** the end of the company's accounting period. ITEPA 2003, s.18

➢ Illustration 1

Mr Matthews is a company director earning £60,000 per annum. He normally receives a discretionary annual bonus based on the company's results for each year ending on 31 December.

At their Board Meeting on 25 March 2023, the Board agree the draft accounts for the year ended 31 December 2022. The Board agree that Mr Matthews will be paid a bonus and duly determine this bonus in the sum of £25,000. This bonus is paid to Mr Matthews on 30 April 2023.

Determine the date of receipt for Mr Matthews' bonus.

The date of physical receipt is 30 April 2023 (Rule 1).

Mr Matthews doesn't become entitled to this payment any earlier than 30 April 2023 (Rule 2). The fact that the Board agree and determine the bonus does not give Mr Matthews legal entitlement. The Board could change their mind.

As Mr Matthews is a director, we need to consider Rule 3.

Nothing has been credited in the company's accounts before 30 April 2023 (so Rule 1 still applies).

Mr Matthews' earnings were not determined before the end of the company's accounting period on 31 December 2022 (so Rule 1 still applies).

Mr Matthews' earnings were in fact **determined on 25 March 2023** which is after the end of the company's accounting period. Rule 3(c) therefore applies. **The date of 'receipt' for employment income purposes is therefore 25 March 2023**. The bonus will therefore be taxable in 2022/23.

It is important to correctly determine the date of receipt because PAYE will need to be applied at that point and a failure to properly deduct PAYE at the correct time can lead to interest and penalty charges.

16.5 Taxable Benefits

Many employees receive non-cash benefits as part of their overall remuneration package. ITEPA 2003, s.63

These benefits often include the use of a **company car**, the use of company provided **accommodation**, interest-free or low-interest **loans, use of a mobile phone, private medical insurance**, or employer contributions to an employee's **pension scheme**.

The majority of these benefits are taxable in the hands of the employee. Some benefits are specifically exempt from tax.

An employee will pay tax on a benefit if that benefit is provided either to **them or to 'a member of their family or household'**. Therefore, a taxpayer cannot avoid being taxed on a benefit simply by directing their employer to provide the benefit to (say) their spouse/civil partner or children rather than themself. ITEPA 2003, s.201

16.6 The 'Cash Equivalent'

The taxable amount of a benefit is its **'cash equivalent'**.

The **'cash equivalent'** of a benefit is defined as the 'cost of the benefit less any part of that cost **made good by the employee** to the persons providing that benefit'. ITEPA 2003, s.203

The 'cost' of the benefit is the 'cost to the employer of providing that benefit'. ITEPA 2003, s.204

➢ Illustration 2

ABC Ltd wishes to provide private medical insurance to an employee. The medical insurance premium is normally £500, but ABC Ltd's relationship with the medical insurance company entitles it to a 20% discount. ABC Ltd duly pays £400 for the medical cover.

The **'cost' to ABC Ltd of providing the benefit is £400** and this is therefore the cash equivalent. The employee will therefore have additional taxable income of £400. This income will be taxed in the tax year in which the benefit is provided.

Any amounts **paid by the employee** to the employer towards the provision of the benefit can be **deducted** from the cash equivalent. Therefore, if the employee reimburses the employer's full cost, the taxable benefit will be zero.

In the case of certain benefits, it can be difficult to establish the 'cost to the employer' of providing the benefit. In such circumstances, special rules exist to calculate the cash equivalent. Special rules are in place for calculating company car and fuel benefits, accommodation benefits, cheap loans and instances where an employer lends an asset to an employee.

Where in-house benefits are provided to employees – for example, the use of a workplace gym for employees working in a hotel with leisure facilities – the amount charged to tax will be the **incremental** cost incurred by the employer in providing the benefit to the employee.

16.7 Disclosing Benefits

An employer can register with HMRC to **report and tax benefits via the payroll**.

This is a voluntary system and the employer can choose which benefits to include in the payroll.

Where a benefit has not been included in payroll in this way, it must be **reported to HMRC by the employer on form P11D**.

The P11D tells HMRC the cash equivalent of each benefit. A copy is given to the employee to enable them to complete their own tax return.

If the employer has registered with HMRC and included benefits in the payroll, the benefits should not be reported on form P11D.

However, the employer must provide the employees with details of the payrolled benefits by 31 May following the end of the tax year.

16.8 Pension Income and Social Security Income

The taxation of pension income and social security income also falls within ITEPA 2003 (in Parts 9 and 10).

Income from pensions is generally taxable. This will include the UK state pension and any pension income paid by a former employer.

Many social security benefits paid to UK taxpayers are exempt from tax. Such exempt sources include child benefit, council tax benefit, housing benefit, disability living allowances, universal credit, working tax credits and child tax credits. ITEPA 2003, s.677

Child benefit is not taxable; however, a 'high income child benefit charge' applies where a recipient or their partner has adjusted net income in excess of £50,000.

Some social security benefits are taxable. These include jobseeker's allowance, bereavement allowance, carer's allowance, employment and support allowance and incapacity benefit. ITEPA 2003, s.660

EXAMPLES

❖ Example 1

Foodies Ltd makes luxury food hampers from its factory in Milton Keynes. Each hamper costs Foodies Ltd £35 to make as it buys the ingredients from all over the world.

Foodies Ltd has a shop in London which sells the hampers for £140 each, although online customers receive a 10% discount.

Employees of Foodies Ltd can purchase the hampers at a discounted price of £65.

In September 2022, Foodies Ltd gave Jean, a factory employee, one of the luxury hampers. Jean's hamper included an extra item, a bottle of vintage champagne. The champagne has a retail price of £40 per bottle, but Foodies Ltd paid only £20 because of their supplier discount.

Jean's taxable benefit on the gift of the hamper will be:

a. £55
b. £65
c. £75
d. £85

ANSWERS

✓ Answer 1

The cash equivalent of the benefit is the cost to the employer of providing the hamper. This is £35 for the hamper plus £20 for the champagne.

Jean's taxable benefit is therefore £55.

CHAPTER 17

COMPANY CAR AND FUEL BENEFITS

By the end of this chapter you will understand:

– how to calculate the taxable benefit for an employer-provided car
– how the car benefit is based on list price and CO_2 emissions
– what adjustments are made for non-availability
– the fuel benefit where private fuel costs are paid for by the employer

17.1 Overview of Benefit

One of the most common benefits offered by employers to their employees is the provision of a company car and fuel for private motoring. ITEPA 2003, ss.114–172

Special rules exist to enable us to calculate the cash equivalent on the provision of a company car. If a car is made available by an employer for the exclusive use of a particular employee, it doesn't matter whether the car is owned by the employer or leased by the employer from a third party, the **employee will have a taxable benefit in respect of the private use of the car**. The cash equivalent depends on a number of factors. ITEPA 2003, ss.120–121

The starting point in calculating car benefits is the **list price** of the car when it is first registered (ie when brand new). This is not necessarily the same as the price actually paid by the employer for the car. ITEPA 2003, s.122

The cash equivalent also depends on the vehicle's **carbon dioxide (CO_2) emissions**. Essentially, the **lower the emissions, the lower the benefit**. This is an attempt by the government to be responsible with regard to the protection of the environment. The benefit for ultra low emission cars also depends on the maximum distance that the car can be driven in electric mode without recharging the battery. ITEPA 2003, s.139

Also, the benefit depends on **whether the car was available for the whole of the year**. As is the case with most benefits, if the employee does not have the benefit for the whole of the year, we need to do an apportionment to arrive at the cash equivalent. ITEPA 2003, s.143

Later on in this chapter we will look at the separate benefit that arises when an employer provides the employee with fuel for their private motoring. ITEPA 2003, s.149

17.2 List Price

We will now put all of these variables together into a company car proforma. Firstly, we will look at how to establish the list price of a car:

	£
List price when new	A
Add: Accessories	B
Less: Capital contributions (max £5,000)	(C)
Revised list price	D

We start with the **list price of the car** when new and to this we **add on the cost of any accessories** provided with the car. For example, if you buy a new car the garage will charge you extra if you want leather seats or a SatNav etc, so we need to add these items on. ITEPA 2003, ss.123 and 125

If an accessory is added to the car after it was first made available to the employee, we only need to add on the cost to the list price if the accessory cost at least £100. If not, we can ignore it. ITEPA 2003, s.126

The next step is to **deduct any capital contributions** made to the employer by the employee. A capital contribution is a one-off payment made by the employee to enable the employer to provide a better car. ITEPA 2003, s.132

List price, plus accessories, minus capital contributions gives a revised list price which in the proforma we have called 'D'.

With regard to **capital contributions**, the **maximum deduction** from the list price is **£5,000**. If an employee makes a capital contribution of £1,000, this amount is deducted from the list price. However, if an employee makes a capital contribution of £6,000, the list price is reduced by £5,000 only. ITEPA 2003, s.132(3)

17.3 Cash Equivalent

The basic cash equivalent is the **list price**, multiplied by a certain percentage. This percentage will depend on the amount of CO_2 emitted by the car. The maximum charge is **37%**. ITEPA 2003, s.139(2) and (3)

There are a number of points to note here. Firstly, the benefit depends on the **type of car** the employee has – generally, the more expensive the car, the higher the benefit. Secondly, employees who drive around in large cars with **high CO_2 emissions** will pay more tax than those who are more environmentally friendly and have use of cars with low emissions.

The list price multiplied by the appropriate percentage gives us the **basic cash equivalent**.

The benefit is reduced **if the car has not been available** to the employee **for the whole of the tax year**. For example, the employee may have been given use of the car part way through the year or they may have returned the car to the employer before the end of the year. We do a **pro-rata apportionment** by removing the number of months during which the car was not available to the employee. ITEPA 2003, s.143(1)

For example, if a taxpayer joined a company on, say, 1 January 2023 and was given use of a car on that date, that person will have had the car for only three months of 2022/23. We therefore remove 9/12ths of the car benefit.

As is the case for the vast majority of benefits, if the employee is required to make a contribution towards the benefit and actually does so, these contributions reduce the cash equivalent. This is quite common in practice as, with many car schemes, employees make monthly contributions to their employer for the use of the car. These reduce the taxable benefit, provided the payments are made by 6 July following the tax year for which the benefit is being calculated.

However, the payments must be **specifically for the private use of the car**. If the contribution is towards a specific aspect of the car's running costs, such as insurance, or is to enable an employee to have use of a more expensive car, then the payments will not be deductible. Agreements entered into in respect of payments in relation to a company car should therefore be structured carefully or are likely to be successfully challenged by HMRC. ITEPA 2003, s.144

We can now complete the proforma to find the car benefit for the tax year:

	£	£
List price when new (ignore any discounted price paid)		A
Add: Accessories		
– Cost in full if bought when new	x	
– Only include if cost ≥ £100 if bought later	x	
		B
Less: Capital contribution (max £5,000)		(C)
Revised list price		D
Car benefit:		
Revised list price × emissions based percentage (max 37%)		
– D × %		E
Less: Non-availability (number of months/12)		(F)
Less: Contributions for private use		(G)
Car benefit		H

17.4 Determining the Percentage

The next step is to determine the relevant percentage. List price is multiplied by a percentage which depends on the car's recorded CO_2 emissions. The higher the emissions, the higher the percentage. ITEPA 2003, s.133

Carbon dioxide emissions are measured in terms of the **grams per kilometre (g/km)** of gas emitted from the car.

If the car has **zero emissions**, the relevant percentage for 2022/23 is 2%.

For low emission cars with CO_2 emissions of **1–50g/km**, the relevant percentage is determined by the electric mileage range of the car. The relevant percentages for 2022/23 are:

Electric mileage range (per full charge)	Relevant %
130 or more	2
70–129	5
40–69	8
30–39	12
Less than 30	14

The legislation also states the relevant percentages for cars with CO_2 emissions between **51 and 74g/km**, as follows:

CO_2 emissions g/km	Relevant %
51–54	15
55–59	16
60–64	17
65–69	18
70–74	19

For cars with a CO_2 emissions figure of **75g/km or more**, the relevant percentage is **20%**. This is increased by 1% **for each additional 5g/km of CO_2 emitted above 75**.

For example, a car with recorded CO_2 emissions of 80g/km will be taxed using a percentage of 21% and so on. ITEPA 2003, s.139(3)

The formula for calculating the percentage is:

% = [(Emissions – 75) ÷ 5] + 20%

We take the CO_2 emissions of the car and deduct 75. We divide the result by 5 and add it to the minimum of 20% to give the relevant percentage. This is then multiplied by the list price of the car to give the basic cash equivalent.

The percentage can **never exceed 37%**. This rate will therefore apply for all cars with an emissions figure of 160g/km or above.

We can see that in 2022/23, the effect of the car benefit rules is that the relevant percentage increases by 1% for every 5g/km increase in emissions above 50g/km, until the 37% maximum is reached.

➢ Illustration 1

An employee has use of a company car with a list price of £20,000. Accessories were added to the car at a cost of £2,000 when first made available. The employee made a one-off capital contribution of £4,000 for the use of the car. The car has recorded CO_2 emissions of 150g/km.

Calculate the car benefit for 2022/23.

	£
List price	20,000
Add: Accessories	2,000
Less: Capital contribution	(4,000)
Revised list price	18,000
Cash equivalent	
18,000 × 35% [(150 – 75) ÷ 5 = 15 + 20]	6,300

17.5 Further Points

In reality, CO_2 emissions figures are **exact numbers** and are not rounded to the nearest whole multiple of 5. For tax purposes, we are allowed to **round down to the nearest 5g/km** when determining the benefit for cars with CO_2 emissions of 75g/km or more. ITEPA 2003, s.139(4)

For example, if a car has a CO_2 emissions figure of 199g/km, we would round this down to 195 to determine the percentage.

Note that when determining the percentage for a car with emissions of up to 50g/km, the actual rate must be 50g/km or less.

There is a **4% supplement** for cars which run on **diesel** – ie an additional 4% is added to the relevant percentage. This is because diesel engines are less environmentally friendly than petrol engines. The 4% supplement **cannot** take the relevant percentage **above the current maximum of 37%**. ITEPA 2003, s.141

Diesel cars which meet the Euro 6d emissions standard (often referred to as the Real Driving Emissions Step 2 (RDE2) standard) are exempt from the 4% supplement.

17.6 Non-Availability

The benefit is reduced if the employee does not have use of the car throughout the whole of the tax year. This will apply if an employee **joins** a company part way through the year and is given use of a car, or if an employee **leaves** the company and has to return the car. ITEPA 2003, s.143

Apportionment is done on a monthly basis by removing the benefit arising in the period in which the employee did not have use of the car.

If a car is being repaired or serviced, or having its MOT, a non-availability deduction can only be made if the car is off the road for a continuous period of **at least 30 days**. ITEPA 2003, s.143(2)

So, if the car is in the garage for one week having a few minor repairs, this will have no effect whatsoever on the car benefit calculation. However, if the car is involved in a serious accident and is off the road for, say, two months, we would take a non-availability deduction of two out of 12 months.

➢ Illustration 2

An employee has use of a company car with a list price of £12,000. The car has a CO_2 emissions level of 117g/km. The employee is given use of the new car for the first time on 1 July 2022. The employee makes contributions of £40 per month to the employer for the use of the car. The contributions are deducted from net pay at the end of each month.

During the year, the car was off the road for three weeks having some minor repairs after an accident.

Calculate the car benefit for 2022/23.

To calculate the benefit for 2022/23, the starting point is the list price of £12,000. We multiply this by a percentage based on the car's CO_2 emissions, which is 117g/km. As this is not exactly divisible by 5, we round down and use an emissions figure of 115 in the formula.

As the car was only available to the employee from 1 July 2022 – ie for nine months of the tax year – we must take a non-availability deduction for 3/12ths of the benefit. Note that no reduction has been made for the three weeks during which the car was being repaired as this period is less than 30 days.

The employee is required to make a contribution of £40 per month for the use of the car. As is the case for the majority of benefits, employee contributions act to reduce the cash equivalent. Relief is available for the nine payments made in the tax year.

	£
List price	12,000
Cash equivalent 12,000 × 28% [(115 – 75) ÷ 5 = 8 + 20]	3,360
Less: Non-availability (3/12 × 3,360)	(840)
Less: Contributions (40 × 9)	(360)
Benefit	2,160

17.7 More Than One Car

An employee may have use of two company cars or they may have one car for themself and a second car for a member of their family or household.

In this instance, the employee simply has **two benefits**, each calculated in the same way – ie using list price and CO_2 emissions.

Note that if a car is made available by an employer for a member of the employee's family, it is the **employee who will have the benefit, not the family member**.

17.8 Fuel Benefits

A **separate benefit** will arise where **private fuel costs** are reimbursed. If the employer only pays for fuel for business purposes, no benefit will arise. ITEPA 2003, ss.149 and 151(3)

If an employee is provided with fuel for private motoring, the taxable benefit is identified by using the formula below: ITEPA 2003, s.150

£25,300 × % based on CO_2 emissions

To calculate the appropriate percentage, we use exactly the same rules as above for car benefit purposes.

No fuel benefit will arise if an employee is required to reimburse the whole of the expense incurred by the employer in providing private fuel and actually does so. If the employee only makes a partial reimbursement, this will have no effect and the benefit will be calculated as above. Therefore, an employee contribution towards the costs of private fuel will not result in a 'pound-for-pound' reduction in the taxable amount as is the case for other benefits. ITEPA 2003, s.151(2)

The fuel benefit will be reduced if private use fuel is not provided to the employee for the whole of the tax year. However, if private fuel is withdrawn but then reinstated in the same tax year, the benefit charge will apply for the whole tax year. It is not possible therefore to opt in and out of the car fuel benefit during holidays, for example. ITEPA 2003, s.152

➢ Illustration 3

Ralf is provided with a new car by his employer on 1 October 2022. The car has a list price of £15,000 and CO_2 emissions of 127g/km. All fuel costs are met by the company. The costs of private fuel amounted to £2,000 of which Ralf reimbursed £750.

Calculate the taxable benefits for 2022/23.

The taxable benefits in 2022/23 are:

	£
Car 15,000 × 30% [(125 − 75) ÷ 5 = 10 + 20]	4,500
Less: Non-availability (4,500 × 6/12)	(2,250)
Car benefit	2,250
Fuel benefit 25,300 × 30% × 6/12	3,795
Total	6,045

There is no reduction for partial reimbursement of private fuel. Note that a reduction would have been made if Ralf had contributed £750 in 2022/23 as a condition stipulated by the employer for the car being available for private use (rather than for the fuel costs directly). (Don't do fuel contribution)

Note that **electricity is not a fuel** and therefore the above fuel benefit calculation does not apply. If the employer provides a workplace charging point for electric company cars or pays for a vehicle charging point to be installed at an employee's home in respect of an electric company car, this is not a taxable benefit.

EXAMPLES

❖ Example 1

Eddie is provided with use of a Jaguar car by his employer for the whole of 2022/23. The list price is £32,000 and CO_2 emissions are 153g/km.

Eddie uses the car for both business and private purposes.

Eddie paid £50 per month in 2022/23 for the private use of the car. All his petrol costs are met by the company.

Calculate Eddie's taxable benefit.

❖ Example 2

Jensen had the use of a Volvo car for several years (list price £12,000 and CO_2 emissions of 103g/km). The Volvo runs on diesel. On 1 July 2022 his employer exchanged the Volvo for a new Mitsubishi Outlander plug-in hybrid (list price £40,000, CO_2 emissions of 46g/km and an electric range of 25 miles). The company reimburses Jensen for business fuel costs only. Jensen uses the car for both business and private purposes.

Calculate Jensen's taxable benefit for 2022/23.

ANSWERS

✓ Answer 1

	£
List price	32,000
Cash equivalent	
32,000 × 35% [(150 − 75) ÷ 5 = 15 + 20]	11,200
Less: Employee contributions (12 × 50)	(600)
Car benefit	10,600
Add: Fuel benefit (25,300 × 35%)	8,855
Taxable benefits	19,455

✓ Answer 2

	£	£
Volvo (3 months) – list price £12,000		
Cash equivalent		
12,000 × 29% [(100 − 75) ÷ 5 = 5 + 20 + 4]	3,480	
(4% supplement as runs on diesel)		
Less: Non-availability (3,480 × 9/12)	(2,610)	
		870
Mitsubishi Outlander (9 months) – list price £40,000		
Cash equivalent		
40,000 × 14% (1–50g/km; electric range < 30 miles)	5,600	
Less: Non-availability (5,600 × 3/12)	(1,400)	
		4,200
Total benefit		5,070

No benefit regarding fuel as only business fuel was reimbursed; no private fuel.

CHAPTER 18

LIVING ACCOMMODATION – TAXABLE BENEFITS

By the end of this chapter you will understand:
- how to calculate living accommodation benefits
- what qualifies as job-related accommodation and what that means
- the different rules for rented and employer-owned accommodation
- the special rules for accommodation costing more than £75,000
- the special 'six year' rule
- the tax treatment of household expenses paid for by the employer

18.1 Introduction

If a house, flat or any property that is owned or rented by the employer is made available for use by an employee, there will be a taxable benefit for the employee as they are occupying a property provided to them by their employer.

The way that the benefit is taxed depends on whether the accommodation is 'job related' or 'non-job related'.

18.2 'Job-Related' Accommodation

If an employer provides an employee with accommodation for the performance of duties, in certain circumstances there is no benefit arising to the employee on the use of that accommodation. This is commonly referred to as 'job-related' accommodation. ITEPA 2003, s.99

Job-related accommodation is accommodation which is **'necessary'** for the proper performance of the job. Employees such as **caretakers** on call outside normal working hours and lock-keepers will live in job-related accommodation. In other words, the employee can demonstrate that the occupation of the property is **essential** for the proper performance of the duties. Typically these are employees who are normally required by their employers to live on site in order to do their job.

Job-related accommodation also covers situations where accommodation is provided, for the **'better performance'** of the employee's duties and it is **customary** for employers to provide living accommodation to such employees. For example, it is customary to provide staff at a boarding school with accommodation on the school premises. This would constitute job-related accommodation. Another example would be the manager of a public house living on the premises.

Finally, if accommodation is provided by the employer because there is a threat to the employee's physical **'security'**, there will also be no benefit to the employee. This is only likely to apply where an employee is under a special threat to their security. ITEPA 2003, s.100

18.3 Rented Accommodation

For the rest of this chapter we are going to look at how we calculate the benefits where the accommodation provided to the employee is not job related. We will start by looking at how we calculate the cash equivalent where the **property is rented by the employer**.

The benefit – ie the cash equivalent – is **the higher of the rents paid by the employer** for the use of the property **and the annual value of the property**. ITEPA 2003, s.105(4)

The 'annual value' of living accommodation is defined as the **rent** which might **reasonably be expected to be obtained on letting the property** if the tenant paid all the usual household bills and the landlord met all repair and maintenance costs. The 'annual value' will be provided for you in the examination. As with most benefits, this amount will be reduced where the accommodation is not available for the whole year. ITEPA 2003, s.110

In practice, HMRC will often use the **gross rateable value** of the property under the old rating system as the annual value. This will be much lower than the annual value as defined in ITEPA 2003. If the property has no rateable value (for example, because it was built recently), an estimate must be made. Any disputes as to the amount of the annual value will be dealt with by the First-tier Tribunal.

We then deduct any **employee contributions** – ie any rents paid by the employee to the employer for the use of the property. This will give us the cash equivalent.

Higher of:

Rents paid by employer Annual value of property	X
Less:	
Employee contributions	(X)
Taxable benefit	X

Remember that this method of calculating the benefit only applies where the employer is **renting** the accommodation from another landlord.

Where a lease premium is paid for a lease of ten years or less, the amount of the premium will be treated as rent paid by the employer. This prevents an employee being taxed on a small benefit amount as a result of the employer entering into arrangements whereby an up-front amount is paid as a 'lease premium' and only small amounts of rent are paid. No advantage is obtained as the up-front payment is treated as rent paid.

In any tax year, the annual rent paid by the employer will be calculated as ITEPA 2003, s.105A

Lease premium/Length of lease + Actual rent paid

Illustration 1

Duncan is provided with a flat by his employer on 1 June 2022 (not job-related accommodation). His employer leased the property for a period of eight years commencing 1 June 2022. The employer paid a premium of £40,000 and pays rent of £100 per month. The annual value of the property is £1,000.

Calculate the taxable benefit for 2022/23.

The taxable benefit will be calculated as follows:

Higher of:

i. Rent paid by employer

[(40,000/8) × 10/12] = 4,167 + (10 × 100) = £5,167

Note that the accommodation is only available to Duncan for ten months and so only ten months of rent is potentially assessable.

ii. Annual value

1,000 × 10/12 = £833

Therefore, Duncan will be assessed on £5,167.

18.4 Employer-Owned Accommodation

There are similar rules where the **employer owns the accommodation** being made available to the employee.

Again, the starting point in calculating the benefit is the annual value. If the **accommodation cost the employer not more than £75,000**, then the benefit is equal to the annual value. ITEPA 2003, s.105(2)

If the house cost the employer **more than £75,000**, there will be an additional benefit to the employee, called the additional yearly rent – this **extra benefit** will be **added to the annual value** to give the total benefit. ITEPA 2003, s.106

To calculate the additional yearly rent we start by taking the cost of the accommodation – 'cost' means the original cost plus any improvements. From this we **deduct £75,000**, and **multiply** the difference by the **'ORI'**, which is HMRC's official interest rate at the **start of the tax year**.

When calculating the 'cost' of the property, only improvements carried out before the beginning of the tax year are taken into account. Improvements undertaken during the year will affect the 'cost' used in calculating the benefit for the following year. ITEPA 2003, s.104

If the employee makes a contribution towards the benefit, this can be deducted in arriving at the taxable cash equivalent.

If employee contributions exceed the amount of the benefit, no loss will arise. The result is simply a benefit of zero.

Annual value	X
Add: Additional yearly rent if cost > 75,000	
(Cost – 75,000) × ORI at start of year	X
	X
Less: Employee contributions	(X)
Taxable benefit	X

➢ Illustration 2

An employee lives in accommodation that is owned by their employer. The house cost the employer £160,000 and has an annual value of £1,000. The employee pays rent to the employer of £100 per month for the use of the house. Assume the official rate of interest is 2%.

Calculate the taxable benefit.

The taxable benefit that will be entered onto the employee's form P11D will be as follows:

	£
Annual value	1,000
Add: Additional yearly rent (160,000 – 75,000) × 2%	1,700
	2,700
Less: Employee contributions (100 × 12)	(1,200)
Taxable benefit	1,500

18.5 The 'Six Year' Rule

The 'six year' rule applies when a house was bought by an employer and is made available for use by the employee **more than six years after it had been first acquired**. The additional yearly rental in respect of accommodation will not be based on cost. Instead, the charge will be based on the market value of the house on the date the property was made available to the employee. ITEPA 2003, s.107

In effect we are substituting market value in place of original cost. Note that this rule only applies where there are more than six years between the property being acquired by the employer and it being made available to the employee.

➢ Illustration 3

An employee was provided with a house by their employer in June 2014. They pay £100 a month for use of the house. The house had been purchased for £200,000 in 2005 and has an annual value of £1,000. The house had a market value of £240,000 in June 2014. Assume an official rate of interest of 2%.

Calculate the taxable benefit for 2022/23.

The benefit will be calculated as follows:

	£
Annual value	1,000
Add: Additional yearly rent (240,000 – 75,000) × 2%	3,300
Less: Employee contributions	(1,200)
Taxable benefit	3,100

As house prices normally rise over time, we would expect the original cost to be **less** than a later market value. However, if property prices fall such that when the employee moves in more than six years later, the market value is less than original cost, **this market value of the property will still be used to calculate the benefit** even though it is less than original cost.

If the original cost of the accommodation is **not more than £75,000**, there will **not be additional yearly rent**, regardless of current market value. For example, if a company buys a house in London in the 1960s for, say, £20,000, and the employee is given use of the property today when the house is worth, say, £1,000,000, there is no additional charge because the original cost is below the £75,000 threshold. ITEPA 2003, s.107(1)(b)

If the **house is not made available** to the employee **for the whole of the tax year** – ie the employee moves in or moves out during the year – the benefit needs to be apportioned. Apportionment can be done on a monthly basis.

18.6 Household Expenses

If the **employer pays** any household bills on behalf of the employee – for example, **gas, electricity** and **cleaning bills** etc – this will give rise to an additional and **separate benefit**. This benefit is calculated by taking the cost to the employer of paying these particular bills.

No chargeable benefit arises in respect of the cost of any structural alterations paid for by the employer as this is the employer's responsibility. The cost of any improvements will of course be taken into account when determining the 'cost' of the property in future years.

EXAMPLES

❖ Example 1

Nasib has lived for several years in a company-owned flat. The flat cost the company £150,000 in 2016. The annual value is £800 and Nasib pays rent of £150 per month. Nasib moved out of the flat on 1 January 2023 and bought his own house.

Calculate Nasib's taxable benefit in 2022/23 assuming that the official interest rate is 2%.

ANSWERS

✓ Answer 1

	£
Annual value	800
Add: Additional yearly rent: (150,000 – 75,000) × 2%	1,500
	2,300
× 9/12 (6.4.22 to 1.1.23)	1,725
Less: Employee contributions (150 × 9)	(1,350)
Taxable benefit	375

CHAPTER 19

LOANS TO EMPLOYEES AND USE OF ASSETS

By the end of this chapter you will understand:
- how to calculate the benefit where an interest-free or low-interest loan is provided by the employer
- when a loan benefit will not arise
- how to calculate the benefit for use of an employer-owned asset
- how to calculate the benefit for an asset transferred from employer to employee

19.1 Loans to Employees

When a company lends money to an employee, this is likely to give rise to a taxable benefit called a taxable cheap loan. The cash equivalent of the benefit is calculated using HMRC's official rate of interest. If no interest is charged or the interest rate is less than the official rate of interest, the cash equivalent is the difference between the interest that would have been payable at the official rate of interest and any interest which is paid. ITEPA 2003, ss.173–191

There are two ways in which we can calculate the cash equivalent. The first is by using the normal or **average method**, and the second uses the alternative **strict method**. The average method is perhaps more commonly used, although either the taxpayer or HMRC can insist that the strict method is used instead. ITEPA 2003, ss.182 and 183

The employee will have no taxable benefit if the aggregate of all loans outstanding throughout the tax year is £10,000 or less. Therefore, if the employer makes one loan to the employee and throughout the tax year this **loan never exceeds £10,000, the taxable benefit is zero**. ITEPA 2003, s.180

This provision is intended to exempt such things as season ticket loans, so for those of you who travel to work on public transport and have an annual travel card obtained via a loan from your employer, as long as the travel card costs **£10,000 or less** (and you don't have any more loans), you will not have a taxable benefit.

Note here that the **£10,000 rule refers to the aggregate of all loans** in the year – this is to prevent an employer abusing the rules by offering a series of loans to the same employee, each of just under £10,000. ITEPA 2003, s.180(2)

19.2 Average Method

Under the average method we start by taking the loan outstanding at the **start** of the tax year – ie at 6 April – and to this we will add on the loan outstanding as at the **end** of the tax year – ie at the following 5 April. Having added these together, we divide by two to give the **average loan outstanding** during the year. ITEPA 2003, s.182

Having arrived at the average loan for the year, we multiply this by HMRC's average official rate of interest (ORI) for the year.

(Loan at 6 April + Loan at 5 April)/2 × Average ORI for tax year

It is possible that a loan is only outstanding for part of the tax year – for example, the employer may make a loan to an employee part way through the year or a loan may be completely repaid during the year. We start by using the amount of the loan outstanding at the start of the tax year or **at the point it was made** if later. We then add on the amount of the loan outstanding at the end of the tax year or **at the point it was repaid** if earlier. The cash equivalent is calculated by applying interest at the official rate to the average amount and apportioning the result for the **number of complete tax months** that the loan was outstanding in the tax year.

If the employee is required to make some sort of contribution – ie if the **employee** pays some interest to the employer on the loan – these **contributions reduce the cash equivalent**.

19.3 Strict Method

Under the strict method we **simply calculate interest on a daily basis** on the exact amounts of the loan outstanding during the tax year. For exam purposes, we work to the nearest month. ITEPA 2003, s.183

Either the taxpayer or HMRC can insist that the strict basis be used instead of the average basis. ITEPA 2003, s.183(1)

If the strict basis gives a lower cash equivalent than the average basis, the taxpayer would be advised to elect for this strict basis to apply. Alternatively, if the strict basis gives rise to a higher benefit, you would expect HMRC to insist that we use this strict basis.

However, HMRC will only insist on the strict basis if the average basis gives a **significantly distorted result** – if there is only a few pounds difference between the two, HMRC will not insist on the strict basis.

➢ Illustration 1

Paul borrowed £100,000 from his employer in 2016 and used the money to buy his house. The loan is interest free, so Paul is not required to make any employee contributions. Paul repaid £20,000 of the loan on 1 December 2022.

Calculate the benefit using both the average basis and the strict basis. Assume an official rate of interest of 2%.

Average basis:	£
(100,000 + 80,000)/2 = 90,000 × 2%	1,800
Strict basis:	
100,000 × 8/12 × 2%	1,333
80,000 × 4/12 × 2%	533
	1,866

Either HMRC or the taxpayer can insist on the use of the strict basis. It makes no sense for Paul to make an election here as the strict basis gives a higher benefit. HMRC will only insist on using the strict basis – ie on taxing the £1,866 – if they feel that the average basis had significantly distorted the benefit.

Here, HMRC would not bother, so the average basis would be used. The taxable cash equivalent would therefore be £1,800.

If a loan (whether or not a cheap loan) is released or **written off** by the employer, the amount released or written off is **treated as earnings**.

19.4 Use of Employer's Assets

If an **employer lends an asset** to an employee, this will give rise to a **taxable benefit**. Note that the employer is allowing the employee to use the asset – ownership of the asset remains with the employer and does not transfer to the employee. ITEPA 2003, s.205

The benefit is the higher of:

a. the annual value of the use of the asset; or

b. the sums paid by the employer in providing the asset by way of rent or hire charge.

The 'annual value' referred to above is **20% of the market value** of the asset at the time it was first made available to an employee.

If the **employee makes a contribution** – ie they pay some sort of rent to the employer for the use of the asset – we can **deduct** this to arrive at the taxable cash equivalent.

If the asset is lent to the employee part way through the year or is only available for part of the year, having calculated the basic cash equivalent, we must then **apportion** this for the number of months in the year in which the employee had use of the asset. ITEPA 2003, s.205A

This rule will often apply in relation to furniture provided by the employer in living accommodation made available to the employee.

It is possible that an asset made available to an employee may be shared with another employee; for example, a company yacht may be concurrently available to more than one employee. In this situation, the amount of the benefit for a particular employee is calculated using the normal rules but then reduced on a 'just and reasonable' basis to take account of the fact that the asset is shared. So, the benefit could be split between the employees based on the days it was available. ITEPA 2003, s.205B

Because the asset remains the property of the employer, at some point the employee will be required to give it back. If the employee doesn't return the asset to the employer – ie the employer allows the employee to keep the asset – there will be a taxable benefit on this transfer.

19.5 Transfer of Assets

If an asset which has been lent to an employee is subsequently given to an employee, the benefit will be the higher of: ITEPA 2003, s.206

a. the market value of the asset at the date it was transferred to the employee; or

b. the market value of the asset at the date it was originally lent to an employee reduced by any amounts which have been charged to tax in respect of an employee's use of the asset.

Section 206 ITEPA 2003 contains a 'step-by-step' approach in how to compute this benefit.

HMRC will take whichever is the **higher** and will tax this figure. Any payments made by the employee to the employer for the transfer of the asset can be deducted.

➢ Illustration 2

An employer lends a painting to an employee on 1 January 2020. At this date the painting was worth £100,000.

On 30 September 2022, the employer allows the employee to keep the painting. It is worth £40,000 at this point.

Calculate the taxable benefit for 2022/23.

Benefit for use of painting

		£
2019/20	100,000 × 20% × 3/12	5,000
2020/21	100,000 × 20%	20,000
2021/22	100,000 × 20%	20,000
2022/23	100,000 × 20% × 6/12	10,000
		55,000

Benefit for transfer of painting, higher of:

		£	£	£
a)	Market value at transfer		40,000	
b)	Original market value	100,000		
	Less: Already charged for use	(55,000)		
			45,000	
			ie 45,000	

Benefit for use in 2022/23 (from above)	10,000
Benefit on transfer	45,000
Total benefit in 2022/23	55,000

19.6 Transfers of Cars or Houses

The rules above on transfers of assets **do not apply** when assets such as **cars** or **houses** are given to employees.

Where an employee has use of a company car and at a later date that car is transferred to the employee, the benefit is the **market value of the car** at the date of the transfer minus any payments made by the employee for the transfer of the car. The rules regarding amounts previously charged to tax do not apply here.

This arrangement commonly applies as part of a termination agreement. If an employee is made redundant, to soften the blow the employer may allow the ex-employee to keep their company car.

The same rule applies to transfers of houses.

19.7 Use of Computers

If 'computer equipment' is lent by an employer to an employee and the employee uses that equipment for private purposes, this will give rise to a taxable benefit. The benefit is calculated using the '20% rule' as described above.

'Computer equipment' includes printers, scanners, modems and other similar devices, as well as the right to use computer software. It does not, however, include 'access to, or the use of, public electronic communications' (for example, line rental to facilitate use of the internet).

If computer equipment is provided to an employee **solely for business use**, there is **no taxable benefit**.

A more difficult issue arises when an employee uses the computer equipment partly for business and partly for non-business purposes.

To calculate the annual benefit, we apply the following steps:

1. Calculate the benefit using the 20% rule.

2. Deduct the business proportion to calculate the taxable benefit.

➢ Illustration 3

Chancery Ltd provides James, an employee, with a desktop computer, with printer, scanner and integrated software. The package cost the company £8,000. James occasionally works from home and uses the equipment 70% of the time for business purposes.

Calculate the taxable benefit.

The taxable benefit is as follows:

	£
Basic cash equivalent (8,000 × 20%)	1,600
Less: Business use (70% × 1,600)	(1,120)
Taxable benefit for private use	480

However, no liability to tax will arise where the reason for supplying the equipment is to enable the employee to perform the duties of the employment and the employee's private use 'is not significant'. ITEPA 2003, s.316(2)

EXAMPLES

❖ Example 1

Ron borrowed £50,000 from his employer to buy his house on 1 May 2022. The loan is interest free. On 1 August 2022, Ron borrowed a further £40,000 to add an extension.

Calculate Ron's taxable benefit for 2022/23, assuming an official interest rate of 2% throughout.

❖ Example 2

Lesley borrows a wide screen TV and DVD player from her employer on 30 September 2021. The equipment was worth £800 at that date.

On 1 July 2022, Lesley bought the equipment from her employer for £200. It was worth £450 at that date.

Calculate Lesley's taxable benefit for 2022/23.

ANSWERS

✓ Answer 1

	£
Average method	
[(50,000 + 90,000)/2] = 70,000 × 2% × 11/12	1,283
Strict method	
50,000 × 2% × 3/12	250
90,000 × 2% × 8/12	1,200
	1,450

HMRC may elect for the strict basis as the average basis distorts the benefit.

✓ Answer 2

Benefits for use

	£
2021/22: 800 × 20% × 6/12	80
2022/23: 800 × 20% × 3/12	40
	120

Transfer of equipment

		£	£
Higher of:			
a)	Market value at transfer		450
b)	Original market value	800	
	Less: Already charged	(120)	
			680

2022/23

	£
Use of asset	40
Transfer of asset	680
Less: Paid by employee	(200)
Total taxable benefit	520

CHAPTER 20

MISCELLANEOUS BENEFITS AND OTHER POINTS

By the end of this chapter you understand:
- the benefit for an employer-provided van and fuel
- when vouchers give rise to benefits
- how to treat mileage allowances received
- childcare benefits
- tax-exempt benefits
- optional remuneration arrangements
- PAYE Settlement Agreements

Benefits and exempt benefits can be found in ITEPA 2003. The contents page is particularly useful, acting as a memory jogger and helping you to navigate this Act.

20.1 Vans

Where an employer allows an employee exclusive use of an employer-owned van, there will generally be a taxable benefit. A 'van' in this context is a mechanically propelled road vehicle which is a goods vehicle weighing not more than 3.5 tonnes. ITEPA 2003, s.115(1)

As a van is not a car, we do not use the company car rules to calculate the benefit.

There is no taxable benefit where a **zero emission van** is provided to an employee. ITEPA 2003, s.155(1B)

For all other vans provided with unrestricted private use, the amount of the benefit for 2022/23 is **£3,600**. ITEPA 2003, s.155(1)

The charge is **apportioned** if the van is not available for the whole of the year.

If the employee's private use of the van is **'insignificant'**, there is no taxable benefit. ITEPA 2003, s.114(3A)

A taxable benefit only arises in respect of an employer-provided van if there is unrestricted private use. If the **'restricted private use' condition** is met, there is no taxable benefit. The restricted private use condition is met if the terms on which the van is provided to the employee **prevent private use other than ordinary commuting** and the primary reason the employee has the van is because they need it for **business travel** in the course of their job. ITEPA 2003, s.155(4)–(7)

Where there is a chargeable benefit in respect of an employer-provided van, there will also be an annual **charge of £688** where **free or subsidised fuel** is provided by the employer for **private use** by the employee. ITEPA 2003, s.161

There is no reduction in the benefit where an employee makes a contribution towards private fuel for the van.

20.2 Mobile Phones

If an employer provides an employee with a **mobile phone**, this is a **tax-exempt** benefit even if the employer is paying for the employee's personal telephone calls. It is common in practice for employees, particularly those who are not office based, to be provided with a company mobile phone. HMRC recognise that there will inevitably be some personal calls made by the employee but they have chosen not to treat this as a taxable benefit. ITEPA 2003, s.319

The exemption only covers the **'provision of one mobile telephone for an employee'**. Therefore, if an employee has their own mobile phone and the employer reimburses any private calls or standing charges, there will be a taxable benefit equal to the cost to the employer of reimbursing such expenses.

The number of mobile phones that can be loaned without giving rise to a benefit is restricted to **one per employee**.

There is no exemption for phones made available to members of the employee's family or household.

20.3 Vouchers

If an employer provides vouchers to an employee – for example, a high street store voucher – there will be a taxable benefit. The cash equivalent will be the **cost to the employer of providing the voucher** to the employee. This is common at Christmas where employers often give bonuses to employees in this form. ITEPA 2003, s.87

Similarly, if an employee is provided with some form of 'credit token' – for example, a credit card, debit card or other token or document giving the employee the right to obtain goods or services – the cost of the goods or services less any amount made good by the employee will be a taxable benefit for the employee. ITEPA 2003, s.90

20.4 Mileage Allowances

Mileage allowances will be paid when an **employee uses their own car for work** purposes. When an employer pays a mileage allowance to the employee, the employer is reimbursing that employee at a fixed amount per mile for using the employee's own car. The mileage allowances rules do not therefore apply to employer-owned vehicles. ITEPA 2003, s.229

HMRC want to make sure that the employee is not making a profit from the mileage allowance paid to them. If there is a **profit** – ie the cost to the employee of using their car is less than the allowance paid – HMRC will **tax that profit** as employment income.

To work out the profit, HMRC have **tax-exempt limits** which we need to apply. If allowances are paid above these limits, the employee will be making a profit; if allowances are paid below these limits, the employee will be making a loss.

The tax-exempt limits **depend on the employee's business mileage** in the year. Business mileage does **not include travelling from home to work**. If an employer reimburses an employee's travel costs from home to work, this will be a fully taxable benefit.

The limits for 2022/23 are reproduced below:

Vehicles	**First 10,000 business miles**	**Additional business miles**
Cars or vans	45p	25p
Motorcycles	24p	24p
Bicycles	20p	20p

These rates apply to electric cars in the same way.

Note from the table that the tax-exempt limits change once the business mileage threshold of 10,000 miles has been exceeded.

The point of this scheme is to determine whether the employee is making a profit or loss from using his own car for work. To determine the profit, we simply take the allowance reimbursed and deduct the tax-exempt limit. **Profits are taxable** whilst **losses are deductible**.

Illustration 1

An employee uses their own car for occasional business journeys. In the tax year the employee did 15,000 business miles. Their employer reimburses them at a fixed rate of 60 pence for every business mile travelled.

Calculate the taxable profit.

The calculation is as follows:

	£
Reimbursed: 15,000 × 60p	9,000
Less: Tax-exempt limits	
10,000 × 45p	(4,500)
5,000 × 25p	(1,250)
Taxable profit	3,250

Illustration 2

Assume the employee in the illustration above was reimbursed at a lower rate of 20 pence per mile.

Calculate the deduction allowable.

The calculation is as follows:

	£
Reimbursed: 15,000 × 20p	3,000
Less: Tax-exempt limits	
10,000 × 45p	(4,500)
5,000 × 25p	(1,250)
Loss (deductible from earnings)	(2,750)

The taxpayer is allowed to deduct this loss from their other taxable earnings for the year. ITEPA 2003, s.231

In practice, many employers make sure that they reimburse their employees at a rate **exactly equal to the tax-exempt limits**, so year on year, employees using their own cars for business purposes will have neither a profit nor a loss.

For Class 1 NICs purposes, a rate of 45p per mile is used irrespective of the number of miles travelled.

20.5 Childcare

The **provision by an employer of a crèche or nursery** for employee's children is a **tax-exempt benefit**. ITEPA 2003, s.318

There is also a limited exemption where the employer supports childcare by way of **childcare vouchers** or **contracts with an approved childcare provider**, such as a commercial nursery.

However, as a result of the government's 'Tax-Free Childcare' scheme, the employer schemes **closed to new entrants from 4 October 2018**. Employees who joined an employer scheme (and in the case of voucher schemes received a voucher) before this date can continue to benefit from the limited exemption as long as the employer continues to offer the scheme (or until the employee changes employer). Relief will not be available if the employee participates in the Tax-Free Childcare scheme.

Prior to 2011/12, where childcare was supported by the employer by way of **childcare vouchers** (or the employer contracted with an approved childcare provider), the **first £55 per week of the benefit** was an exempt benefit for all taxpayers. ITEPA 2003, ss.270A and 318A

These rules continue to apply where the employee joined the employer-supported childcare scheme before 6 April 2011.

Where an employee **joined a scheme on or after 6 April 2011 and before 4 October 2018**, the level of relief available depends on the rate of tax paid by the employee. The exemption is **£55 per week for basic rate taxpayers, £28 per week for higher rate taxpayers** and **£25 per week for additional rate taxpayers**. This ensures that higher and additional rate taxpayers receive the same amount of income tax relief available to basic rate taxpayers.

The rate of tax paid for these purposes **only takes into account an employee's earnings from the employment**. So, if the employee's earnings are within the UK basic rate band, the £55 exemption will apply even if the employee has investment income of £50,000 and is in fact a higher rate taxpayer.

20.6 Tax-Free Childcare Scheme

Under the Tax-Free Childcare scheme operated by the government, parents set up an **online account which is used to pay for approved childcare**, such as a registered childminder, nursery or club. There is no involvement from the employer.

Contributions to an account are 'topped up' by **25% of the contribution**, up to a maximum top-up of **£2,000 per annum per child**. This is increased to a maximum of £4,000 in respect of a disabled child.

So, if £5,000 is contributed to an account in a year, a top-up payment of £1,250 (£5,000 @ 25%) will be added to the account. This effectively gives tax relief at 20% on the gross income used to make the contribution. Gross income of £6,250 suffers tax at 20%, being £1,250, giving net income of £5,000 which is paid into the account and which attracts a 25% top-up payment of £1,250, ie the basic rate tax suffered. Hence the name of the scheme – Tax-Free Childcare.

If funds are withdrawn from the account (so not used to pay for childcare) the withdrawn funds are not eligible for the top-up payment.

Only one account can be opened for a child. Where a parent has more than one child, a separate account is required for each. The child must normally live with the person opening the account.

Top-up payments are only made in respect of a child up to 1 September following their 11th birthday (16th birthday if the child is disabled).

The person opening the account must be in paid work in order to qualify for the scheme. There is a minimum earnings requirement of 16 hours per week at the national living wage (or national minimum wage if under 23). If adjusted net income exceeds £100,000 per annum, the person is not eligible to use the scheme.

If the person remains a member of their employer's childcare voucher scheme (or where the employer contracts with an approved childcare provider), then they will not be eligible to participate in the scheme. This is also the case if the person is claiming working tax credit, child tax credit or universal credit.

Where the person opening the account is part of a couple, the above conditions apply to both partners.

20.7 Tax-Exempt Benefits

There is a long list of benefits which are completely exempt from tax. Here we will pick up some of the more familiar **tax-exempt benefits**.

One of the most valuable benefits that employees receive from their employers is an **employer's contribution to the employee's pension** scheme. This is exempt from tax as long as the pension scheme is a registered scheme. ITEPA 2003, s.307

Therefore, if an employer pays into either the employee's occupational pension scheme or the employee's personal pension scheme, no taxable benefit will arise. The level of employer's contributions is irrelevant.

The provision of a **mobile phone** and **associated calls** is a tax-exempt benefit. ITEPA 2003, s.319

The **reimbursement of removal expenses is exempt, up to** a maximum amount of **£8,000**. For example, if an employee is transferred to another office and the employer pays the relocation expenses, no taxable benefit will arise as long as the cost of the move is not more than £8,000. ITEPA 2003, s.287

The exemption applies to 'removal benefits' and to the 'payment or reimbursement of removal expenses'. Such expenses will qualify if they are 'reasonably provided in connection with a change in the employee's residence' – ie in respect of a change in the duties and/or location of the employment or on the employee becoming employed. ITEPA 2003, ss.271 and 273

Qualifying removal expenses will include the following: ITEPA 2003, ss.277–285

- Legal fees in connection with the acquisition of a new residence (including stamp duty land tax).

- Any such abortive acquisition costs.
- Legal fees in connection with the disposal of a former residence.
- Costs of transporting belongings (including temporary storage costs).
- Travel and subsistence for the employee (and family) to visit the new area.

A detailed breakdown of allowable costs is given at ss.277–285 ITEPA 2003.

Qualifying removal expenses will also include the additional interest paid on a bridging loan taken out between buying a new property and disposing of an old one. ITEPA 2003, s.284

The provision of **'workplace parking'** is a tax-exempt benefit. This covers not just a space in the employer's car park but would also extend to the costs of a season ticket at a public car park close to work. Similarly, the provision of **motorcycle or bicycle spaces** at or near work is a tax-exempt benefit. ITEPA 2003, s.237

Subsidised staff canteens are tax-exempt benefits as long as the canteen facilities are available to all employees. Therefore, if a company has a canteen or restaurant that is reserved for use by senior executives only, those executives will have a taxable benefit on the costs of the free or subsidised meals provided. This exemption will not be available if the provision is part of a salary sacrifice or other flexible benefit arrangement. ITEPA 2003, s.317

Incidental expenses paid by an employer to employees working away from home are tax-exempt up to a daily limit. These limits are **£5 per night** while **working in the UK** and **£10 per night** whilst **working abroad**. ITEPA 2003, ss.240 and 241

The provision of **work-related training** is an exempt benefit. ITEPA 2003, ss.250 and 251

The provision by the employer of a **Christmas party** or other similar annual function for the employees will not give rise to a taxable benefit for the employees as long as the costs of the party did not exceed **£150 per head**. This will mean that for most office parties, there will be no corresponding tax charge on the employees. ITEPA 2003, s.264

However, if the employer throws a particularly lavish party which costs, say, £200 per head, each employee will be taxed on the full £200, in respect of themselves and any of their family members who attend, not just the excess over £150. It is an 'all or nothing' benefit.

Awards by an employer to an employee from a **staff suggestion scheme** are generally tax-exempt provided that the award does **not exceed £5,000**. ITEPA 2003, ss.321 and 322

Long service awards of up to **£50 per year of service**, as long as the **employee** had **at least 20 years' service** with the same employer, are also exempt. This exempts **gifts** such as gold watches etc to a **long serving employee on retirement**. ITEPA 2003, s.323

This covers the most common tax-exempt benefits but it is by no means a definitive list.

Other benefits which are tax exempt include the following:

- The provision of charging facilities for an employee's **own car** at or near the workplace. ITEPA 2003, s.237A
- The provision of charging facilities for a **company car** at the employee's home or workplace.
- The first **£500 of advice** provided by the employer in a tax year in relation to the employee's **pension arrangements** or use of pensions funds, provided the advice is provided under a scheme made available to all employees (or all employees at a certain location) or all employees who are within five years of retirement age or retiring due to ill health. ITEPA 2003, s.308C

20.8 Exemption for Trivial Benefits

There is a statutory exemption for **'trivial benefits'**. ITEPA 2003, s.323A

A benefit is a 'trivial benefit' if **the cost of providing the benefit does not exceed £50**. If the cost exceeds £50, the full amount will be taxable.

Cash or cash vouchers cannot be trivial benefits. In addition, the benefit cannot be provided as part of a contractual obligation, including a salary sacrifice arrangement, or in recognition of particular services carried out by an employee. In other words, the exemption only applies if **the benefit is provided for a non-work reason**.

Examples of when the exemption would apply include sending flowers to an employee on an event such as a birthday or birth of a child, provision of a present at Christmas, and seasonal flu jabs.

20.9 Optional Remuneration Arrangements

The legislation applies where a benefit is provided to an employee under an **'optional remuneration arrangement' (OpRA)**. The term 'optional remuneration arrangement' applies to two types of arrangement, Type A and Type B.

With Type A arrangements, the employee **gives up a right to receive 'earnings', ie salary, in return for a benefit**. This means that salary sacrifice arrangements are within the rules.

A salary sacrifice takes place when an employee agrees to give up the right to part of the cash remuneration due under their contract of employment in return for the employer agreeing to pay a non-cash benefit instead.

Type B arrangements are where the employee **chooses to receive a benefit rather than an amount of salary**. So, for example, if an employee can choose to receive either a cash allowance or a company car and chooses the company car, the legislation will apply. ITEPA 2003, s.69A

Where the legislation applies, the actual amount taxed in respect of the provision of the benefit will be **the higher of** the **cash amount** that the employee would have received **or** the **taxable benefit amount** determined under the benefit rules. The higher amount will also be subject to Class 1A NICs (not Class 1). The taxable amount will be reported on form P11D (unless the employer has registered to report and tax benefits via payroll).

Where salary is exchanged for an **exempt benefit** (for example, the provision of a mobile phone) **the taxable benefit amount under the benefit rules is deemed to be nil**. So, in this case, the employee will always be taxed on the amount of salary foregone. ITEPA 2003, s.103A(5); ITEPA 2003, s.203A(5)

➢ Illustration 3

Giovanna joined Chef Ltd on 6 April 2022. As part of her remuneration package, she chose various benefits instead of an alternative cash allowance. The cash allowance alternative was as follows:

	Cash allowance
	£
New company car	6,000
Provision of private petrol	2,200
Parking space near work	500

The car provided has a list price of £20,000 and CO_2 emissions of 102g/km. The parking space is in a garage close to Giovanna's office and costs the employer £400 per year to rent.

Calculate the amount on which Giovanna will be charged to tax in respect of the benefits received.

<u>Company car</u>

The amount of the benefit under the benefit rules is £20,000 @ 25% ((100 – 75)/5 + 20) = £5,000. This is less than the cash allowance foregone of £6,000, so Giovanna will be taxed on £6,000.

<u>Fuel benefit</u>

The taxable fuel benefit under the benefit rules is £25,300 @ 25% = £6,325. This is higher than the cash allowance foregone of £2,200, so Giovanna will be taxed on £6,325.

<u>Parking space</u>

The provision of a parking space at or near the place of work is an exempt benefit. The taxable benefit amount to compare to the cash allowance is nil. Therefore, Giovanna will be taxed on the cash alternative of £500. The cost to the employer is irrelevant.

It is important to note that **certain benefits are excluded** from the optional remuneration rules. The main benefits to which the rules do not apply are **provision of pensions advice qualifying for exemption, provision of cycles and cyclist safety equipment, tax-free employer-provided childcare, contributions to registered pension schemes** and **cars with low CO_2 emissions** (not exceeding 75g/km). In these cases, the employee is exchanging salary for a benefit which is either exempt or of low value. ITEPA 2003, s.228A(5)

20.10 PAYE Settlement Agreements

<u>Introduction</u>

A **PAYE Settlement Agreement (PSA)** is a formal agreement entered into by an employer and HMRC. ITEPA 2003, s.703; SI 2003/2682, Reg 105

The whole idea of a PSA is to **allow an employer to settle an employee's tax liability on minor or irregular benefits or expenses payments**.

An employer may want to provide employees with certain benefits (or reimburse certain expenses) which although potentially insignificant or perhaps one-off, still result in amounts which must be reported by the employer to HMRC and on which the employee will suffer tax. In many cases, the employee may not be expecting to be taxed on the payment or benefit and a tax liability may not be well received.

A PSA passes the tax liability on such payments and benefits to the employer so that the employee **effectively receives the benefit tax free**. A PSA is therefore a practical and flexible way for the employer to deal with minor and irregular benefits provided to employees.

As well as a gesture of goodwill from the employer to the employee, a PSA also has **administrative advantages**.

The employer makes one annual payment to cover the tax (and NICs) in respect of all the benefits included in the agreement.

In addition, the employees will not have to enter the details of the payment or benefit on their self-assessment tax return. The employees not only have no tax liability in respect of amounts included in a PSA, they also have no reporting responsibilities.

Benefits and expenses which can be included in a PSA

A benefit or expense can be included in a PSA if it is:

- **minor**;
- paid on an **irregular** basis; or
- given in circumstances where it is **impractical** to apply PAYE or apportion the value of particular benefits which have been shared by a number of employees.

Examples of minor expenses or benefits which could be included in a PSA include staff entertainment (eg where a ticket is provided to a sporting event or a concert), incentive awards, reimbursement of taxi expenses which are not exempt and provision of a pool car where conditions for exemption are not met.

Remember that 'trivial benefits' where the cost of providing the benefit does not exceed £50 and where the benefit is provided for a non-work reason are exempt benefits and therefore do not need to be included in a PSA.

SP 5/96 sets out what can and cannot be included within a PSA. In particular, it clearly states that PSAs should not be used as a vehicle for settling tax liabilities on cash payments of salary or on major benefits such as company cars or low-interest loans etc. SP 5/96

EXAMPLES

❖ Example 1

Which of the following benefits are tax exempt?

a. Use of company van with CO_2 emissions with unrestricted private use

b. £500 loan to buy annual travel card

c. Provision of mobile phone

d. Car park voucher near work

e. Employer payment to work pension scheme

f. Loan of computer costing £1,000

❖ Example 2

Rodney uses his own car for work. He travels 25,000 miles per year, half of which are for business purposes. His employer reimbursed Rodney at 45p for each business mile.

Calculate Rodney's taxable benefit.

ANSWERS

✓ Answer 1

		Tax exempt	Taxable
a.	Use of company van		X
b.	£500 travel card loan	X	
c.	Mobile phone	X	
d.	Car park voucher	X	
e.	Payment to pension scheme	X	
f.	Loan of computer		X

✓ Answer 2

	£	£
Mileage reimbursed: 12,500 @ 45p		5,625
Less: Tax-exempt limits:		
10,000 @ 45p	4,500	
2,500 @ 25p	625	
		(5,125)
Taxable profit		500

CHAPTER 21

EXPENSES OF EMPLOYMENT

By the end of this chapter you will understand:
- how to treat expenses incurred by the employee
- the 'wholly, exclusively and necessarily' test for expenses incurred
- qualifying travelling expenses
- how to treat professional fees and subscriptions

21.1 Introduction

In this chapter we shall look at the expenses that are allowed as a deduction in arriving at net taxable earnings. Before we do so, let's remind ourselves where they fit into the earnings proforma:

Cash remuneration	X	
Taxable benefits	X	
Taxable earnings	X	
Less: Allowable deductions	**(X)**	←
Net taxable earnings	X	

We start with cash remuneration such as salary and bonuses. To this we add any benefits.

At this point we can take a deduction for any allowable deductions. Taxable earnings less allowable deductions gives net taxable earnings for the year. It is this figure that goes into the income tax computation as non-savings income.

Allowable deductions broadly fall into five main categories:

a. Expenses deductible under **s.336 ITEPA 2003**.

b. Travel expenses (ss.337–340 ITEPA 2003).

c. Payments made by an employee **to an occupational pension scheme**.

d. **Professional fees or subscriptions** paid to an organisation approved by HMRC.

e. **Donations** made by an employee to **charity** under the Payroll Deduction Scheme.

21.2 Section 336 – 'Deductions for Expenses: The General Rule'

Section 336 ITEPA 2003 lays out the general rules for deductions to be made from taxable earnings. A deduction under the general rules is allowed if: ITEPA 2003, s.336

a. the employee is **obliged to incur and pay the expense** as holder of the employment; and

b. the amount is incurred **'wholly, exclusively and necessarily'** in the performance of the duties.

In order to ascertain whether an expense is deductible, we therefore need to look closely at the terms **'wholly, exclusively and necessarily'**.

The word 'necessarily' is the biggest obstacle to us when trying to persuade HMRC that expenses are allowable. The question HMRC will ask is 'could the employee do their job without incurring that particular expense?'.

If the answer to this question is 'yes' – ie the employee could do their job if that expense had not been incurred – HMRC will argue that the expense is **not absolutely necessary and is not therefore deductible** from taxable earnings.

However, if the answer is 'no' – ie the employee **cannot do their job without incurring that expense** – the expense will be necessary for the performance of the duties and will therefore be allowable.

HMRC are very strict in applying this rule and it is **notoriously difficult for employees to get relief for expenses under s.336 ITEPA 2003**.

21.3 Travel Expenses

Sections 337 and 338 ITEPA 2003 deal with the deductibility of travel expenses. Under general principles, a deduction for the employee's travel costs will be allowed if the expenses are: ITEPA 2003, ss.337 and 338

i. **necessarily incurred** on travelling in the performance of the duties of the employment; or

ii. attributable to the employee's **necessary attendance** at any place in the performance of the duties of the employment.

Section 338 ITEPA 2003 specifically denies a deduction for **'expenses of ordinary commuting'**. 'Ordinary commuting' in this context is defined as travel between either:

a. the employee's home and a permanent workplace; or

b. a place that is not a workplace (eg a hotel or someone else's home) and a permanent workplace.

This means that if an employee incurs travel expenses in going from their **home** to their **normal place of work**, these expenses will **not** be allowable as they constitute expenses of ordinary commuting. You will be aware of this already as your employer does not reimburse you for home-to-office travelling and you do not get tax relief for these costs.

However, once at work, if an employee incurs expenses in travelling from their normal place of work to **visit a client**, that is not 'ordinary commuting' but is instead travel to a place where attendance is in the performance of duties and so these expenses will be deductible. Therefore, **office-to-client travel is allowable**.

But what if the employee travels directly from their home to a client's premises and doesn't go into the office first? HMRC accept that these travel expenses are allowable as they are not ordinary costs of commuting, but only providing that the client's premises constitute a **'temporary workplace'**.

A 'temporary workplace' is defined as a place which the employee attends in the performance of their duties in order **to perform a task of limited duration** or for some other temporary purpose. ITEPA 2003, s.339

The cost of business travel also includes subsistence costs attributable to the journey in question. Similarly, where an employee has to stay away overnight on business, the cost of the accommodation is part of the cost of business travel. Therefore, the full cost of meals and accommodation whilst travelling or staying away on business is allowable as part of the costs of travel.

21.4 Professional Fees and Subscriptions

A deduction from taxable earnings is allowed for an amount paid by an employee in respect of a **professional fee**. The deduction is allowed provided that the **employment involves the practice of the profession to which the fee relates** and the payment of the fee is a **condition** which must be met if that profession is to be practised. ITEPA 2003, s.343

Section 343 ITEPA 2003 contains a list of deductible fees and these include practice fees for doctors, dentists, opticians, vets, lawyers, architects and teachers.

A deduction from taxable earnings is also allowed for **annual subscriptions** paid to an 'approved body'. HMRC have a published list of such bodies. The subscription will be deductible as long as the activities of the body are of direct benefit to, or concern the profession practised in, the performance of the duties. ITEPA 2003, s.344

For example, a subscription by a company director to the Institute of Directors would be deductible because the subscription relates to the employment and is to an approved body. However, if the same director then paid a subscription to their local golf club, this would not be deductible as this has nothing to do with the employment.

21.5 Charitable Donations

There are two methods of obtaining tax relief on charitable donations.

The first is via the **Gift Aid Scheme**. Gift Aid payments are made net of basic rate tax and we give higher and additional rate relief by extending the basic and higher rate limits by the gross amount of the donation.

The second way in which a taxpayer can get tax relief on a donation to charity is by using the Payroll Deduction Scheme. You may also see this referred to as the **Give As You Earn (GAYE) Scheme**. ITEPA 2003, s.713

Donations are made **gross** – ie there is no withholding of basic rate tax at source. This gross donation is **deducted from taxable earnings** for the year.

In practice, the gross donation is deducted by the payroll department before the tax due under PAYE is calculated, thereby giving the employee tax relief as they go along. The employer will then pass on the amounts withheld to the relevant charity.

21.6 Reimbursed Business Expenses

Where **an employee incurs an allowable business expense**, this amount can be **deducted by the employee** in arriving at net taxable earnings. Relief for the expense can be claimed when the individual files their income tax return.

Remember that a business expense will be allowable if it is **wholly, exclusively and necessarily incurred** in the performance of the duties, or it is a **qualifying travelling**

expense or a professional fee or subscription. In these cases, the expense can be deducted from taxable earnings.

However, allowable expenses incurred by employees will often be reimbursed by the employer at a later date when the employee submits an expense claim. Alternatively, the expense may be paid for by the employer in the first place.

Therefore, the payment or reimbursement of expenses will be exempt from tax if the employee would be able to deduct the same amount when calculating their taxable earnings. ITEPA 2003, s.289A

In other words, the payment or reimbursement of allowable business expenses is exempt income. This means the employee will not have to claim relief for the expenses when filing their tax return. Instead, the employee will only claim relief where they have personally incurred the allowable expense and not been reimbursed by the employer.

➢ Illustration 1

Chloe is a tax adviser who receives a salary of £45,000 per annum. She also has a company car with a benefit value of £4,350.

In 2022/23, Chloe incurred train fares of £750 in relation to travel to clients for business meetings. These amounts were reimbursed to her by her employer.

She also paid a subscription to the CIOT of £320.

Calculate Chloe's net taxable earnings.

Chloe's taxable earnings consist of her salary and the car benefit.

The travel expenses reimbursed by the employer are exempt income as they are allowable travel expenses, so they are not included in the calculation of earnings.

However, Chloe can claim relief for the subscription to the CIOT (an approved body) as it relates to her employment.

Therefore, her net taxable earnings are:

	£
Salary	45,000
Car benefit	4,350
Taxable earnings	49,350
Less: Allowable expenses	(320)
Net taxable earnings	49,030

If the employer pays or reimburses non-allowable expenses, the exemption will not apply.

21.7 Round Sum Allowances

A round sum allowance is a general allowance – usually a fixed amount of cash – paid to the employee in advance to cover their expenses for a particular period. For example, an employer could pay a round sum of £1,000 to an employee to cover forthcoming expenses.

Where a round sum allowance is clearly meant to do no more than reimburse an employee for qualifying business expenses, it will be exempt from tax.

However, where it contains a profit element or reimburses non-qualifying expenses, it will be subject to tax in the first instance.

The employee will spend the money on various items and will claim a deduction, via their end of year tax return, for any amounts spent for business purposes – ie any expenses incurred wholly, exclusively and necessarily in the performance of their duties.

However, if the employee spends part of the round sum allowance on client entertaining they will not be allowed to claim a deduction as the expense will not have been disallowed in arriving at the employer's taxable profits. If the allowance is a specific entertaining allowance, it will be disallowed for the employer and therefore the employee can claim a deduction. ITEPA 2003, s.356

EXAMPLES

❖ Example 1

Mr Broker (a City analyst) incurs the following expenses:

a. Tube fare to work
b. Taxi fare from office to client
c. Payment to company pension scheme
d. Subscription to Institute of Stockbrokers
e. Pinstripe suit and braces for office

Which of these expenses are deductible in arriving at net taxable earnings?

ANSWERS

✓ Answer 1

		Allowable	Not allowable
a.	Tube fare to work		X
b.	Taxi fare from office to client	√	
c.	Payment to company pension scheme	√	
d.	Subscription to Institute of Stockbrokers	√	
e.	Pin stripe suit and braces (see Tutorial Note)		X

Tutorial Note:

HMRC have been successful before the courts in arguing that the costs of clothing suits etc are not allowable on the grounds that the expense is not exclusively for the performance of the duties.

The courts have said that we buy clothing not just for business purposes but also to provide us with warmth and decency and hence the expense has a duality of purpose and is not allowable.

Deductions will only be available for such things as protective clothing, costumes or uniforms – ie clothing which could not be worn in an everyday context.

CHAPTER 22

CLASS 1 NATIONAL INSURANCE CONTRIBUTIONS

By the end of this chapter you will understand:
- the six classes of National Insurance
- the definition of earnings for National Insurance purposes
- how to calculate Class 1 primary contributions
- how to calculate Class 1 secondary contributions

22.1 Introduction

The purpose of National Insurance contributions is to provide certain retirement benefits such as the state pension, as well as to fund certain social security benefits such as jobseeker's allowance and employment and support allowance.

At present there are six classes of National Insurance:

a. Class 1 – paid by both employees and employers on earnings from employment. SSCBA 1992, s.1

b. Class 1A – paid by employers only on benefits provided to employees.

c. Class 1B – paid by employers only on PAYE Settlement Agreements (PSAs).

d. Class 2 – a flat rate, weekly amount paid by self-employed persons.

e. Class 3 – voluntary contributions paid by taxpayers who wish to top-up their contribution record in order to preserve their entitlement to state benefits.

f. Class 4 – paid by self-employed persons on the profits from their trade.

This gives us an overview of National Insurance. In this chapter we shall concentrate solely on Class 1 National Insurance contributions.

22.2 Class 1 NICs

Class 1 National Insurance contributions (NICs) are broken down into **primary** contributions or **secondary** contributions. **Primary** contributions are paid by **employees** whilst **secondary** contributions are paid by **employers**.

Class 1 NICs are paid on earnings from the employment. If an employee receives earnings, that employee will pay Class 1 primary contributions, whilst an employer who pays earnings to an employee will make a secondary Class 1 contribution.

Both primary and secondary contributions are accounted for under the PAYE system and are paid over to HMRC, along with income tax, on the **22nd of each month where payment is made electronically** (otherwise on the 19th).

Every time an employer makes a payment of earnings to an employee, that employer will have to account for Class 1 secondary NICs, currently at a rate of 15.05%. This is a very substantial additional cost borne by employers and the majority of NICs raised by the Treasury are collected from employers rather than employees.

For 2022/23, the rates of NICs for both employees and employers were increased by 1.25 percentage points. The increase will be spent on the NHS, and health and social care in the UK. From 6 April 2023, the rate of NICs will reduce by 1.25 percentage points and a separate Health and Social Care Levy of 1.25% will apply to earnings that are subject to Class 1 NICs.

22.3 Earnings

Class 1 NICs are paid on 'earnings'. It is very important that we establish what constitutes **'earnings'** for National Insurance purposes. **Any cash payment** made by an employer to an employee is likely to be earnings for National Insurance purposes, including salaries, bonuses and post-employment notice pay. It does not include the taxable element of termination payments in excess of the £30,000 exemption, although these amounts are subject to Class 1A NICs payable by the employer. The reimbursement of genuine business expenses is also not earnings for Class 1 NICs purposes. SSCBA 1992, s.3

If an **employer settles an employee's personal liability**, this payment will also constitute earnings for Class 1 National Insurance. For example, if an employee makes a visit to a shop and spends £100 on goods (not a business expense) on their credit card and the credit card bill of £100 is subsequently paid by the employer, the employer has paid for an employee's personal bill. That payment will constitute earnings for National Insurance .

If an employer makes a non-cash payment to an employee – ie some form of payment in kind – and that **payment in kind** can be **surrendered for cash**, that payment will **also be earnings** for National Insurance. For example, if the employer provides the employee with a bonus in the form of Premium Bonds, the employee has the legal right to exchange or surrender the Premium Bonds for cash. The payment in Premium Bonds will therefore be subject to Class 1 National Insurance. Contrast this with the employer giving the employee, say, a television. The only way the employee can obtain cash for the TV is if they sell the asset, not simply by surrender. The payment by way of the TV is therefore not subject to Class 1 National Insurance. Instead, it will be subject to Class 1A.

Payments in the form of **'readily convertible assets'** are earnings for National Insurance purposes. A readily convertible asset is an asset that is traded on a recognised stock, or commodities exchange, or an asset for which trading arrangements exist. ITEPA 2003, s.702

Vouchers are earnings for National Insurance purposes, regardless of whether they are cash or non-cash vouchers. Childcare vouchers given to employees are specifically excluded to the extent that they do not exceed the exempt amount, being £55, £28 or £25 per week, and are not earnings for Class 1 NICs. Class 1 NICs are charged on any excess amount over the allowable amount.

Mileage payments are not earnings for Class 1 NICs purposes if they do not exceed 45p per mile (irrespective of the number of miles reimbursed). If an employer pays more than this, then the excess over 45p per mile will be subject to Class 1 NICs.

So, if an employee travels 15,000 miles on company business in a year and is reimbursed 50p per mile, the excess of 5p per mile (ie £750) will be subject to Class 1 NICs.

The vast majority of common benefits will not be earnings for Class 1 NICs purposes. For instance, if an employee is given use of a company car, or has a taxable cheap loan, that benefit will be charged to income tax, but it will not then be charged to Class 1 NICs in the hands of the employee. Again, Class 1A NICs will be payable by the employer.

22.4 Class 1 Primary Contributions

Primary contributions are paid by employees on earnings in an 'earnings period'. Most UK employees have a monthly earnings period – ie we receive our salary etc on a monthly basis. Some employees, typically in manufacturing industries, still receive their earnings weekly.

Class 1 primary NICs are not payable on earnings up to the level of the **'primary threshold'** (PT). On **earnings between the primary threshold and the 'upper earnings limit'** (UEL), Class 1 primary NICs are paid at a rate of **13.25%** in 2022/23.

Employees pay Class 1 primary NICs at the additional rate of **3.25% on earnings in excess of the upper earnings limit**.

For employees who receive their remuneration weekly, in 2022/23 the primary threshold is £190 per week for the 13 weeks to 5 July 2022, before increasing to £242 per week thereafter. The upper earnings limit is £967 per week throughout 2022/23. For employees with a monthly earnings period, in 2022/23 the primary threshold is £823 per month for the 3 months to 5 July 2022, before increasing to £1,048 per month thereafter. The upper earnings limit is £4,189 per month throughout 2022/23. SSCBA 1992, s.8

This is illustrated by the diagram below:

	Nil	PT	13.25%	UEL	3.25%
£0		£242* pw		£967 pw	
		£1,048** pm		£4,189 pm	
		£11,908 pa		£50,270 pa	

* £190 to 5 July 2022

** £823 to 5 July 2022

An employee will start to pay Class 1 primary NICs with effect from their 16th birthday and will stop paying NICs when the pensionable age is reached. Pensionable age is currently 66 for both men and women. It will increase gradually to 67 between 2026 and 2028, depending on the individual's date of birth. However, from 6 April 2023, employees above pensionable age will be subject to the 1.25% Health and Social Care Levy on earnings above the primary threshold. SSCBA 1992, s.6

NICs are calculated for earnings periods. An employee who is paid monthly will have 12 earnings periods in any particular tax year, so to calculate the NICs for the year, we do 12 separate NICs calculations and add them together.

➢ Illustration 1

An employee has a salary of £18,000 per annum which is paid monthly at the end of each month. The employee has use of a company car giving rise to a benefit of £2,500, which is included in payroll. The employee gets a cash bonus at Christmas of £5,000.

Calculate the employee's NICs for 2022/23.

The salary and the Christmas bonus constitute earnings for Class 1 NICs, but the company car benefit does not. It does not make any difference whether the benefit is included in payroll or not.

The monthly limits are:

	£
Primary threshold	
- to 5 July 2022	823
- from 6 July 2022	1,048
Upper earnings limit	4,189

For 11 months of the year the employee's earnings will be 18,000/12 = £1,500.

In December his earnings will be 1,500 + 5,000 = £6,500.

We need to remember that in 2022/23 the primary threshold only increases to £1,048 per month from 6 July 2022 and that a lower primary threshold of £823 per month applies for the first 3 months of the year.

The calculation will therefore be as follows:

Class 1 primary NICs	£
3 months to 5 July with earnings of £1,500	
(1,500 – 823) × 13.25% × 3 months	269
8 months from 6 July with earnings of £1,500	
(1,500 – 1,048) × 13.25% × 8 months	479
1 month with earnings of £6,500	
(4,189 – 1,048) × 13.25% × 1 month	416
(6,500 – 4,189) × 3.25% × 1 month	75
NICs payable	1,239

The effect of this is that part of the £5,000 bonus paid in December 2022 will only have been charged to NICs at 3.25%.

22.5 Class 1 Secondary Contributions

Class 1 secondary NICs are paid by employers on any earnings paid to employees. The current rate of Class 1 secondary NICs is 0% on earnings up to the secondary threshold (ST) and 15.05% on the excess.

The secondary threshold in 2022/23 is £175 per week and £758 per month, with these thresholds applying throughout 2022/23. You will note that employers start to pay Class 1 secondary NICs in respect of an employee's earnings at a level of earnings lower than that at which the employee will start to pay primary Class 1 NICs.. SSCBA 1992, s.9

	Nil	ST	15.05%
£0		£175 pw £758 pm £9,100 pa	

You will also note two other things here. The first is that the **rate of NICs is higher for employers than for employees – ie 15.05% as opposed to 13.25%.** The second thing to note is that there is **no upper earnings limit** for employer's contributions, ie the 3.25% rate does not apply for employers. So, for every one pound of earnings paid to an employee above the secondary threshold, the employer will have to pay 15.05 pence in NICs.

This is a substantial cost for employers to have to bear, and effectively adds nearly another 15.05% to their total wages bill.

In the case of an employee or director earning £23,000 in 2022/23, the secondary liability to be paid by the employer is:

(23,000 – 9,100) @ 15.05% = £2,092

Employer's secondary contributions begin with effect from the employee's 16th birthday, but there is no upper age limit. So, in 2022/23, if a salary is paid to an employee who has reached pensionable age, the employee will have no Class 1 primary liability, but the employer will still have to pay Class 1 secondary NICs at 15.05%.

Relief

Class 1 secondary contributions paid by the employer in respect of an employee, along with Class 1A and 1B contributions, are deductible by the employer in arriving at taxable profits.

Under 21 and Apprentices Under 25

The age of the employee can be important in two situations. Where the earnings are paid to employees (and directors) under the age of 21, the rate of **employer's secondary** contributions is **0% on earnings between the secondary threshold and the 'upper secondary threshold'**. This is the same as the primary upper earnings limit. Where earnings exceed the upper secondary threshold, no secondary Class 1 NICs are payable on earnings below this limit but are paid at the usual 15.05% rate on earnings above this limit.

Similarly, the reduced rate of employer's secondary contributions of 0% on earnings between the secondary threshold and the apprentice upper secondary threshold applies to the earnings of apprentices under the age of 25 who are working towards an apprenticeship in the UK which follows a government approved framework or standard.

Note that the 0% rate does not apply when calculating the Class 1 primary contributions payable by the employee or apprentice.

Armed Forces Veterans

A 0% rate may apply in 2022/23 (and 2023/24) for employer secondary contributions on earnings up to the upper secondary threshold where the employee is an armed forces veteran. The 0% rate applies for a 12 month period running from the first day of the veteran's first civilian employment. If the veteran changes employers during the 12 month period, the new employer can apply the 0% rate for the remainder of the 12 month period.

EXAMPLES

❖ Example 1

Which of the following forms of remuneration are earnings for Class 1 NICs purposes?

a. Interest-free loan

b. £5,000 of Premium Bonds

c. £20,000 of gold bullion

d. John Lewis store voucher

e. Reimbursement of home telephone calls

f. Reimbursement of business expenses

❖ Example 2

Harry, aged 31, is an employee earning £26,000 per year. He is paid weekly and in March 2023 he received a bonus of £1,000.

Calculate his Class 1 NICs due for 2022/23.

ANSWERS

✓ Answer 1

Earnings

a.	Interest-free loan	No	(No Class 1 NICs on benefits)
b.	£5,000 of Premium Bonds	Yes	(Surrenderable for cash)
c.	£20,000 of gold bullion	Yes	(Readily convertible asset)
d.	John Lewis store voucher	Yes	
e.	Home telephone bill	Yes	(Settlement of employee's liability)
f.	Reimbursed business expenses	No	

✓ Answer 2

Earnings:
51 weeks @ £500
1 week @ £1,500

NICs:	£
(500 − 190) @ 13.25% × 13	534
(500 − 242) @ 13.25% × 38	1,299
(967 − 242) @ 13.25% × 1	96
(1,500 − 967) @ 3.25% × 1	17
Total	1,946

CHAPTER 23

CLASS 1A AND 1B NATIONAL INSURANCE CONTRIBUTIONS

By the end of this chapter you will understand:
– when and how to calculate Class 1A NICs
– when and how to calculate Class 1B NICs

23.1 Introduction

Class 1A National Insurance contributions (NICs) are paid by **employers only**. Employees do not pay Class 1A NICs. SSCBA 1992, s.10

Class 1A NICs are paid by employers on the **cash equivalent of certain taxable benefits** and on taxable **termination payments in excess of the £30,000** exemption (covered later). As Class 1A National Insurance is the liability of the employer, it is charged at the employer's rate of 15.05%.

Class 1B NICs are also paid by **employers only**. Class 1B National Insurance is charged on earnings which are included within a PAYE Settlement Agreement (PSA). The rate of Class 1B National Insurance is 15.05%.

23.2 Class 1A NICs on Benefits

Class 1A NICs are payable by employers on the cash equivalent of taxable benefits provided to employees, such as company cars and fuel, living accommodation and beneficial loans. Where an employer has included a benefit in payroll, this does not affect the National Insurance position and the benefit will still be subject to Class 1A NICs.

There is no Class 1A charge if there is no associated income tax liability. This means that exempt benefits such as a mobile phone, a work car parking space, or exclusive nursery etc, will not be charged to Class 1A NICs.

If a payment in kind is categorised as earnings, and as such is charged to NICs under the normal Class 1 rules, that benefit will not be charged on the employer under Class 1A.

Therefore, if an employer provides an employee with benefits such as Premium Bonds, readily convertible assets or high street store vouchers, the employer will have to pay Class 1 secondary NICs on those benefits because they are classified as earnings. The employer will not have to pay Class 1A as well.

Where an employer settles a personal liability of the employee, the payment is subject to Class 1 NICs and therefore not subject to Class 1A.

If, on the other hand, **the employer enters into the contract** with the third party, for example, to provide an employee with medical insurance, then that is a **benefit subject to Class 1A NICs**.

As we shall see later, if a benefit is charged to National Insurance under Class 1B, this also takes priority over Class 1A.

➢ Illustration 1

An employee, aged 26, receives the following remuneration package:

	£
Salary (paid monthly)	24,000
Company car benefit	4,200
Medical insurance benefit (included in payroll)	600
High street store voucher (awarded December 2022)	200
Cash bonus (March 2023)	10,000

Calculate the total NICs due for 2022/23.

To calculate total NICs payable for the tax year, we first calculate the Class 1 primary NICs payable by the employee on their earnings. We then move on to calculate the Class 1 secondary NICs paid by the employer on earnings given to the employee. The final National Insurance will be the Class 1A NICs payable by the employer on the benefits awarded to the employee.

We start with the Class 1 primary NICs. The employee is paid monthly so they have a monthly earnings period. For ten months of the year they earn a salary of £2,000.

In December 2022, they are given a high street store voucher. This is regarded as earnings for Class 1 NICs purposes, so their earnings for December 2022 go up to £2,200. Due to the cash bonus of £10,000 paid in March 2023, for this month the employee's earnings in the period go up to £12,000.

Earnings:	
10 months	@ £2,000
1 month	@ £2,200
1 month	@ £12,000

Employees pay Class 1 NICs at 13.25% on monthly earnings between the primary threshold and the upper earnings limit, and at 3.25% above the upper earnings limit. The monthly primary threshold for 2022/23 is £823 until 5 July 2022 and £1,048 thereafter. The monthly upper earnings limit is £4,189.

	£
Class 1 primary NICs	
(2,000 – 823) @ 13.25% × 3 months	468
(2,000 – 1,048) @ 13.25% × 7 months	883
(2,200 – 1,048) @ 13.25% × 1 month	153
(4,189 – 1,048) @ 13.25% × 1 month	416
(12,000 – 4,189) @ 3.25% × 1 month	254
	2,174

Next we move on to Class 1 secondary NICs. Total earnings for the year are the salary of £24,000, the store vouchers of £200 and the bonus of £10,000. Total earnings, subject to secondary contributions in the year, are therefore £34,200. As the employee is not under 21 or an apprentice under 25 (or an armed forces veteran), the special 0% rate on earnings between the secondary threshold and the upper secondary threshold does not apply. As there is no upper earnings limit for secondary contributions, all earnings in excess of the secondary threshold will be charged to NICs at the rate of 15.05%.

Class 1 secondary NICs	
(34,200 – 9,100) @ 15.05%	£3,778

Finally, we calculate the Class 1A NICs liability. The car benefit is £4,200. The only other benefit for the year is the medical insurance of £600. We add this on to give us total taxable benefits for the year of £4,800. It does not make any difference that the medical insurance benefit was included in the payroll – it is still subject to Class 1A NICs.

Class 1A NICs	
4,800 @ 15.05%	£722

In summary, the following NICs are due:

Class 1 primary	**£2,174**
Class 1 secondary	**£3,778**
Class 1A	**£722**

This example demonstrates the interaction between Class 1 primary, Class 1 secondary and Class 1A National Insurance. What it also shows is that the National Insurance burden is much heavier on employers than on employees. This is partly because there is no upper earnings limit for employers and also because employees do not have the burden of Class 1A NICs.

23.3 Class 1B NICs

Class 1B NICs are payable by the employer where the employer has entered into a PAYE Settlement Agreement (PSA). A PSA allows the employer to settle the employee's tax liability in respect of minor or irregular benefits and expenses payments.

Whenever tax is settled under a PSA, the employer also needs to consider the impact of Class 1B National Insurance. Class 1B National Insurance is **charged on the grossed-up value of the benefits included within a PSA**. Included within the PSA is the total cost of the benefit. We then need to add on any income tax that has been included within the PSA – ie any income tax paid by the employer on behalf of their employees. Class 1B National Insurance is charged at the employer's rate of 15.05% on the total amount.

Illustration 2

A company has 100 employees. It holds a summer ball and the total cost of that function is £20,000, ie exactly £200 per head. Technically each employee will therefore have a benefit of £200, as the cost of the party exceeds the £150 per head threshold. However, as a gesture of goodwill, the company agrees to meet the tax liabilities via a PSA. Of the employees, 50 of them pay tax at the basic rate of 20%, whilst 50 of them pay tax at the higher rate of 40%.

Calculate the income tax and the Class 1B NICs due.

Each employee will have a benefit of £200. This is a 'net' benefit because the employee is deemed to have received a benefit of £200 **after** the tax has been settled by the employer.

To calculate the tax on this net benefit for basic rate employees, we multiply the net figure of £200 by 20/80. This gives tax of £50 and gives rise to a gross benefit of £250.

Basic rate employee:	£
Net benefit	200
Tax @ 20/80	50
Gross benefit	250

For the higher rate employees, we arrive at the tax by multiplying the net benefit by 40/60 to give tax of £133. The gross benefit in this instance is £333.

Higher rate employee:	£
Net benefit	200
Tax @ 40/60	133
Gross benefit	333

We can now calculate the total tax to be included in the PSA:

Tax in PSA	£
50 employees @ £50	2,500
50 employees @ £133	6,650
Total tax	9,150

Class 1B NICs are payable on the total benefit included in the PSA plus the income tax due

	£
Earnings within PSA (£200 × 100)	20,000
Income tax payable	9,150
	29,150
Class 1B NICs (29,150 @ 15.05%)	4,387

Class 1B National Insurance is the employer's liability only.

EXAMPLES

❖ Example 1

Norman receives the following non-cash benefits from his employer, Techno plc. Techno plc is a company listed on the UK stock exchange.

a. Company car and fuel
b. Interest-free loan of £8,000
c. 500 shares in Techno plc
d. £100 high street store voucher
e. Contributions to company pension scheme
f. Membership of local gym arranged by employer

Which of the above are subject to Class 1A NICs?

❖ Example 2

Brian is awarded a holiday to Florida by his employer. The holiday cost £3,000 and the company agrees to pay the tax on Brian's behalf via a PAYE Settlement Agreement. Brian is a salesman earning £20,000 per annum.

Calculate the Class 1B NICs liability for the employer.

ANSWERS

✓ Answer 1

		Class 1A NICs	
a.	Company car and fuel	Yes	Benefit
b.	Interest-free loan of £8,000	No	Exempt as less than £10,000
c.	500 shares in Techno plc	No	Class 1 applies
d.	High street store voucher	No	Class 1 applies
e.	Pension contributions	No	Exempt
f.	Local gym membership	Yes	Benefit

✓ Answer 2

	£
Earnings covered by PSA	3,000
Tax @ 20/80 (basic rate taxpayer)	750
	3,750
Class 1B NICs @ 15.05%	564

CHAPTER 24

CLASSES 2 AND 4 NATIONAL INSURANCE

By the end of this chapter you will understand:

- when Class 2 National Insurance contributions (NICs) must be paid
- when Class 4 NICs must be paid
- how to calculate Class 4 NICs
- the annual maxima that apply where more than one class of NICs is paid
- when there can be deferment of NICs

24.1 Introduction

Self-employed earners between 16 and the 'pensionable age' **pay Class 2 and Class 4 NICs**. Class 2 ceases immediately on reaching pensionable age. Class 4 stops from the start of the tax year after the one in which pensionable age is reached.

24.2 Class 2 Contributions

Class 2 NICs are flat rate contributions, currently payable at **£3.15 per week**. The amount of Class 2 NICs due is calculated based on the number of weeks of self-employment within the tax year.

Where profits for the tax year do not exceed the 'lower profits limit', there is no liability to Class 2 NICs. Profits for this purpose are the same as profits for Class 4 NICs purposes. The lower profits limit is **£11,908** for 2022/23.

Where profits are between the 'small profits threshold' and the lower profits limit no Class 2 NICs are payable but the entitlement to the state pension and other state benefits is preserved. The small profits threshold is **£6,725** for 2022/23. Where profits are less than the small profits threshold the individual can pay voluntary Class 2 NICs in order to preserve this entitlement.

24.3 Class 4 Contributions

For 2022/23, Class 4 NICs are payable at **10.25%** on profits **between £11,908 and £50,270**, with an **uncapped 3.25%** payable on profits **above £50,270**. SSCBA 1992, s.15(3)

For example, if profits exceed the upper limit:

	£
Class 4 NICs payable at 10.25%	
(50,270 – 11,908) × 10.25%	3,932
Plus: Additional amount at 3.25%	
(Profits – 50,270) × 3.25%	X
Total Class 4 NICs payable	X

'Profits' in this context are the trading profits for the tax year. SSCBA 1992, s.15(1)

Class 4 NICs are **payable in the same way as income tax under self-assessment**, ie **payments on account** are due on 31 January in the tax year and 31 July following the tax year, based on the previous year's liability. A **balancing payment** is due on 31 January following the end of the tax year. SSCBA 1992, s.15(2)

24.4 Annual Maxima

There is an 'annual maximum' of contributions applying to any individual for a 'contribution year'. The contribution year is the same as the tax year. These 'annual maxima' rules apply where the earner either has **two jobs** (and is therefore paying Class 1 NICs twice), or is **both employed and self-employed** (and liable to Classes 1, 2 and 4).

If an individual has substantial earnings and profits as both an employee and as a self-employed individual, this could add up to a sizeable amount of NICs each year. A similar issue could arise if an individual has two jobs. There is therefore a **maximum cap** which applies each tax year and any excess over this amount will be refunded. This maximum amount is there essentially to ensure that an individual with two or more employments, or an employment and self-employment, does not pay considerably more NICs than an individual with one source of income.

The maximum amount is not a **fixed amount** and will vary according to the combination of employments and self-employments as well as the amounts earned. There are **two tests**. Test 1 looks at Classes 1 and 2 and may result in a reduced liability for Class 2 NICs. If appropriate, there may be a refund of Class 1 NICs. Test 2 may result in a reduced amount of Class 4 NICs payable.

Where relevant, HMRC will calculate the annual maxima automatically and determine the correct amount of Class 2 and Class 4 NICs payable, notifying this amount to the individual.

24.5 Deferment of NICs

Deferment of **Class 1** primary contributions applies where the taxpayer has more than one employment.

The National Insurance Contributions Office (NICO) will determine for which of the employments deferment will be granted. In those employments where Class 1 deferment is granted, the employee will **continue to pay Class 1 contributions at 3.25% on earnings in excess of the primary threshold**.

Deferment does not apply to Class 2 and Class 4 NICs as HMRC will calculate the correct amount payable and only this amount will be paid via self-assessment.

➢ Example 1

Calculate the Class 4 NICs due for a trader who has trading profits of £14,000 for 2022/23.

ANSWERS

✓ Answer 1

Class 4 NICs for 2022/23 are (14,000 − 11,908) × 10.25% = £214

CHAPTER 25

TERMINATION PAYMENTS

By the end of this chapter you will understand:
- how termination payments are taxed
- which payments are fully exempt
- when payments will be partially taxable
- how to treat redundancy payments
- how to treat payments in lieu of notice and post-employment notice pay
- the National Insurance implications

25.1 Introduction

Typical termination payments will include **compensation for loss of office, redundancy** payments, **damages** for dismissal, **payments in lieu of notice** – 'PILONs' – and certain payments made on retirement. ITEPA 2003, ss.401–416

Termination payments will be fully taxable, partially taxable or fully exempt depending on the nature of the payment.

If a termination payment (other than a redundancy payment) is given to the employee in return for services performed under the employment contract, the termination payment will be earnings and will be taxable in full.

However, a termination payment will generally compensate the employee for loss of office rather than being a reward for services performed.

As such, **most termination payments are not earnings** from an employment and are therefore **taxed in a different way** to other payments such as salaries and bonuses.

Instead, termination payments will be taxed under the provisions of s.401 ITEPA 2003 onwards.

Redundancy payments, whether they are statutory or non-statutory, are always taxed under the provisions of s.401.

25.2 Does Section 401 Apply?

This is an important question because there are certain **exemptions and reliefs** available within the legislation dealing with termination payments which would not apply if the payment is simply earnings from the employment.

Your starting point should be to **ask yourself whether the termination payment is contractual**. If the employment contract contains a clause under which the employee has a legal right to receive a termination payment, the termination payment will be earnings from the employment and will be taxed in full.

When there is any doubt about the taxation of a termination payment, HMRC will ask to see the employment contract to check if any reference is made to termination payments. If there is, the payment will be regarded as being made in return for services, so will be earnings from the employment and will be fully charged to tax.

If the contract is silent and makes no mention of termination payments, if HMRC can prove that there was **'reasonable expectation'** on the part of the employee that they would receive a termination payment, the payment will be taxed in full. It can be difficult for HMRC to prove that an employee expected to receive a termination payment. HMRC will look back at past practice and previous policy of the employer to see if other employees in a similar position received termination payments.

If a **termination payment is made outside the employment contract** and is totally voluntary – ie the employee had no expectation that they were to receive such a payment – this does **not** mean that the **payment is tax free**. It simply means that the payment will be **taxed under s.401 ITEPA 2003**, which is the section that specifically deals with the taxation of genuine termination payments.

Section 401(3) ITEPA 2003 says that 'this chapter does not apply to any payment or other benefit chargeable to income tax apart from this chapter'. This means that if a payment is charged to tax **somewhere else** in the legislation – for example, because it is earnings from the employment – s.401 will **not** apply.

Therefore, s.401 only applies to redundancy payments and non-contractual or **'ex gratia'** payments. 'Ex gratia' here literally means 'thank you' – ie the payment is entirely **voluntary and without any obligation** on the part of the employer.

25.3 Fully Exempt Payments

Certain payments falling within s.401 ITEPA 2003 are fully exempt from tax.

A **termination payment** made **on the death of an employee** is fully exempt from tax. Similarly, where the employment has been terminated due to the **injury or disability** of the employee, any subsequent compensation payment is exempt from tax. ITEPA 2003, s.406

In order for the exemption to apply, there must be an injury or disability of a physical or psychological nature that is sufficient to cause the employee to be unable to perform their job properly. The exemption from tax for payments for injury and disability **will not apply in cases of injured feelings**. ITEPA 2003, s.406(2)

If an **employer** makes a **payment to a registered pension scheme** as part of the termination package, this is also **completely free of tax**. Making a termination payment to such pension schemes, rather than to the employee directly, is very effective tax planning and is commonly used in practice. ITEPA 2003, s.408

25.4 Partially Taxable Payments

The most important rule as far as termination payments are concerned is the £30,000 rule. Section 403(1) ITEPA 2003 says that termination payments are only charged to tax to the extent they exceed £30,000. This means that the **first £30,000 of a genuine termination payment is tax free**. ITEPA 2003, s.403(1)

The £30,000 exemption only applies to payments which are taxable under s.401. This means that this tax-free amount only applies to redundancy payments or genuine ex gratia compensation payments such as compensation for loss of office. It does not apply where the employee has a contractual right to receive the termination payment.

If more than one termination payment is made to the same employee in respect of the same employment or by associated employers, the £30,000 exemption applies to the aggregate of all payments. If termination payments are staggered so that the employee receives them in different tax years, the £30,000 exemption applies to the earlier payment first. ITEPA 2003, s.404(4)

25.5 Redundancy Payments

Redundancy payments fall into two categories, **statutory** and **non-statutory**. **Statutory redundancy** is an amount which must be paid by the employer to the employee **under employment law** and will be a fixed amount for each year of service. Statutory redundancy pay cannot exceed £17,130.

Employers may also decide to pay an additional payment as further compensation for the redundancy. Both types of redundancy pay are charged to tax under s.401 ITEPA 2003. This is the case even if a non-statutory redundancy payment is contractual.

Genuine redundancy payments must be distinguished from other payments which would be taxable as earnings. For example, a payment that is really a terminal bonus, eg for meeting production targets or doing extra work in the period leading up to redundancy, is not compensation for redundancy. SP 1/94

25.6 Payments During the Notice Period

Most employees have a notice period. This is the amount of notice an employee has to give their employer before resigning and leaving their job. It is also the amount of notice an employer needs to give an employee before the termination of their contract.

The legal minimum period of notice that an employer is required to give an employee is generally one week for each complete year worked, up to a maximum of 12 weeks. However, notice periods are normally specified in the employment contract and can exceed the statutory notice period.

If an employment is terminated (other than for reasons of gross misconduct), **the employee is normally entitled to receive wages for the duration of the notice period**. For example, if an employee resigns and their contract specifies a three-month notice period, the employee has a legal right to work and be paid for the next three months.

When notice of the termination of employment is given, the employer has a number of choices:

1. The employer can **honour the notice period** by allowing the employee to work the notice period of (say) three months and terminate the contract at the end of that period. In this case, the employee will receive three months' wages, **all of which would be earnings taxable in full**.

2. The employer can honour the notice period by paying wages for three months but **not require the employee to work. This is known as 'garden leave'** – ie the employee is sent home to 'work on the garden' while still being paid. Employers may do this to protect their client base (for example, if the employee is leaving to work for a competitor) or if the employer feels that the employee's continued presence is likely to be disruptive or unhelpful. **Amounts paid during a period of garden leave are again fully taxable** as earnings.

3. The employer can **terminate the employment within the notice period**. This will typically be accompanied by a termination payment which at least in part represents pay which the employee would have been entitled to had the notice period been honoured. **Such payments are called payments in lieu of notice (PILONs)**. If **the employment contract gives the employer the right to make a PILON**, the payment is automatically earnings and **is taxable in full**. If the payment is not contractual, it will initially be taxable under s.401 ITEPA 2003 onwards. However, an element of the termination payment will be **post-employment notice pay and will not be eligible for the £30,000 exemption** as this element will also be treated as earnings.

25.7 Post-Employment Notice Pay

Whenever a termination payment taxable under s.401 ITEPA 2003 is made **before the expiration of the contractual notice period**, the payment needs to be divided into:

1. **post-employment notice pay** (PENP); and

2. amounts which are **not PENP**.

PENP is taxable in full as it is treated as earnings. It is not eligible for the £30,000 exemption.

The amount of the termination payment which is **not PENP** is **taxed under the rules for termination payments**.

This exercise needs to be carried out for **every ex gratia termination payment which is made to an employee before the notice period has ended**. The calculation does not need to be carried out in respect of statutory redundancy payments, which are always eligible for the £30,000 exemption.

25.8 Calculating PENP

PENP is calculated using the following formula: ITEPA 2003, s.402D

$$\frac{BP \times D}{P} - T$$

BP is the employee's basic pay for the pay period (week or month) immediately before the date on which notice is given. Basic pay excludes taxable benefits and 'extraordinary' payments such as bonuses, commissions, overtime payments and share option gains.

D is the number of days in the 'post-employment notice period' (being the period from the last day of employment to the date when the notice period would have expired if given in full).

P is the number of days in the pay period immediately preceding the period in which the termination payment was made.

T is amounts paid on termination that are already taxable as earnings (excluding holiday pay and termination bonuses). Deducting amounts already classed as earnings prevents a double charge. Amounts deducted would typically be payments such as contractual PILONs or the writing-off of an employment-related loan prior to the termination of the employment.

To simplify things, it is acceptable to work in months where the employee's basic pay period is one month and the minimum notice period in the contract is a whole number of months.

This formula looks much more complex than it usually turns out to be. In the majority of instances, **PENP will be equal to the basic salary the employee would have earned had they remained in employment for the whole of their notice period**.

➢ Illustration 1

Bruno worked for A3 Computing Ltd. He had a basic salary of £72,000 per annum and was paid monthly. His employment contract specified a three-month notice period. Bruno resigned on 1 September 2022 and was immediately dismissed without notice.

A termination payment of £25,000 was paid to Bruno on 5 September 2022.

Explain how this payment is taxed.

The employer is required to work out the amount of PENP within the termination payment.

If we apply the formula to Bruno's payment:

BP = £6,000

D = 3 months

P = 1 month

T = Nil (ie none of the termination payment is otherwise taxed as earnings).

The PENP is:

$$\frac{6{,}000 \times 3}{1} \quad - \quad \text{Nil} \quad = £18{,}000$$

This amount will be treated as earnings and is fully taxable.

The remaining payment of £(25,000 – 18,000) = £7,000 will be treated as an ex gratia termination payment and will qualify for the £30,000 exemption. None of this will therefore be taxable.

HMRC's view is that all PILONs (whether or not contactual) should be taxable in full on the grounds that, had the employee worked and earned their wages as usual until the end of their notice period, that pay would be fully taxable. PENP is HMRC's way of ensuring that this happens.

25.9 National Insurance Implications

Class 1 NICs are paid on earnings from the employment. As far as termination payments are concerned, where a payment is made to an employee **under a contractual obligation**, **this payment will be regarded as earnings for Class 1 NICs purposes.**

PENP is also treated as earnings for Class 1 NICs purposes.

Where an ex gratia payment is made – ie where there is **no contractual obligation** and the payment is not PENP – the **payment will not be regarded as earnings** and will not be charged to Class 1 NICs. Therefore, where a termination payment is made such that the £30,000 exemption rule applies for income tax, Class 1 NICs are not due, even on any payment in excess of £30,000.

However, where a termination payment is not regarded as earnings (and therefore not subject to Class 1 NICs), a **Class 1A NICs charge** will be levied on the amount of the payment subject to income tax. This means that the employer will be subject to Class 1A NICs at a rate of 15.05% on the amount of the payment in excess of the £30,000 exemption. However, the whole payment will continue to be free of NICs for the employee as Class 1A NICs are only payable by the employer. Where a termination payment is regarded as earnings, it is subject to Class 1 primary and secondary NICs as normal. SSCBA 1992, s.10(1A)

Where a termination payment is fully exempt from tax, no NICs are payable.

25.10 Other Payments and Benefits on Termination

A termination payment need not necessarily be in cash. Assets can be transferred to employees as part of the termination agreement (most commonly company cars). Many employers allow employees to keep their company car as part of the termination package. The value of the company car at the date of the gift is used when determining the benefit on termination. The total value of the ex gratia termination package including the value of the benefits will be subject to Class 1A NICs (after deduction of the £30,000 exemption).

It is possible for the ex-employee to continue to receive certain benefits from the employment even after the employment has terminated. If the benefits are taxable, these continuing benefits are simply taxed and subject to Class 1A NICs in the year of receipt.

The £30,000 exemption is set against cash payments in a tax year in priority to non-cash benefits. ITEPA 2003, s.404(5)

A common feature of termination packages, particularly where redundancy is involved, is the provision of **'outplacement counselling'**. This is where the employer pays for professional services to help the employee adjust to the loss of their previous employment and to help them to find a new job. Provided certain conditions are met, the provision of outplacement counselling by the employer and payment of travel expenses in connection with the counselling are **exempt benefits**. ITEPA 2003, s.310

Similarly, provided certain conditions are met, no taxable benefit arises where costs are met by the employer in respect of a **retraining course**, designed to impart skills or knowledge to be used in another employment or self-employment. ITEPA 2003, s.311

Many termination agreements often incorporate a restrictive covenant. A typical restrictive covenant clause is where the employee promises not to work for a competitor firm for a certain period of time after the termination of their own employment. ITEPA 2003, s.225

Any such restrictive covenant payments made to the employee are taxed in full and subject to Class 1 NICs. ITEPA 2003, s.225

25.11 Miscellaneous Points

If a termination payment is taxable under s.401 ITEPA 2003 (ie if it exceeds the £30,000 threshold), it is taxed as the 'top slice' of a taxpayer's income. This means that it will be taxed **after** dividend income. You may therefore need a fourth column in your tax computation.

Where a termination package consists of some elements which are treated as earnings – for example, PENP – and other elements which are ex gratia, **only the portion of the payment which is taxed under s.401 is treated as the top slice of income**. The element which is taxed as earnings should be included within employment income in the non-savings column.

EXAMPLES

❖ Example 1

Charles (aged 32) is made redundant on 30 November 2022 and receives the following:

	£
Ex gratia cash payment	50,000
Company car (MV)	8,000
Statutory redundancy pay	5,000
Employer contribution to registered pension scheme	17,000
Total package	80,000

No part of the payment represents pay in lieu of notice.

Calculate the amount chargeable to tax under s.401 ITEPA 2003.

❖ Example 2

Oti was employed on an annual salary of £120,000 paid monthly. Taxable benefits were £10,000 per annum. Oti was asked to leave the company on 30 October 2022. Her employment contract entitled her to six months' notice, but her employer terminated her employment immediately. She received a non-contractual termination payment of £115,000 on 31 October 2022.

Calculate how much of the termination payment is chargeable to income tax and Class 1 and 1A NICs.

ANSWERS

✓ Answer 1

	£
Ex gratia payment	50,000
Car at MV	8,000
Statutory redundancy pay	5,000
Pension contribution	Exempt
	63,000
Less: Exemption	(30,000)
Taxable 2022/23	33,000

✓ Answer 2

	£	£
Fully taxable:		
Post-employment notice pay (£10,000 × 6)		60,000
Partly taxable:		
Balance (115,000 – 60,000)	55,000	
Less: Exemption	(30,000)	
		25,000
Chargeable to income tax		85,000

Only the PENP of £60,000 is chargeable to Class 1 NICs. The balance in excess of the £30,000 exemption of £25,000 is chargeable to Class 1A NICs, payable by the employer.

CHAPTER 26

PENSION SCHEMES

By the end of this chapter you will understand:
- the various ways of providing funds for retirement
- the difference between money purchase and defined benefit schemes
- how pension funds can be accessed on retirement and the tax implications
- how tax relief on pension contributions is given and the limits on this relief
- the annual allowance and how it is tapered for high income individuals
- how to calculate the annual allowance charge
- the implications of exceeding the lifetime allowance

26.1 Introduction

There are a number of ways in which an individual can provide funds for their retirement.

Most UK individuals, when they retire, will be entitled to some sort of **state pension**.

The state pension is paid when individuals reach state pension age. The amount of the state pension is based on the number of qualifying years gained through paying NICs.

State pension age is currently 66. It will increase gradually to 67 between May 2026 and February 2028, depending on the individual's date of birth.

The **state pension is taxable income**. It is not taxed at source. ITEPA 2003, s.577

An individual may wish to have further funds available to draw on in retirement. The most common way of providing a retirement fund is by way of a **personal pension scheme** offered by a financial organisation such as a bank or insurance company. Alternatively, **an employee** may join their employer's **occupational pension scheme**, if one is available. Where a pension scheme is **registered with HMRC**, there are **tax advantages** for the individual and the employer.

26.2 Pension Funds

A **pension fund** is essentially a **'money box'** into which an individual makes contributions which they can **draw on during retirement**. The individual will make contributions to a pension fund and the pension fund manager will invest those contributions, often on world stock markets.

An individual will **obtain tax relief in respect of contributions** to a registered pension scheme. Contributions to pension funds eligible for tax relief are **restricted depending on the level of the taxpayer's earnings.** Taxpayers with higher earnings can make larger pension contributions than taxpayers with lower earnings.

One of the main advantages of registered pension funds is that **any growth is completely tax free**. The pension fund will not pay any income tax on any interest or dividend income and it will not pay any capital gains tax on any capital gains. FA 2004, s.186; TCGA 1992, s.271(1A)

There are two types of pension scheme – **'money purchase'** schemes and **'defined benefit'** schemes.

All personal pensions are **'money purchase'** schemes. An occupational pension scheme can be a 'money purchase' scheme or a 'defined benefit' scheme.

With a money purchase scheme, the money invested by the individual is used to purchase units in the fund and the value of those units is entirely dependent on the underlying investments made by the fund manager. If the fund does well, the individual may draw a very healthy pension. However, if the fund performs badly, the amount of money left in the 'box' to draw on during retirement may not be as high as the individual had hoped. There is no guarantee of pension benefits.

These money purchase schemes are also known as **'defined contribution'** schemes.

In a defined benefit scheme, the benefits an employee can take from the scheme are based on the employee's salary and length of service, rather than on the size of a fund. The exact formula to work out benefits on retirement depends on the terms of the scheme.

26.3 Retirement Benefits – Money Purchase Schemes

Once an individual reaches the age of 55 (57 on or after 6 April 2028), they are entitled (if they wish) to **draw benefits from the pension fund in any way they choose**. This is often referred to as 'pension flexibility'.

There are a variety of options, as follows.

1. Leave the pension pot untouched

By delaying taking a pension until a later date, the pot continues to grow tax free. This potentially provides more income once benefits are eventually taken. Pension contributions can continue to be made (until the age of 75) and tax relief will be obtained.

2. Take the whole pot as cash

The pension fund could be closed and the **whole amount taken as cash**. In this case, the **first 25% of the amount taken will be tax free** and the **rest will be taxed as non-savings income**.

This is likely to create a large tax liability in the year the fund is taken (together with a probable loss of personal allowances if income in that year exceeds £100,000).

3. Use the pot to buy an 'annuity'

Up to **25% of the pot can be taken as a one-off tax-free lump sum** with the remainder of the fund then converted into an 'annuity' which then provides a guaranteed income for life (however long that may be). The income from the annuity is taxable non-savings income.

4. Use the pot to provide flexible retirement income ('Flexi-access drawdown')

Up to **25% of the pot can be taken as a one-off tax-free lump sum** with the remainder of the pension fund then reinvested by the pension provider in a variety of investment funds designed to provide regular pension income. The pension income is taxable (non-savings).

Flexi-access drawdown allows individuals to **take taxable income at any time they choose**. For example, individuals could choose to take sufficient income each year to utilise their basic rate band so as to avoid paying income tax at the higher rate. This gives more flexibility than an annuity which provides a fixed annual income.

Unlike the annuity, with flexi-access drawdown the pension income isn't guaranteed for life and will end if either too much is taken out in the early years, or if the investments don't perform well or if the individual lives longer than expected.

5. Take small cash sums from the pot

Here there is no annuity contract or flexible drawdown contract between the individual and the pension scheme. Instead, the individual will simply **use the pension pot like a bank account and take cash as and when needed**. Undrawn amounts remain in the pension fund and continue to grow tax free.

For each cash withdrawal, the first 25% is tax free and the rest is taxable income.

Like flexi-access drawdown, this route enables individuals to access pension income whenever they like but does not guarantee income for life.

6. 'Mixing and matching'

Most pension providers will allow individuals to **adopt various combinations of the above**. For example, some individuals could take 25% of the fund as a tax-free lump sum then split the rest between an annuity (to guarantee a certain amount of income for life) and flexi-access drawdown.

Whichever route is chosen, **tax will be deducted at source from taxable payments by the pension provider**. The pension provider will issue a tax certificate (or form P60) to the individual at the year end detailing the taxable income and the amount of tax deducted at source.

You should be aware that the total amount that can be taken as a tax-free lump sum is restricted to 25% of the 'lifetime allowance' (currently £1,073,100). We will look at this later.

26.4 Maximum Contributions

The maximum contribution to a pension fund that a taxpayer can obtain tax relief for in any one tax year is **100% of their 'relevant earnings'** for that year. FA 2004, s.190

Anybody can pay **up to £3,600** per year into a pension scheme **regardless of the level of their earnings**. This is to encourage individuals on modest incomes to make provision for their retirement.

Contributions are not permitted by taxpayers over the age of 75, although taxpayers who have reached 75 will probably be drawing on their pension rather than making further contributions into it.

Contributions can be made by the scheme member, a third party on the member's behalf (such as a parent on behalf of a child) or by an employer or former employer.

If contributions exceed the annual allowance for the tax year, a charge to tax will arise on the excess. We will look at this later.

26.5 'Relevant Earnings'

'Relevant earnings' are calculated as follows: FA 2004, s.189(2)

	£
Employment income (including benefits)	X
Trading income	X
Furnished holiday lettings	X
Relevant earnings	X

Employment income is earnings for pension purposes. As well as salary, this will also include the cash equivalent of any benefits, taxable termination payments and share options gains. FA 2004, s.189(2)(a)

The profits of the self-employed chargeable as trading income and profits from a furnished holiday letting are also relevant earnings for pension purposes. ITTOIA 2005, s.325

26.6 Tax Relief for Contributions

A pension fund is a very tax efficient investment. Registered pension funds themselves are not charged to income tax or capital gains tax, and a member of a scheme can withdraw up to 25% of the capital value on retirement completely tax free. However, perhaps the main reason that pension funds are popular is that taxpayers receive a measure of **tax relief every time they make a contribution** to a registered scheme.

Tax relief is obtained on pension contributions in one of two ways:

1. By 'relief at source'.

2. Under 'net pay arrangements'.

1. Relief at source (RAS)

FA 2004, s.192

Relief at source always applies where contributions are made to **personal pension schemes**.

Contributions to an occupational pension scheme can also be made under the relief at source method. For example, this method applies where contributions are made to a NEST pension, which is a workplace pension set up by the Government. However, note that for exam purposes you should always assume that contributions to an occupational pension scheme are made under net pay arrangements, unless told otherwise.

Under the relief at source rules, **payments to a pension scheme are made net of 20% tax**. This means that if a taxpayer wants £1,000 to go into his pension fund, he will actually pay £800 and HMRC will make up the difference of £200. Note that this also applies where the taxpayer is a Scottish taxpayer.

If the taxpayer pays tax at the higher or additional rates of tax, extra tax relief is given on these contributions by **extending the basic and higher rate limits**. For Scottish taxpayers who pay tax at the Scottish intermediate, higher or top rates, the relevant limits will also be extended. This is exactly the same as the way in which tax relief is given on donations to charity under the Gift Aid Scheme.

Therefore, where a pension contribution is made, the original basic rate limit of £37,700 is extended by the gross amount of the pension contribution – ie the net contribution multiplied by 100/80. This gives us a new basic rate limit and we use this new figure to calculate the taxpayer's tax liability.

New basic rate limit = £37,700 + (Pension contribution × 100/80)

Equally, the higher rate limit of £150,000 is extended by the same amount.

When determining the level of savings allowance that an individual is entitled to, total taxable income is compared to the extended limits.

It is important to note that the taxpayer's **maximum contribution eligible for tax relief – ie the higher of 100% of relevant earnings or £3,600 – gives us the gross amount**. So, having calculated the maximum contribution in this way, the **amount the taxpayer will physically pay is this figure multiplied by 80%**.

➢ Illustration 1

Abida receives a salary of £60,000. She makes a contribution of £3,000 (net) to her personal pension. Her employer contributes £1,200.

Calculate the 2022/23 tax liability for Abida.

	£
Salary	60,000
Less: Personal allowance	(12,570)
Taxable income	47,430

The contribution by the employer is a tax-free benefit but is not eligible for further tax relief. When calculating the amount of Abida's income tax liability we extend the basic rate band by the gross amount of her contribution:

Basic rate limit	£
Original	37,700
Add: 3,000 × 100/80	3,750
	41,450
Tax liability	
41,450 @ 20%	8,290
5,980 @ 40%	2,392
	10,682

As a result of her pension contribution, an additional £3,750 of Abida's income was charged to tax at the basic rather than higher rate. Abida therefore received 40% tax relief in respect of her contribution – 20% at source and 20% via her tax computation.

<u>2. Net pay arrangements</u>

FA 2004, s.193

In practice, contributions to **occupational pension schemes are generally made under net pay arrangements**.

Employees making contributions to an employer-run scheme will obtain tax relief via a net pay arrangement. This is done by the employer subjecting an employee's net pay to PAYE – ie taking gross pay, deducting the pension contribution and taxing only the net balance. Therefore, the more an employee pays by way of a pension contribution, the less tax will be deducted under PAYE.

Pension contributions do not receive relief from National Insurance, so NICs are calculated on gross salary.

When putting together the employee's income tax computation, pension contributions to an employer scheme are given as a deduction from earnings, as below:

	£	£
Salary, bonus etc		X
Benefits		X
Taxable earnings		X
Less: Allowable deductions:		
– Employment expenses	X	
– Pension contributions	**X**	
		(X)
NET TAXABLE EARNINGS		X

26.7 Employer Contributions

If an employer makes a contribution to an employee's pension scheme, this is a **tax-free benefit**. The member is not entitled to any further tax relief in respect of these contributions. Employer contributions are not restricted by the net relevant earnings limit. However, employer contributions do need to be considered for the purposes of the **annual allowance**. This is discussed below.

All employers have to offer most of their workers a workplace pension. Contributions are made by both the employee and employer under automatic enrolment legislation. Whilst there is an opt-out clause for employees, they lose the benefit of the employer contributions if they choose not to participate. Employee contributions to such schemes obtain tax relief under the arrangements described above. Employer contributions are a tax-free benefit.

26.8 Annual Allowance

Total 'pension input' in a tax year is compared to the 'annual allowance', in order to limit the amount of the tax advantage.

For a registered money purchase scheme, 'pension input' means **employee plus employer contributions in the tax year**. FA 2004, s.228

For a registered defined benefit scheme (such as a final salary scheme), 'pension input' means the increase in the capital value of the scheme in the tax year. FA 2004, s.229

The **annual allowance for 2022/23 is £40,000** (and has been at this level since 2014/15). The allowance is tapered in respect of high income individuals and we will look at this shortly.

An individual's annual allowance for a tax year is **increased by any unused annual allowance of the previous three tax years**. FA 2004, s.228A

When calculating the amount of any unused annual allowance, the **current year annual allowance is deemed to be used in priority**. After that, any unused annual allowance from previous years is used, using relief from earlier years first. In other words, **unused annual allowance is utilised on a 'first in, first out' (FIFO) basis**.

Unused annual allowance can be carried forward from a tax year **provided the individual was a member of a registered pension scheme in that year**, even if no contributions were made in that year. If the individual was not a member of a registered pension scheme in a particular tax year, the annual allowance for that year cannot be carried forward.

➢ Illustration 2

Vicky has self-employed earnings of £140,000. She joined a pension scheme for the first time on 6 April 2019 and made the following gross pension contributions:

	£
2019/20	20,000
2020/21	30,000
2021/22	50,000
2022/23	45,000

Vicky was not a member of a registered pension scheme prior to 2019/20 and therefore has no unused relief carried forward at 6 April 2019.

Calculate how much of the unused allowances can be carried forward to 2023/24.

	2019/20	2020/21	2021/22	2022/23
Contribution	20,000	30,000	50,000	45,000
CY annual allowance	(40,000)	(40,000)	(40,000)	(40,000)
Unused annual allowance	(20,000)	(10,000)	–	–
Excess contribution	–	–	10,000	5,000
Used 2021/22	10,000		(10,000)	
Used 2022/23	5,000			(5,000)
	(5,000)	(10,000)		
	No further c/f possible	C/f to 2023/24		

In 2019/20, Vicky contributes £20,000 to her pension, resulting in unused annual allowance of £20,000 to carry forward to 2020/21. In 2020/21, she contributes £30,000. The annual allowance for 2020/21 is utilised first, so Vicky has £10,000 of the 2020/21 annual allowance to carry forward as well as the £20,000 from 2019/20.

In 2021/22, the contribution of £50,000 uses the current year annual allowance in full. The unused annual allowance from earlier years is used on a FIFO basis, so £10,000 of the unused annual allowance from 2019/20 is utilised in 2021/22. A further £5,000 of this unused annual allowance from 2019/20 is used in 2022/23, leaving £5,000 unused. This amount is lost as it cannot be carried forward more than three years.

The unused annual allowance from 2020/21 of £10,000 can be carried forward to 2023/24. However, the 2023/24 current year allowance will be used in priority.

Unused annual allowances can be carried forward for up to three years. Therefore, when a taxpayer is making pension contributions in 2022/23, they can bring forward unused annual allowances from 2019/20, 2020/21 and 2021/22.

26.9 Tapered Annual Allowance for High Income Individuals

The annual allowance is reduced or 'tapered' for **'high income individuals'**.

The annual allowance is reduced by **£1 for every £2 of 'adjusted income' in excess of £240,000**. The reduction is rounded down to the nearest £. However, the annual allowance **cannot be reduced to below £4,000**, giving a maximum restriction of £36,000. The maximum restriction will apply to taxpayers with adjusted income of £312,000 and above, giving them the minimum annual allowance of £4,000. FA 2004, s.228ZA(1), (2)

➢ Illustration 3

Ben is a high income individual with adjusted income of £270,000.

Calculate his annual allowance for 2022/23.

	£
Adjusted income	270,000
Less:	(240,000)
Excess income	30,000
Restriction (30,000/2)	15,000
Annual allowance	40,000
Less: Restriction	(15,000)
Tapered annual allowance	25,000

An individual is a **'high income individual'** if they have **'threshold income' over £200,000** and **'adjusted income' of over £240,000**.

'Threshold income' is **net income** for tax purposes **less the gross amount of any pension contributions for which basic rate tax relief has been given at source.**

Threshold income

	£
Net income (after occupational pension contributions paid under net pay scheme)	X
Less: Personal pension contributions	(X)
Threshold income	X

So, where an individual's taxable income before personal allowances but after deducting the gross amount of personal pension contributions paid does not exceed £200,000, the tapering provisions will not apply and there is no need to calculate the individual's adjusted income.

If threshold income does exceed £200,000, the tapering provisions will only apply where 'adjusted income' exceeds £240,000.

The starting point for calculating **'adjusted income'** is also **net income** for tax purposes. We then need to **add the amount of any pension contributions for which the employee has received relief as a deduction in arriving at employment income**. This would be the case where the employee had made contributions to an occupational scheme under the net pay arrangements. We also need to **add the amount of any pension contributions paid by the employer**. FA 2004, s.228ZA(4)

Adjusted income

	£
Net income (after occupational pension contributions paid under net pay scheme)	X
Add: Occupational pension contributions paid under net pay scheme	X
Add: Contributions paid by employer	X
Adjusted income	X

Illustration 4

Millie receives a gross salary of £210,000 and has a company car with a benefit value of £3,200. She makes a personal pension contribution of £12,000 net per annum and her employer contributes £20,000 to her personal pension scheme.

Millie also receives property income (after allowable expenses) of £12,500 per annum.

Calculate Millie's annual allowance for 2022/23.

In order to determine whether the tapering provisions apply, we firstly need to calculate Millie's threshold income:

	£
Employment income (210,000 + 3,200)	213,200
Property income	12,500
Net income	225,700
Less: Gross personal pension contributions (12,000 × 100/80)	(15,000)
Threshold income	210,700

Remember that we deduct the gross amount of the personal pension contributions as these contributions will have received basic rate relief at source.

Millie's threshold income exceeds £200,000, so we need to calculate her adjusted income to see if the tapering provisions apply:

	£
Employment income (210,000 + 3,200)	213,200
Property income	12,500
Net income	225,700
Add: Employer pension contribution	20,000
Adjusted income	245,700

No adjustment is needed in respect of Millie's pension contribution when calculating adjusted income as this amount has not been deducted in arriving at net income. However, we do need to add the amount of the employer contribution. As adjusted income exceeds £240,000, the tapering provisions apply:

	£
Adjusted income	245,700
Less:	(240,000)
Excess income	5,700
Restriction (5,700/2)	2,850
Annual allowance	40,000
Less: Restriction	(2,850)
Tapered annual allowance	37,150

26.10 Annual Allowance Charge

Where total pension input in the tax year exceeds the available annual allowance, **the excess is charged to income tax**. This is called the 'annual allowance charge'.

The rate of the tax charge will depend on the individual's taxable income. FA 2004, s.227(4A)

The excess pension input is charged at the rate (or combination of rates) **which would apply if the excess were the top slice of taxable income** for the tax year.

The aim of the annual allowance charge is to remove tax relief on pension savings in excess of the annual allowance.

➢ Illustration 5

Elena's only source of income is her salary of £100,000. She made a net contribution of £16,000 to her personal pension in 2022/23. Her employer contributed £28,500. Elena had no unused annual allowance to bring forward to 2022/23.

Calculate Elena's total tax liability for 2022/23.

Let us consider Elena's tax position in 2022/23:

	£
Salary	100,000
Less: Personal allowance	(12,570)
Taxable income	87,430

Elena's basic and higher rate limits will be extended by the gross amount of the pension contribution that she makes:

Basic rate limit	£
Original	37,700
Add: 16,000 × 100/80	20,000
	57,700

Higher rate limit	
Original	150,000
Add: 16,000 × 100/80	20,000
	170,000

Elena will be subject to the annual allowance charge as the total of her gross pension contribution and the employer's pension contributions exceed the annual allowance of £40,000:

	£
Elena's contribution (gross)	20,000
Employer's contribution	28,500
	48,500
Less: Annual allowance	(40,000)
Excess	8,500

This excess will be added to Elena's taxable income and charged to tax:

			£
Income			
	57,700	@ 20%	11,540
	29,730	@ 40%	11,892
	87,430		23,432
Annual allowance charge			
	8,500	@ 40%	3,400
Total tax liability			26,832

The excess contribution must be reported on the individual's tax return.

26.11 Lifetime Allowance

A lifetime limit is placed on the total value of the pension fund that can benefit from tax relief. This limit is called a **'lifetime allowance'**. The lifetime allowance is **£1,073,100 for 2022/23**. It will remain fixed at this level until 2025/26 inclusive. FA 2004, s.218

Where pension funds have been built up and the capital value **exceeds the lifetime allowance**, a **tax charge will be levied on the excess**. This is called a **'lifetime allowance charge'**. FA 2004, ss.214–226

The rate of tax depends on how the individual chooses to receive the excess. There are two rates, as follows:

a. 55% if the individual chooses to take the excess as a lump sum; or

b. 25% if the individual chooses to leave the excess in the fund.

In the case of (b), a further charge will arise when the cash is withdrawn from the fund because at this point it will be treated as taxable income and the amounts drawn will be taxed at the individual's marginal tax rate.

EXAMPLES

❖ Example 1

Harin is self-employed. He pays £500 per month into his pension scheme. He has taxable trading profits of £60,000 and receives bank interest of £10,000 each year.

Calculate Harin's tax liability for 2022/23.

❖ Example 2

Poppy is self-employed with taxable trading profits of £255,000 and no other income.

Calculate her annual allowance for 2022/23 assuming:

i. she makes pension contributions of £48,000 (net);

ii. she makes pension contributions of £42,000 (net).

❖ Example 3

Mr Branston is Chief Executive of a small airline company. He has a salary of £800,000. In 2022/23, Mr Branston paid £15,000 per month into the occupational pension scheme run by his employer. He had made this contribution regularly for several years. His employer also contributed £180,000. Mr Branston has no other income.

Calculate Mr Branston's tax liability for 2022/23.

ANSWERS

✓ Answer 1

	Non-savings	Interest
	£	£
Trading profits	60,000	
Bank interest		10,000
Less: Personal allowance	(12,570)	
Taxable income	47,430	10,000

Tax		
45,200	@ 20% (W)	9,040
2,230	@ 40%	892
500	@ 0%	Nil
9,500	@ 40%	3,800
Tax liability		13,732

Working

Basic rate limit

Original	37,700
Add: Gross pension contribution (500 × 12 × 100/80)	7,500
New limit	45,200

✓ Answer 2

i. Pension contributions of £48,000 (net)

If Poppy makes a gross pension contribution of £60,000 (48,000 × 100/80), her threshold income will not exceed £200,000 (255,000 – 60,000 = 195,000). The tapering provisions will not apply and her annual allowance will be £40,000.

ii. Pension contributions of £42,000 (net)

If Poppy makes a gross pension contribution of £52,500 (42,000 × 100/80), her threshold income will be £202,500. The tapering provisions will apply as threshold income exceeds £200,000 and adjusted income exceeds £240,000.

	£
Adjusted income (= taxable trading profits)	255,000
Less:	(240,000)
Excess income	15,000
Restriction (15,000/2)	7,500
Annual allowance	40,000
Less: Restriction	(7,500)
Tapered annual allowance	32,500

✓ Answer 3

			Non-savings
			£
Employment income			800,000
Less: Employee pension contributions (15,000 × 12)			(180,000)
Net taxable earnings			620,000
Less: Personal allowance			(Nil)
Taxable income			620,000
Tax			
	37,700	@ 20%	7,540
	112,300	@ 40%	44,920
	470,000	@ 45%	211,500
			263,960
Add: Annual allowance charge (360,000 – 4,000) @ 45%			160,200
Tax liability			424,160

Tutorial Note:

Due to the level of income it is clear that Mr Branston's threshold income exceeds £200,000 and his adjusted income exceeds £240,000. His adjusted income clearly exceeds £312,000 and therefore Mr Branston is only entitled to an annual allowance of £4,000.

CHAPTER 27

MISCELLANEOUS PROVISIONS

By the end of this chapter you will understand:
- a variety of tax-efficient investments
- how to calculate the high income child benefit charge
- the rules on pre-owned assets
- how to tax gains on life insurance policies

27.1 Tax-Efficient Investments

National Savings Certificates

National Savings Certificates are a popular investment because they guarantee a fixed rate of return over their life which is generally three or five years. **Interest earned on National Savings Certificates is tax free**. National Savings Certificates are not always available to purchase.

Note that interest in respect of other National Savings and Investments (NS&I) products, such as income bonds and investment accounts, is taxable.

Premium Bonds

Premium Bonds are the UK's most popular savings product. There is currently over £100 billion held in Premium Bonds. Individuals can hold up to £50,000 each in Premium Bonds, with a minimum investment of £25.

However, Premium Bonds do not guarantee any rate of return at all. A Premium Bond simply buys a ticket in a monthly raffle. There is a prize draw every month, and only if the Premium Bond-holder's numbers are drawn do they win a cash prize. The monthly prizes range from £25 to £1 million. **All prizes are tax free**.

When buying a Premium Bond, numbers are entered for every monthly draw until the Bond is encashed. Premium Bonds can be cashed in at any time and the money returned.

Individual savings accounts

Individual savings accounts (ISAs) are tax-favoured funds in which a taxpayer can hold a range of different investments.

The main benefits of ISAs are as follows:

- There is **no tax on income** (eg interest, dividends etc) from an ISA.
- There is **no tax on capital gains** arising on the disposal of an ISA.
- There is no minimum 'lock in' period.
- Withdrawals can be made at any time.

There are four different kinds of ISA:

1. A 'Cash' ISA, which is essentially a tax-free savings account.
2. A 'Stocks & Shares' ISA, which holds a variety of investments such as shares, unit trusts and bonds.
3. An 'Innovative Finance' ISA, which holds peer-to-peer loans.
4. A 'Lifetime' ISA, which is used to save for buying a first home or for retirement (see below).

ISA investors must be resident in the UK and aged 18 or over (16 for a Cash ISA). Individuals must be under 40 to open a Lifetime ISA.

In 2022/23 an individual can invest up to **£20,000 into an ISA**. The investment can be split between a Cash ISA, a Stocks & Shares ISA and an Innovative Finance ISA in **any combination the investor chooses** (although it is only possible to subscribe to one of each type of ISA in a tax year). A married couple or partners in a civil partnership can therefore invest up to £40,000 per annum into ISAs and any income thereon is tax free.

Investors aged between 16 and 18 can only have a Cash ISA (with a £20,000 annual investment limit).

The maximum that can be invested in a Lifetime ISA is £4,000 per annum. This counts towards the overall £20,000 limit.

There is no minimum investment period, so withdrawals from an ISA other than a Lifetime ISA can be made at any time without penalty.

Lifetime ISAs

Lifetime ISAs are available to **individuals aged 18 or over but under 40**. Savings of up to £4,000 per tax year can be made before the individual's 50th birthday. These contributions will be eligible for a 25% tax-free bonus from the government. A Lifetime ISA can consist of cash, stocks and shares or a combination of both.

Some or all of the savings can be **used to buy a first home worth up to £450,000**, provided the Lifetime ISA has been held for 12 months. Alternatively, funds (or the remaining funds) **can be withdrawn tax free after the individual's 60th birthday**. However, if funds are withdrawn before age 60 (other than to buy a first home), the bonus will be lost (including any interest or growth on that element) and the individual will be subject to a 5% charge.

Junior ISA

Up to **£9,000 per annum** may be invested **into a Junior ISA** for an individual under the age of 18. Anyone, eg a parent, may contribute to a Junior ISA. Withdrawals from Junior ISAs are not generally permitted until age 18. Investments can be made in a Cash Junior ISA and/or a Stocks & Shares Junior ISA.

Help to Buy ISAs

Help to Buy ISAs are a type of Cash ISA which help first-time buyers to save for a deposit on a home in the UK. They were available to open until 30 November 2019. Individuals can continue to add savings to the account until 30 November 2029, up to a maximum of £200 per month. When a property is purchased, the government pays a tax-free 'bonus' of 25% provided the balance on the account is at least £1,600. The bonus is limited to £3,000.

The savings have to be used to buy a home costing £450,000 or less in London and £250,000 or less elsewhere in the UK.

An individual can have both a Help to Buy ISA and a Lifetime ISA, but only one government bonus can be used to purchase a home.

27.2 High Income Child Benefit Charge

Child benefit is a tax-free payment that UK individuals can claim for their children (or for children in their care). It is calculated as a weekly amount but is usually paid every four weeks. Child benefit can be claimed by anyone who qualifies, whatever their income or savings.

Child benefit payments usually stop on 31 August on or after the child's 16th birthday, unless the child is in education or training that counts for child benefit (eg GCSEs, A levels, NVQ level 1, 2 or 3, BTEC National qualification etc). There are no child benefit payments once the child reaches the age of 20.

There are currently two child benefit amounts:

- a higher amount of £21.80 a week for the eldest (or only) child; plus
- £14.45 a week for each of the other children.

The **'high income child benefit charge'** effectively **claws back the child benefit** via the annual income tax computation once the **adjusted net income** of either the claimant or their partner **exceeds £50,000**. ITEPA 2003, s.681B(1)

The charge is 1% of the child benefit for every £100 of adjusted net income in excess of £50,000. If necessary, the percentage is rounded down to the nearest whole number. ITEPA 2003, s.681C

The charge will therefore be equal to the full child benefit claimed once adjusted net income reaches £60,000. The charge is capped at the child benefit received.

'Adjusted net income' is defined as for personal allowances, being net income less the gross amount of any personal pension contributions and the grossed-up amount of any Gift Aid donations. ITA 2007, s.58

➢ Illustration 1

Emily is a single mother with three children (aged 12, 10 and 6). Her income consists of her employment income of £55,000 and bank interest of £1,000. She pays personal pension contributions of £200 per month.

Calculate Emily's tax liability.

	£
Employment income	55,000
Bank interest	1,000
Net income	56,000
Less: Personal allowance	(12,570)
Taxable income	43,430

		£
Tax		
40,700	@ 20% (W1)	8,140
1,730	@ 40%	692
500	@ 0%	Nil
500	@ 40%	200
		9,032
Add: High income child benefit charge (W2)		791
Tax liability		9,823

Workings

W1: Basic rate band

	£
Basic rate band	37,700
Add: Gross pension (200 × 12 × 100/80)	3,000
	40,700

W2: High income child benefit charge

	£
Net income	56,000
Less: Gross pension (200 × 12 × 100/80)	(3,000)
Adjusted net income	53,000
Less: Child benefit charge threshold	(50,000)
Excess	3,000

3,000/100 × 1% 30%

Therefore, the clawback is 30% of the child benefit claimed.

Child benefit (3 children) = (21.80 + 14.45 + 14.45) × 52 2,636

Charge @ 30% 791

Because taxpayers with income in excess of £50,000 will suffer a charge in respect of all or part of their child benefit, **the person claiming the child benefit can elect not to receive it**. The election can be used to prevent the situation where an individual claims child benefit, only to later have to pay it all back via their self-assessment return. SSAA 1992, s.13A

This election can be revoked at a later stage (for example, if income falls to a level at which the child benefit is not fully clawed-back).

Where there are two partners in the household, **the charge rests with the partner who has the higher income**. ITEPA 2003, s.681B(4)

'Partners' comprise:

- spouses or civil partners (provided that they are not separated); and
- a couple who are not married to each other but who are living together as spouses or civil partners. ITEPA 2003, s.681G

Because the charge is based on the income of one of the partners only (not on combined income), it means that:

- a household with two partners each earning £50,000 (ie £100,000 in total) will be able to claim the full child benefit without any clawback; but
- a household with one partner with income of £60,000 will have all of the child benefit clawed back via the tax computation.

27.3 Pre-Owned Assets

The pre-owned assets (POA) rules were introduced to counter inheritance tax avoidance.

Inheritance tax (IHT) is charged on the value of assets in a taxpayer's 'estate' on death.

Anti-avoidance legislation prevents a taxpayer giving away their assets before their death (to avoid them being charged to IHT) but still being able to use those assets after the gift has taken place. These are the 'gifts with reservation of benefit' rules. The effect of a gift with reservation is to treat the asset as remaining in the taxpayer's estate (even though legally the asset is no longer theirs).

Various avoidance schemes had sprouted up to get around the gifts with reservation rules so that (with careful planning) taxpayers could give assets away in their lifetime and still benefit from them without an IHT penalty. HMRC therefore introduced the POA rules to stop this type of tax avoidance.

Where:

- a taxpayer either **gives away an asset or provides consideration** for the acquisition of an asset, and
- the taxpayer can **benefit from that asset after the gift**, and
- the arrangement **does NOT fall within the 'gifts with reservation' rules** for IHT,

then the POA rules will apply.

The effect of the POA rules is to impose **an income tax charge on the former owner of the asset in respect of the benefit** they have obtained from the use of the asset in question.

The POA rules will most commonly apply to a cash gift whereby the donee receives cash from the donor and then uses that money to buy an asset for the donor to use.

The most common asset in such arrangements is land and buildings. The 'benefit' the donor obtains from the use of land and buildings is measured in terms of the

annual rents that could be obtained from the land were it to be let to an unconnected third party tenant.

The POA rules can also catch other assets such as chattels (paintings, antiques etc).

Illustration 2

Henry owns a house worth £800,000. He wishes to give the house to his son Toby to reduce his IHT estate, but he still wants to live in it.

Henry is told by his tax adviser that if he gives the house to Toby and continues to live in it, then this is a 'gift with reservation' for IHT purposes and the house will remain in his estate for IHT.

However, the 'gifts with reservation' rules for IHT do not apply to cash gifts. Therefore, Henry sells the house for £800,000. He retains some cash to pay some expenses and gives the balance of £750,000 to Toby. Henry moves into temporary rented accommodation.

Shortly after the gift, Toby buys a new house for £700,000 (plus legal fees and stamp duty land tax). Toby then allows Henry to occupy the new house rent free.

Discuss if the pre-owned assets rules apply.

A donor (Henry) has provided consideration to a donee (Toby) for the acquisition of an asset from which he (Henry) can now benefit. There is no 'gift with reservation' for IHT, so the POA rules will apply instead.

The effect of the POA rules is to treat Henry as having the following amount of income:

	£
Annual rental value of asset	X
Less: Rents paid by the donor for the use of the property	(X)
Notional income	X

The income is non-savings income.

Therefore, assume that it would cost £2,500 per month to rent the property from an unconnected third-party landlord. Henry would therefore have taxable income of 12 × £2,500 = £30,000 to declare on his self-assessment return.

This POA charge will continue for as long as Henry occupies the property (without paying full market rent).

There **is no charge if the annual rental value of the asset does not exceed £5,000**.
FA 2004, Sch 15, para 13

The POA charge is apportioned if the donor has not had use of the asset for the whole of the tax year.

27.4 POA Charges on Chattels

Where the asset subject to the POA charge is a chattel (such as a painting or antique), the notional income is calculated as follows:

	£
Value of asset × HMRC official rate of interest (ORI %)	X
Less: Rents paid by the donor for the use of the chattel	(X)
Notional income	X

The chattel is valued at the date which the taxpayer first becomes liable to the income tax charge. The income tax charge is based on that value for the first and the following four tax years. A new valuation is required after the first five tax years.

➢ Illustration 3

On 6 April 2013, Mr Lord gave a painting to his grandson Thomas in order to reduce his estate for IHT. The painting continued to hang in Mr Lord's dining room.

The arrangement was structured in such a way as to avoid being caught by the 'gifts with reservation' rules for IHT.

The painting was valued at £400,000 on 6 April 2013 and was revalued at £500,000 on 6 April 2018. Mr Lord pays a monthly rent of £200 to Thomas for the use of the painting. The HMRC official interest rate is 2%.

Calculate the pre-owned assets charge for 2022/23.

	£
Value of asset 6 April 2018 × HMRC official rate of interest	
= 500,000 × 2%	10,000
Less: Rents paid by the donor for the use of the chattel	
= 200 × 12	(2,400)
Notional income	7,600

Again, there is no charge if the annual value does not exceed £5,000.

The £5,000 limit applies to the aggregate of annual values where more than one asset generates a charge.

27.5 Life Insurance

Life insurance products do one of two things.

They either:

1. pay out a sum of money to a beneficiary when someone dies; or

2. act as **an investment vehicle to provide a return on an investment** in much the same way as other savings-type products.

Insurance policies are either 'qualifying' or 'non-qualifying'.

Qualifying policies

'Qualifying' policies are generally long-term policies where regular premiums are paid with little variation in the amount paid year on year. There is typically a high level of 'sum assured' compared to premiums paid.

There is **no tax when a qualifying policy matures**.

Non-qualifying policies

'Non-qualifying' policies tend to be policies which are funded by a single premium (rather than regular contributions) and they therefore have the nature of an investment vehicle. Many are called 'single premium insurance bonds'.

The investor takes out a policy, pays a lump sum at the start then cashes in the policy at some point in the future (hopefully at a healthy profit). Non-qualifying policies are **taxed on maturity under the rules for life insurance gains**.

27.6 Liability of the Policyholder

When a policyholder cashes in a 'non-qualifying' life policy, this will be a 'chargeable event'. Any **gains arising on the chargeable event are chargeable to income tax**. ITTOIA 2005, s.484

Chargeable event gains are treated as the 'top slice' of an individual's income (after dividends and ex gratia termination payments).

The gains are treated as **savings income** and the savings allowance can apply to this income.

Gains on non-qualifying life policies are deemed to carry **a notional 20% tax credit**. This credit can reduce the income tax liability but can never be repaid.

This means:

i. The policyholder is only liable to additional tax on event gains if they are a higher or additional rate taxpayer.

ii. For basic rate taxpayers, the liability is deemed to be covered by the notional tax credit.

iii. If a single premium life policy matures in the hands of a basic rate taxpayer (yielding a potentially large gain), this 'income' is added to the taxpayer's other income. If this creates a higher rate tax liability, 'top slicing relief' reduces the tax payable. The same principle applies to a higher rate taxpayer where the policy creates an additional rate liability. *[Detailed 'top slicing relief' calculations will not be covered here.]*

27.7 Partial Surrenders

A policyholder can make a partial surrender of a policy (for example, to release some cash) without this giving rise to an income tax charge.

However, partial surrenders will only avoid an income tax charge if they do not exceed 5% of the initial investment per policy year.

This 5% can apply cumulatively (eg after three policy years have elapsed, 15% of the initial investment can be encashed tax free.)

When the policy matures, the partial surrenders **not brought into charge** are added to the policy gain to give the amount chargeable to income tax.

27.8 Interaction with Personal Allowances

As chargeable event gains are treated as income, they will be part of a taxpayer's net income.

Therefore, the effect of a chargeable event gain could be **to reduce personal allowances**. This will be the case where a chargeable event gain causes an individual's adjusted net income to exceed £100,000.

In addition, a chargeable event gain could also affect the married couple's allowance for a taxpayer born before 6 April 1935.

EXAMPLES

❖ Example 1

Harvey is married to Helen. They have two young children. Harvey is a property developer. Helen is a full-time mother.

In 2022/23, Harvey had the following income:

	£
Property income	51,150
Bank interest	1,630
Interest from Cash ISA	80
Gain on disposal of single Premium Insurance Bond	5,000

Child benefit was claimed throughout 2022/23.

Calculate the tax payable by Harvey for 2022/23.

❖ Example 2

On 6 April 2022, James gave his son Oliver £500,000. On 6 June 2022, Oliver bought a holiday home in Dorset for £400,000. On 6 July 2022, Oliver allowed James to use the property as his main residence. James pays Oliver a monthly rent of £1,000. A full market rent would be £2,500.

Calculate the pre-owned assets charge for James for 2022/23.

ANSWERS

✓ Answer 1

	£
Property income	51,150
Bank interest	1,630
Interest from Cash ISA	Exempt
Life policy gain	5,000
Net income	57,780
Less: Personal allowance	(12,570)
Taxable income	45,210
Tax	
37,700 @ 20%	7,540
880 @ 40%	352
500 @ 0%	Nil
6,130 @ 40%	2,452
	10,344
Add: High income child benefit charge (W)	1,451
Tax liability	11,795
Less: Notional 20% credit on life policy gain	(1,000)
Tax payable	10,795

Working: High income child benefit charge

	£
Adjusted net income	57,780
Less: Child benefit charge threshold	(50,000)
Excess	7,780
7,780/100 × 1% (round down)	77%

Therefore, the clawback is 77% of the child benefit claimed.

Child benefit (2 children) =	
(21.80 + 14.45) × 52 weeks	1,885
Charge @ 77%	1,451

✓ Answer 2

	£
Annual rental value of house:	
2,500 × 12	30,000
× 9/12 (6.7.22 to 5.4.23)	22,500
Less: Rents paid by donor (1,000 × 9)	(9,000)
Notional income	13,500

CHAPTER 28

THE ENTERPRISE INVESTMENT SCHEME (EIS)

By the end of this chapter you will understand:
- the reliefs available for investments in the EIS or SEIS
- the limits on the tax reducers
- how relief can be carried back
- the meaning of a qualifying company
- the meaning of a qualifying investor
- when there will be a clawback of relief
- when capital losses on shares can be relieved against income

28.1 Introduction

The **Enterprise Investment Scheme** (EIS) is a scheme which encourages individuals to invest in certain companies by giving income tax relief on the amount invested.

The **Seed Enterprise Investment Scheme** (SEIS) aims to support small, early-stage (or 'seed') companies which often have difficulty in accessing equity finance. Again, qualifying investments are eligible for income tax relief.

An individual may claim both EIS and SEIS relief in the same tax year.

Many of the detailed conditions in relation to the SEIS mirror the EIS conditions. In this chapter we will take a detailed look at the EIS. We will then look at the relief available from the SEIS, highlighting any differences in the conditions which need to be met.

28.2 Enterprise Investment Scheme (EIS)

An individual will receive tax relief in their income tax computation where they subscribe for shares in a qualifying EIS company. By **'subscribing for shares'** we mean that the **company is issuing new shares to the investor**. ITA 2007, s.158

Tax relief is available in respect of the lower of the amount subscribed or £1 million, unless there is investment in a knowledge intensive company. The relief is given by way of a tax reducer at a flat rate of 30%. The maximum amount of income tax relief that an individual can receive in 2022/23 (where there is no investment in a knowledge intensive company) is therefore: ITA 2007, s.158(2)

Maximum tax reducer = £1 million × 30% = £300,000

The maximum amount eligible for relief is increased where shares are subscribed for in **'knowledge intensive companies'**. Where shares are subscribed for in knowledge intensive companies, the maximum overall amount eligible for EIS relief is £2 million, of which no more than £1 million can be invested in companies which are not knowledge intensive.

A knowledge intensive company is broadly a company which has a relatively high research and development or innovation spend and meets certain criteria in respect of innovation or number of highly skilled staff involved in innovation. ITA 2007, s.252A

if there is no KIS investment, the max relief is £1m x 30%.
The max relief will be £2m x 30% if this is KIS investment.

The maximum amount of income tax relief that an individual can receive in 2022/23 where there is investment in knowledge intensive companies is therefore:

Maximum tax reducer = £2 million × 30% = £600,000

The tax reducer is limited to the individual's tax liability for the year – ie the EIS relief cannot create a 'negative' figure for the tax liability. The tax liability can be reduced to nil by EIS relief, leaving tax deducted at source – for example, under PAYE – to be repaid to the taxpayer.

Most claims for EIS relief will be made via the self-assessment tax return. However, a claim for EIS relief can be made up to five years after the 31 January following the end of the tax year in which the shares are issued. For shares issued in 2022/23, a claim for relief must be made by 31 January 2029. ITA 2007, s.202

A claim cannot be made until a certificate – EIS3 – is issued to the investor by the company. This cannot be issued until the trade has been carried on for four months.

28.3 Carry Back of Relief

Income tax relief is usually given to the investor in the year in which the subscription is made. However, it is **possible to carry back an EIS subscription to the preceding tax year**, providing the limit for relief was not exceeded in that earlier year. ITA 2007, s.158(4)

For example, if a taxpayer subscribes for £200,000 of shares on, say, 30 September 2022, the taxpayer could elect for the full amount of the subscription to be carried back and relieved in the 2021/22 tax computation. However, if the taxpayer had already subscribed for £850,000 of EIS shares in 2021/22, only £150,000 of the 2022/23 investment could be carried back to 2021/22.

Where a subscription made in the current year is carried back to the previous year, it is treated as if it was actually made in the earlier year.

➢ Illustration 1

Carla subscribed for £1 million of shares in A Ltd (not a knowledge intensive company) in 2022/23 and claimed EIS relief.

In 2023/24, she subscribes for £500,000 of shares in B Ltd, a knowledge intensive company, and £400,000 for shares in C Ltd (not a knowledge intensive company).

Calculate how much of Carla's investment can be carried back to 2022/23.

Carla can claim for the investment in B Ltd of £500,000 to be carried back to 2022/23. As this is an investment in a knowledge intensive company, the maximum amount of investment eligible for EIS relief in 2022/23 becomes £2 million.

However, not more than £1 million of this can be used to invest in companies which are not knowledge intensive. As Carla has already invested this amount in A Ltd (not a knowledge intensive company) in 2022/23, none of her investment in C Ltd can be carried back to 2022/23.

28.4 Qualifying Company

Tax relief will only be given if the individual subscribes for shares in a qualifying EIS company. It is important therefore that we are comfortable with exactly what is a qualifying company under the EIS rules. ITA 2007, s.180

The company must be a trading company. Therefore, any company which derives its income wholly or mainly from making investments is not a qualifying company for EIS purposes. ITA 2007, s.181

There are **certain prohibited or excluded trades** for EIS purposes. Companies whose activities are primarily **financial** – by this we mean companies dealing in shares or securities or commodities etc – are excluded, as are companies providing **legal and accountancy** services. **Farming and market gardening** are also excluded activities, as is operating or **managing hotels**, **property development**, shipbuilding, coal and steel production, and trades which consist of energy-generating activities. ITA 2007, s.192

It is possible for the company to be registered outside the UK. However, to qualify for relief, the company must have a permanent establishment in the UK. Most EIS companies will be resident in the UK. ITA 2007, s.180A

The **company must be an unquoted company** when the shares are issued. This means that its shares must not be marketed to the general public by being listed on a recognised stock exchange. ITA 2007, s.184

The company must meet the financial health requirement when the shares are issued, which basically means that the company is not in difficulty, in order to prevent relief being obtained for investments in companies which are clearly failing. ITA 2007, s.180B

The company must not be a 51% subsidiary or otherwise be under the control of another company. ITA 2007, s.185

In addition, the company must only have qualifying subsidiaries, being ones in which 50% or more of the shares are owned by the parent. Where the subsidiary is a property-managing subsidiary, at least 90% of the subsidiary must be owned by the parent. ITA 2007, ss.187, 188 and 191

Most companies qualifying for EIS relief are relatively small trading companies and the EIS rules place a limit on the value of the assets within the company. The assets of the company must not exceed **£15 million before** the share issue and must not exceed **£16 million after** the share issue. ITA 2007, s.186

Companies or groups with 250 or more full-time equivalent employees cannot raise money via an EIS. This limit is increased to 500 for knowledge intensive companies. ITA 2007, s.186A

Having raised the share capital from its investors, the company must use the cash raised for a qualifying business activity within a certain period of time. All the money must be used for a qualifying business activity within two years of the date of issue (or commencement of trade if this is later).

Shares may only be eligible for EIS relief where the issuing company has not raised more than £5 million in the previous 12 months through 'relevant investments', being EIS, SEIS, Venture Capital Trust (VCT) shares and investments which qualify for social investment tax relief (SITR). The £5 million limit is increased to £10 million for knowledge intensive companies. ITA 2007, s.173A

In addition, there is a **lifetime limit of £12 million** (£20 million for knowledge intensive companies) on the amount of funds that can be raised through 'relevant investments'. ITA 2007, s.173AA

The company must have carried on the trade for which the money was raised for at least four months in order for an investor to be eligible for EIS relief. ITA 2007, s.176

The share issue must generally take place **within seven years of the first commercial sale** made by the company. This is to target the relief at young growing companies. For knowledge intensive companies, the share issue must take place within ten years of the first commercial sale or, by election, within ten years from the date when the company reached an annual turnover of £200,000. ITA 2007, s.175A

Finally, there must be no pre-arranged exits – ie the company must not guarantee the investor any sort of return on their investment. Only if the investor is taking a bona fide commercial risk will HMRC offer any form of tax relief. ITA 2007, s.177

28.5 Relevant Shares

The shares subscribed for must themselves meet certain conditions.

The shares must be issued to raise money for a qualifying business activity in order to promote business growth and development. ITA 2007, s.174

The shares must be ordinary shares which do **not carry preferential rights to assets on winding up**. In addition, the shares must not carry preferential rights to dividends, where the amount and timing of the dividends depends on a decision by the company or where the rights to dividends are cumulative. ITA 2007, s.173

The shares must be issued and subscribed for, for **genuine commercial reasons** and not for tax avoidance schemes or arrangements. ITA 2007, ss.165 and 178

28.6 Qualifying Investor

There are also two important qualifying conditions as far as the investor is concerned.

Firstly, in order to obtain income tax relief, the **investor must not be connected with the company** in the period beginning two years prior to the issue of the shares and ending three years after the issue (or three years after commencement of trade if later). Broadly speaking, an investor is connected with an EIS company if they breach one of two main conditions. ITA 2007, ss.162 and 163

The investor is connected with the company if they, or an associate, is **an employee** of the company. ITA 2007, s.167

The associates here would include a spouse or civil partner, and ancestors or descendants such as parents and children. ITA 2007, s.253

An employee includes a director. However, there are **special provisions which allow a director of a company to be eligible for EIS relief** and thereby to obtain income tax relief on a subscription for shares. A director can obtain relief if:

1. they are an **unpaid director in the period two years before the share issue and three years after the issue** (other than receiving reimbursement of reasonable business expenses or rent which does not exceed a reasonable commercial rent); or ITA 2007, s.168

2. they were not connected to the company before the share issue and they become **a paid director after the share issue but any remuneration they receive is reasonable** taking into account the services rendered. ITA 2007, s.169

This second provision enables investors who would like to make their business expertise available to the company in return for reasonable payment to become directors without this prejudicing entitlement to income tax relief. These investors are often referred to as 'Business Angels'.

Existing directors of the company who are paid remuneration for their services **will not therefore receive income tax relief** on a subscription for EIS shares.

The above provisions also need to be considered where an associate of the investor is a director.

The investor is also connected to the company if they hold **more than 30% of the ordinary shares**, or they can exercise more than 30% of the voting rights. In considering whether the 30% limit has been breached, the shareholdings of associates must also be taken into account. ITA 2007, s.170

Secondly, there is **a restriction preventing existing shareholders claiming relief**. In order to be eligible for relief, the individual must not hold any shares in the company at the date of issue unless:

- the shares already held were acquired as part of an issue which qualified for income tax relief under the EIS/SEIS/SITR provisions; or

- the shares already held are 'subscriber shares', ie issued to the individual when the company was incorporated (or shares acquired in an off-the-shelf company). ITA 2007, s.164A

28.7 Risk to Capital

There is one final condition that must be met if an investment is to qualify for EIS relief. This is the 'risk-to-capital' condition. ITA 2007, s.157A

Taking into account the circumstances at the time the shares are issued, it must be reasonable to conclude that:

- the objectives of the company are to grow and develop its trade in the long term; and

- there is a **significant risk of a loss of capital** greater than the return on the investment, taking into account the value of the EIS relief.

The aim of this condition is to prevent EIS relief being available for investment in companies whose aim is to preserve capital invested whilst obtaining income tax relief for investors. This condition ensures that the relief focuses on companies with high growth potential.

The legislation does not define significant risk but does list some of the factors which could be considered when determining whether the risk-to-capital condition has been met, including the extent to which the company's objectives include increasing turnover and increasing the number of employees, and the nature of the company's sources of income.

28.8 Clawback of Relief

There are anti-avoidance provisions to prevent an investor from obtaining income tax relief on their EIS subscription, then selling the shares shortly afterwards. If the **investor disposes of their shares within three years of issue, there will be a clawback of the income tax relief originally given**. ITA 2007, s.209

No clawback of relief occurs if the disposal takes place as a result of the individual's death.

If the investor gives away their shares within three years, all of the income tax relief originally obtained will be withdrawn. This will not apply when the gift is to the investor's spouse or civil partner.

The clawback of income tax relief is slightly different where the shares are sold to an unconnected third party. If the shares are sold within three years, the income tax relief to be withdrawn is the sale proceeds multiplied by the initial rate of relief obtained.

The clawback of income tax relief cannot exceed the original tax reducer. This means that if **shares are sold at a profit within three years of issue, an amount equal to the original tax reducer is clawed back**.

Full relief will be also withdrawn if **any of the qualifying conditions cease to be met** during the three-year period; for example, if the investor becomes employed by the company or their shareholding exceeds the 30% threshold.

HMRC will claw back the relief by raising an assessment for the tax year in which the relief was originally obtained. Interest will be charged from 31 January following the end of the tax year for which the assessment was made. ITA 2007, ss.235 and 239

➢ Illustration 2

In December 2019, an investor subscribed for £50,000 of shares in an EIS company. The investor claimed a tax reducer of £15,000 in the tax year 2019/20.

The investor disposes of the shares in June 2022 – ie within three years of their issue.

Explain the consequences in respect of the income tax reducer if the disposal was by way of a gift.

If the disposal is by way of a gift, all of the tax relief originally obtained will be withdrawn. This means that an assessment will be raised in respect of 2019/20 to claw back the relief of £15,000.

Explain the consequences in respect of the income tax reducer if the disposal was by way of a sale for proceeds of £60,000.

If the shares were sold for £60,000, the income tax relief to be withdrawn would again be £15,000. Remember that when the EIS shares are sold at a profit within three years, all of the original income tax relief given will be clawed back.

Explain the consequences in respect of the income tax reducer if the sale proceeds were £40,000.

The sale proceeds of £40,000 are less than the original cost of £50,000.

Therefore, the **shares were sold at a loss within three years**. In this situation the **income tax relief to be withdrawn is the sale proceeds multiplied by 30%.** In this instance, £12,000 will be clawed back.

28.9 Seed Enterprise Investment Scheme (SEIS)

Income tax relief will be available where an individual subscribes for shares in a qualifying SEIS company.

Relief is calculated in respect of the lower of the amount subscribed or **£100,000**, and it is given by way of a tax reducer at a flat rate of **50%.** Although the amount of investment which qualifies for relief is significantly lower than under the EIS, the rate of relief is higher to help make investments commercially viable for investors. ITA 2007, s.257AB

The maximum amount of income tax relief that an individual can obtain under the SEIS is therefore £100,000 @ 50% = £50,000. As with EIS, the amount of relief cannot exceed the individual's tax liability for the year. A claim can also be made to treat the subscriptions as made in the previous tax year provided the limit for relief in the earlier year is not exceeded.

Most claims for SEIS relief will be made via the self-assessment tax return. However, a claim for SEIS relief can be made up to five years after the 31 January following the end of the tax year in which the shares are issued. The company cannot issue the necessary certificate – SEIS3 – to enable the investor to claim relief until the trade has been carried on for four months or at least 70% of the money raised has been spent. ITA 2007, ss.257EA and 257ED

A disposal of the shares within three years will result in a clawback of the relief, exactly as for the EIS. ITA 2007, s.257FA

28.10 SEIS Conditions

The SEIS incorporates the same conditions in respect of the risk-to-capital condition, qualifying shares and qualifying companies as the EIS subject to the following exceptions.

As SEIS focuses on smaller early-stage companies, a qualifying SEIS company **cannot have assets of more than £200,000** immediately before the share issue. ITA 2007, s.257DI

In addition, the number of **full-time equivalent employees must be less than 25** when the relevant shares are issued. ITA 2007, s.257DJ

The money raised by the company must be **spent on a qualifying business activity within three years** of the issue of the shares. The qualifying activity must be a **new trade** which must **not be more than two years old**, regardless of whether the trade was previously carried on by another person. ITA 2007, s.257CC; ITA 2007, ss.257HF and 257HG

The amount raised by the company by virtue of SEIS investment **cannot exceed £150,000**. However, this is not an annual limit. The £150,000 cap applies to the total amount raised via SEIS in the three years ending with the date the shares are issued. ITA 2007, s.257DL

Finally, the company **cannot previously have raised funds through the EIS or VCT scheme.** ITA 2007, s.257DK

Having looked at the differences between an EIS company and a SEIS company, there are two important differences to note regarding the actual investor.

As with an EIS investment, the individual cannot be connected with the SEIS company.

An individual is connected with the SEIS company if they, or an associate, is an employee during the period beginning with the issue of the shares and ending three years later. In addition, the individual or associate cannot own more than 30% of the share capital or voting rights of the company in the period beginning with incorporation and ending three years after the issue of the shares. ITA 2007, ss.257BA and 257BB

However, a director of the SEIS company is not treated as an employee. Therefore, an individual is not treated as connected with a SEIS company simply by virtue of being a director. Of course, if the director owns more than 30% of the share capital or voting rights they will be connected with the company.

Secondly, there is no restriction on existing shareholders claiming SEIS relief.

28.11 Section 131 ITA 2007 Election – Use of Capital Losses Against Income

Under normal rules, a loss on the sale of shares is relieved against capital gains.

However, s.131 ITA 2007 allows an individual to use qualifying losses in a slightly different way. If a claim is made, the capital loss, as calculated for capital gains tax purposes, **can be deducted in computing the individual's net income of the current year and/or of the preceding year**. ITA 2007, s.131

This is very unusual and is the **only time** when a taxpayer can **set a capital loss against income.** Section 131 ITA 2007 allows a taxpayer to use a loss on shares in much the same way as a trading loss can be used – ie in computing net income.

This **relief is available on qualifying shares.** These are **shares on which EIS income tax relief has been claimed or are shares in a qualifying trading company which have been subscribed for by the individual.**

In practice, relief will most commonly arise when an individual makes losses on shares which have EIS income tax relief attributable to them. However, if an individual subscribes for shares in an unquoted trading company which meets the conditions for s.131 relief, which broadly means they meet the conditions of qualifying EIS shares, then any loss arising on disposal can be set against net income, even where EIS income tax relief has not been claimed.

As such, any allowable loss on SEIS shares will also qualify for relief under s.131 ITA 2007.

EXAMPLES

❖ Example 1

Gamya, an employee, had salary and benefits totalling £600,000 in 2022/23. She had no other income.

In March 2023, she subscribed £1.2 million for shares in a qualifying EIS company (not a knowledge intensive company).

Calculate her tax reducer for 2022/23.

❖ Example 2

Which of the following trades is <u>not</u> an excluded trade for EIS purposes?

a. Research and development

b. Property development

c. Share dealing

d. Market gardening

❖ Example 3

Alpha-tech Ltd is an unlisted trading company. It has applied for, and received, appropriate designation under the EIS. In January 2023, the following individuals subscribed for shares in Alpha-tech Ltd:

Name	Position	% holding
Adam	Paid director since 2021	5
Bill	Employee	5
Charles	External investor	20
Danny	External investor (Charles's brother)	15

The remaining shares are owned by Fred, the Managing Director and sole founding member.

Which of the above investors will be entitled to income tax relief on their subscription?

ANSWERS

✓ Answer 1

		£
Employment income		600,000
Less: Personal allowance		–
Taxable income		600,000
Tax		
37,700	@ 20%	7,540
112,300	@ 40%	44,920
450,000	@ 45%	202,500
		254,960
Less: Tax reducer (cannot exceed liability)		(254,960)
Tax liability		Nil

Gamya subscribed £1.2 million for shares in a qualifying EIS company (which is not a knowledge intensive company).

The maximum tax reducer cannot exceed £1 million × 30% = £300,000. However, the tax reducer cannot exceed the tax liability for the year. This means that the tax reducer for 2022/23 will be £254,960.

Remember that a tax reducer can reduce a liability down to nil but cannot itself create a tax repayment.

If Gamya had not invested the maximum in EIS shares in 2021/22, the excess subscription could be carried back to 2021/22 and relieved in this year, provided the limit for 2021/22 is not exceeded.

✓ Answer 2

The answer is **A**.

Research and development is permitted. The others are prohibited (s.192 ITA 2007).

✓ Answer 3

Adam cannot claim income tax relief as he is an existing director who is paid remuneration.

Bill cannot claim income tax relief as he is an employee.

Charles and Danny are not 'associated' under the EIS rules. As each holds less than 30% of the ordinary shares, each can claim income tax relief.

CHAPTER 29

VENTURE CAPITAL TRUSTS (VCTs)

By the end of this chapter you will understand:
– the relief for investments in VCTs
– the limits on the tax reducer
– the exemption for VCT dividends
– the definition of a qualifying VCT
– when relief will be clawed back

29.1 Introduction

If an investor subscribes for shares in a qualifying Venture Capital Trust (VCT), they will receive income tax relief. The income tax relief will be available in respect of the lower of the amount subscribed for the shares and £200,000. As with EIS subscriptions, income tax relief is given by way of a tax reducer. **For investments in 2022/23 the tax reducer is 30%.** ITA 2007, ss.261–263

Maximum tax reducer = £200,000 × 30% = £60,000

VCT relief is always given in the tax year in which the subscription is made – there is **no carry back as with EIS relief**.

As with EIS relief, the tax reducer can bring an individual's tax liability for the year down to nil, but it cannot be used to generate a tax repayment. Note that there is nothing to prevent an investor subscribing for more than £200,000 worth of VCT shares in a tax year. However, income tax relief is given on the first £200,000 only.

29.2 Dividends

There is an exemption given for dividends received by an investor on shares in a VCT. **Dividends on VCT shares are exempt from tax, but this exemption only extends to the first £200,000** invested in a VCT in a tax year. It does not matter whether the shares were subscribed for (and therefore eligible for some tax relief) or acquired from another investor. This relief is not available for EIS shares – all dividends on EIS shares are fully taxable. ITTOIA 2005, s.709; ITA 2007, s.260

➢ Illustration 1

An individual invests in two VCTs in the same tax year. The investor subscribes for £180,000 of shares in VCT No. 1 in May 2022 and £60,000 of shares in VCT No. 2 in July 2022.

He receives a dividend of £9,000 on his VCT No. 1 shares, and a dividend of £3,000 is paid on the VCT No. 2 shares.

Explain the tax treatment of the dividends.

As dividends on the first £200,000 invested in the tax year are exempt, the £9,000 dividend is tax free. It does not therefore enter his income tax computation.

Only dividends on the first £200,000 invested in the tax year are exempt from tax. This means that dividends on the first £20,000 of the VCT No. 2 shares will be exempt, whilst dividends on the remaining £40,000 will be taxable. Therefore, of the dividend of £3,000, the first £1,000 – ie one third of the dividend received – is tax free. The remaining £2,000 of the dividend is taxable in 2022/23.

29.3 Qualifying VCTs

As income tax relief is only available for subscriptions of eligible shares in a **qualifying VCT**, it is important that we are clear as to what a VCT actually is. A VCT is a **company whose shares are traded on a regulated market**. In other words, the shares must be **quoted on the UK stock exchange or an appropriate European exchange**. Contrast this with the EIS, where the investor subscribes for shares in an unquoted trading company. ITA 2007, s.274

The income of the VCT must be derived wholly or mainly from shares or securities.

The **VCT company must ensure** that **at least 80% of its investments are in shares in qualifying companies**.

In addition, at least 70% of the qualifying holdings must be in the form of eligible shares.

A VCT cannot invest more than **15%** of its funds in any one company.

The VCT is not permitted to retain more than 15% of the income which it derives from its underlying investments. This essentially means that at least 85% of its profits must be distributed by way of dividends to its shareholders.

Where a VCT issues more shares after the first issue, at least 30% of the funds raised must be invested in qualifying holdings within 12 months of the accounting period in which the shares are issued.

All of the above conditions in respect of the VCT itself are clearly listed in s.274 ITA 2007.

A qualifying company for the purposes of the VCT's investments is a company which meets the conditions in respect of an EIS company.

From a purely commercial point of view, an investment in a VCT is generally less risky than an investment into an EIS company. This is because the VCT invests its funds in a number of different companies thereby spreading the investor's risk. With an EIS investment, the investor is very often putting all their eggs into one basket and if that particular company fails, the investor is very unlikely to see a return of their capital investment.

29.4 Clawback of Relief

There is a **withdrawal of income tax relief if the investor disposes of their shares in the VCT within five years of issue**. HMRC will collect the withdrawn relief by issuing an assessment for the tax year in which the relief was originally given. ITA 2007, ss.266 and 270

A disposal by way of a gift within five years of the share issue will result in a clawback of all of the income tax relief originally obtained. Gifts between spouses and civil partners do not result in a clawback of relief.

A sale of the shares within five years will result in a clawback of relief equal to 30% of the sale proceeds.

As with EIS, this clawback is limited and cannot exceed the original tax reducer. This means that if the investor sells the VCT shares within five years at a profit, HMRC will simply withdraw all of the income tax relief originally obtained.

If the shares were sold at a loss within five years, the income tax relief withdrawn is the sales proceeds multiplied by 30%.

Income tax relief will also be withdrawn if the VCT loses its HMRC approved status within five years. In these circumstances, all of the income tax relief originally obtained will be withdrawn.

A loss incurred on the sale of VCT shares will never be able to be offset against income. The conditions for relief under s.131 ITA 2007, which allows a loss on the sale of certain qualifying shares to be offset against income, are not met by VCT shares. This relief is available in respect of EIS or SEIS shares.

EXAMPLES

❖ Example 1

Bernice invested £10,000 in shares in a VCT in June 2019. She obtained full income tax relief in respect of the subscription. She sold the shares for £8,000 in September 2022.

Calculate the amount of relief that will be withdrawn as a result of the disposal of the shares.

❖ Example 2

Claire invested in three qualifying VCTs in 2022/23 as follows:

	Amount invested	Date	Dividend received
	£		£
Lemon plc	175,000	1.5.22	8,000
Apple plc	35,000	1.6.22	7,000
Banana plc	20,000	1.7.22	2,500

Calculate the total dividends chargeable to tax in 2022/23.

ANSWERS

✓ Answer 1

£8,000 @ 30%	£2,400

Tutorial Note:

Shares were sold within five years of issue at a loss, but the clawback is restricted to 30% of the sales proceeds.

✓ Answer 2

Dividends on first £200,000 invested are tax free.

	£
Lemon plc: all tax free	Nil
Apple plc: 10/35 × £7,000 taxable	2,000
Banana plc: all taxable	2,500
Total taxable dividends	4,500

CHAPTER 30

SOCIAL INVESTMENT TAX RELIEF (SITR)

By the end of this chapter you will understand the income tax relief available for investments in social enterprises.

30.1 Introduction

Social Investment Tax Relief (SITR) is designed to **encourage individuals to invest in 'social enterprises'** such as Community Benefit Societies or Community Interest Companies.

Many social enterprises seeking external finance have difficulty raising capital from investors and commercial lenders, so SITR incentivises individuals to invest in such businesses by offering a **30% income tax reducer** in the year of investment.

Relief is only available for investments until 5 April 2023, although the scheme can be extended by Treasury order. ITA 2007, s.257K

30.2 Qualifying Conditions

Social investment tax relief is available if:

- an 'eligible investor';
- makes an 'eligible investment';
- into an 'eligible organisation'.

We shall look at each of these in turn.

30.3 The Eligible Investor

An eligible investor is **any individual who pays tax in the UK**.

To be eligible for income tax relief **the investor must not own more than 30% of the social enterprise's ordinary share capital, loan capital or voting rights**. ITA 2007, s.257LG

Investments of associates are taken into account in arriving at the 30% figure. 'Associates' include business partners and relatives (being spouses, civil partners, parents, grandparents, children and grandchildren). Brothers and sisters are not associates for SITR purposes. ITA 2007, s.257TC

In addition, to be eligible for income tax relief **the investor must not be employed by the social enterprise or (generally) be a paid director**. ITA 2007, s.257LF

The above conditions must be met during the period from one year before the investment to the third anniversary of the investment.

Immediately before the investment, the investor must not hold shares or debentures in the social enterprise unless:

- they were acquired as part of an issue which qualified for income tax relief under the EIS/SEIS/SITR provisions; or
- the shares already held are subscriber shares, ie issued to the individual when the company was incorporated (or shares acquired in an off-the-shelf company). ITA 2007, s.257LDA

30.4 The Eligible Investment

An eligible investment is either:

1. **newly issued shares** in the eligible organisation; or
2. **new debt** – ie a loan to the eligible organisation or a debenture in the organisation.

ITA 2007, s.257L

The shares must be subscribed for wholly in cash and must be fully paid up at the time the investment is made. ITA 2007, s.257LA

A debt investment must be unsecured and not carry a charge over any assets.

Both share and debt investments must not be entitled to a return greater than a reasonable commercial rate.

The legislation ensures that either type of investment must be the lowest-ranking of its type in the event of a winding-up and is therefore **exposed to the greatest degree of risk** for its investors.

30.5 The Eligible Organisation

An eligible organisation is either:

1. a registered charity;
2. a Community Benefit Society (BenCom); or
3. a Community Interest Company (CIC).

ITA 2007, s.257J

A BenCom is a corporate body with members and/or external shareholders. It must be **set up with social objectives** to conduct a business or trade and is run **primarily for the benefit of the community at large**, rather than just for members of the society. A BenCom can pay interest on members' share capital, but it **cannot distribute surpluses to members in the form of dividends**. Profits are not distributed among members or external shareholders, but are instead returned to the community.

A CIC is **a company with primarily social objectives** rather than being driven by the need to maximise profit for shareholders. Any **business profits are principally reinvested in the business or in the community**. CICs tackle a wide range of social and environmental issues and use business solutions to achieve public good.

The eligible organisation must:

a. be **unquoted** at the time of the investment and the next three years; ITA 2007, s.257MD

b. not be under the control of another company at the time of the investment and the next three years; ITA 2007, s.257ME

c. meet the financial health requirement at the time the investment is made, ie not be in financial difficulty; ITA 2007, s.257MIA

d. have **fewer than 250 full-time employees** when the investment is made; ITA 2007, s.257MH

e. only have qualifying subsidiaries, being 51% subsidiaries at the time of the investment and the next three years; ITA 2007, s.257MF

f. have not more than £15 million in gross assets immediately before the investment and not more than £16 million in gross assets immediately after the investment; ITA 2007, s.257MC

g. **carry on a trade** which does not consist of excluded activities at the time of the investment and the next three years.

   Excluded activities include dealing in shares, money lending, property development and operating or managing nursing homes or residential care homes. ITA 2007, ss.257MJ and 257MQ

Investors cannot claim tax relief until they have been issued with a Compliance Certificate – SITR3 – by the social enterprise. ITA 2007, s.257PA

The social enterprise must submit a Compliance Statement to HMRC declaring that they have met the requirements of the scheme. The enterprise must have been trading for at least four months before it can submit a Compliance Statement. If HMRC accept that the conditions have been met, they will authorise the social enterprise to issue a Compliance Certificate. ITA 2007, s.257PB

30.6 Income Tax Relief for the Investor

Income tax relief is **30% of the amount invested**, and it is given by way of a tax reducer for the year in which the investment is made. ITA 2007, s.257JA(5)

The relief **cannot exceed the tax liability** for the year.

Individual investors can invest in **any number of different social enterprises** but are only entitled to tax relief on investments up to a **maximum of £1 million per tax year**. Investments in excess of this limit are allowed but do not qualify for tax relief. Spouses and civil partners each have their own £1 million limit. ITA 2007, s.257JA(2)

The maximum SITR in any tax year is therefore **£1 million × 30% = £300,000**.

The £1 million limit is independent of any investments under the EIS, SEIS and VCT scheme, each of which is subject to their own annual investment limits. However **the same investment cannot qualify for both EIS/SEIS and SITR relief**. ITA 2007, s.257K(3)

Tax relief is generally given for the tax year in which the investment is 'made' – this will be **the year in which the shares or debentures are issued** to the investor. ITA 2007, s.257KB

There is a 'carry back' facility which allows all or part of the amount invested in one tax year to be **treated as though the investment had been made in the preceding tax year**. The SITR rate for that earlier year is then applied to the investment, and relief is then given for the earlier year. This is subject to the £1 million limit for relief each year. ITA 2007, s.257JA(4)

Most SITR claims will be made via the self-assessment tax return for the tax year in which the investment is made. However, a claim can be made up to five years after the 31 January following the tax year in which the investment is made (ie 31 January 2029 for investments made in 2022/23). ITA 2007, s.257P

30.7 Withdrawal of Relief

The investment must be held for a period of three years for relief to be retained. If the investment is disposed of within three years, SITR will be withdrawn. ITA 2007, s.257R

If the investor gives away the investment within three years, all of the income tax relief originally obtained will be withdrawn.

If the investment is sold within three years, the income tax relief withdrawn is the sale proceeds multiplied by the initial rate of relief obtained. However, **the amount withdrawn cannot exceed the original tax reducer**. Therefore, if the investment is sold at a profit, the original tax reducer will be clawed back.

Where the investment is transferred to a spouse/civil partner, there is no withdrawal of relief.

Full relief will be also withdrawn if **any of the qualifying conditions cease to be met** during the three-year period; for example, if the investor becomes employed by the social enterprise or their shareholding exceeds the 30% threshold.

Remember that because social enterprises do not generally distribute profits to shareholders by way of dividends, **an 'investment' into a CIC or a BenCom would normally be a benevolent one** – ie the individual will generally be investing for the good of the community rather than anticipating a return on their investment or capital growth. It is not, therefore, anticipated that many investors would withdraw their capital within three years and return a profit.

➢ Illustration 1

Timothy Tomkins is employed as a researcher. He lives in Chelmsford and works in London. His only income is his annual salary of £65,000. PAYE deducted in 2022/23 was £13,500.

In September 2022 he inherited £40,000 on the death of his father and decided to invest all this money in a 10% shareholding in Essex Renewables Ltd, a company which provides energy and heating solutions to businesses and households in Essex. Its profits are reinvested in community projects which support the environment. Essex Renewables Ltd qualifies as a 'social enterprise' and Timothy has received the necessary Compliance Certificate.

Calculate the income tax payable by/repayable to Timothy in 2022/23.

		£
Salary		65,000
Less: Personal allowance		(12,570)
Taxable income		52,430
Tax		
37,700	@ 20%	7,540
14,730	@ 40%	5,892
		13,432
Less: SITR: £40,000 × 30%		(12,000)
Tax liability		1,432
Less: PAYE		(13,500)
Tax repayable		(12,068)

EXAMPLES

❖ Example 1

Christine works as an accountant earning £55,000 (paid monthly). She has no other income.

On 30 April 2022, Christine lent £10,000 to Suffolk Creative Arts Ltd, which is a Community Interest Company based in Ipswich. Its mission is to help build a thriving community for creative people in and around Suffolk. The company sells pictures and photographs of Suffolk's seascapes, countryside, wildlife, villages and people. Profits are reinvested in local arts projects.

On 31 May 2022, Christine was made redundant. She received an ex gratia termination payment of £25,000. Christine then decided to do some voluntary work in the local community and for the rest of 2022/23 she had no taxable income.

Calculate Christine's tax liability for 2021/22, assuming all beneficial claims for relief are made.

ANSWERS

✓ Answer 1

Christine's income for 2022/23 (£55,000 × 2/12 = £9,167) will be covered by her personal allowance. The ex gratia termination payment is less than £30,000 and is therefore exempt.

As she will have no tax liability for 2022/23, Christine should elect for the social enterprise investment in April 2022 to be carried back and given relief in 2021/22.

2021/22 tax liability:

			£
Salary			55,000
Less: Personal allowance			(12,570)
Taxable income			42,430
Tax			
	37,700	@ 20%	7,540
	4,730	@ 40%	1,892
			9,432
Less: SITR: £10,000 × 30%			(3,000)
Tax liability			6,432

CHAPTER 31

INTRODUCTION TO SHARE SCHEMES

By the end of this chapter you will understand:
– the four tax-advantaged share schemes in overview
– the concept of a share option
– the reasons for setting up schemes
– the tax implications of gifts of shares to employees
– the NICs implications of share gifts
– the tax and NICs implications of non-tax advantaged share option schemes

31.1 Introduction

This is the first of the chapters in which we will cover all of the various types of share incentive schemes and share option schemes which are currently available. In order **for a share scheme to obtain tax and NICs advantages**, it must satisfy various conditions.

At present there are four types of tax-advantaged share schemes. In the next chapter we shall look at **Share Incentive Plans (SIPs)**. ITEPA 2003, ss.488–515 and Sch 2

The second type of tax-advantaged share option scheme is called a **'Save As You Earn (SAYE)' Share Option Scheme**. ITEPA 2003, ss.516–520 and Sch 3

We shall also look at tax-advantaged **Company Share Option Plans (CSOPs)**, which are very popular in practice as they allow employers to offer share incentives to selected members of the workforce. ITEPA 2003, ss.521–526 and Sch 4

Finally, we shall look at another type of share incentive, **Enterprise Management Incentives (EMIs)**. ITEPA 2003, ss.527–541 and Sch 5

All of the above schemes will have certain tax and NICs advantages. These low-tax schemes generally enable a company to award shares to its workforce free of tax and NICs.

Other share schemes do not receive any tax and NICs advantages.

In this chapter we will look at these non-tax advantaged share schemes.

31.2 General Principles

When an employer company grants a share option to an employee, the employee is receiving a piece of paper which gives them the right to acquire shares in the employer company within a specified period of time.

It is important that you are comfortable with the term **'share option'**. An **option** is a **right to acquire an asset in a given time window** – in this instance, the asset is shares in the employer company.

At some point in the future the employee may **'exercise'** this share option. This simply means that the employee will take up their right to buy shares in the employer company.

Only on the exercise of the option will the shares physically pass to the employee. Shares do not pass on the granting of an option. It is only at the point of exercise that the employee will actually acquire the shares.

These are the key features of a typical share option scheme. There are different types of share option scheme, and the ways in which an employee will acquire shares will differ from scheme to scheme. The detailed rules will be covered in later chapters.

31.3 Reasons for Setting Up Schemes

There are three main reasons why an employer will install a share incentive scheme. Firstly, shares may be awarded to employees as **remuneration for services**. In essence, employees may be paid bonuses in share form rather than in cash.

Secondly, where the employee is being remunerated in share form, this will act as a **performance incentive**. The idea here is that the employee works hard, and by their effort the value of the shares in the company increase, thereby giving them additional profits.

Perhaps the most important reason why a company will install a share option scheme is for **the retention of its staff**. In the majority of the share option schemes we will look at, the employee is not allowed to exercise their options – and, as such, is not permitted to acquire any shares – until they have been with the company for a minimum period of three years. In a world where workers are increasingly mobile and regularly move from job to job, share incentive schemes are an effective way of retaining employees in the short to medium term.

31.4 Gift of Shares to Employees

ABC plc, an employer company, could give shares in ABC plc to one of its employees. This arrangement is **not** a share option. Note that the employee is not being given the right to buy shares – the employee is actually being given the shares themselves.

When free shares are given by an employer to an employee, there will normally be a charge on the employee at the date of the gift. If an employer transfers shares to an employee at a nil or reduced cost, this will give rise to taxable income in the hands of the employee.

31.5 NICs Implications of Share Gifts

The next thing to consider is whether the shares constitute a readily convertible asset. If the shares are in a company which is listed on a stock exchange, the shares will be readily convertible.

'Readily convertible' means that it is **easy for the employee to turn these assets into cash overnight**.

If the shares are readily convertible assets they will be regarded as **earnings for Class 1 NICs purposes**, so the employee will be liable for Class 1 primary NICs.

Employees have an upper earnings limit for Class 1 purposes, so earnings in excess of this limit will only be charged at the additional rate of 3.25%. Therefore, the value of a readily convertible asset will give rise to a reduced NICs liability on the employee if their other earnings in that particular month are above the upper limit.

Similarly, payment in the form of a readily convertible asset will also constitute earnings for Class 1 secondary NICs purposes. Remember that there is no upper earnings limit for Class 1 secondary NICs.

An award of unquoted shares which are not readily convertible assets will not be regarded as **earnings for NICs purposes** and will not give rise to a Class 1 NICs charge in the hands of either the employee or the employer. The employer does not have a liability to Class 1A NICs.

31.6 Non-Tax Advantaged Share Option Schemes

Such schemes are often used to provide share incentives for highly paid executives where tax-advantaged schemes would not provide the flexibility or value of share awards that the company requires, or where the conditions would not be met.

31.7 Income Tax Implications of Non-Tax Advantaged Share Option Schemes

There is no charge to income tax when a non-tax advantaged option is granted. However, when an employee **exercises such options**, **there will always be an income tax charge**. There is no exception to this rule. ITEPA 2003, ss.475 and 476

Income tax on exercise of option:

Value of shares at exercise	X
Less: Cost of shares	(X)
Amount treated as employment income	X

➢ Illustration 1

In July 2018, a quoted company, ABC plc, granted an option to a director under a non-tax advantaged scheme. The director pays tax at the additional rate. Under the terms of the option, the director has the right to buy 50,000 shares for £1.00 each at any time in the next 15 years. The market value of the shares at the date that the option is granted is £1.50.

The director exercises these options in 2022, when the shares are worth £4.00 each.

Calculate any income tax arising as result of the grant and exercise of the option.

There is no charge to income tax when the option is granted.

Income tax on exercise:	£
Value of shares at exercise (50,000 × £4)	200,000
Less: Price paid for shares (50,000 × £1)	(50,000)
Employment income charge	150,000
Tax @ 45%	67,500

31.8 NICs Implications of Non-Tax Advantaged Share Option Schemes

Where a quoted company grants non-tax advantaged share options to the employee, as the shares are **readily convertible assets**, NICs will need to be accounted for when the options are exercised. Therefore, when the employee exercises their options, they will be liable to Class 1 employee's NICs (at either 13.25% or, more often, 3.25%). The exercise of the options by the employee will also leave the employer with a charge to Class 1 secondary NICs at 15.05%.

➢ Illustration 2

In January 2017, Glassworks plc granted non-tax advantaged options to Graham, a senior employee with a salary of £100,000. The options give Graham the right to buy 100,000 shares at 10p per share. The share price at the time of grant was £1.25.

Graham exercised the options in June 2022, when the share price was £1.80.

Calculate any NICs payable on the exercise of the options.

The NICs are calculated as follows:

	£
Value of shares at exercise (100,000 × £1.80)	180,000
Less: Price paid for shares (100,000 × 10p)	(10,000)
Chargeable to NICs	170,000
Employee's NICs @ 3.25%	5,525
Employer's NICs @ 15.05%	25,585

31.9 Capital Gains Tax Implications of Non-Tax Advantaged Share Option Schemes

Where shares acquired through non-tax advantaged options are sold, the capital gain is calculated as below:

	£	£
Sale proceeds		X
Less: CGT base cost		
– Amount paid for shares	X	
– Amount charged to income tax at exercise	X	
		(X)
Gain/(loss)		X

So, in actual fact, the total **CGT base cost is actually the market value of the shares at exercise**. Therefore, you can use the market value as a 'short cut. Consequently, if the employee sells the shares shortly after exercising the options, there will be no charge to capital gains tax since the sale proceeds will usually equal the market value at exercise.

➢ Illustration 3

Graham (from the previous illustration) sells his shares in December 2022 for £2.20 per share.

Calculate Graham's 2022/23 capital gain.

Graham's capital gain is calculated as follows:

	£	£
Sale proceeds (100,000 × £2.20)		220,000
Less: CGT base cost		
– Amount paid for shares	10,000	
– Amount charged to income tax on exercise	170,000	
		(180,000)
Gain		40,000

Alternatively:

Sale proceeds	220,000
Less: Market value at exercise (100,000 × £1.80)	(180,000)
Gain	40,000

EXAMPLES

❖ Example 1

In March 2018, Harvey was granted options under a non-tax advantaged scheme to buy 25,000 shares in his employing company at £3 per share. The shares were worth £4 at the time. Harvey could exercise his options at any point in the next ten years.

In January 2023, Harvey exercised 15,000 options. He sold the shares on the same day for £95,000.

Calculate the amount charged to income tax in respect of the grant and exercise of the options.

❖ Example 2

Madeline was granted options to buy 10,000 shares at £7.50 each in May 2016. The scheme does not satisfy the conditions for tax advantage.

Madeline exercised 6,000 options in February 2021 when the shares were worth £10 each.

Madeline sold these shares in July 2022 for £11.50 each.

Calculate the capital gain/loss on the sale.

ANSWERS

✓ Answer 1

	£
Charge on grant	Nil

There is never a tax charge on the grant of a non-tax advantaged option

Charge on exercise

Market value at exercise (= sale proceeds)	95,000
Less: Price paid (15,000 × £3)	(45,000)
Employment income	50,000

✓ Answer 2

Income tax on exercise	£	£
Market value (6,000 × £10)		60,000
Less: Cost of shares (6,000 × £7.50)		(45,000)
Charged on exercise		15,000

Capital gain on sale

Sale proceeds (6,000 × £11.50)		69,000
Less: CGT base cost		
– Amount paid for shares	45,000	
– Amount charged to income tax on exercise	15,000	
		(60,000)
Gain		9,000

CHAPTER 32

SHARE INCENTIVE PLANS (SIPs)

By the end of this chapter you will understand:
- what a SIP scheme involves
- how the scheme operates
- the conditions that need to be met
- free shares
- partnership shares
- matching shares
- dividend shares
- the implications of employees leaving
- the capital gains tax implications

32.1 Introduction

A Share Incentive Plan (SIP) enables an employee to receive shares in their employer company in a variety of different ways. ITEPA 2003, ss.488–515 and Sch 2

The various statutory provisions which deal with SIPs collectively comprise the **'SIP code'**. The rules dealing with tax charges on SIP shares are contained in ss.488–515 ITEPA 2003. The rules regarding the operation and administration of a SIP are provided in Sch 2 ITEPA 2003.

32.2 Shares Acquired from a SIP

Initially an employee can receive **'free shares'** with no income tax or NICs consequences. Free shares means exactly what you would expect – ie the employee receives them from their employer completely free without having to pay for them. As we shall see later, these shares can also be sold without the employee having to pay capital gains tax. ITEPA 2003, Sch 2, Pt 5

The SIP also enables employees to **purchase new shares** in their employer company and, at the same time, obtain income tax relief on the purchase. Shares purchased in this way under a SIP are known as **'partnership shares'**. ITEPA 2003, Sch 2, Pt 6

If an employee purchases partnership shares under a SIP, they may be entitled to receive additional free shares. These extra free shares are known as **'matching shares'**. ITEPA 2003, Sch 2, Pt 7

Finally, a SIP enables employees to **re-invest their dividends in order to purchase additional shares in the company**. These shares purchased out of dividend income are known as **'dividend shares'**. ITEPA 2003, Sch 2, Pt 8

In this chapter we shall take a look at how a SIP works, and we shall study the tax and National Insurance implications of employees taking and disposing of free shares, partnership shares, matching shares and dividend shares.

32.3 Operation of a SIP

SIPs are typically operated by quoted UK companies. The company will establish a UK resident trust and will transfer cash into that trust. The trustees will use the money to acquire shares in the company. ITEPA 2003, Sch 2, Pt 9

On acquiring the shares, the trust will then award shares to the employees. It is important to note that at this point in time – ie when shares are awarded – **ownership of the shares does not pass to the employee**. The shares remain the property of the trust.

Instead, the shares are effectively 'allocated' to employees and will be officially transferred to the employee at a later date. The trustees hold the shares on trust for the employee until the employee wishes to withdraw them from the plan.

There is **never a tax charge at the point that the shares are awarded** to employees, but there may be **income tax and NICs implications** when the employee **withdraws the shares** from the plan at a future point in time. These tax implications will be considered later in this chapter. ITEPA 2003, s.490

32.4 Conditions

Before an employer company can operate a SIP, the company must **register** the scheme with HMRC and **certify** that it satisfies the conditions. The shares acquired by the trustees must be ordinary shares in the employer company, although it is possible for the company to create a special class of 'employee' shares purely for this purpose. ITEPA 2003, Sch 2, para 26

The company's shares must normally be **listed on the stock exchange**. This means that the employer company will usually be a quoted plc. It is possible for the company to be an unquoted company as long as it is not controlled by another company or is under the control of a listed company. So, if the company's shares are not listed on the stock exchange, the company must either be a parent company and not controlled by another company or, the company must be under the control of a listed company. ITEPA 2003, Sch 2, para 27

All of the employees of the company must be invited to participate in the scheme. This includes part-time employees. ITEPA 2003, Sch 2, para 8

It is possible for the employer company to exclude employees with less than 18 months' service, although in practice most companies will invite all employees to participate, regardless of whether or not they have been with the company for 18 months. ITEPA 2003, Sch 2, para 16

Finally, **the employees must be offered shares on similar terms**. This means that the award of shares to employees should not be weighted in favour of certain employees. The rules do permit the award of free shares and matching shares to be based on performance-related criteria, as long as those criteria are similar for all employees. ITEPA 2003, Sch 2, para 9

Tutorial Note:

The above conditions are all included in Sch 2 ITEPA 2003 and can be highlighted in the legislation rather than being memorised.

32.5 Free Shares

An employer can award up to **£3,600 worth of free shares per annum** to participating employees. This award can be based on performance-related criteria. ITEPA 2003, Sch 2, para 35

These free shares will normally remain within the plan for a minimum period of three years. This means that the trustees will retain legal ownership of the shares for at least three years before distributing them to employees.

The employer must set a holding period for each award of free shares during which the plan shares must be held in trust. This is generally three years but can be extended to five by the employer. The holding period automatically comes to an end if the employee leaves the company. ITEPA 2003, Sch 2, para 36

The income tax and National Insurance implications of a withdrawal of free shares depend on **how long** the shares have been held within the plan.

There is **never a charge to income tax or NICs when the shares are originally awarded** by the trustees to the employee. There is only ever a potential charge to income tax or NICs on the actual withdrawal of shares from the plan. ITEPA 2003, s.505

If an employee **calls for the shares within three years** there will be an income tax **charge on the market value of the shares at the date they are withdrawn from the plan**. Here the market value of the shares at the exit date will 'count as employment income' for tax purposes. Remember, the shares can only be withdrawn within three years (the holding period) if the employee is leaving the employment. ITEPA 2003, s.505(2)

If the shares are readily convertible assets, eg shares in a quoted company, there will also be a Class 1 NICs charge. The market created for the shares under the SIP itself is ignored when determining whether the shares are readily convertible assets. ITEPA 2003, s.509(5)

If the shares are **withdrawn** from the plan **between three and five years** from the date they were awarded to the employee, the income tax charge will be on the **lower of the market value of the shares at initial allocation and the market value of the shares at the date of withdrawal**. ITEPA 2003, s.505(3)

Assuming the shares increase in value over the period, the lower of these will be the market value at initial allocation.

Again, there will be a Class 1 NICs charge if the shares are readily convertible assets.

If the shares are **withdrawn** from the plan **more than five years** after they were originally awarded, there is **no income tax or NICs charge** at the date of withdrawal. Therefore, the free shares can be awarded and withdrawn totally free of tax and NICs as long as they remain within the plan for at least five years.

➢ Illustration 1

Sally is awarded 2,000 free shares in her employer's company, ABC plc, in December 2018 when the open market value is £1 per share.

Sally withdraws the shares from the plan in December 2022 when the open market value is £3 per share and sells them immediately.

Calculate the amount charged to income tax when the shares are withdrawn from the plan.

The shares are removed from the plan between three and five years from the date they were awarded, so the income tax charge is the lower of:

		£
i.	Market value at allocation (2,000 @ £1)	**2,000**
ii.	Market value at withdrawal (2,000 @ £3)	6,000

Sally will have employment income of £2,000. Both income tax and Class 1 primary NICs will be due as the shares are readily convertible assets (listed on a recognised stock exchange).

32.6 Partnership Shares

An employee can buy up to **£1,800 worth** of partnership shares every year. This equates to £150 of shares each month. This is irrespective of the number of free shares they have been awarded. ITEPA 2003, Sch 2, para 46

The amount of partnership share money deducted from an employee's salary **cannot exceed 10% of that employee's salary (including any bonuses etc)**. Therefore, an employee earning less than £18,000 per annum will not be permitted to purchase £1,800 of partnership shares.

The scheme may stipulate a minimum amount of salary which must be used to purchase partnership shares. This minimum cannot be greater than £10 per month. ITEPA 2003, Sch 2, para 47

The employee will **surrender salary** in order to purchase partnership shares, and the amount of salary surrendered receives full relief from both income tax and NICs. ITEPA 2003, s.492

Any partnership shares purchased **may be withdrawn from the plan at any time**. So, whilst the employer can prohibit the withdrawal of free shares within three years (unless the employee is leaving the employment), the company cannot prevent the employee from withdrawing their partnership shares.

Again, the tax position as at the date of withdrawal depends on how long the shares have been held within the plan.

If the partnership shares have been in the plan for **less than three years**, there will be **an income tax charge on the market value of the shares at the date of withdrawal**. ITEPA 2003, s.506(2)

If the partnership shares have been within the plan for between **three and five years**, the income tax charge will be on the **lower of the cash salary used to purchase the shares and the market value of the shares at the date of withdrawal**.

Again, assuming the shares go up in value, the original salary used to purchase the shares will be the lower of these, and this will be charged to income tax when the shares are withdrawn. ITEPA 2003, s.506(3)

If the shares are readily convertible assets, there will also be a charge to Class 1 NICs.

As is the case for free shares, if the partnership shares remain **in the plan for at least five years**, there is **no tax or NICs charge** at the date they are withdrawn.

32.7 Matching Shares

An employer can 'match' any partnership shares bought by employees by offering **up to two additional free shares for every one partnership share purchased** by the employee. Therefore, only employees who purchase partnership shares can be awarded matching shares. ITEPA 2003, Sch 2, paras 59 and 60; ITEPA 2003, Sch 2, para 3

As with free shares, the plan must specify a holding period for matching shares, during which the shares cannot be withdrawn from the plan, of between three and five years. Again, the holding period comes to an end if the employee leaves the employment. ITEPA 2003, Sch 2, para 61

There is never a charge when matching shares are initially awarded to the employee. **When the shares are withdrawn from the plan, the income tax and NICs implications are the same as they are for the free shares**. This means that there will be a tax charge if the shares are withdrawn either within the first three years or between three and five years, but full exemption is given if the shares remain within the plan for a minimum period of five years. ITEPA 2003, s.505

32.8 Dividend Shares

If an employee receives dividends on their shares whilst they remain within the plan, the employee can use the cash from the dividends in order to purchase more shares. ITEPA 2003, Sch 2, para 62

If dividend shares are acquired in this way, the dividends used to purchase shares are **completely free of tax**. This means that these dividends can be omitted from the income tax computation in the year in which they are received. ITTOIA 2005, s.770

If the employee wishes to keep the dividends, and not use the cash to purchase more shares, the dividends not reinvested are taxable in the normal way.

The holding period for dividend shares is three years. ITEPA 2003, Sch 2, para 67

The tax position on a withdrawal of dividend shares from the plan is slightly different to the tax rules with regard to free, partnership or matching shares.

If **dividend shares** are **withdrawn within three years** (due to the employee leaving), the **dividends originally used to purchase the shares become taxable** in the **year** in which the shares are **withdrawn**. If dividend shares are **withdrawn more than three years** after they were acquired, there is **no income tax** on their withdrawal. There is never an NICs charge in respect of the withdrawal of dividend shares. ITTOIA 2005, s.407

32.9 Other Points

The driving force behind a company implementing a share incentive scheme is typically the retention of staff. As such, on the **termination** of an employee's employment, **any shares awarded must be removed from the plan**.

As we have seen, any income tax and NICs charges depend on the length of time the shares have been held within the plan.

These rules only apply for employees whose employment is terminated voluntarily by the employee. If an employment is terminated due to **injury, retirement, redundancy or death**, there is **no charge on a withdrawal** of shares from the plan. ITEPA 2003, s.498(2)

If the necessary provision is contained in the plan, free or matching shares may be subject to forfeiture. If an employee resigns their employment within the forfeiture period (which cannot be more than three years), the employer can claw back any free or matching shares awarded to the employee. The employer will do this by effectively cancelling the shares held by the trustees as at the date the employee leaves the company.

There could therefore be a considerable incentive for the employee to wait for three years to elapse before resigning. Again, if the employment comes to an end due to injury, redundancy, retirement or death, the shares will not be subject to forfeiture.

Partnership shares and dividend shares cannot be subject to forfeiture. ITEPA 2003, Sch 2, para 43(2A); ITEPA 2003, Sch 2, para 65(i)(b)

32.10 Capital Gains Tax Implications

Capital gains tax is charged on the growth in value of the shares between acquisition and sale.

The amount charged to capital gains tax is the difference between the value of the shares at the date they are withdrawn from the plan and their value at the date of sale. This means that if an employee withdraws shares from the plan, holds them for a period and sells them later on, **any increase in value in that period will be charged to capital gains tax**.

However, remember that once the minimum holding period has elapsed (or at any point in respect of partnership shares), the employee can call for the shares at any time. The trustees are only holding the shares on the employee's behalf. Therefore, the only reason for the employee to withdraw the shares from the plan is in order to sell them and release the cash proceeds.

For this reason, any **capital gains tax can be avoided by the employee withdrawing the shares from the plan immediately prior to the date of sale**. Presumably, if an employee withdraws the shares from the plan on the Monday and sells the shares on the Tuesday, there will not be a capital gains tax liability as the shares are unlikely to have increased significantly in value within that 24-hour period.

EXAMPLES

❖ Example 1

ABC plc introduces a Share Incentive Plan. The employees of ABC plc include:

Mr Huntingdon-Smythe	Managing Director
Mrs Mopp	Part-time cleaner who works 15 hours per week
Miss Abacus	Finance Director with overall responsibility for the scheme
Mr Loud	Sales Manager who joined the company six months ago

How many of these employees can ABC plc invite to participate in the scheme?

a. One

b. Two

c. Three

d. Four

❖ Example 2

ABC plc allocates 2,000 free shares to Mrs Mopp on 1 September 2018. The shares were worth £1.00 each at that date.

Mrs Mopp left the company in March 2023. The share price was £3.00 per share at that date.

Calculate the amount which counts as employment income for Mrs Mopp in 2022/23.

ANSWERS

✓ Answer 1

The answer is **D**.

All four employees can be invited to participate.

All full-time and part-time employees must be invited to join. ABC plc may exclude Mr Loud as he has worked for the company for less than 18 months, but this is discretionary. In many instances the company will invite every employee to participate.

✓ Answer 2

Withdrawal is between three and five years, so the charge is on the lower of:

- Initial value: September 2018 = £2,000
- Value at removal: March 2023 = £6,000

ie £2,000

CHAPTER 33

SAVE AS YOU EARN SHARE OPTION SCHEMES

By the end of this chapter you will understand:
– the operation of Save As You Earn Share Option Schemes
– the conditions that need to be satisfied
– the interaction of the scheme with the SAYE account
– the tax implications of the scheme
– the implications of employees leaving

33.1 Operation of the Scheme

Save As You Earn (SAYE) Share Option Schemes are very simple to operate and administer. The rules dealing with tax charges on SAYE Share Option Scheme shares are contained in ss.516–519 ITEPA 2003. The rules regarding the operation and administration of the scheme are provided in Sch 3 ITEPA 2003. ITEPA 2003, ss.516–519 and Sch 3

In an SAYE scheme, an employee will make regular monthly savings into a designated bank SAYE account. The **employee will make monthly savings** throughout a designated contract period. At the **end of that contract period, the bank may add a terminal bonus to their savings**. The employee will therefore be left with a return of their savings plus potentially a bonus.

The employee will then **use this cash** in the bank account **to purchase shares in their employer company** at a price which was fixed at the start of the contract. The employer will typically offer these shares at a small discount.

Note that in this scheme, the employee is saving money on a regular basis and will use their savings to purchase shares from their employer.

33.2 Conditions

As is the case for most share schemes, the employer company must **register** the scheme with HMRC and **certify** that it satisfies the conditions before operating an SAYE scheme. The shares must be ordinary shares in the employer company; however, if the employee works for a subsidiary company, the shares awarded under the scheme can be in a parent or holding company. The company is usually a quoted company, although the scheme can be operated by unlisted companies. ITEPA 2003, Sch 3, paras 18 and 19

In this case, the company in which the shares are offered must not be controlled by another company. This generally means that the company will be a parent company. Alternatively, the company must be controlled by a listed company. These rules are rather complex and, in reality, most UK companies will qualify and will be able to introduce an SAYE scheme.

All employees must be eligible to participate in the scheme, although the employer can exclude employees with less than five years' service. In practice, most employers will invite all of their employees to join the scheme, irrespective of their length of service. ITEPA 2003, Sch 3, para 6

Tutorial Note:

The above conditions are all included in Sch 3 ITEPA 2003 and can be highlighted in the legislation rather than being memorised.

33.3 The Share Options

An SAYE Share Option Scheme operates in a relatively simple way. The employer company will grant an option to an employee. The **option gives the employee the right to purchase shares at a specified price**.

That price must be at least 80% of the market value of the shares at the date of grant of the option. This means that an SAYE scheme can allow employees to purchase shares in their employer company at a small discount, but that **discount cannot be more than 20% of the value of the shares**. ITEPA 2003, Sch 3, para 28

For example, if the current market value of the shares in your employer company is £5, you cannot be given a right to buy them for anything less than £4. The employer company would not be able to register the scheme with HMRC and certify that it satisfies all the conditions if the discount is more than 20%.

The employee will make regular contributions to a bank account. The employee will sign a contract with the bank whereby the account will run for either three or five years. At the end of the contract, the cash saved plus any bonus added will be used to purchase shares.

The purchase price of the shares will be fixed at the date that the option is granted to the employee. Assuming the shares have risen in value over the three or five-year period, the employee will have the opportunity to purchase shares for less than they are worth.

Because the employee has to wait for between three and five years to acquire the shares, this scheme is another way in which employers can try to retain their staff.

33.4 The SAYE Account

An SAYE account is a contract between the employee and a bank. The **employee will agree to save for either a three-year** period or a **five-year** period. The length of the contract must be agreed at the start.

In the event of a **three-year contract**, the employee will make monthly contributions for three years (36 months). At the end of the 36-month period, the bank may add a bonus on top of the cash saved.

If an employee takes out a **five-year contract** they will save for five years (60 months). At the end of the 60-month period, a bonus may be added.

The amount of any bonus which is added on completion of the contract **will depend on the bonus rate when the SAYE contract was entered into**. There are different rates for three and five-year contracts. The bonus rate on all contracts has been nil since 2015.

You will be given the relevant bonus rates within an examination question if this is required.

The **bonus** added to an SAYE contract is **always tax free**.

The employee will save a regular amount on a monthly basis. The maximum contribution to an SAYE account is £500 per month. This £500 per month ceiling applies to all SAYE schemes. Therefore, if an employee joins an SAYE scheme in 2022 and contributes the full amount of £500 per month, they are not eligible to join a scheme offered, say, in 2024 as they are already making maximum monthly contributions. ITEPA 2003, Sch 3, para 25

The minimum monthly contribution is £5. However, an employer may impose a minimum monthly contribution payable by the employee of not more than £10 per month.

Illustration 1

A quoted company, ABC plc, grants an option to an employee in August 2018. Under the option, the employee is able to buy shares in ABC plc for £2.50 per share.

The market value of the shares at the date that the option is granted is £3.00.

Here you will see that there is a 50p per share discount. However, because this is less than 20% of the market value of the shares, this discount is permitted.

The employee takes out a five-year SAYE contract with the bank under which the employee agrees to save £200 per month for the next five years.

Calculate the number of shares the employee will be able to purchase in five years' time.

The employee will contribute £200 per month to the bank for the next 60 months. Therefore, at the end of the contract, the employee will have saved £12,000. At the end of the contract, the bank may add a bonus. Assume for the purpose of this illustration that the bonus will be equal to 0.6 of monthly contributions (200 × 0.6 = £120).

Therefore, in August 2023, the employee will have cash of £12,120 at their disposal. The employee has an option whereby they have the right to use this cash to purchase shares for £2.50 each. As they have £12,120 of cash and the option price is £2.50 per share, they will be able to purchase 4,848 shares.

	£
Monthly contributions: £200 × 60 months	12,000
End of contract bonus: £200 × 0.6	120
Cash available	12,120
Option price of shares: £2.50	
Number of shares purchased therefore: £12,120/£2.50	4,848

Remember that the option gives the employee the right to buy shares if they want to. Presumably the employee will only take up that right – ie the employee will only exercise the option and buy the shares – if the shares are worth more than £2.50 at the end of the five-year period.

33.5 Tax Implications

The tax implications of an employee acquiring shares from an SAYE scheme are very straightforward. There is never any tax or NICs when the initial option is granted to the employee. As we have already mentioned, any bonus at the end of the contract is also free of tax. ITEPA 2003, s.475

When the employee exercises the option and purchases the shares with the cash in their bank account, there is no tax at this point. This is irrespective of the value of the shares at that date. ITEPA 2003, s.519

The **only tax to consider in respect of an SAYE Share Option Scheme will be capital gains tax when the employee eventually sells the shares**.

➢ Illustration 2

Assume in the previous illustration that the employee sold the shares for £4.00 each.

Calculate the capital gain on the sale.

The employee had the right to purchase 4,848 shares. If all of these are sold, the sale proceeds will be £19,392.

The capital gain is the difference between the sale proceeds and the cost of the shares to the employee. The purchase price of the shares was £12,120. This is equal to the money saved plus the terminal bonus.

	£
Sale proceeds	19,392
Less: Purchase price	(12,120)
Gain	7,272

On the sale of the shares, the employee is making a profit – ie a capital gain – of £7,272. This amount will be charged to capital gains tax.

An individual has a CGT annual exempt amount, which is currently £12,300. Therefore, if this is the employee's only capital gain for the year, the profit will be covered by the annual exempt amount and no capital gains tax will be payable.

33.6 Employees Leaving

If the employment terminates due to the death of the employee, the option can be exercised within 12 months of death by the employee's personal representatives. ITEPA 2003, Sch 3, para 32

If the employment terminates due to the injury, disability, redundancy or retirement of the employee, the option can be exercised but only within six months of the termination of the employment. ITEPA 2003, Sch 3, para 34

If an employee with a five year savings contract leaves the employment more than three years after the grant of SAYE options for reasons other than death, injury, redundancy or retirement, the scheme rules can permit them to exercise their options within six months of leaving.

Otherwise **the employee needs to be in employment at the end of the contract period if they are to be able to exercise the options**. Therefore, if an employee resigns and leaves the employment before the end of the contract period, they will forfeit the right to purchase the shares.

This fits with the general philosophy of share option schemes which only offer rewards to employees if they remain with the company for a minimum period of three years.

If an employee leaves the company before the end of the SAYE contract, that employee can continue making monthly contributions into the SAYE scheme until the contract date. At the end of the contract, the bank will pay any bonus as agreed. However, the former employee is not then able to use the money to buy shares in the company.

There is no requirement for the former employee to continue making monthly contributions. If they wish to do so, they can draw the cash out of the account. The bank may add interest up to the date of withdrawal and will thereafter close the account. Any interest credited to a designated SAYE account is tax free and is not brought into the taxpayer's income tax computation.

EXAMPLES

❖ Example 1

Ron joined the SAYE Share Option Scheme offered by his employer in September 2018.

He took out a five-year SAYE contract paying £100 per month into the account. Assume the bonus rate is 0.6 × monthly contributions.

Calculate the amount of cash available to him at the end of the contract.

❖ Example 2

Continuing the previous example, Ron spends all the cash from the scheme in acquiring shares in his employer company at the option price of £2 per share.

He sells the shares the next day for £5 each.

Calculate Ron's capital gain.

ANSWERS

✓ Answer 1

	£
Five-year contract = 5 years' contributions (£100 × 60 months)	6,000
Add end of contract bonus (0.6 × £100)	60
Total cash available	6,060

✓ Answer 2

	£
Cash available	6,060
Option price is £2.00 per share Number of shares acquired therefore: £6,060/£2.00	3,030

	£
Capital gain:	
Proceeds (3,030 × £5)	15,150
Less: Cost	(6,060)
Gain	9,090

CHAPTER 34

COMPANY SHARE OPTION PLANS (CSOPs)

By the end of this chapter you will understand:
– the conditions to be satisfied by a CSOP
– the tax implications of the scheme

34.1 Introduction

This chapter covers Company Share Option Plans (CSOPs), including the conditions and the tax implications.

Under this type of arrangement, the employer company grants an option to an employee giving the employee the **right to buy shares in the company at a fixed price within a specified period of time**. The rules dealing with tax charges on CSOP shares are contained in ss.521–526 ITEPA 2003. The rules regarding the operation and administration of a CSOP are provided in Sch 4 ITEPA 2003. ITEPA 2003, ss.521–526 and Sch 4

The price at which the employee can purchase the shares must not be less than the market value of those shares at the time the option is granted. Unlike SAYE schemes, **no discount is allowed** at the grant of the option. ITEPA 2003, Sch 4, para 22

At some point in the future, the employee will exercise their option. In doing so, they will buy shares at the price which was agreed when the option was granted. Given that shares generally increase in value over time, the employee will exercise their option at a time when the shares are worth more than they are paying for them. The employee can thereafter sell the shares and make a profit.

This arrangement is similar in certain ways to an SAYE scheme. The main difference is that under an SAYE scheme, the employee will save a certain amount each month and use that money to buy the shares. In a CSOP, the employee will pay for the shares in one go when they exercise the option.

Unlike Share Incentive Plans (SIPs), under a CSOP the employee is **not being given free shares** in the employer company. The employee is simply taking up an offer to buy the shares at a specified price.

34.2 Conditions

Before a CSOP can be operated, it must be **registered** with HMRC and the company must **certify** that it satisfies the conditions.

The shares being acquired by the employee **must be ordinary shares** of the employer company. Like SAYE schemes, if the employee works for a subsidiary company, they can be given an option to acquire shares in a parent or holding company. ITEPA 2003, Sch 4, paras 16 and 17

The **shares** will **normally be quoted on the stock exchange**. However, an unlisted company can implement a registered CSOP provided that company is not controlled by another company.

In practice, you will find these schemes are generally administered by quoted companies as smaller, family-owned companies are less likely to want to distribute shares to their employees.

One of the **main attractions** of a CSOP is that the **employer can invite selected full-time directors and full-time or part-time employees to participate**. Part-time directors working less than 25 hours a week cannot participate in such a scheme. Unlike SIPs and SAYE schemes, this is not an 'all employee' scheme. Instead, it can be used to incentivise and remunerate key members of the workforce. ITEPA 2003, Sch 4, para 8

Individuals with a 'material interest' in the company (or who have had a material interest at any time in the previous 12 months) are **not allowed to participate** in a CSOP. A material interest in this instance means holding **more than 30%** of the ordinary share capital. The material interest test only applies where the company is a close company. It is therefore unlikely to apply to quoted plcs. ITEPA 2003, Sch 4, para 9

A further condition to be satisfied is that the **maximum value of shares** over which an employee holds options cannot exceed **£30,000**. This means that if a company wishes to grant options to an employee, and the market value of the shares at the time is £2.00, the employee can only be given a right to acquire 15,000 shares. Similarly, if the market value of the shares at the date of the option was £3.00, the employee could only be given a right to buy 10,000 shares. This maximum limit used to be as high as £100,000, but the government tightened the share option rules in the mid-1990s. ITEPA 2003, Sch 4, para 6

Tutorial Note:

The above conditions are all included in Sch 4 ITEPA 2003 and can be highlighted in the legislation rather than being memorised.

34.3 Tax Implications

There is generally no income tax/NICs charge when a CSOP option is granted.

There is no income tax or NICs when an option is exercised if the option is exercised **between three and ten years from the date the option is granted**. This is irrespective of the market value of the shares at the date of the exercise. ITEPA 2003, s.524(2)

Assume that a company grants a share option to an employee in **May 2013**. If the employee exercises their option **in the period running from May 2016 to May 2023**, there will be **no charge to income tax or NICs on the exercise**.

There will be no charge to income tax or NICs if the option is exercised within three years from the date the option is granted if the individual **ceases to be a full-time director or qualifying employee** due to **injury, disability, redundancy or retirement**. The option must be exercised **within six months** of such cessation. ITEPA 2003, s.524(2A)

If the individual dies, the options may still be exercised provided the exercise takes place within 12 months of death. ITEPA 2003, Sch 4, para 25

If the exercise takes place **earlier than three years after the grant** (other than due to injury etc) or **more than ten years after the grant**, a charge to income tax will arise. The rules applying to the exercise of **non-tax advantaged options** will apply to calculate the amount of the income tax payable. The market value of the shares at exercise less the amount paid for the shares will be subject to income tax.

The exercise is also subject to **NICs** if the shares are readily convertible assets.

Assuming the employee exercises the option without triggering an income tax charge, **the only tax to be charged will be capital gains tax when the employee decides to sell the shares.** To calculate the capital gain, we simply take the sale proceeds of the shares and deduct the purchase cost:

Sale proceeds	X
Less: Purchase cost	(X)
Capital gain	X

If the option exercise was charged to income tax, the amount charged as income will also be deducted in arriving at the chargeable gain.

➢ Illustration 1

In May 2013, ABC plc grants options to Dennis, an employee. The options give Dennis the right to buy 20,000 shares at £1.00 each.

The market value of the ABC plc shares at this point is also £1.00.

The scheme will satisfy the CSOP rules. This is because the value of shares over which Dennis holds options is less than £30,000. Also, the option has not been discounted – ie Dennis has a right to buy shares at a price equal to their market value.

Dennis exercises his option and buys the shares in October 2022, when they are worth £3.00 each. This is in the seven-year window between May 2016 and May 2023. Dennis sells all the shares a couple of days later for £3.00 each.

State the tax and NICs implications of the exercise and sale of the ABC plc shares, on the assumption that the scheme is registered with HMRC.

Dennis is paying £20,000 for shares which are actually worth £60,000. However, because it is a tax-advantaged scheme, there is no income tax (and no NICs) when the options are exercised. The only tax will be capital gains tax when Dennis sells the shares.

Dennis's sale proceeds will be £60,000 (20,000 shares at £3.00 each). From this we deduct the purchase cost of the shares, being £20,000.

Dennis has made a cash profit on the sale of the shares of £40,000. This profit will not be charged to income tax but it will instead be charged to capital gains tax:

	£
Proceeds	60,000
Less: Cost of shares	(20,000)
Capital gain	40,000

The fact that there is no charge to income tax or NICs is a key advantage of CSOPs. Employees would rather have their profits charged to capital gains tax because there are certain exemptions – such as the annual exempt amount – which do not apply for income tax purposes. In addition, capital gains tax is charged at the lower rate of 10% or 20% where total taxable income and gains exceed the basic rate limit.

In general terms, an individual will pay less capital gains tax on their profits than they would do if the same profits were charged to income tax and NICs.

EXAMPLES

❖ Example 1

Which of the following individuals are eligible to participate in the ABC Ltd Company Share Option Plan? ABC Ltd is a close company.

John Smith	Managing Director who owns 32% of the shares
Jenny Bainbridge	Finance Director who owns 20% of the shares
Tony Thompson	Part-time security guard
Beryl James	Part-time (20 hours a week) director

❖ Example 2

In July 2019, ABC plc granted Carol an option, under a CSOP, to buy 10,000 shares at £1 each. Carol has not yet exercised this option.

It is now March 2023 and ABC plc wishes to grant Carol some more options under the scheme. The shares are currently worth £1.25.

How many tax-advantaged options can be granted to Carol in March 2023?

❖ Example 3

Z plc grants options to Maisie in June 2020, giving her the right to buy 10,000 shares at £1.50 each, the current market value at that time.

Maisie gets a better job offer some time later and leaves Z plc in June 2022, exercising all her options. The market value at this time was £2.25 per share.

Calculate Maisie's employment income chargeable to tax and NICs.

ANSWERS

✓ Answer 1

	Eligible to participate?
John Smith, Managing Director	No (more than 30% of shares and a close company)
Jenny Bainbridge, Finance Director	Yes
Tony Thompson, part-time security guard	Yes (any employee)
Beryl James, part-time director	No (less than 25 hours per week)

✓ Answer 2

	£
July 2019 options:	
10,000 @ £1 each	10,000
March 2023 options:	
Balance remaining	20,000
	30,000
Value at March 2023 is £1.25 per share	
Therefore, the maximum number of options that can be granted = £20,000/£1.25	16,000

✓ Answer 3

Maisie can exercise her options within three to ten years after the date of grant without incurring a charge to income tax. However, Maisie exercised her options in June 2022, two years after grant, and therefore incurs a charge to income tax and Class 1 primary NICs (since the shares are readily convertible assets), as follows:

	£
Market value of shares at exercise (10,000 @ £2.25)	22,500
Less: Option price (10,000 @ £1.50)	(15,000)
Employment income chargeable to tax and NICs	7,500

CHAPTER 35

ENTERPRISE MANAGEMENT INCENTIVES (EMIs)

By the end of this chapter you will understand:
- how EMI schemes operate
- the conditions that need to be satisfied
- the income tax implications
- the capital gains tax implications

35.1 Introduction

Enterprise Management Incentives (EMIs) are very similar to Company Share Option Plans (CSOPs) in the way that they operate in that they enable the employer to **reward selected employees with tax-favoured share options**.

The key difference between the two is that EMIs are incentive arrangements which enable small trading companies to attract and retain their staff. 'Normal' CSOPs are typically aimed at larger companies, many of which are quoted on the stock exchange.

The company will need to notify the details of the option agreement to HMRC within 92 days. The scheme will need to be registered with HMRC before notification can take place. HMRC thereafter have the right to raise any queries about the option within 12 months from the end of the 92-day period. ITEPA 2003, Sch 5, paras 44 and 46

EMI options are popular with small companies. As we shall see, EMIs are more flexible than normal CSOPs, and the rewards available to employees are potentially much greater.

The rules dealing with tax charges on EMI shares are contained in ss.527–541 ITEPA 2003. The rules regarding the operation and administration of an EMI are provided in Sch 5 ITEPA 2003. ITEPA 2003, ss.527–541 and Sch 5

35.2 Operation of the Scheme

A company will grant options to an employee. The share options give the employee the right to buy shares within a specified period at a fixed price. In order to qualify for favourable tax treatment, the options must be exercisable within ten years of grant. ITEPA 2003, s.529

Within ten years the employee will exercise their option and buy shares in the employer company at their agreed option price. In most instances there will be no tax on the exercise of the option. We can draw similarities here with the CSOP.

The only tax usually charged on the employee will be **capital gains tax** when the employee eventually **sells their shares**.

35.3 Qualifying Conditions

A company may only grant options under an EMI scheme if it complies with certain conditions. EMI companies are essentially **small trading companies**.

The company **must be a trading company** with a permanent establishment in the UK. The company must **carry on a qualifying trade** and all trades will qualify unless they are strictly prohibited or excluded. Financial, legal, farming, property development and certain other trades are specifically excluded. ITEPA 2003, Sch 5, paras 15 and 16

The total **gross assets of the company cannot exceed £30 million**. An EMI company will generally be an unquoted company, although certain small quoted companies could offer EMI options to their employees if they are small enough to qualify. ITEPA 2003, Sch 5, para 12

The total value of shares over which EMI options are held cannot exceed £3 million. ITEPA 2003, Sch 5, para 7

The company must have fewer than 250 full-time equivalent employees. ITEPA 2003, Sch 5, para 12A

The **company must not be controlled by another company**. This essentially means that the company cannot be a subsidiary of a parent company. ITEPA 2003, Sch 5, para 9

There are also certain qualifying conditions attaching to the employees and to the shares. An EMI scheme is not an 'all employee' scheme. The company can invite **selected, full-time employees** to participate in the scheme. By 'full time' we mean the employee must devote at least 25 hours a week to the company. ITEPA 2003, Sch 5, para 26

Employees with a 'material interest' in the company **cannot participate** in the scheme. For EMI purposes, a director or employee will have a **material interest in a company if they** (together with associates) **control more than 30% of the share capital of the company**. ITEPA 2003, Sch 5, para 29

The maximum value of shares (valued at the date of grant) over which an employee holds options cannot exceed **£250,000**. This is more generous than the maximum ceiling of £30,000 used in CSOPs.

The £250,000 limit applies to the value of shares over which options are held under both EMIs and CSOPs. Therefore, if the employee already holds unexercised options over shares valued at grant at £30,000 under a CSOP, they can only be granted options over shares worth £220,000 under an EMI. ITEPA 2003, Sch 5, para 5

An element of the tax advantages is lost if the company grants options at a discount. As we shall see later, if an employee has the right to buy shares for less than their market value at the date of grant, there will be an income tax charge when the options are exercised.

Tutorial Note:

The above conditions are all included in Sch 5 ITEPA 2003 and can be highlighted in the legislation rather than being memorised.

35.4 Tax Implications

There is never a tax charge on the grant of an EMI option. If the option is exercised **more than ten years from grant**, it is treated as a non-tax advantaged option. The difference between the market value of the shares at exercise and the cost of the shares is charged to income tax.

If the EMI option is exercised **within ten years** from grant, it qualifies for favourable tax treatment on exercise. There is nothing in the scheme conditions to prevent an employee from exercising options in the first three years. ITEPA 2003, s.529

If the option is exercised within ten years from grant, assuming there was **no discount** on the shares at the date of grant – ie if the option price is the same as the market value of the shares at the date the option was granted – there will be **no tax when the options are exercised**. ITEPA 2003, s.530

If, however, a discount is offered to the employee at the date of grant – ie the price at which the employee can purchase the shares is less than their current market value – there will be an income tax charge on the exercise of the options. ITEPA 2003, s.531

In **all** instances, there will be a charge to **capital gains tax** on the employee on the ultimate disposal of the shares.

35.5 Income Tax on Exercise

Where an option is exercised within ten years, an income tax charge will only be levied on exercise if the options were originally granted at a discount. This means that the market value of the shares at the date of grant of the option exceeded the employee's option price.

The way in which we calculate the income tax charge on the exercise of EMI options within ten years is slightly different to the calculation when the exercise is under a non-tax advantaged share option.

Income tax on exercise (only if discount at grant):

Lower of:	(i)	Market value of shares at grant	X
	(ii)	Market value of shares at exercise	
Less: Option price			(X)
'Employment income'			X

In the majority of instances, the market value of the shares at the date of grant will be lower than the value of the shares at the date the employee exercises the options. There could obviously be exceptions to this if the share price goes down.

NICs need to be applied at this point only if the shares are readily convertible assets. This is unlikely to be the case for EMI companies.

➢ Illustration 1

EMI Ltd grants options to an employee in December 2013. The options can be exercised at any time before December 2023. The options give the employee the right to buy 40,000 shares at £2.50 each. The market value of the shares at the date the option is granted is also £2.50. The employee exercised their options in July 2022. The market value of the shares in July 2022 was £4.50 per share.

Explain the tax consequences of acquiring then selling these shares.

Under an EMI scheme, there will never be a tax charge at the date that the options are granted. The employee has exercised their options within ten years of grant, so they qualify for favourable tax treatment. There will only be a tax charge on exercise if the options were granted at a discount. This is not the case here.

The only tax in this scenario will be capital gains tax when the employee sells the shares.

➢ Illustration 2

Changing the numbers very slightly, assume this time that the employee has a right to buy 40,000 shares for £2.00 each.

Explain the tax consequences of the exercise of the options.

The company is granting an option to an employee at a discount of 50p per share. Even though the options are granted at a discount, there will never be tax on the grant of an EMI option. The only time an income tax charge will arise is on the exercise of the option.

The employee exercises their options in July 2022, and duly purchases 40,000 shares at £2.00 each. The market value of the shares at this point is £4.50.

Because the options were originally granted at a discount, there will be tax on the exercise of the option. The tax charge will be based on the market value of the shares at the date of grant, or the market value of the shares at the date of exercise, whichever is **lower**. In this case, the value of the shares at the date of grant is lower, so we use the figure of £2.50. The amount charged to income tax will therefore be:

40,000 × (£2.50 − £2.00) = £20,000

35.6 Capital Gains Tax

There will also be a capital gain when the employee eventually sells the shares. The capital gain is simply the difference between the sale proceeds and the CGT base cost. The CGT base cost is the amount actually paid for the shares plus any amount charged to income tax on exercise.

CGT base cost:	
Amount paid for shares	X
Add: Amount charged to income tax on exercise	X
	X

In cases where the charge on exercise is based on the market value at grant, ie where the share price has increased in value between grant and exercise, the CGT base cost will effectively be the market value at grant.

➢ Illustration 3

Assume the same facts as in the previous illustration.

Calculate the employee's capital gain if the shares are sold for £4.50 each.

The employee exercised their EMI options in July 2022, so their base cost will be:

	£
Amount paid for shares (40,000 × £2)	80,000
Add: Employment income subject to income tax on exercise	20,000
CGT base cost	100,000

Note that this is the market value of the shares at grant, ie £40,000 × £2.50

The employee sells the shares immediately for £4.50 each. Their capital gain is:

	£
Sale proceeds (40,000 × £4.50)	180,000
Less: CGT base cost	(100,000)
Capital gain	80,000

EXAMPLES

❖ Example 1

Little Trade Ltd awards options under an Enterprise Management Incentive to Mark, an employee, in January 2016.

The options give Mark the right to buy 20,000 shares at £3.50. The shares were valued at £4.50 in January 2016.

Mark exercises 15,000 options in March 2023 and sells the shares immediately for £4.25 each.

Calculate the amount charged to income tax on Mark in 2022/23.

ANSWERS

✓ Answer 1

'Employment income' at exercise:

			£	£
Lower of:	(i)	Market value of shares at grant	4.50	
	(ii)	Market value of shares at exercise	4.25	
		ie £4.25 × 15,000 options exercised		63,750
Less: Option price (15,000 × £3.50)				(52,500)
Employment income				11,250

CHAPTER 36

RESIDENCE – THE STATUTORY RESIDENCE RULES

By the end of this chapter you will understand:
- the statutory residence test (SRT)
- the automatic overseas tests
- the automatic UK tests
- the sufficient ties test
- how to determine days of presence in the UK
- the split year rules

In this chapter, all tax years are assumed to consist of 365 days and the effects of leap years have been ignored.

The statutory residence test is in Sch 45 FA 2013 and HMRC guidance note RDR3. The legislation and guidance note are very useful for this chapter. It is worth taking the time to highlight the detail included in this chapter in the legislation and/or RDR3. RDR3 can be found in Tolley's Yellow Tax Handbook Part 2.

36.1 Introduction

The UK consists of England, Scotland, Wales and Northern Ireland. The Republic of Ireland, the Isle of Man and the Channel Islands (Jersey, Guernsey etc) are not part of the UK.

As a general rule:

- taxpayers who are **resident in the UK** in a tax year are **taxable on their worldwide income and capital gains** arising in that year; and
- taxpayers who are **NOT resident in the UK** in a tax year are only **taxable on their UK income** arising in that year. Subject to certain exceptions, non-residents do not pay capital gains tax.

It is therefore important that a taxpayer's residence status is correctly determined.

If an individual is UK resident for tax purposes, they will be a Scottish or Welsh taxpayer if they have a 'close connection' to Scotland or Wales respectively. This will normally be where their only or main home is in Scotland or Wales. An individual who is not UK resident cannot be a Scottish or Welsh taxpayer.

36.2 The Statutory Residence Test

The statutory residence test (SRT) determines whether an individual is UK resident or non-resident for a tax year.

The SRT has three steps:

1. The **automatic overseas tests**

   If any of these tests are met, the individual is **non-resident for the tax year**.

   If none of these tests are met, you move on to Step 2.

2. The **automatic UK tests**

   If any of these tests are met, the individual is **UK resident for the tax year**.

   If none of these tests are met, you move on to Step 3.

3. The **sufficient ties test**

   This determines the individual's residence status based on the number of ties or connections an individual has to the UK, and the number of days that they have been present in the UK in the tax year.

   It reflects the principle that the more time someone spends in the UK, the fewer connections they need to have with the UK to be treated as UK resident.

The SRT contains tests which apply to determine residence in the tax year in which an individual dies; however, these rules are outside your syllabus and will not be covered in this chapter.

The rules on 'international transportation workers', which cover residence rules for those individuals with jobs working on ships and aircraft etc, are also outside your syllabus and are not discussed here.

36.3 The Automatic Overseas Tests

An individual is **not resident in the UK** for a tax year if they meet **any** of the following three tests:

1. They were **UK resident in one or more of the previous three tax years** and they are **present in the UK for fewer than 16 days** in the current tax year. FA 2013, Sch 45, para 12

2. They were **not resident in the UK in all of the previous three tax years** and they are **present in the UK for fewer than 46 days** in the current tax year. FA 2013, Sch 45, para 13

3. They meet the **work abroad** condition, ie:

   - they **work full-time overseas for the tax year** – full-time is an average of at least **35 hours per week**;

   - they have **no significant breaks** from the overseas work – a significant break is where at least **31 days** go by and none of those days is an overseas workday (or would have been were it not for annual leave, parenting leave or sick leave);

   - they spend **fewer than 91 days in the UK** in the tax year; and

   - they have **fewer than 31 workdays in the UK** in the tax year. FA 2013, Sch 45, para 14

A **workday** is any day on which the individual **works more than three hours**.

➢ Illustration 1

Pascal is coming to the UK on 1 March 2023 to start a full-time job with a chemical engineering company in Leeds. He will lease a house in Leeds to live in while he is in the UK. He has never previously been resident in the UK.

What is Pascal's residence status for 2022/23?

Pascal is present in the UK for 36 days in 2022/23. He has not previously been UK resident.

Where an individual is not resident in the UK in all of the previous three tax years and is present in the UK for fewer than 46 days in the current tax year, they are automatically non-resident under the second automatic overseas test.

Pascal is non-resident in 2022/23.

36.4 The Automatic UK Tests

An individual is **resident in the UK** for the tax year if they meet **any** of the following three tests:

1. They are **present in the UK for 183 days or more** in a tax year. FA 2013, Sch 45, para 7

2. They have **a UK home**. FA 2013, Sch 45, para 8

3. They work **full-time in the UK**. FA 2013, Sch 45, para 9

UK home

An individual has a **UK home** if:

- there is a period of at least **91 consecutive days, at least 30** of which fall **in the tax year**; when

- the individual has **a home in the UK** in which they spend **at least 30 days in the tax year**; and either

  a. they have **no home overseas**; or

  b. they have one or more **homes overseas**, but **during the tax year** they are **present** in each of those homes **on fewer than 30 days**. FA 2013, Sch 45, para 8

A home need not be a property that the individual owns.

The legislation defines a home as including any building or structure which the individual uses with **a degree of permanence or stability**. This excludes holiday homes or similar properties which are used for temporary purposes. HMRC state that the difference between 'accommodation' and a 'home' is that accommodation is more transient and does not require stability or permanence.

A property which is **made available to let commercially will not be a home during the period it is let** unless the individual or their family retain a right to live there. FA 2013, Sch 45, para 25

Full-time UK work

An individual will be classed as **working full-time in the UK** if:

- they work full-time in the UK for **any period of 365 days, all or part of which falls within the tax year** – full-time is an average of at least **35 hours per week**;
- they have **no significant breaks** from the UK work – a significant break is where at least **31 days** go by and none of those days is a UK workday (or would have been were it not for annual leave, parenting leave or sick leave);
- **more than 75%** of the workdays during the 365-day period are **UK workdays**; and
- at least **one UK work day** falls in **both the 365-day period and the tax year**. FA 2013, Sch 45, para 9

Again, a **workday** is any day on which the individual **worked more than three hours**

If an individual has met any of the automatic overseas tests, they are not resident in the UK, even if they also meet one of the automatic UK tests. **In cases where both tests apply, the automatic overseas test takes priority**.

Illustration 2

2022?

Jacob has lived in Israel all his life. In February ~~2023,~~ while on a business trip to Edinburgh, he met Shirley. They plan to marry in March 2024. Jacob has therefore decided to move permanently to the UK.

Jacob returned to Israel to make preparations for his move. He sold his house in Israel (his only home) on 23 January 2023 and arrived in the UK on 25 January 2023.

He rented a flat in Edinburgh on a 12-month lease and moved in on 1 February 2023. He intends to live there for at least a year, after which he and Shirley will marry and find a home together.

What is Jacob's residence status for 2022/23?

During 2022/23 Jacob is present in the UK for 71 days, of which 64 days were spent living in his Edinburgh flat.

He does not meet any of the automatic overseas tests as he is in the UK for too many days, and he does not meet the work abroad condition.

He does not meet the first automatic UK test as he is not in the UK for 183 days.

There is a period of at least 91 consecutive days (starting on 1 February 2023 and running through to 2 May 2023) when Jacob has a home in the UK. At least 30 days of this period fell into 2022/23.

During 2022/23 Jacob is present in that UK home on at least 30 days.

During the 91-day period in which Jacob has a UK home, he has no home overseas.

Jacob is therefore **UK resident for 2022/23** under the second automatic UK test.

36.5 The Sufficient Ties Test

Some individuals will not meet any of the automatic overseas or automatic UK tests. Their residence status will be determined by the sufficient ties test. FA 2013, Sch 45, para 17

This considers both the **number of days spent in the UK and the extent of the individual's connections or ties with the UK**.

There are five possible ties:

1. **Family** – a family tie is created where:

   - the individual's spouse/civil partner is UK resident;
   - the individual's **partner**, if they are living together as spouses/civil partners, is UK resident; or
   - a minor child (under 18) of the individual is UK resident and the individual sees that child on at least 61 days in the tax year. FA 2013, Sch 45, para 32

   Spouses/civil partners/partners that the individual is separated from are not included.

   Where a minor child is in full-time education in the UK, this will not be deemed to be a family connection if the child spends fewer than 21 days in the UK outside term-time. FA 2013, Sch 45, para 33

2. **Accommodation** – an accommodation tie is created if:

   - the individual has **a place to live in the UK**; and
   - it is available to them for a **continuous period of at least 91 days** during the tax year; and either
   - they **spend at least one night there** during the tax year; or
   - they **spend at least 16 nights there** if it is the home of a **close relative**, being a parent, grandparent, sibling, child or grandchild aged 18 or over – this includes full and half blood relatives, and those connected through marriage and adoption. FA 2013, Sch 45, para 34

   The accommodation simply has to be available while an individual is in the UK. This will therefore include holiday homes and other similar accommodation.

3. **Work** – a work tie is created if the individual has **at least 40 UK workdays in the tax year**. FA 2013, Sch 45, para 35

4. **90-day tie** – a 90-day tie is created if the individual spent **more than 90 days** in the UK **in either or both** of the **previous two tax years**. FA 2013, Sch 45, para 37

5. **Country** – a country tie is created if the **UK** is the country in which the individual is **present at midnight** for the **greatest number of days** in the tax year. FA 2013, Sch 45, para 38

   The country tie **only applies** to individuals who have been **UK resident in one or more of the previous three tax years**. FA 2013, Sch 45, para 31

   This tie will typically apply to those individuals who leave the UK and thereafter spend small amounts of time in a number of different countries.

The **number of ties** an individual has in a tax year is considered along with **days spent in the UK** in that tax year to determine residence status. The legislation contains two tables:

- The first table (Table A in RDR3) is relevant for individuals who have been **resident in the UK in one or more of the previous three tax years**. These people are sometimes referred to as **'Leavers'**.
- The second table (Table B in RDR3) is relevant for individuals who have **not been resident in the UK in any of the previous three tax years**. These people are sometimes referred to as **'Arrivers'**.

Ties needed for individuals who have been **resident in the UK in one or more of the previous three tax years (Table A)**: FA 2013, Sch 45, para 18

Days spent in the UK in the tax year	**UK ties needed**
16–45	At least 4
46–90	At least 3
91–120	At least 2
Over 120	At least 1

Ties needed for individuals who have **not been resident in the UK in any of the previous three tax years (Table B)**: FA 2013, Sch 45, para 19

Days spent in the UK in the tax year	**UK ties needed**
46–90	All 4
91–120	At least 3
Over 120	At least 2

Illustration 3

Carla is South African. She came to the UK for the first time on 1 November 2022 to visit friends. She is in the UK on a tourist visa and is not intending to work.

She is planning to stay in the UK for a few months, so she will rent a bedsit on a six-month lease to use as a base (this works out cheaper than staying in a hotel). She has retained her flat in South Africa.

You can assume that the second automatic UK test (UK home) is not met.

What is Carla's residence status for 2022/23?

In 2022/23 Carla spent 156 days in the UK, so she will not satisfy any of the automatic overseas tests.

She is present in the UK for less than 183 days, she is not working full-time in the UK and we are told that she does not pass the home test. Carla will not satisfy any of the automatic UK tests.

We therefore look at the sufficient ties test.

Carla has not been resident in any of the three years before 2022/23, so we need to consider four possible ties (the country tie does not apply) and we use Table B.

As she spends 156 days in the UK in the tax year, Carla needs at least two ties in order to be UK resident.

She only has one tie, being her available accommodation.

Under the sufficient ties test, Carla will be **non-resident** in 2022/23.

➢ Illustration 4

Marco is Italian. He has lived with his parents in Naples all his life.

He left school in summer 2022 and came to the UK on 1 November 2022 to visit his uncle who runs a restaurant in Cardiff. Marco stays with his uncle and works three days a week (Friday to Sunday) at the restaurant to earn money for a university course. The rest of the time he studies English at a local college.

He returned to Italy for one week over Christmas 2022.

He intends to return permanently to Italy in July 2023 and will start his university course in September 2023.

You can assume that the second automatic UK test (UK home) is not met.

What is Marco's residence status for 2022/23?

In 2022/23 Marco spent 156 ~~149~~ days in the UK, so he will not satisfy any of the automatic overseas tests.

He is present in the UK for less than 183 days, he is not working full-time in the UK and we are told that he does not pass the home test. Marco will not satisfy any of the automatic UK tests.

We therefore look at the sufficient ties test.

Marco has not been resident in any of the three years before 2022/23, so we need to consider four possible ties (the country tie does not apply) and we use Table B.

As he spends 149 days in the UK in the tax year, Marco needs at least two ties in order to be UK resident.

He has two ties:

1. Accommodation – he has a place to live, with his uncle.
2. Work – he has spent at least 40 days working in the UK in the tax year.

Marco will be **UK resident** in 2022/23.

36.6 The Day Counting Rules

An individual is treated as being present in the UK on any day in which they are **in the UK at the end of that day (at midnight)**. This means that days of arrival in the UK will be counted while days of departure from the UK will not.
FA 2013, Sch 45, para 22

36.7 Split Year Treatment – General Rules

Under the SRT, an individual is either UK resident or non-resident for a full tax year.

However, if an individual arrives in or leaves the UK during the tax year and the circumstances meet specific criteria, **the tax year is split into:**

- a **UK part** for which the individual is taxed as a UK resident; and
- an **overseas part** for which the individual is taxed as a non-resident.

A tax year will be a split year if:

- the individual is **UK resident for that year under the SRT**; and
- the circumstances fall within **any of Cases 1 to 8**. FA 2013, Sch 45, para 43

If the individual is **non-resident for the year**, **the split year rules do not apply**. In this case, the individual will be **non-resident for the whole of the tax year**.

If the circumstances meet the criteria, split year treatment applies automatically. An individual cannot elect for split year treatment **not** to apply.

The split year rules **apply for income tax and capital gains tax**.

36.8 Split Year Rules – The Eight Cases

There are eight sets of circumstances where an individual might meet the criteria for split year treatment:

Case 1:	Starting full-time work overseas
Case 2:	The partner of someone starting full-time work overseas
Case 3:	Ceasing to have a home in the UK
Case 4:	Starting to have a home in the UK only
Case 5:	Starting full-time work in the UK
Case 6:	Ceasing full-time work overseas
Case 7:	The partner of someone ceasing full-time work overseas
Case 8:	Starting to have a home in the UK

Cases 1 to 3 apply to individuals **leaving the UK** to live or work abroad.

Cases 4 to 8 apply to individuals **coming to the UK** to live or work here.

A tax year will be a split year only if:

1. The individual is UK resident for that year under the SRT; and
2. A set of conditions (not covered here) relating to one of Cases 1 to 8 apply.

If the conditions are met, split year treatment applies automatically.

36.9 Case 1 – Starting Full-Time Work Overseas

The tax year will be split if the taxpayer **leaves the UK for the purposes of working abroad** and meets the relevant conditions for Case 1.

The **overseas part of the tax year will start on the first overseas workday**. FA 2013, Sch 45, para 44

➢ Illustration 5

Vanessa left the UK on 1 November 2022 on a two-year employment contract with a bank in Paris. She had always been UK resident. She started work in Paris on 7 November 2022.

Vanessa will work on average 40 hours per week in Paris.

What is her residence status for 2022/23?

Vanessa will be **UK resident for 2022/23** under the first automatic UK test as she spent **183 days or more** in the UK.

2022/23 will be a **split year under Case 1** as Vanessa is leaving the UK to start full-time work overseas.

Vanessa will be:

- UK resident for the period 6 April 2022 to 6 November 2022; and
- **non-resident for the period 7 November 2022 to 5 April 2023**.

36.10 Case 3 – Ceasing to have a Home in the UK

The tax year can be split if an individual leaves the UK to live abroad and ceases to have a UK home. At the **start of the tax year the individual had a UK home**, but at some point **in the tax year** they **ceased to have any home in the UK**.

The **overseas part** of the tax year will **start** on the day on which the individual **ceases to have a UK home**. FA 2013, Sch 45, para 46

36.11 Case 5 – Starting Full-Time Work in the UK

The tax year can be split if the individual **comes to the UK for the purpose of working full-time in the UK**.

The **UK part** of the tax year will **start** with the day on which the individual **starts full-time work in the UK**. FA 2013, Sch 45, para 48

36.12 Case 6 – Ceasing Full-Time Work Overseas

The tax year can be split if the individual ceases working abroad and comes to the UK.

This will most commonly apply on cessation of an overseas work assignment.

The **UK part** of the tax year will start the day after the **last day of overseas work**. FA 2013, Sch 45, para 49

EXAMPLES

❖ Example 1

George, a full-time employee, was sent by his employer on a four-year assignment to Belgrade in August 2021.

In 2022/23 George spent 40 days in the UK – two weeks for a holiday and the rest on various work trips.

Explain whether George will be automatically non-UK resident in 2022/23.

❖ Example 2

Kylie, who is from Australia, is travelling around Europe for five years.

She spent five months touring the UK in 2022/23, during which time she worked part-time and stayed in various campsites and youth hostels.

Explain the tests you would apply to determine her residence status for 2022/23.

❖ Example 3

Demetri was born and raised in Greece. In July 2022 while working in Faliraki he met Kate. Kate is from Newcastle and has always been UK resident.

On 1 December 2022, Demetri came to the UK for one week to see Kate.

On 1 March 2023, Demetri returned to the UK with the intention of settling permanently in Newcastle with Kate. Demetri sold his flat in Greece and took out a six-month lease on a flat in Newcastle. Demetri is a qualified electrician and intends to set up a business in the UK once he is settled.

Which of the following statements is true?

a. Demetri will be UK resident for the whole of the tax year 2022/23.

b. Demetri will be UK resident from 1 December 2022.

c. Demetri will be UK resident from 1 March 2023.

d. Demetri will be non-resident for the whole of the tax year 2022/23.

ANSWERS

✓ Answer 1

George will be non-resident in 2022/23 under the third automatic overseas test because:

- he works abroad on average at least 35 hours per week assessed over the tax year without any significant breaks;
- he spends fewer than 91 days in the UK; and
- he has fewer than 31 workdays in the UK.

✓ Answer 2

Kylie does not meet any of the automatic overseas tests as she spends more than the permitted number of days in the UK.

She does not meet any of the automatic UK tests as she is not present in the UK for 183 days (five months is approximately 155 days), she does not have a home in the UK and she is not working full-time in the UK.

Therefore, in order to determine her residence status, the sufficient ties test would need to be considered.

✓ Answer 3

In 2022/23, Demetri spent 43 days in the UK.

Where an individual is not resident in the UK in all of the previous three tax years and is present in the UK for fewer than 46 days in the current tax year, he is automatically non-resident under the second automatic overseas test.

When an individual is non-resident, split years do not apply.

Demetri is therefore **non-resident for the whole of 2022/23 (D)**.

CHAPTER 37

DOMICILE

By the end of this chapter you will understand:
– the concept of domicile of origin
– the concept of domicile of dependence
– the concept of domicile of choice

37.1 Introduction to Domicile

Domicile is not defined by statute, it is a concept of common law.

Every individual has one domicile and one alone. Unlike residence, it is not possible to be domiciled in two countries or to be domiciled nowhere.

37.2 Types of Domicile

There are three types of domicile:

1. Domicile of origin.

2. Domicile of choice.

3. Domicile of dependence.

It is also possible to be deemed UK domiciled for tax purposes, which we will see in the following chapter.

37.3 Domicile of Origin

An individual normally **acquires a domicile of origin from their father at birth** (or from their **mother if the parents were not married**). This is not necessarily the country in which that person was born.

For example, someone might have been born in the UK to a non-UK domiciled father who was living temporarily in the UK. This will not mean they are UK domiciled.

Domicile of origin is notoriously difficult to displace. Simply leaving one's country of domicile and going to live somewhere else does not necessarily mean that the domicile of origin is displaced. For example, there will be many individuals currently living abroad who have retained their UK domicile of origin.

Similarly, there are many **thousands of foreign nationals living in the UK** who are **resident** in the UK (by virtue of their physical presence here) but have **not lost their non-UK domicile of origin**.

As long as these individuals can sustain an argument that their natural and permanent home is outside the UK and they intend to return to their home country at some point, their non-UK domicile of origin will be retained and they will remain non-UK domiciled while continuing to live in the UK.

37.4 Domicile of Choice

An individual has a **legal capacity to acquire a new domicile at the age of 16**.

In general terms, if an individual with a UK domicile of origin wishes to acquire a new domicile of choice outside the UK, they must either:

1. **leave the UK and settle permanently** in that other country; or
2. if living abroad already, **intend to remain in that other country permanently or indefinitely**.

In either case, they will need to provide strong evidence that they intend to live in that other country permanently or indefinitely.

In establishing whether a new domicile of choice has been created, HMRC will look at:

- the intentions of the individual;
- their permanent residence;
- their business interests;
- their social and family interests;
- ownership of property; and
- the form of any Will they have made.

This list is by no means exhaustive and **there is no single criteria which determines whether an individual is or is not domiciled in the UK**. Instead, a 'balance of probabilities' approach is taken.

The same criteria will be used to determine whether an individual with a non-UK domicile of origin has acquired a new domicile of choice in the UK by settling here permanently or indefinitely.

➢ Illustration 1

Hassan was born in the UK. His father was a non-UK domiciled person who was working in the UK when Hassan was a child. Hassan was brought up and educated in the UK. He went to a UK university and started a job in London when he was 22. When he was 24, Hassan bought a flat in London.

When Hassan was 25, his father retired from his job and decided to return to his country of his domicile. Hassan will not be joining his father abroad for anything other than an occasional visit.

Discuss Hassan's domicile status.

Hassan had a **non-UK domicile of origin** as his father was non-UK domiciled when he was born.

Since then Hassan has made the UK his permanent home which he does not intend to leave. By buying a house in the UK and having full-time **employment** in the UK, Hassan seems to have a **settled intention to permanently reside** in the UK. **By deciding to stay in the UK permanently or indefinitely, Hassan will have established a domicile of choice in the UK**.

37.5 Domicile of Dependence

An individual has a legal capacity to change their domicile from the age of 16.

Until then, **their domicile will follow that of the person on whom they are legally dependent** (usually the father, but this could also be the mother or another legal guardian). If the domicile of that person changes, the child will automatically acquire the same domicile and the child's domicile of origin will be displaced.

Tutorial Note:

These definitions can be found in Section 5 of HMRC guidance note RDR1, which is in Tolley's Yellow Tax Handbook Part 2.

37.6 Deemed Domicile

Non-UK domiciled individuals can be treated as being domiciled in the UK for taxation purposes if certain conditions have been met (see the following chapter). ITA 2007, s.835BA

This does not change the individual's domicile under common law. However, it does mean that **anyone with 'deemed domicile' status will be taxed in the same way as an individual who is UK domiciled under common law.**

EXAMPLES

❖ Example 1

Karen was born in Dublin (Ireland) to Irish parents. Her father was born in Ireland but the family had moved to the UK when Karen was young. Karen's parents have since settled permanently in the UK.

Karen is married to Philippe (a French national) and they both live and work full-time in the UK. They have one son (aged 14). Philippe and Karen spend most of their holiday time in northern France where they have purchased a house and some farmland. They plan to retire there when their son completes his UK education in about seven or eight years' time.

Which of the following statements best summarises Karen's domicile status?

a. Karen has a domicile of origin in Ireland and this has not been displaced.

b. Karen had a domicile of origin in Ireland and this has been displaced by a domicile of choice in the UK as she has personal links with the UK.

c. Karen has a domicile of dependence in the UK and this has not been displaced.

d. Karen had a domicile of dependence in the UK but this has been displaced by a domicile of choice in France as that is where she intends to settle permanently.

ANSWERS

✓ Answer 1

Karen had a domicile of origin in Ireland as she was born to an Irish father. It would appear that her father settled permanently in the UK before Karen was 16. As her father would have acquired a domicile of choice in the UK, Karen's domicile would have followed his. Therefore, she has a domicile of dependence in the UK.

The question to answer is whether Karen has yet done enough to abandon this UK domicile.

She has clear and firm plans to move to France in a few years' time. However, she has never lived abroad as an adult and her current personal links are primarily with the UK. She will probably become non-UK domiciled at the time she leaves to settle permanently in France, but until then it is likely that she retains her UK domicile.

The probable correct answer is therefore answer **C**.

CHAPTER 38

TAXATION OF FOREIGN INCOME – GENERAL PRINCIPLES

By the end of this chapter you will understand:
- how foreign investment income is taxed in the UK
- the principles for taxing UK income
- the availability of personal allowances for non-residents
- how to tax the UK income of non-residents
- the principles for taxing overseas income

38.1 Introduction

The taxation of overseas income is entirely dependent on the residence and domicile status of the recipient.

38.2 Definition of Terms

'Arising basis'

This means that income is taxed in the year in which it arises or is received. It makes no difference whether such income is brought back to the UK or kept offshore.

'Remittance basis'

This means that foreign income is only taxed in the UK if it is brought back to the UK or is enjoyed in the UK.

'UK income'

This means income deriving from a source in the UK (eg interest on a UK bank account, dividends on shares in UK companies, rents from UK properties etc).

'Foreign investment/foreign property income'

This means interest on foreign stock, foreign debentures and foreign bank accounts, and dividends from non-UK companies. Foreign property income includes rents from foreign properties.

38.3 UK Income

The way in which income is taxed largely depends on where it arises.

UK income – ie **income arising from a source which is situated in the UK – is taxed on everybody, regardless of their residence status**.

This means that if an individual is **resident outside the UK**, but they have a **UK property** which is let out and produces rental income, that rental income **will be charged to UK income tax** as UK property income. The non-resident individual therefore will have a responsibility to file a self-assessment return and pay UK income tax.

38.4 Personal Allowances

Personal allowances (including the married couple's allowance) are available to all individuals who are **resident in the UK**. ITA 2007, s.56

The following **non-resident individuals** may also claim UK personal allowances if at any point in the tax year they are:

- UK nationals
- Nationals of European Economic Area (EEA) states. The EEA comprises the European Union plus Norway, Iceland and Liechtenstein.
- Residents of the Channel Islands or the Isle of Man.
- Employees (past and present) of the British Crown (including widowers and widowers of Crown Servants).

There will therefore be some non-resident taxpayers who pay UK income tax on UK source income who will not receive a personal allowance.

Note that the marriage allowance, being £1,260 of the personal allowance in 2022/23, **cannot** be transferred to a spouse or civil partner who is **not** entitled to claim UK allowances.

Also, remember that personal allowances for ALL taxpayers (whether resident or not) will be tapered away when adjusted net income exceeds £100,000.

38.5 Foreign Income: Resident and Domiciled in the UK

Foreign investment income and foreign property income arising to individuals who are resident and domiciled in the UK is **taxable on an arising basis**. UK resident individuals who are domiciled in the UK are therefore taxable on their worldwide income.

If an individual is resident and domiciled in the UK, they will be chargeable to UK tax on dividends received from non-UK resident companies.

For example, if an individual receives a foreign dividend of £850 net of a foreign withholding tax of 15%, we gross up the dividend by multiplying the net dividend by 100/85 to take account of the foreign tax. This gives us a gross dividend of £1,000 which is the amount we enter in the income tax computation.

If the foreign income is taxed in the overseas country, credit is given for all or part of the foreign tax when calculating the UK tax liability.

38.6 Foreign Income: Resident but Not Domiciled in the UK

For people who are resident in the UK but domiciled abroad, their **foreign income is taxed on an arising basis**, but a **claim for the remittance basis** can be made. This may apply in the case of a foreign national who is living in the UK but will return to their homeland at some point in the future. A claim for the remittance basis means that the individual will only pay tax on their foreign income if they bring it into the UK. ITA 2007, s.809B

38.7 Foreign Income: Not Resident in the UK

Foreign income arising to non-resident individuals **is not taxable in the UK**. For example, the UK government have no authority to tell a Spanish citizen that they should pay UK income tax on their Spanish income. This means that in the case of a non-resident individual, as long as the income arises outside the UK it cannot be taxed in the UK in any circumstances.

38.8 Summary

The following is a brief summary of the taxation of UK and foreign income:

	UK INCOME	**FOREIGN INCOME**
RESIDENT AND DOMICILED	ARISING	ARISING
RESIDENT AND NON-DOMICILED	ARISING	ARISING (Possible remittance basis claim)
NOT RESIDENT	ARISING	NOT TAXABLE

EXAMPLES

❖ Example 1

Which of the following individuals are entitled to UK personal allowances?

a.	Mr Klopp	Resident in the UK, domiciled in Germany
b.	Mrs Trump	Resident and domiciled in the USA
c.	Mr Dundee	Resident and domiciled in Australia
d.	Mrs Macron	Resident and domiciled in France
e.	Mr Beckham	Resident in the USA, domiciled in the UK
f.	Mrs Carney	Resident in the UK, domiciled in Canada.

ANSWERS

✓ Answer 1

Personal allowances		**Yes**		**No**
a.	Mr Klopp	Yes	UK resident	
b.	Mrs Trump			No
c.	Mr Dundee			No
d.	Mrs Macron	Yes	European	
e.	Mr Beckham	Yes	British citizen	
f.	Mrs Carney	Yes	UK resident	

CHAPTER 39

THE REMITTANCE BASIS

By the end of this chapter you will understand:
- when it is possible to use the remittance basis
- how to claim the remittance basis
- the rates of tax that apply to remitted income
- how personal allowances can be restricted
- the various types of remittances

39.1 Introduction

As we saw in the previous chapter, the taxation of overseas income is entirely dependent on the residence and domicile status of the recipient.

The following is a summary of how UK and foreign income is taxed:

	UK INCOME	FOREIGN INCOME
RESIDENT AND DOMICILED	ARISING	ARISING
RESIDENT AND NON-DOMICILED	ARISING	ARISING (Possible remittance basis claim)
NOT RESIDENT	ARISING	NOT TAXABLE

In this chapter we will concentrate on individuals who are resident in the UK but **not domiciled in the UK.**

Such taxpayers can choose either to be taxed on the arising basis (where income is taxed as it is received) **or on the 'remittance basis'** (where foreign income is only taxed if it is 'remitted' to the UK).

39.2 Individuals Resident and Non-Domiciled – The Remittance Basis

Where an individual is resident in the UK but not domiciled in the UK, as a general rule both UK source income and foreign income is taxed on an arising basis.

However, a claim can be made for **foreign income to be taxed on the remittance basis**. In this case, the taxpayer's foreign income is **only taxed in the UK if it is brought in to the UK, or used or enjoyed in the UK**. If it is kept offshore, it is free of UK income tax.

For this reason, the remittance basis has been described by some commentators as 'voluntary taxation' because **remittance basis users can avoid UK tax on their foreign income provided that they do not need to bring that income to the UK**. Individuals who are UK domiciled do not have such a choice.

If an individual wishes to use the remittance basis, they must generally **make a claim every year** under s.809B ITA 2007. The claim is usually made by ticking box 28 on the 'Residence, remittance basis etc' supplementary pages (SA109) of the self-assessment return. ITA 2007, s.809B

Otherwise, if no claim is made, the foreign income for the tax year should be fully reported and will be taxed as it arises (as for UK domiciled taxpayers).

Individuals can opt in and out of the remittance basis year by year if they choose. As the choice as to whether or not to use the remittance basis is usually made via the self-assessment return (ie after the tax year has ended), a taxpayer can always take the decision in the full knowledge of what their tax liabilities will be.

It is important to note that where a non-domiciled taxpayer has foreign income which is taxed at source in the overseas country, **if that income is also taxed in the UK (whether on an arising basis or when remitted) the taxpayer will receive credit in the UK for the foreign tax paid**.

Therefore, where the foreign tax paid is at a rate equivalent to that charged in the UK, being assessed on the arising basis may not materially affect an individual's UK tax liability.

Once an individual claims to use the remittance basis for a particular tax year, **the foreign income of that tax year will be taxable in any future year in which it is remitted to the UK** (be that a year in which the remittance basis is used or not).

Taxpayers therefore need to have a system for **tracking and identifying foreign income and gains** which arose in a tax year in respect of which a remittance basis claim was made.

➢ Illustration 1

Sofia is domiciled in Estonia. She has been resident in the UK since April 2020. In 2020/21 and 2021/22, due to the high level of her Estonian income and capital gains, she elected to use the remittance basis.

In March 2022, Sofia sold most of her overseas investments. Her foreign income for 2022/23 is £4,000 (she has no capital gains), so Sofia did not make a claim under s.809B ITA 2007.

What would Sofia be taxed on in 2022/23?

In 2022/23, Sofia will be taxed on:

- UK income and capital gains arising in 2022/23;
- foreign income arising in 2022/23 (being £4,000); and
- any income or gains from 2020/21 or 2021/22 which are brought to the UK in 2022/23.

Sofia will receive a UK personal allowance in 2022/23 which will be set against her total income.

She will also receive credit for any Estonian tax paid on the £4,000 of Estonian income (and any foreign tax suffered on any income or gains remitted).

39.3 Rates of Tax on Remitted Income

Where income is taxed on a remittance basis, it is **always taxed as non-savings income**. This will be the case even if the individual remits foreign interest or dividends.

The starting rate for savings income and the savings allowance do not apply to foreign interest remitted to the UK. ITA 2007, s.18

In addition, any **foreign dividends remitted to the UK will therefore be taxed at 20%, 40% and 45%** as opposed to 0%, 8.75%, 33.75% and 39.35% for dividends taxed on an arising basis. The dividend allowance is not available in respect of remitted dividend income. ITA 2007, s.13

The dividend remitted must be grossed up to take account of **any foreign withholding tax** which is actually deducted from the dividend.

➢ Illustration 2

Kamal is non-UK domiciled. He has been resident in the UK for the last five years. He is a remittance basis user who pays UK tax at the higher rate of 40%.

In June 2022, Kamal received a dividend of £21,250 from a foreign company. The dividend is received net of 15% local withholding tax (being £3,750).

In January 2023, Kamal transferred £10,000 of this dividend to the UK to meet a UK credit card bill.

Calculate the tax due on the remittance.

The tax liability on the remittance is as follows:

	£
Cash dividend remitted	10,000
Add: Withholding tax on amount remitted (10,000 × 15/85)	1,765
Gross dividend for UK tax purposes	11,765
UK tax @ 40%	4,706
Less: 15% withholding tax (see later chapter on double tax relief)	(1,765)
Tax on remitted income	2,941

39.4 Restriction of Personal Allowances where Remittance Basis Claimed

Personal allowances are given to all UK residents and to certain non-residents (eg individuals who are UK or EEA nationals, residents of the Channel Islands and Isle of Man etc at any point in the tax year).

However, where the **remittance basis is claimed under s.809B ITA 2007, no personal allowances or tax reducers for married couples/civil partners** (ie the married couple's allowance and the marriage allowance) **will be available** for that tax year.

In addition, the individual will not be entitled to the annual exempt amount for capital gains tax. ITA 2007, s.809G

Some non-domiciled individuals will be put in a position where they will have to **choose between using the remittance basis and claiming their personal allowances**.

In simple terms, non-domiciled taxpayers with **foreign income in excess of the personal allowance will usually be better off claiming to use the remittance basis** (and thereby losing the personal allowances). Do note that taxpayers with capital gains will also need to consider the loss of their CGT annual exempt amount when making this choice.

Also remember that individuals with net income in excess of £100,000 will see their personal allowances reduced by **£1 for every £2 of income above £100,000**. Therefore, once a taxpayer has income of £125,140, no personal allowances will be available (irrespective of whether a s.809B claim is made or not).

➢ Illustration 3

Jakob is from Poland. He came to work in London on a four to five-year secondment. He is resident in the UK but is non-UK domiciled.

His total worldwide income for 2022/23 is as follows:

	£
UK salary	40,000
UK bank deposit interest	1,000
Rental income from house in Poland	20,000
Interest on Polish bank account (gross)	2,000

Jakob remits £4,000 of the rental income to the UK in 2022/23.

Calculate Jakob's taxable income for 2022/23 and state if he should claim the remittance basis.

1. Assume Jakob **claims under s.809B ITA 2007 to use the remittance basis**. His taxable income in the UK will be as follows:

	£
UK salary	40,000
UK bank deposit interest	1,000
Foreign property income	4,000
Taxable income	45,000

Jakob will not receive a personal allowance, as he is claiming to use the remittance basis.

2. Assume Jakob does **not** wish to use the remittance basis, and therefore does not make a claim under s.809B ITA 2007.

His taxable income in the UK will be as follows:

	£
UK salary	40,000
UK bank deposit interest	1,000
Foreign property income	20,000
Interest on Polish bank account	2,000
Net income	63,000
Less: Personal allowance	(12,570)
Taxable income	50,430

Jakob should therefore claim the remittance basis in 2022/23 (even though this means he will lose his personal allowance).

39.5 Using the Remittance Basis Without a Claim

Where an individual's 'unremitted foreign income and gains' (UFI) are less than £2,000, the remittance basis applies automatically, **without the need to make a claim under s.809B ITA 2007**. ITA 2007, s.809D

Where the remittance basis applies automatically, without a s.809B claim, **full personal allowances and the CGT annual exempt amount will be given**.

'Unremitted foreign income and gains' means:

	£
Total foreign income and gains for the tax year	X
Less: Amounts remitted to the UK by the end of that same tax year	(X)
Unremitted foreign income and gains	X

For example, if a non-UK domiciliary has foreign income of £4,000 (with no foreign gains) and in that year they remit £2,500 to the UK, the 'unremitted foreign income' is £1,500. This is less than £2,000, so **the remittance basis will automatically apply** (no formal claim needs to be made).

In this case, the taxable foreign income will be the amount remitted – ie £2,500.

However, if a non-UK domiciliary has foreign income of £4,000 and they remit £1,000 to the UK, 'unremitted foreign income' is £3,000. Here, the **remittance basis will not apply unless a claim is made** under s.809B ITA 2007.

The taxable foreign income will therefore be the **total amount arising of £4,000** unless a claim is made under s.809B, in which case the taxable foreign income will be the amount remitted – ie £1,000.

39.6 Meaning of 'Remittance to the UK'

According to HMRC:

> 'A remittance is any money or other property which is, or which derives from, your offshore income and gains which are brought to, received or used either directly or indirectly in the UK for your benefit or for the benefit of any other relevant person.'

A straightforward **transfer of money** from a foreign bank account to a UK bank account will obviously constitute a 'remittance'.

However, overseas income can be used in the UK without being directly received or transferred to the UK.

For example, if a non-domiciled person incurs expenditure in the UK on a credit card and eventually pays the bill from an offshore bank account, that will constitute a remittance. This is because **the money in the offshore bank account has been 'used' in the UK**.

Section 809L ITA 2007 explains what is meant by a remittance to the UK. ITA 2007, s.809L

The following situations will also constitute a ‘remittance’ for tax purposes:

1. Assets being brought to the UK **which derive from foreign income or gains**.

   For example, a non-domiciled individual uses foreign income to buy a car for £40,000 from a garage in Germany. They drive the car across Europe and into the UK where it is now kept. They are deemed to have made a remittance of £40,000.

2. Money or other property representing a person’s foreign income or gains being **brought to the UK by any ‘relevant person’**. ‘Relevant persons’ include the donor’s spouse or civil partner, and children/grandchildren under the age of 18.

   For example, a non-domiciled individual gives foreign income of £50,000 to his wife. His wife buys a painting and brings that painting to the UK. The husband is deemed to have made a remittance of £50,000.

3. Money or other property representing a person’s foreign income or gains being brought to the UK by a non-relevant person where **the person can benefit from the money or property**.

   For example, a non-domiciled individual gives foreign income of £1 million to his adult son (a non-relevant person). The son buys a house in the UK. The father moves into the house to live. The father is deemed to have made a remittance of £1 million.

EXAMPLES

❖ Example 1

Which of the following individuals could claim the 'remittance' basis of taxation for foreign income?

a.	Mr Klopp	Resident in the UK, domiciled in Germany
b.	Mrs Trump	Resident and domiciled in the USA
c.	Mr Dundee	Resident and domiciled in Australia
d.	Mrs Macron	Resident and domiciled in France
e.	Mr Beckham	Resident in the USA, domiciled in the UK
f.	Mrs Carney	Resident in the UK, domiciled in Canada

❖ Example 2

Gus became resident in the UK on 31 March 2022. He is domiciled in Utopia. He claims to use the remittance basis. His UK income (before PAYE) is £35,000. In 2022/23 he remitted the following to the UK:

	£
Utopian bank interest (received net of 15% withholding tax)	8,500
Dividend from a Utopian company (net of 25% withholding tax)	6,000

Calculate the UK tax payable by Gus for 2022/23 (before PAYE).

ANSWERS

✓ Answer 1

Remittance basis		**Yes**	**No**
a.	Mr Klopp	√	
b.	Mrs Trump		x
c.	Mr Dundee		x
d.	Mrs Macron		x
e.	Mr Beckham		x
f.	Mrs Carney	√	

Both Mr Klopp and Mrs Carney are UK resident but are not UK domiciled and hence are taxed on the remittance basis.

The other four individuals are not resident in the UK and hence are not taxable on their foreign income and can remit the income tax-free (if they choose to).

✓ Answer 2

	£	£
UK income		35,000
Remitted income:		
Interest	8,500	
Add: Withholding tax (8,500 × 15/85)	1,500	
Gross interest for UK tax purposes		10,000
Dividend	6,000	
Add: Withholding tax (6,000 × 25/75)	2,000	
Gross dividend for UK tax purposes		8,000
Net UK income		53,000
Less: Personal allowance		(Nil)
UK taxable income		53,000
Tax		
37,700 @ 20%		7,540
15,300 @ 40%		6,120
		13,660
Less:		
– Withholding tax on interest	1,500	
– Withholding tax on dividends	2,000	
		(3,500)
UK tax payable (before PAYE)		10,160

CHAPTER 40

THE REMITTANCE BASIS CHARGE

By the end of this chapter you will understand:
– who pays the remittance basis charge
– the effect of the charge on long-term residents
– the need to nominate income and gains to be subject to the charge

40.1 The Remittance Basis Charge

The 'remittance basis charge' (RBC) applies if: ITA 2007, s.809H

- an individual has made a **claim for the remittance basis**;
- they are 18 or over in the relevant tax year; and
- they have been **resident in the UK for at least seven of the previous nine tax years**.

Such individuals can **only use the remittance basis if they agree to pay a tax charge of £30,000 per tax year**.

This RBC will be in **addition to any UK tax on income and gains actually remitted** in the tax year.

A higher RBC of £60,000 applies where the individual claims the remittance basis and has been resident in the UK for **at least 12 of the previous 14 tax years**.

Taxpayers caught by the RBC have two choices:

1. pay **UK tax on <u>all</u> their foreign income as it arises** (ie not to claim the remittance basis); or
2. claim the remittance basis (and thereby keep their unremitted foreign income and gains outside the reach of UK tax), but at a cost of **£30,000 per annum** where they have been resident for at least seven of the previous nine tax years, or **£60,000 per annum** if they have been resident for at least 12 of the previous 14 tax years.

The election to use the remittance basis must be made via the annual self-assessment return, so taxpayers can switch year-on-year if it suits them.

The extra tax of £30,000 or £60,000 is payable via the self-assessment system.

The RBC **does not apply** to the following:

a. Non-domiciled taxpayers who have unremitted foreign income and gains of **less than £2,000 per annum**. As such taxpayers do not have to claim the remittance basis (it applies automatically), they will not be caught by the charge.
b. Taxpayers who have **not been resident in the UK for seven or more of the last nine tax years**. Such individuals can claim to use the remittance basis for

foreign income and gains **without any tax penalty** (apart from a loss of personal allowances and the CGT annual exempt amount).

c. Taxpayers **under the age of 18** at the end of the tax year (ie the charge will first apply in the tax year in which the taxpayer becomes 18).

➢ Illustration 1

Roman is Rumanian. He has lived in London for the last ten years running a variety of businesses. He is UK resident but non-UK domiciled.

His total worldwide income for 2022/23 is as follows:

	£
UK director's fees	110,000
UK rental income	80,000
UK bank interest	20,000
Foreign property income	95,000
Foreign bank interest (gross)	30,000

In March 2023, he remitted £50,000 of his foreign rental income to his bank account in London.

Calculate Roman's tax liability for 2022/23 showing the two options available.

We will calculate Roman's tax liability for 2022/23.

1. Assume Roman wants to use the remittance basis

Roman therefore makes a **claim under s.809B ITA 2007**. His UK tax liability will be as follows:

	NS	Interest
	£	£
UK director's fees	110,000	
UK rental income	80,000	
UK bank interest		20,000
Foreign property income (amount remitted only)	50,000	
Net income	240,000	20,000
Less: Personal allowance	(Nil)	(Nil)
Taxable income	240,000	20,000

Tax			
	37,700	@ 20%	7,540
	112,300	@ 40%	44,920
	150,000		
	90,000	@ 45%	40,500
	240,000		
	20,000	@ 45%	9,000
			101,960
Add: Remittance basis charge			30,000
Tax liability (before credits)			131,960

Roman will not receive a personal allowance, as he is using the remittance basis. He is subject to the £30,000 RBC, as he has been resident for seven tax years out of the last nine. The £60,000 RBC does not apply, as Roman has not been resident for 12 out of the last 14 tax years.

2. Assume Roman decides not to use the remittance basis ie taxed on arising basis

Roman's UK tax liability will be as follows:

	NS	Interest
	£	£
UK director's fees	110,000	
UK rental income	80,000	
UK bank interest		20,000
Foreign property income (arising basis)	95,000	
Foreign bank interest (arising basis)		30,000
Net income	285,000	50,000
Less: Personal allowance (see Tutorial Note)	(Nil)	(Nil)
Taxable income	285,000	50,000

Tax			
37,700	@ 20%		7,540
112,300	@ 40%		44,920
150,000			
135,000	@ 45%		60,750
285,000			
50,000	@ 45%		22,500
			135,710
Add: Remittance basis charge			Nil
Tax liability (before credits)			135,710

Tutorial Note:

Roman will be entitled to a personal allowance as he is not using the remittance basis. However, this will be reduced by £1 for every £2 of net income over £100,000. As such, the personal allowance will be reduced to nil.

As foreign income is taxed on an arising basis, Roman is not subject to the £30,000 RBC.

If we compare the two results, we see that **Roman should therefore use the remittance basis for 2022/23**. In 2022/23 it will be cheaper for him to pay the £30,000 RBC rather than being taxed on his worldwide income.

This decision is 'marginal' for this taxpayer, so he will presumably have to **carry out these comparative calculations each year** before deciding whether or not to claim the remittance basis.

Once he has been resident for 12 out of the previous 14 tax years, the £60,000 RBC will apply and this may make a remittance basis claim uneconomic.

40.2 Nominating Income or Gains

If a taxpayer is liable to pay the RBC, they must nominate the income or gains to be the subject of the charge. ITA 2007, s.809C(2)

The nominated income is treated as being taxable in the UK on an arising basis in such a way so as to generate a tax charge of £30,000 or £60,000.

Nominated income and gains are not taxed if they are subsequently remitted to the UK.

EXAMPLES

❖ Example 1

Claude has been resident in the UK since June 2015 but is non-UK domiciled. In 2022/23 he had UK employment income of £41,650 and foreign interest income (gross) of £80,000. He made no remittances and has no capital gains. No foreign tax credits are available.

Calculate his tax liability for 2022/23 assuming all appropriate claims are made.

ANSWERS

✓ Answer 1

Assuming no s.809B claim is made

	NS	Interest
	£	£
UK employment income	41,650	
Foreign interest income (arising basis)		80,000
Net income	41,650	80,000
Less: Personal allowance		
(12,570 – ½ × (41,650 + 80,000) – 100,000))	(1,745)	(Nil)
Taxable income	39,905	80,000

Tax		
37,700	@ 20%	7,540
2,205	@ 40%	882
500	@ 0%	Nil
79,500	@ 40%	31,800
Tax liability		40,222

Assuming a s.809B claim is made

	£
UK employment income	41,650
Foreign interest income (remittance basis)	Nil
Net income	41,650
Less: Personal allowance	(Nil)
Taxable income	41,650

Tax		
37,700	@ 20%	7,540
3,950	@ 40%	1,580
Add: Remittance basis charge		30,000
Tax liability		39,120

The position is marginal, but in this instance it is worth making a s.809B claim.

The £30,000 charge applies as Claude has been resident for seven out of the previous nine tax years, but not 12 out of the previous 14.

CHAPTER 41

DEEMED DOMICILE

By the end of this chapter you will understand how an individual who is domiciled outside the UK under general law can be deemed to be UK domiciled for UK tax purposes.

41.1 Introduction

Two particular groups of individuals who are non-UK domiciled under general law are **deemed to be domiciled in the UK for taxation purposes**.

These individuals will then **pay UK tax on the same basis as taxpayers who are UK domiciled under general law**. Any potential tax advantages which may have been obtained by these individuals by reason of their non-domiciled status are therefore removed.

41.2 Deemed Domicile

An individual is **deemed to be domiciled in the UK** for a particular tax year if they are non-UK domiciled under general law and satisfy **either Condition A or Condition B** in s.835BA ITA 2007.

41.3 Condition A: Formerly Domiciled Residents

A formerly domiciled resident (FDR) is a non-UK domiciled individual who:

i. was **born in the UK**;

ii. had a **UK domicile of origin**; and

iii. is **UK resident for the tax year**.

ITA 2007, s.835BA(3)

FDRs will typically be British individuals who left the UK and acquired a foreign domicile, either by choice or dependency, but who have **since returned to live in the UK whilst preserving their non-UK domicile status** under general law.

Anyone born in the UK with a UK domicile of origin will always be an FDR if they resume residence in the UK irrespective of how many years they have lived abroad or whether they have any connections to the UK.

41.4 Condition B: Long-Term Residents

Non-domiciled individuals who have been UK resident for at least 15 of the previous 20 tax years are deemed to be domiciled in the UK for all tax purposes. This is known as the '15/20 rule' and means that non-domicile status cannot be permanent for tax purposes. ITA 2007, s.835BA(4)

For an individual who has been continuously UK resident, **deemed domicile is triggered under the 15/20 rule with effect from the start of their 16th consecutive tax year of residence**.

An individual does not need to have 15 consecutive years of UK residence to trigger the 15/20 rule. Two or more separate periods of residence could be counted.

Once deemed UK domicile has been triggered, a non-resident period of six tax years is required to break that status. Non-domiciled individuals who return to the UK and resume residence after six tax years have elapsed will **start a new period of 15 years** during which they can be resident in the UK without being deemed UK domiciled.

EXAMPLES

❖ Example 1

Alberta was born in Spain in 1985. She lived in Spain with her Spanish parents until September 2004.

Alberta came to the UK in September 2004 to attend a university course and was UK resident for the tax years 2004/05 to 2008/09 inclusive. She returned to work in Spain in December 2008, but in May 2013 she was sent to London on a work secondment. Alberta has remained living and working in London ever since, although her long-term plans are to settle in Spain.

Explain whether Alberta is deemed UK domiciled in 2022/23 and/or 2023/24.

ANSWERS

✓ Answer 1

Alberta will not satisfy Condition A (the FDR rules) as she does not have a UK domicile of origin. So we move to Condition B.

When testing the tax year 2022/23, the 20-year look-back period for the 15/20 test runs from 2002/03 to 2021/22.

Tax year	Resident	Non-resident
2002/03 to 2003/04		2
2004/05 to 2008/09	5	
2009/10 to 2012/13		4
2013/14 to 2021/22	9	_
Total	14	6

Alberta will have been UK resident for **14 of the 20 tax years preceding 2022/23**. The 15/20 test is not satisfied and **Alberta will not be deemed UK domiciled in 2022/23**.

We test again in 2023/24. The 20-year look-back period now runs from 2003/04 to 2022/23.

Tax year	Resident	Non-resident
2003/04		1
2004/05 to 2008/09	5	
2009/10 to 2012/13		4
2013/14 to 2022/23	10	_
Total	15	5

Alberta will have been UK resident for **15 of the 20 tax years preceding 2023/24**.

The 15/20 test is satisfied and **Alberta will be deemed to be UK domiciled in 2023/24**.

CHAPTER 42

OVERSEAS ASPECTS OF EMPLOYMENT INCOME

By the end of this chapter you will understand:
- how employment income is taxed where there is a foreign element
- how non-domiciled employees pay tax on employment income
- the relief available for overseas workdays
- how a non-resident employee will pay tax on UK employment income

In this chapter, all tax years are assumed to consist of 365 days and the effects of leap years have been ignored.

42.1 General Rules

The way we tax employment income with some foreign element is largely consistent with the way we taxed foreign investment and property income in the previous chapters.

The taxation of employment income is primarily dependent on **where the employment duties are performed**.

As a general rule, if an employee **performs their employment duties within the UK**, earnings in respect of those duties will be **taxed in the UK at the time they are received**. This general rule will apply regardless of the residence and domicile status of the employee.

If an employee performs employment duties outside the UK, the position is more complicated. Earnings in respect of those duties will generally be taxed on a 'receipts' basis, but a claim for the 'remittance' basis may be possible depending on the employee's residence and domicile status. Some earnings may escape UK tax altogether.

We will look at each of the various scenarios in turn.

42.2 Employees Resident and Domiciled in the UK

Employees resident and domiciled in the UK are chargeable to tax on the **full amount of any earnings received** in the tax year. This applies irrespective of where the employment duties are performed or where the earnings are paid. ITEPA 2003, s.15

The date of 'receipt' for these purposes is the earlier of: ITEPA 2003, s.18

i. the time when **payment is physically made**; or

ii. the time when the employee became **entitled to the payment**.

There are special rules for directors.

Therefore, if a UK resident and domiciled employee works abroad for a short period, the earnings paid in respect of those overseas duties will be **fully taxable in**

the UK even if those earnings are paid abroad and kept in a foreign bank account.

Double tax relief will apply if those same earnings are taxed in the overseas country as well as in the UK.

42.3 Employees UK Resident but Non-UK Domiciled – General Rules

Where an individual is UK resident but non-UK domiciled, the general position is that:

- **UK income is taxed on an arising basis**; but
- **foreign income can be taxed on a remittance basis** if the taxpayer makes a claim under s.809B ITA 2007.

However, where the foreign income arises from employment duties performed overseas, the position is more complicated.

In this instance, **the employee can use the remittance basis** (such that earnings from overseas employment duties are only taxed in the UK if they are remitted to the UK), but only **in two specific circumstances**:

1. where the conditions of **s.22 ITEPA 2003** are satisfied; or
2. where the conditions of **s.26 ITEPA 2003** are satisfied (this is commonly referred to as 'overseas workday relief').

We shall look at each of these sections in turn.

42.4 Section 26 ITEPA 2003 (Overseas Workday Relief)

Under s.26 ITEPA 2003, earnings from employment duties performed outside the UK are taxed on a remittance basis if:

- the employee is a remittance basis user for the tax year in which the duties are performed; and
- the tax year is one of three tax years following three consecutive years of non-residence. ITEPA 2003, s.26

Therefore, for non-domiciled taxpayers coming to work in the UK in 2022/23 who have previously been non-UK resident for at least three tax years, overseas workday relief (OWR) will be available to them in 2022/23, 2023/24 and 2024/25. By 2025/26, the taxpayer will have had three consecutive years of UK residence, so OWR will no longer be available.

OWR apportions the employee's earnings between UK and non-UK duties. The earnings attributable to UK duties will be taxed on a receipts basis. The earnings attributable to non-UK duties will be taxed on a remittance basis.

Earnings are apportioned between UK and non-UK duties based on the **number of UK and overseas workdays** in the tax year.

42.5 Section 22 ITEPA 2003

Once a non-domiciled employee has been resident in the UK for more than three consecutive tax years, they are no longer eligible for OWR. This will mean that

earnings in respect of duties performed outside the UK will be taxable on an arising basis.

However, where OWR does not apply, **UK resident but non-UK domiciled employees can still use the remittance basis for their foreign earnings if the earnings are 'chargeable overseas earnings' under s.22 ITEPA 2003**.

'Chargeable overseas earnings' are defined in s.23 ITEPA 2003 as general earnings where:

- the employment is with a **foreign employer**; and
- the duties of the employment are performed **wholly outside the UK**. ITEPA 2003, s.23

In this case, earnings from foreign duties will be taxed only if they are remitted to the UK.

Historically, only a relatively small number of employees have been able to access the remittance basis for their foreign earnings via s.22 ITEPA 2003, because of the requirement for the duties of the employment to be performed **wholly outside the UK**.

Employees who fall within s.22 will typically be those who either:

1. live in the UK and are therefore resident in the UK but have no employment duties within the UK; or
2. have 'dual contracts' such that their UK duties are performed under 'Contract 1' while their non-UK duties are performed under 'Contract 2'.

Illustration 1

Sarah is domiciled in Australia. She has been resident in the UK for five years. She works for Commonwealth Bank (a foreign company) under a single employment contract. She claims the remittance basis of taxation for her foreign income.

Sarah spends eight months a year in the UK and four months a year in Perth, Australia. Her earnings for her Australian duties are paid in Australian dollars into her bank account in Perth and no remittances are made from this account to the UK.

Explain how Sarah's earnings are taxed in the UK.

Sarah cannot claim OWR as she has been UK resident for more than three consecutive tax years. Section 26 ITEPA 2003 does not therefore apply.

She can only access the remittance basis for her overseas earnings if s.22 ITEPA 2003 applies.

However, Sarah's duties are **not wholly carried on outside the UK**, so s.22 will not apply. This means that her general earnings are **fully taxable in the UK** in the year of receipt. This includes earnings from her overseas duties.

If earnings for her Australian duties are also taxed in Australia, she will be able to claim double tax relief in the UK for any overseas tax suffered.

42.6 Employees not Resident in the UK

The UK taxation position of an employee who is not resident in the UK **depends on where the employment duties are performed**. ITEPA 2003, s.27

1. Duties performed in the UK

   Earnings are fully **taxable at the point they are received**. This could typically apply to a foreign employee who is temporarily seconded to the UK for a very short period, but is not in the UK long enough to become UK resident.

2. Duties performed outside the UK

   Such earnings are **not subject to UK tax**.

Where a non-UK resident individual has duties which are performed both in the UK and outside the UK, the **earnings from the employment must be apportioned** to determine how much is attributable to UK duties (and therefore taxable in the UK).

Apportionment is based on the number of UK and overseas workdays in the tax year.

42.7 Summary

The above rules can be summarised in the table below:

Status	UK duties	Overseas duties
UK resident and domiciled	Receipt	Receipt
UK resident and deemed domiciled	Receipt	Receipt
UK resident and non-domiciled	Receipt	Receipt/Remittance (Note)
Non-UK resident	Receipt	Not taxable

Note:

Remittance basis only if either:

i. OWR applies (first three tax years after three consecutive years of non-residence); or

ii. the earnings are chargeable overseas earnings (foreign employer, duties wholly outside UK).

EXAMPLES

❖ Example 1

Pierre is domiciled in France. On 31 March 2022, Pierre came to the UK on an 18-month secondment. He had never been previously resident in the UK. Pierre works for a UK bank. He will spend three weeks each month in London and one week in Paris. His salary will be paid into a Jersey bank account and brought to the UK when needed. He will return permanently to Paris in September 2023.

How will Pierre's earnings in 2022/23 be taxed in the UK?

a. All on a receipts basis.

b. All on a remittance basis, if a claim for the remittance basis is made.

c. UK earnings on a receipts basis, French earnings when remitted (if a claim for the remittance basis is made).

d. UK earnings on a receipts basis, French earnings not taxed.

❖ Example 2

Maria works for a major fashion house in Brazil as a designer. She has never been UK resident and continues to be non-resident in 2022/23. Her annual salary is £700,000, which is paid to her bank account in Rio de Janeiro.

She travels on a regular basis to work in Europe. In 2022/23, Maria's diary showed the following:

	Total days	**Workdays**
Brazil	220	155
UK	50	35
Other (France and Italy)	95	55
	365	245

In 2022/23, Maria used £50,000 of her income to fund her expenditure in the UK.

Calculate Maria's UK taxable earnings for 2022/23.

ANSWERS

✓ Answer 1

The answer is **C**.

Pierre is non-UK domiciled and has been non-UK resident in the three consecutive tax years prior to 2022/23. He is therefore eligible for overseas workday relief.

UK earnings are taxed when received.

Foreign earnings will be taxed if remitted to the UK, if a claim for the remittance basis is made. Otherwise, they will be taxed on a receipts basis.

Apportionment will be required based on UK and overseas workdays.

✓ Answer 2

Maria is non-resident. She is taxed on her earnings in respect of duties carried on in the UK.

She is not taxed in respect of duties carried on abroad.

We must therefore apportion her total earnings by reference to UK and overseas workdays, as follows:

UK workdays/Total workdays = £700,000 × 35/245 = <u>£100,000</u>

Any foreign income used in the UK is irrelevant as Maria is not assessed on the remittance basis.

Tutorial Note:

Maria has never previously been UK resident. Maria is not automatically non-resident as she does not meet the automatic overseas test (she is present in the UK for 46 days or more and has 31 days or more working in the UK). She is not automatically resident, so we need to consider the sufficient ties test. She spends 50 days in the UK. This will not be enough to trigger UK residence under the sufficient ties test as she would require four ties to the UK (which is not possible given that she has fewer than 40 UK workdays). Maria is therefore non-UK resident.

CHAPTER 43

DOUBLE TAX RELIEF

By the end of this chapter you will understand:
- the basic principles of double tax relief
- the situations that give rise to a double tax issue
- how to calculate unilateral double tax relief

43.1 Background

Double tax relief applies where **tax is levied on the same income in more than one country**.

Most countries in the world have laws which state that income which arises in that country is taxed in that territory. This principle applies in the UK – income which arises in the UK is taxed on an individual in the UK, irrespective of whether they are resident in the UK.

Many countries also have provisions which tax residents of that country on all income, irrespective of where it arises. The USA, for example, taxes US citizens on worldwide income. Therefore, if a US citizen has UK income, they will be taxed in both the UK and in the USA on that same income.

This principle applies in many countries, so TIOPA 2010 (the Taxation (International and Other Provisions) Act 2010) sets out a system of **double tax relief (DTR)** which helps alleviate this problem.

In this chapter we will look at general principles of DTR without reference to relationships between the UK and specific countries. The foreign countries we will refer to in this chapter are fictional.

43.2 Situations Giving Rise to Double Tax Relief

The most common situations in which DTR will need to be considered are as follows:

1. Individuals resident and domiciled in the UK and receiving foreign income, where that foreign income is taxed in the country in which it arises.

2. UK resident individuals receiving employment income in respect of an employment carried on abroad.

43.3 Forms of Double Tax Relief

There are three forms of DTR, as follows:

i. **Unilateral relief** – the UK government will give **credit within the UK income tax computation** for foreign tax paid.

ii. **Deduction relief** – in some instances it can be advantageous to treat the foreign tax paid as a deduction from INCOME (as opposed to a credit against tax).

iii. **Double tax treaties (DTTs)** – the UK has signed DTTs with a variety of countries in the world in which the two countries agree which one has primary taxation authority in a number of situations.

The examination syllabus does not require consideration of the detailed provisions of DTTs between the UK and specific countries nor deductions relief.

43.4 Unilateral Relief

The UK allows for foreign tax paid on income which has been charged to UK income tax to be given as a **tax credit in the income tax computation**. The foreign tax credit is given before credit for UK tax (for example, UK PAYE etc). TIOPA 2010, s.9

Tax	£
X @ 20%	X
X @ 40%	X
X @ 45%	X
Tax liability	X
Less: Double tax relief	**(X)**
Revised tax liability	X
Less: Tax paid under PAYE etc	(X)
Tax due	X

The tax credit available in the UK is equal to the LOWER of:

a. the **overseas tax** suffered; or

b. the **UK tax liability** on that foreign income.

The foreign tax must be expressed in sterling and is converted at the exchange rate applying on the date the tax is actually paid.

To calculate the UK tax charged on the foreign income, we take the difference between: ITA 2007, s.29; TIOPA 2010, s.36

1. the tax liability for the year; and
2. what the tax liability would have been had the foreign income been excluded.

In essence, we **treat the foreign income as 'top slice'**. This is irrespective of what type of income the foreign income actually is.

The foreign tax credit **can reduce a tax liability to nil, but it cannot create a 'negative' liability**.

➢ Illustration 1

Hannah is resident and domiciled in the UK. She has the following income in 2022/23:

	£
UK employment income (PAYE £8,960)	53,650
UK bank deposit interest	5,000
Foreign bank interest (net)	7,000
UK dividends	10,000

The foreign bank interest arises on a deposit account held in Utopia. The Utopian authorities have withheld tax at 30%.

Calculate the tax due after double tax relief.

1. Tax liability (including foreign income)

	Non-savings	Interest	Dividends
	£	£	£
UK employment income	53,650		
UK bank interest		5,000	
Foreign interest		10,000	
UK dividends			10,000
Net income	53,650	15,000	10,000
Less: Personal allowance	(12,570)		
Taxable income	41,080	15,000	10,000

Tax		
37,700	@ 20%	7,540
3,380	@ 40%	1,352
500	@ 0%	Nil
14,500	@ 40%	5,800
2,000	@ 0%	Nil
8,000	@ 33.75%	2,700
Tax liability		17,392

2. Tax liability (excluding foreign income)

	Non-savings	Interest	Dividends
	£	£	£
UK employment income	53,650		
UK bank interest		5,000	
UK dividends			10,000
Net income	53,650	5,000	10,000
Less: Personal allowance	(12,570)		
Taxable income	41,080	5,000	10,000

Tax		
37,700	@ 20%	7,540
3,380	@ 40%	1,352
500	@ 0%	Nil
4,500	@ 40%	1,800
2,000	@ 0%	Nil
8,000	@ 33.75%	2,700
Tax liability		13,392

3. UK tax on foreign income

	£
Tax liability (1)	17,392
Tax liability (2)	(13,392)
UK tax on Utopian interest	4,000

4. Revised computation

	£	£
Tax liability		17,392
Less: Double tax relief		
(a) Foreign tax suffered	3,000	
(b) UK tax on Utopian interest	4,000	
		(3,000)
Tax liability after DTR		14,392
Less: PAYE		(8,960)
Tax due		5,432

Note that if the foreign tax paid exceeds the UK tax on the foreign income, the excess foreign tax is wasted.

EXAMPLES

❖ Example 1

Charlie is resident and domiciled in the UK. He works for a UK bank.

In July 2022, Charlie was sent on a three-month secondment to the bank's office in Hakimstan. He was paid in sterling into his UK bank account.

His income in 2022/23 is as follows:

	£
UK employment income (PAYE £5,430)	39,650
Hakimstani employment income (gross)	15,000
UK bank interest	5,000

The Hakimstani authorities withhold tax at a flat rate of 35% on income arising for employment duties carried on in their country.

Calculate his UK tax due for 2022/23 assuming a claim for credit relief is made.

ANSWERS

✓ Answer 1

1. Tax liability (including foreign income)

	Non-savings	Interest
	£	£
UK employment income	39,650	
Foreign employment income	15,000	
UK bank interest		5,000
Net income	54,650	5,000
Less: Personal allowance	(12,570)	
Taxable income	42,080	5,000

Tax		
37,700	@ 20%	7,540
4,380	@ 40%	1,752
500	@ 0%	Nil
4,500	@ 40%	1,800
Tax liability		11,092

2. Tax liability (excluding foreign income)

	Non-savings	Interest
	£	£
UK employment income	39,650	
UK bank interest		5,000
Net income	39,650	5,000
Less: Personal allowance	(12,570)	
Taxable income	27,080	5,000

Tax		
27,080	@ 20%	5,416
1,000	@ 0%	Nil
4,000	@ 20%	800
Tax liability		6,216

3. UK tax on foreign income

	£
Tax liability (1)	11,092
Tax liability (2)	(6,216)
UK tax on foreign salary	4,876

4. Revised computation

	£	£
Tax liability		11,092
Less: Double tax relief		
(a) Foreign tax suffered (15,000 @ 35%)	5,250	
(b) UK tax on foreign salary	4,876	
		(4,876)
Tax liability after DTR		6,216
Less: UK PAYE		(5,430)
Tax due		786

The excess foreign tax (5,250 – 4,876 = £374) is wasted.

CHAPTER 44

THE ACCRUED INCOME SCHEME

By the end of this chapter you will understand:
– the basic principles of the accrued income scheme
– which securities are affected by the scheme
– who is affected by the scheme
– how the accrued income scheme works
– the exceptions to the scheme

In this chapter, all tax years are assumed to consist of 365 days and the effects of leap years have been ignored.

44.1 Background

The accrued income scheme was originally introduced as an anti-avoidance measure to prevent the process known as 'bond-washing'. 'Bond-washing' was a practice whereby holders of securities (such as government stocks or corporate bonds) would dispose of their stocks immediately prior to the date on which interest became payable. The price obtained for the security included the 'accrued interest' on the stock, but the **profit on the security was taxed under the capital gains rules rather than being treated as income** (as it would have been had the interest actually been received).

This practice was particularly prevalent at a time when capital gains tax rates were lower than those applying to income tax. It also **allowed taxpayers to use capital gains tax exemptions and reliefs** against profits which would otherwise have been treated as income.

The accrued income scheme was therefore brought in to deal with disposals and acquisitions by taxpayers of certain securities. The scheme determines how we deal with accrued interest on a sale or purchase of stocks and bonds.

44.2 Securities Affected by the Scheme

The accrued income scheme applies to **interest-bearing marketable stocks and bonds** including: ITA 2007, s.619

- British government securities ('gilts') such as UK Treasury Stock and UK Exchequer Stock;
- local authority bonds; and
- company loan stock.

44.3 Persons Affected by the Scheme

The scheme applies to individuals, trusts and estates.

Individuals are **not** caught by the scheme if they are **not resident in the UK**. ITA 2007, s.643(1)

44.4 'Cum-Dividend' and 'Ex-Dividend'

To understand how the accrued income scheme works, we must first define some of the terms we will be using for the rest of this chapter. The most important terms to become familiar with are 'cum-dividend' and 'ex-dividend'.

In simple terms, the word 'cum' means WITH and the word 'ex' means WITHOUT.

For example, if an investor buys some loan stock **cum-dividend**, they are buying the stock **WITH the right to receive the next interest payment**. However, if an investor buys some loan stock **ex-dividend**, they are buying the stock **WITHOUT the right to receive the next interest payment**. If stock is traded ex-dividend, it is the SELLER who will be entitled to the next interest payment, not the buyer.

Note that it is common practice to use the terms 'ex-div' and 'cum-div' here, even though the return on the investment is in fact interest. Perhaps the terms 'ex-interest' and 'cum-interest' would be more appropriate; however, even HMRC guidance in this area uses the terms 'ex-div' and 'cum-div'.

All stocks will have an ex-div date. Most stocks pay interest every six months (although some pay annually and some may even pay quarterly). If an investor holds stock at the ex-div date, the investor will be entitled to receive the next interest payment, even if the investor disposes of the stock before the actual date on which the interest is paid. There are often a few weeks between the ex-div date and the date on which the interest is physically paid. If a sale happens at any point between these two dates, it is an ex-div sale.

Once the ex-div date has passed, it is fair to assume that the market price for the stock will go down. This is because a purchaser will not thereafter have a right to the next interest payment and will therefore offer a lower amount to purchase the stock.

Similarly, the **value of stocks typically rises just before the ex-div date**. This is because if a purchaser acquires stock just before the ex-div date, they will receive the next interest payment even though they will not have held the stock for very long. Effectively, the **increased price** of the stock reflects the right to receive the forthcoming interest payment – ie it is said to **reflect the 'accrued income'**.

➢ Illustration 1

Marcus buys £20,000 Treasury Stock 5% 2026. He will therefore have the right to receive interest at a fixed rate of 5% per annum on his £20,000 investment until 2026, at which point the stock will be redeemed and the investment repaid.

Interest is paid twice a year on 30 March and 30 September. The ex-div dates are 10 March and 10 September.

Assuming Marcus bought the stock on 31 July 2022 and sells it on 16 March 2023, explain the interest Marcus will receive and the effect on the purchase and sales prices.

Marcus bought the stock on 31 July 2022. He is **buying the stock cum-div** as he will be entitled to the interest of £500 (£20,000 × 5% × ½) which will be paid on 30 September 2022. He will therefore **pay a higher price** for the stock as part of the value of the stock reflects the accrued income.

Marcus sells the stock on 16 March 2023. He is **selling the stock ex-div**. The ex-div date (10 March 2023) has passed, which means that Marcus will still receive the interest payment of £500 on 30 March 2023 even though he no longer owns the stock at that date. Marcus will **therefore receive a slightly lower amount on the sale** of the stock as the purchaser will NOT be entitled to the next interest payment and will therefore offer a reduced price.

44.5 'Nominal Value'

All securities have a 'nominal value'. This is the **value on which interest payments are calculated**.

For example, in the above illustration, Marcus bought £20,000 Treasury Stock 5% 2026. His annual interest receipts will be £20,000 × 5% = £1,000.

The nominal value is also the **value at which the stocks will be redeemed in 2026**.

However, the nominal value is NOT necessarily the same as the market value of the stock. Marcus is likely to have had to pay a premium for the stock as he is buying an investment which will guarantee a high rate of return (5%) over the next few years. Marcus would therefore sell the stock for more than the nominal value.

All accrued income should be calculated on nominal values. Market values are largely irrelevant for income tax.

44.6 How does the Accrued Income Scheme Work?

The accrued income scheme calculates the 'accrued interest' every time stock is bought and sold and **allocates this interest between buyer and seller**. The accrued income is effectively the increase or reduction in the price of the stock depending on whether the stock has been purchased or sold cum-div or ex-div.

In practice, most taxpayers who buy and sell stock will receive a contract note and details of any accrued income will be shown on that contract note.

The way we deal with accrued interest depends on:

- whether the taxpayer is the buyer or the seller; and
- if the stock is being transferred cum-div or ex-div.

There are therefore **four possible scenarios** we need to deal with:

1. A person SELLING stock CUM-DIV.
2. A person SELLING stock EX-DIV.
3. A person BUYING stock CUM-DIV.
4. A person BUYING stock EX-DIV.

When tackling a computational question on accrued income, it is important to identify which of these four situations applies. Once we know this we can then apply the relevant tax rules.

44.7 The Tax Rules

1. A person SELLING stock CUM-DIV

Selling 'cum div' means that the BUYER **will be entitled to the next interest payment**. Therefore, the price **of the stock will be increased** by accrued interest. This **accrued interest is taxable on the seller at the time of the next interest payment**. ITA 2007, s.632

The accrued interest is calculated on a **daily basis** from the date of the previous interest payment until the date of transfer.

➢ Illustration 2

Angela holds £200,000 Treasury Stock 6% 2029. Interest is £12,000 per annum and is paid half-yearly on 30 April and 31 October. The ex-div dates for the stock are 7 April and 7 October. Angela sells the stock to Martha on 1 March 2022.

Angela is SELLING CUM-DIV. Martha will receive interest of £6,000 on 30 April 2022 and will therefore **pay Angela a higher price** for the stock to reflect the accrued interest.

Calculate the accrued interest adjustment and the total taxable interest for 2022/23.

To calculate the accrued interest, we use the following formula:

Interest payment × A/B (A is the number of days between the last interest date and the transfer date)

(B is the number of days in the interest period)

	A	=	1.11.21 to 1.3.22	= 121 days
	B	=	1.11.21 to 30.4.22	= 181 days

Accrued interest
6,000 ×121/181 = £4,011

Angela therefore has an **accrued income charge** (called an 'accrued amount') of £4,011. This is taxed as savings income. You should enter it into the 'interest' column in Angela's tax computation. Where available, the savings allowance can be set against this income.

The income is **taxed in the tax year in which the next interest date falls**. In this instance, the next interest date following the transfer is 30 April 2022. The £4,011 is therefore taxed in 2022/23.

2. A person SELLING stock EX-DIV

Selling 'ex-div' means that the **SELLER will be entitled to the next interest** payment. Therefore, **the price of the stock will be decreased** by accrued interest. ITA 2007, s.633

➢ Illustration 3

Ishant holds £50,000 6% corporate bonds. Interest is £3,000 per annum and is paid half-yearly on 30 June and 31 December. The ex-div dates for the bonds are 1 June and 1 December. Ishant sells the stock on 5 June 2022.

Ishant is SELLING EX-DIV. He will receive interest of £1,500 on 30 June 2022 and will therefore receive a **reduced price** for the bonds to reflect the accrued interest.

Calculate the accrued interest adjustment and the total taxable interest for 2022/23.

To calculate the accrued interest, we use the following formula:

Interest payment × (B − A)/B (A is the number of days between the last interest date and the transfer date)

(B is the number of days in the interest period)

A	=	1.1.22 to 5.6.22	= 156 days
B	=	1.1.22 to 30.6.22	= 181 days

Accrued interest
1,500 × 25/181 = £207

As the price Ishant will receive for the bonds will be reduced by the accrued income, the £207 of interest as calculated above is called the **'rebate amount'**. This rebate is not taxed on Ishant but is instead **allowed as a deduction from the next interest payment due** on 30 June 2022.

Ishant will receive £1,500 interest on 30 June 2022, but for tax purposes we deduct the rebate amount as follows:

Taxable 2022/23 (1,500 − 207) = £1,293

This will be entered into the 'interest' column in Ishant's 2022/23 tax computation.

3. A person BUYING stock CUM-DIV

➢ Illustration 4

On 19 August 2022, Ashley bought £250,000 4% local authority loan stock. Interest is £10,000 per annum and is paid quarterly on 31 March, 30 June, 30 September and 31 December. The ex-div dates for the stock are 10 March, 10 June, 10 September and 10 December.

Ashley is BUYING CUM-DIV. Ashley will receive interest of £2,500 on 30 September 2022 and will therefore **pay an increased price** for the stock to reflect the accrued interest.

Calculate the accrued interest adjustment and the total taxable interest for 2022/23.

To calculate the accrued interest, we use the following formula:

Interest payment × A/B			(A is the number of days between the last interest date and the transfer date)	
			(B is the number of days in the interest period)	
	A	=	1.7.22 to 19.8.22	= 50 days
	B	=	1.7.22 to 30.9.22	= 92 days
Accrued interest 2,500 × 50/92		=	£1,359	

As the price Ashley will pay for the stock will be increased by the accrued income, the £1,359 of interest as calculated above is the **'rebate amount'**. This rebate is allowed as a **deduction from the next interest payment** due on 30 September 2022:

Taxable 2022/23 (2,500 – 1,359) = £1,141

This will be entered into the 'interest' column in Ashley's 2022/23 tax computation.

4. A person BUYING stock EX-DIV

Illustration 5

On 20 July 2022, Simon bought £100,000 Treasury Stock 5% 2025. Interest is £5,000 per annum and is paid half-yearly on 31 July and 31 January. The ex-div dates for the stock are 15 July and 15 January.

Simon is BUYING EX-DIV. He will not receive interest on 31 July 2022 (this will go to the seller), so Simon will **pay a reduced price** for the stock to reflect the accrued interest.

Calculate the accrued interest adjustment for 2022/23.

To calculate the accrued interest, we use the following formula:

Interest payment × (B − A)/B — (A is the number of days between the last interest date and the transfer date)

(B is the number of days in the interest period)

Ignoring leap years

	A	=	1.2.22 to 20.7.22	= 170 days
	B	=	1.2.22 to 31.7.22	= 181 days
Accrued interest				
2,500 × 11/181		=	£152	

Simon therefore has an **accrued income charge** (an 'accrued amount') of £152. This is **taxed on Simon at the date of the next interest payment** (ie 31 July 2022), so will be entered into the 'interest' column in the 2022/23 tax computation.

44.8 Summary of the Tax Rules

Sellers	
Cum-dividend sales	Tax accrued amount
Ex-dividend sales	Deduct rebate amount
Buyers	
Cum-dividend purchases	Deduct rebate amount
Ex-dividend purchases	Tax accrued amount

44.9 The £5,000 Exemption

Individuals are not caught by the accrued income scheme if the **nominal value of their total holdings does not exceed £5,000 at any time in both**: ITA 2007, s.639

- the **tax year in which the next interest date falls**; and
- the **previous tax year**.

44.10 Interaction with Capital Gains Tax

Capital gains tax (CGT) essentially charges tax on the profit made by an investor on the sale of an asset. The **disposal of a security could therefore give rise to a CGT charge as well as an accrued income adjustment**.

To calculate a capital gain we normally deduct acquisition cost from sale proceeds, as follows:

	£
Proceeds	X
Less: Cost	(X)
Capital gain	X

However, sometimes the contract note for the sale and purchase of securities will detail the amount of any accrued income. For CGT, we **must EXCLUDE any accrued income from proceeds and acquisition cost** as otherwise there will be an element of double counting or double taxation.

Securities such as gilts etc are exempt from CGT anyway; however, some securities are chargeable to CGT.

Taxpayers are responsible for making any appropriate accrued income adjustments to the interest figures declared on their self-assessment returns.

Tutorial Note:

In the exam, calculations should be performed to the nearest month unless instructed otherwise.

EXAMPLES

❖ Example 1

Monty bought £200,000 4% local authority bonds on 18 February 2022. Interest is paid half-yearly on 30 April and 31 October. The ex-div dates are 1 April and 1 October.

Monty sold the bonds on 27 August 2022.

Calculate the accrued income adjustments to be made on Monty's tax return for 2022/23.

ANSWERS

✓ Answer 1

i. Purchase 18.2.22

Monty is BUYING CUM-DIV. He will receive interest of £4,000 on 30 April 2022 and will therefore pay an increased price for the stock to reflect the accrued interest.

Interest payment × A/B (A is the number of days between the last interest date and the transfer date)

(B is the number of days in the interest period)

A	=	1.11.21 to 18.2.22	= 110 days
B	=	1.11.21 to 30.4.22	= 181 days

Accrued interest
4,000 × 110/181 = £2,431

As the price Monty will pay for the stock will be increased by the accrued income, the £2,431 calculated above is the 'rebate amount'. This rebate is allowed as a deduction from the next interest payment due on 30 April 2022:

Taxable 2022/23 (4,000 – 2,431) = £1,569

This will be shown on the 2022/23 tax return.

ii. Sale 27.8.22

Monty is SELLING CUM-DIV. He will not receive the interest paid on 31 October 2022 and will therefore receive a higher price for the bonds to reflect the accrued interest.

Interest payment × A/B (A is the number of days between the last interest date and the transfer date)

(B is the number of days in the interest period)

A	=	1.5.22 to 27.8.22	= 119 days
B	=	1.5.22 to 31.10.22	= 184 days

Accrued interest
4,000 × 119/184 = £2,587

The income is taxed in the tax year in which the next interest date falls. In this instance, the next interest date following the transfer is 31 October 2022. The £2,587 should therefore be reflected in the 2022/23 return.

Total interest (1,569 + 2,587) = £4,156

Tutorial Note:

In the exam, calculations should be performed to the nearest month unless told otherwise.

CHAPTER 45

BENEFICIARIES OF DECEASED ESTATES

By the end of this chapter you will understand how beneficiaries pay tax on income from estates.

45.1 Executors of an Estate

Executors are appointed by the deceased in the Will. At the date of death, the assets of the deceased pass to the Executors. Tax returns must be submitted by the Executors for the period from the date of death to the end of the administration period. The administration period comes to an end when the assets are finally distributed to the beneficiaries.

Note that the syllabus only includes the taxation of beneficiaries of an estate – not the taxation of the estate during the administration period.

45.2 Legacies to Beneficiaries of Estates

A legacy will take the form of either a **specified sum of money** or a **particular asset**. The tax position of the recipient depends on the nature of the legacy.

A legacy of a specified sum of money is called a **'pecuniary legacy'**. The beneficiary is entitled to that sum of money and no more. The beneficiary is not entitled to interest on the money and therefore has **no tax liability** in respect of the legacy.

A legacy might also take the form of a **specific asset** such as shares, land or buildings or personal chattels. If that asset does not produce income (for example, a painting or a motor car), the beneficiary has **no entitlement to income** and therefore has **no tax liability** in respect of the asset.

The position is different if the beneficiary receives a legacy of an **income producing asset**. In this instance, the beneficiary is **entitled to the income** arising from the asset with effect **from the date of death**.

The income will be paid initially to the Executors, who will include the income within their income tax return and pay tax on it. However, the Executors must then redirect the income to the beneficiary, together with a tax certificate specifying the gross income and the tax deducted at source. The beneficiary is taxed on the gross income – with an appropriate tax credit – in the year in which it arose to the Executors.

45.3 Residuary Gifts

The other way in which a beneficiary can receive a legacy from an estate is if they are entitled to all or part of the **residue of an estate**. The residue of the estate is what is left after the Executors have met all taxes, expenses and liabilities, and settled any specific or pecuniary legacies under the Will.

A beneficiary with a residuary interest is not treated as receiving income as it arises. Instead, the beneficiary is **only taxed on income actually distributed** by the Executors during the administration period. ITTOIA 2005, s.660

When income is distributed to a beneficiary, it is **deemed to come from non-savings income** in priority to interest and dividends, and from interest in priority to dividends. As the income would have been taxed in the hands of the Executors via their own self-assessment return, the income paid to the beneficiary will carry an appropriate tax credit – ie 20% for non-savings income and interest and 8.75% for dividends. This will be **certified by the Executors** on form R185 (Estate Income). Any residuary income which is received by the Executors but not paid out to the beneficiary is carried forward.

The beneficiary is deemed to have received any undistributed income in the tax year in which the administration of the estate is completed. This will be the total residuary income, less any income previously distributed, and less any expenses properly chargeable against the residuary income.

The estate **expenses** are deemed to have been **paid from the net dividend** income. If the estate has insufficient dividend income, expenses are next deemed to have come from **interest** income. If interest has been extinguished, expenses come **finally from non-savings income**.

➢ Illustration 1

Roy died in July 2022. His Executors completed the administration of his estate in September 2023. His Will left a specific legacy of shares in XYZ plc to his son. The residue of his estate was left to his wife absolutely. The residue consisted of a private house, a holiday cottage and cash deposits.

Details of the Executors' income and expenses for 2022/23 and 2023/24 are as below:

	2022/23	2023/24
	£	£
Rental income	9,000	6,000
Bank interest	6,250	5,000
XYZ plc dividend	9,000	–
Expenses paid	(1,500)	(1,000)
Distribution to wife	(5,000)	–

As the wife has an absolute entitlement to the residue of the estate, she will receive the capital of the residue together with any income generated by those assets.

Whilst the estate is in administration, she will only be taxed on distributions actually made to her by the Executors.

In December 2022, the Executors made an income distribution of £5,000. This is deemed to come from the rental income received by the Executors in 2022/23, on which tax at 20% was paid under self-assessment. Therefore, the wife is deemed to have received the £5,000 net of basic rate tax.

The Executors will complete form R185 as below:

R185 (Estate income)	Net	Tax
	£	£
Estate income	5,000	1,250

The son was left a specific legacy of the XYZ plc shares. As this is a legacy of an income-producing asset, the dividends on the shares should be redirected by the Executors to the son and taxed on the son in the year they arose. The son is deemed to have received a net dividend of £8,212 as the Executors will have paid tax at 8.75% on the gross dividend. The Executors will certify the income on form R185 as below:

R185 (Estate income)	Net	Tax
	£	£
Estate income	8,212	788

The son will pay any higher or additional rate tax on the dividend if appropriate. If part of the dividend is within the son's dividend allowance, it will be taxed at 0%. If the son is a non-taxpayer, the tax credit may be reclaimed. As the dividend has been mandated to the son, it will not form part of the wife's income entitlement from the estate.

The administration period ended in September 2023, ie in 2023/24. The wife is entitled to the net income of the residuary estate; therefore, any income which has not yet been distributed by the Executors will be deemed to have been distributed on 30 September 2023.

Calculate the total net income for the estate and then the amounts to be shown on the R185 for the wife.

	Rents	Interest
	£	£
Gross income 2022/23	9,000	6,250
Gross income 2023/24	6,000	5,000
Total gross income	15,000	11,250
Less: Tax paid/suffered (15,000/11,250 @ 20%)	(3,000)	(2,250)
Net income	12,000	9,000
Less: Expenses		
– 2022/23		(1,500)
– 2023/24		(1,000)
Distributable income	12,000	6,500
Less: Distributed 2022/23	(5,000)	
Balance to be distributed at end of AP	7,000	6,500

This will be certified by the Executors on form R185:

R185 (Estate income)	Net	Tax
	£	£
Non-savings income	7,000	1,750
Savings income	6,500	1,625

The beneficiary will enter the figures on her self-assessment return for 2023/24 and pay any additional tax as appropriate. If the beneficiary is a non-taxpayer, these tax credits may be reclaimed.

EXAMPLES

❖ Example 1

Mary died on 1 May 2022. The Executors of Mary's estate have the following income in 2022/23:

	2022/23
	£
Rental profits	10,000
Gilt interest	6,000
Dividends	2,500
Expenses	(1,950)

Income of £10,000 was distributed to the sole beneficiary on 31 December 2022. The administration period ended in 2023/24.

Calculate the income chargeable on the beneficiary in 2022/23 and show how this will be reflected on form R185.

ANSWERS

✓ Answer 1

2022/23

	£	£	£
Gross income	10,000	6,000	2,500
Less: Tax paid	(2,000)	(1,200)	(219)
	8,000	4,800	2,281
Less: Expenses			(1,950)
	8,000	4,800	331
Distribution	(8,000)	(2,000)	(Nil)
	Nil	2,800	331

R185 (Estate income)	Net	Tax
	£	£
Non-savings	8,000	2,000
Savings	2,000	500